

MADHYA PRADESH ELECTRICITY REGULATORY COMMISSION
5th Floor, "Metro Plaza", Bittan Market, Bhopal – 462016



Petition No. 76 of 2024

PRESENT:

Gopal Srivastava, Member (Law)

Prashant Chaturvedi, Member

IN THE MATTER OF:

True-up of Generation Tariff of MPPGCL's Thermal and Hydro Power Stations for FY 2023-24 determined by MP Electricity Regulatory Commission vide Multi-Year Tariff Order dated 19th May, 2021 in Petition No. 53 of 2020 read with Corrigendum dated 9th September, 2021.

M.P. Power Generating Company Ltd, Jabalpur:

PETITIONER

Vs.

- 1. M.P. Power Management Company Ltd., Jabalpur**
- 2. M.P. Power Transmission Co. Ltd., Jabalpur**
- 3. Rajasthan Rajya Vidyut Prasaran Nigam Ltd., Jaipur**
- 4. Uttar Pradesh Power Corporation Ltd. (UPPCL), Lucknow**
- 5. MSEB (Holding Co) & Maharashtra State Transmission Co. Ltd., Mumbai**

RESPONDENTS

ORDER

(Passed on this day of 8th April, 2025)

1. M.P. Power Generating Company Ltd. (hereinafter called “the petitioner” or “MPPGCL”) has filed the subject petition for true-up of generation tariff for FY 2023-24 determined by the Madhya Pradesh Electricity Regulatory Commission (hereinafter called “the Commission or MPERC”) vide Multi-Year Tariff order dated 19th May, 2021 in petition No 53 of 2020 read with corrigendum dated 9th September, 2021.
2. The subject true-up petition has been filed by MPPGCL under Section 62 and Section 64 of the Electricity Act, 2003, read with proviso 9.4 of MPERC (Terms and Conditions for Determination of Generation Tariff) Regulations, 2020, (hereinafter referred to as “the Regulations, 2020”). The subject petition is based on the Annual Audited Accounts of MPPGCL for FY 2023-24.
3. The petitioner is a wholly owned company of Government of M.P. engaged in generation of electricity in the state of Madhya Pradesh. It is a successor entity of erstwhile Madhya Pradesh State Electricity Board.
4. MP Power Management Company Ltd “(hereinafter referred to as Respondent No. 1 or MPPMCL) is the holding company of all three DISCOMS within the state of Madhya Pradesh. MPPMCL is entitled to undertake transition of bulk sale and purchase of electricity on behalf of distribution licenses, viz. MP discoms.
5. M.P. Power Transmission Company Ltd. Jabalpur, (hereinafter referred as Respondent No. 2) or MPPTCL is a government owned company responsible for bulk power transmission at extra high voltage within the state of Madhya Pradesh.
6. Rajasthan Rajya Vidyut Prasaran Nigam Ltd.(RRVPL), Jaipur, (hereinafter referred as Respondent No. 3) has 50% share in Gandhi Sagar Hydro Power Station operated by MPPGCL. At the same time, MPPGCL has 50% share in the Rana Pratap Sagar Hydro Power Station and Jawahar Sagar Hydro Power Station operated by the Respondent No. 3. Similarly, Uttar Pradesh Power Corporation Ltd (UPPCL), Lucknow (hereinafter referred as Respondent No. 4) has 40.32% share in Rajghat Hydro Power Station and MSEB (Holding Co) & Maharashtra State Transmission Co. Ltd., Mumbai (hereinafter referred as Respondent No. 5) has 33.3% share in Pench Hydro Power Station operated by MPPGCL.
7. The details of the power stations/houses covered in subject true-up petition are as given below:

Table 1: Installed Capacity and Date/Year of Commissioning:

Sr. No.	Power Stations / House	Installed Capacity in (MW)	Year/Date of Commissioning
THERMAL POWER STATIONS			
1	ATPS PH-3	1X210 MW = 210 MW	FY 2009-10
2	STPS PH-2 & 3	3X210+1X200 = 830 MW	FY 1980-84
3	STPS PH- 4	2x250 MW =500 MW	FY 2013-14
4	SGTPS PH- 1 SGTPS PH- 2	2X210 = 420 MW 2X210 = 420 MW } 840 MW	FY 1993-94 FY 1998-99
5	SGTPS PH- 3	1X500 MW = 500 MW	FY 2008-09
6	SSTPP PH-1	2X600 MW = 1200 MW	FY 2014-15
7	SSTPP PH-2	2 X 660 MW = 1320 MW	FY 2018-19
HYDRO POWER STATIONS			
8	Gandhi Sagar HPS	5X23 MW = 115 MW	1960 to 1966
9	Pench HPS	2X80 MW = 160 MW	FY 1986-87
10	Rajghat HPS	3X15 MW = 45 MW	FY 1998-99
11	Bargi HPS	2X45 MW = 90 MW	1988 & 1992
12	Bansagar HPS PH- 1 Bansagar HPS PH- 2 Bansagar HPS PH- 3	3X105 =315 MW 2X15 = 30 MW 3X20 = 60 MW } 405MW	1991 to 1992 FY 1997-98 FY 2001-02
13	Bansagar PH- 4 (Jhinna) HPS	2x10 MW = 20MW	FY 2006-07
14	Birsingpur HPS	1X20 MW = 20 MW	FY 1991-92
15	Madhikheda HPS	3X20 MW = 60 MW	FY 2006-07

8. Earlier, the petitioner filed petition No. 53 of 2020 for determination of Multi-year Tariff (MYT) for the control period FY 2019-20 to FY 2023-24 based on the Regulations, 2020. Vide Order dated 19th May, 2021, the Commission determined the Multi-Year Tariff for the Control period of FY 2019-20 to FY 2023-24 subject to True-Up based on Annual Audited Accounts for the respective years. Subsequently, a corrigendum to the aforesaid MYT Order was issued on 9th September, 2021.
9. Further, vide Order dated 27.07.2023 in Petition No. 11 of 2023, the Commission allowed special allowance for Unit No 1 & 2 (2x210MW) of SGTPS, Birsinghpur, PH-1 after completion of useful life (25 years) of Units. Vide Order dated 17.01.2024 in Petition No. 52 of 2023, the Commission also allowed special allowance for Unit No.3 of SGTPS, Birsinghpur, PH-2 for the period from 28.02.2024 to 31.03.2024 (33 days only) for FY 2023-24.
10. The details of the Power Station/House wise and component-wise Annual Capacity (fixed) Charges determined by the Commission for FY 2023-24 in its MYT Order dated 19th May, 2021 read with corrigendum dated 9th September, 2021 are as given below:

Table 2: Component Wise Annual Capacity (Fixed) Charges for FY 2023-24 determined in MYT Order (Rs. in Crore)

Sr. No.	Particulars	Amount
1	Return on Equity	816.42
2	Interest on loan	828.23
3	Depreciation	1024.78
4	O & M Expenses	1635.70
5	*Special Allowance	120.55
6	Interest on Working capital	414.44
7	Less: Non-Tariff Income	0.00
8	Total Capacity (Fixed) Charges	4840.12

*Including special allowance of Rs. 41.70 Crore for Unit No 1, 2 & 3 of SGTPS, Birsinghpur.

Table 3: Power Station/House wise Annual Capacity (Fixed) Charges for FY 2023-24 determined in MYT Order: (Rs. in Crore)

Sr. No.	Power Station	Amount
1	ATPS Chachai, PH-3	163.59
2	STPS Sarni, PH- 2 & 3	434.32
3	STPS Sarni, PH-4	603.99
4	*SGTPS Birsinghpur, PH-1&2	498.73
5	SGTPS, Birsinghpur, PH-3	309.32
6	SSTPP, Khandwa, PH-1	1246.84
7	SSTPP, Khandwa, PH-2	1314.60
	Total Thermal	4571.39
8	Gandhi Sagar, HPS	16.23
9	Pench, HPS	28.49
10	Rajghat, HPS	15.29
11	Bargi, HPS	18.40
12	Bansagar PH-1,2&3, HPS	155.50
13	Bansagar PH-4 (Jhinna), HPS	9.63
14	Birsinghpur, HPS	6.24
15	Madhikheda, HPS	18.94
	Total Hydel	268.72
	Total (Thermal + Hydel)	4840.12

* Including special allowance of Rs. 41.70 Cr. for Unit No 1, 2 & 3 of SGTPS, Birsinghpur.

11. In the subject true-up petition, the petitioner broadly submitted the following:

- a) MPPGCL entered into Power Purchase Agreements (PPAs) with MP Tradeco (now MPPMCL) on 29.11.2006 for existing power stations and on 04.01.2011 for new Thermal Power Stations. Further, the first amendment to the Power Purchase Agreement (PPA) dated 29.11.2006 towards Purchase of Power from then existing and ongoing Thermal and Hydel Units of M. P. Power Generating Company Limited, has been signed on

18.07.2017. This First Amendment in Agreement provides term period till retirement/ decommissioning of all Thermal and Hydel Power Stations of MPPGCL listed in the agreement. The PPAs for new power stations have also been amended from time to time. These PPAs provide that the tariff payable to Genco and terms & conditions related thereto shall be as determined by the State Commission.

- b) The Commission notified, MPERC (Terms & Conditions for determination of Generation Tariff) Regulations, 2020{RG-26 (IV) of 2020} on 28.02.2020. This regulation was based on multi-year tariff principles and incorporated norms of operation for control period FY 2019-20 to FY 2023-24.
- c) In the instant True up petition, MPPGCL has proposed true up for FY 2023-24 in respect of existing/new stations whose tariff was determined by the Commission vide Multi-Year Tariff Order dated 19.05.2021 for the control period FY 2019-20 to FY 2023-24 read with corrigendum to aforesaid MYT order vide order dated 09.09.2021.
- d) MPPGCL has prepared the Books of Accounts for FY 2023-24 and got the same audited by the Statutory Auditor. The Audit Officers from O/o Dy. Accountant General (ES-III), Bhopal, has conducted Supplementary Audit of Annual Statement of Accounts of MPPGCL for FY 2023-24.
- e) MPPGCL is submitting the True up petition for FY 2023-24 based on the Audited Annual Statements of Accounts for FY 2023-24 under Section 62 & 64 of the Electricity Act 2003 read with proviso-9 of the Regulations, 2020.
- f) The Annual Statement of Accounts for FY 2023-24 has been prepared on the basis of Indian Accounting Standards (Ind AS) prescribed under Section 133 of the Companies Act read with the rule 3 of Companies (Indian Accounting Standard) Rules, 2015 and Companies (Indian Accounting Standard) amendment Rules, 2016.
- g) The Petitioner has adopted following approach for True-up of Generation Tariff for FY 2023-24: -
 - i. The Energy Charges (Variable Charges) has been billed in accordance with proviso 18, 19 & 43 of the Regulation, 2020. Therefore, no truing up of Energy Charges has been considered in this petition.
 - ii. Other Charges comprising of MPERC Fees, Water Charges, Rent, Rates & taxes, Cost of Chemical & Consumable, Publication Expenses and EL Encashment have been claimed on actuals based on Audited Books of Accounts for FY 2023-24.

- iii. *The expense shown in Audited Annual Statements of Accounts for FY 2023-24 pertains to MPPGCL's share. The expenses, as extracted from Audited Annual Statements of Accounts for FY 2023-24 for the shared portion have been factored to represent 100% capacity operated by MPPGCL to match with MPERC's Multi Year Tariff Order dated 19.05.2021.*
- iv. *The expenses of Rana Pratap Sagar and Jawahar Sagar indicated in the Annual Statements of Accounts for FY 2023-24 of MPPGCL have not been considered in this True up Petition since the Commission has not considered these projects in Tariff order, being operated by Rajasthan authorities.*
- v. *At present, expenditure towards Pension & Terminal benefits of all the Companies i.e. unbundled entities of MPSEB are being allowed in the MYT/ True up of Transmission Licensee i.e. MPPTCL on 'pay as you go' principle, subject to true-up in each year on availability of actual figures. Accordingly, MPPGCL has not claimed these expenses in this True-up tariff petition*
- vi. *Commission vide Second amendment to MPERC (Terms and Conditions for determination of Generation Tariff) (Second Amendment) Regulations, 2020 {ARG-26 (IV)(ii) of 2023} dated 21.02.2023 at Para 27 has issued Amendment to Regulation 65 of the principal Regulations, wherein Expenses towards Fly Ash Utilization and transportation shall be payable in accordance to the directives issued by Government of India, Ministry of Environment, Forest and Climate Change vide Notification No. S.O. 5481 (E) dated 31.12.2021 and subsequent amendment issued from time to time.*

Accordingly, the details of expenditure incurred on Transportation of Fly Ash as captured in Note 31.1 "Other Expenses" Serial No. 8 of Audited Financial Statements of FY 2023-24 amounts to Rs. 176.41 Crore. MPPGCL request Commission to permit the same.

12. Based on above, the petitioner has claimed the following component-wise and Power Station-wise true-up amount for FY 2023-24:

- i. Component-wise true-up amount claimed at Normative Availability as follows:**

Table 4: True-Up amount for FY 2023-24 claimed at Normative Availability:
(Rs. Crore)

Particulars	Elements	Annual Fixed Cost FY 2023-24		
		As per MYT Orders	MPPGCL claimed as per normative availability	Diff.
Fixed Cost Elements	O & M Expenses	1635.69	1635.69	0
	*Special Allowance	120.55	120.55	0
	Interest on Loan + Excess Equity	828.25	816.75	-11.5
	Interest on Working Capital	414.45	442.07	27.62
	Depreciation	1024.78	1017.53	-7.25
	Return on Equity	816.42	831.42	15
Less Non-Tariff Income		0.00	23.42	-23.42
Total		4840.14	4840.59	0.45

*Including special allowance of Rs. 41.70 Cr. allowed for Unit No 1, 2 & 3 of SGTPS, Birsinghpur. Vide Commission's order dated 27.07.2023 and 17.01.2024 in Petition No. 11/2023 and 52/2023, respectively.

ii. Component-wise true-up amount claimed at Actual Availability as follows:

Table 5: True up Amount for FY 2023-24 claimed at Actual Availability (Rs Crore)

Particulars	Elements	Annual Fixed Cost FY 2023-24		
		As per MYT Orders	As claimed on actual Availability	Diff.
Fixed Cost Elements	O & M Expenses	1635.69	1252.54	-383.15
	*Special Allowance	120.55	40.45	-80.11
	Interest on Loan+ Excess Equity	828.25	722.53	-105.73
	Interest on Working Capital	414.45	341.10	-73.35
	Depreciation	1024.78	912.50	-112.28
	Return on Equity	816.42	736.88	-79.54
Less Non-Tariff Income		0.00	23.42	-23.42
Total		4840.14	3982.57	-857.57

*Including special allowance of Rs. 41.70 Cr. allowed for Unit No 1, 2 & 3 of SGTPS, Birsinghpur. Vide Commission's order dated 27.07.2023 and 17.01.2024 in Petition No. 11/2023 and 52/2023, respectively

iii. Power Station/House-wise true-up amount claimed at Normative Availability as follows:

Table 6: True-up amount claimed at Normative Availability for FY 2023-24
(Rs. Crore)

S. No.	Station	As per MYT Order	MPPGCL claimed as per norms	Diff.
1	ATPS PH-3	163.60	164.60	1.00
2	STPS PH-2&3	434.33	435.56	1.23
3	STPS PH-4	603.99	608.03	4.03
4	SGTPS PH-1&2*	498.73	494.53	-4.20

S. No.	Station	As per MYT Order	MPPGCL claimed as per norms	Diff.
5	SGTPS PH-3	309.32	303.46	-5.86
6	SSTPP PH-1	1246.85	1238.99	-7.86
7	SSTPP PH-2	1314.60	1350.98	36.38
	Thermal	4571.43	4596.15	24.72
8	Gandhi Sagar HPS	16.23	15.99	-0.24
9	Pench HPS	28.48	30.21	1.73
10	Rajghat HPS	15.30	11.98	-3.32
11	Bargi HPS	18.40	18.00	-0.40
12	Bansagar HPS PH-1,2&3	155.50	132.58	-22.92
13	Bansagar HPS PH-4	9.63	9.93	0.30
14	Birsinghpur HPS	6.23	5.87	-0.36
15	Madhikheda HPS	18.94	19.88	0.94
	Hydro	268.72	244.44	-24.28
Total		4840.14	4840.59	0.45

*Including special allowance of Rs. 41.70 Crore allowed for Unit No 1, 2 & 3 of SGTPS, Birsinghpur. Vide Commission's order dated 27.07.2023 and 17.01.2024 in Petition No. 11/2023 and 52/2023, respectively.

iv. Power Station/House wise true-up amount claimed at Actual Availability as follows:

Table 7: True-up amount claimed at Actual Availability for FY 2023-24 (Rs Crore)

S. No.	Station	As per MYT Order	As claimed on actual Availability	Diff.
1	ATPS PH-3	163.60	164.60	1.00
2	STPS PH-2&3	434.33	-0.68	-435.00
3	STPS PH-4	603.99	608.03	4.03
4	SGTPS PH-1&2*	498.73	479.50	-19.24
5	SGTPS PH-3	309.32	243.75	-65.57
6	SSTPP PH-1	1246.85	1086.58	-160.27
7	SSTPP PH-2	1314.60	1154.55	-160.05
	Thermal	4571.43	3736.34	-835.08
8	Gandhi Sagar HPS	16.23	11.89	-4.35
9	Pench HPS	28.48	30.79	2.31
10	Rajghat HPS	15.30	13.10	-2.20
11	Bargi HPS	18.40	19.34	0.94
12	Bansagar HPS PH-1,2&3	155.50	132.55	-22.95
13	Bansagar HPS PH-4	9.63	11.20	1.57
14	Birsinghpur HPS	6.23	5.76	-0.47
15	Madhikheda HPS	18.94	21.61	2.67
17	Hydro	268.72	246.23	-22.49
Total		4840.14	3982.57	-857.57

*Including special allowance of Rs. 41.70 Cr. allowed for Unit No 1, 2 & 3 of SGTPS, Birsinghpur. Vide Commission's order dated 27.07.2023 and 17.01.2024 in Petition No. 11/2023 and 52/2023, respectively.

13. In addition to above, the petitioner has also claimed other charges of Rs. 218.57 Crore in this petition on actual basis. The head-wise and Power Station/House wise break-up of other charges claimed in the subject petition are as given below:

Table 8: Head-wise Other Charges Claimed for FY 2023-24 (Rs. in Crore)

S. No.	Particulars	Total
1	Rent, Rates & Taxes	1.43
2	Water Charges	171.53
3	Cost of Chemicals & Consumables	20.39
4	MPERC Fee + Publication Exp.	1.29
5	EL Encashment	23.93
Total		218.57

Table 9: Power Station/House wise Other Charges Claimed for FY 2023-24 (Rs. in Crore)

S.No.	Power Station	Total
1	ATPS PH-3	10.41
2	STPS PH-2&3	0.82
3	STPS PH-4	19.07
4	SGTPS PH-1&2	22.90
5	SGTPS PH-3	13.63
6	SSTPP PH-1	39.84
7	SSTPP PH-2	35.61
	Total Thermal	142.28
8	Gandhi Sagar HPS	19.56
9	Pench HPS	0.69
10	Rajghat HPS	0.82
11	Bargi HPS	21.30
12	Bansagar PH-1,2&3 HPS	27.42
13	Bansagar HPS PH-4	1.35
14	Birsinghpur HPS	1.64
15	Madhikheda HPS	3.51
	Total Hydro	76.29
Total		218.57

14. The Petitioner has sought true-up of Annual Capacity (Fixed) Charges for FY 2023-24 in respect of additional capital expenditure incurred during FY 2023-24 in accordance with Regulation 9.4 of the Regulations, 2020 which provides as under:

“A generating company shall file a petition at the beginning of the Tariff period. A review shall be undertaken by the Commission to scrutinize and true up the Tariff on the basis of the capital expenditure and additional capital expenditure actually incurred in the Year for which the true up is being requested. The generating company shall submit for the purpose of truing up, details of capital expenditure and additional capital expenditure incurred for each year of the period from 1.4.2019 to 31.3.2024, duly audited and certified by the auditors.”

15. In the subject petition, the petitioner has filed additional capitalization of Rs. 79.61 Crore in thermal and hydel power stations during FY 2023-24 as per Annual Audited Accounts and Asset-cum-Depreciation registers of respective power stations. The petitioner also filed the write-off/ deductions of assets of Rs. 11.02 Crore in some of the power stations during FY 2023-24 as per Annual Audited Accounts and Asset-cum Depreciation Registers of respective power stations.
16. With the above submissions, the petitioner prayed the following:
- (a) *Approve Annual Capacity (Fixed) Charges and Other charges for FY 2023-24 and permit recovery of True up amount as per Para 17 & 18 in six equal monthly instalments.*
 - (b) *Allow additional capitalization as per audited Annual Statements of Accounts for FY 2023-24 and accordingly permit additional Depreciation, RoE and Interest on Normative Loan/excess equity. Allow additional Capitalizations of prior period corresponding to Assets Written-off in this Financial year.*
 - (c) *Allow Other Charges comprising of MPERC Fees, Water Charges, Rent, Rates & taxes, Cost of Chemical & Consumable, Publication Expenses and EL Encashment on actual based on Audited Books of Accounts for FY 2023-24.*
 - (d) *Allow additional expenses incurred towards Transportation of Ash amounting to Rs. 176.41 Crore.*
 - (e) *In accordance with proviso 9.11 of Regulations, 2020, allow interest on differential true-up amount, if any.*

Procedural History:

17. With regard to time line for filing of true up petition, Regulation 9.7 of the Regulations, 2020 provides that a generating company shall make an application to the Commission for carrying out truing up exercise for each financial year in respect of a generating station/ unit by 15th November of each year. MPPGCL vide letter dated 06.11.2024 sought time extension for submission of true up petition as the supplementary audit of the Company's accounts for FY 2023-24 has not been done by the Dy. Accountant General (ES-III), Bhopal. The Commission vide letter dated 12.11.2025 directed MPPGCL to file the true up petition by 25.11.2025. Accordingly, by affidavit dated 25.11.2024 MPPGCL filed the subject true up petition for FY 2023-24, without certifying its Annual Audited Accounts by AG, Audit, Bhopal and the same were submitted by MPPGCL on 06.12.2024.
18. Motion hearing in the subject true up petition was held on 17th December, 2024, wherein the petition was admitted and petitioner was directed to serve copies of petition to all

Respondents in the matter. The Respondents were also directed to file their responses on the petition within 15 days. The petitioner was asked to file rejoinder within a week, thereafter.

19. Vide Commission's letter dated 31st December, 2024, the information gaps and requirements of additional details/documents in the subject petition were communicated to the petitioner seeking its comprehensive reply along with all relevant supporting documents by 20th January, 2025.
20. The public notices inviting comments/suggestions from stakeholders were published on 23rd January, 2025 in the following newspapers:
 - (i) Dainik Bhaskar, Jabalpur (Hindi)
 - (ii) Patrika, Gwalior (Hindi)
 - (iii) Nai Duniya, Indore (Hindi)
 - (iv) Raj Express, Bhopal (Hindi)
 - (v) Free Express, Bhopal (English)

Last date of filing comment/objections/suggestions was 13th February, 2025.

21. By affidavit dated 20th January, 2025, the petitioner filed its partial response on the queries raised by the Commission and requested to grant additional time extension of 10 days for submission of balance information. By affidavit dated 6th February, 2025 15th February, 2025 and 11th March, 2025, the petitioner filed its response to the balance information issues/queries raised by the Commission.
22. By affidavit dated 05th February, 2025, Respondent No. 1 (M.P. Power Management Co. Ltd) filed its comments/ response on the subject petition.
23. By affidavit dated 27th February, 2025, the petitioner filed rejoinder on the response/ comments filed by the Respondent No. 1. The petitioner's response on each comment offered by the Respondent No.1 along with the observations is annexed as Annexure-I of this Order.
24. Vide letter dated 10th February, 2025, comments from only one stakeholder, Shri Rajendra Agarwal were received in this matter. By affidavit dated 27th February, 2025, the petitioner filed its reply to the aforesaid comments filed by the stakeholder. The petitioner's reply on each comment/suggestion offered by the stakeholder along with the observations is annexed as Annexure-II with this Order.
25. The public hearing in the subject true-up petition was held on 19th February, 2025 through video conferencing, wherein the representatives of the petitioner, Respondent No 1 and stakeholder appeared. After hearing the parties, the case was reserved for Order.

26. The Commission has noted that the petitioner filed partial replies to various queries in subject true up petition within the time limit, however, the reply on balance issues filed by the petitioner at later stage. The Commission express its displeasure on account of inordinate delay took place at petitioner's end in filing of annual audited accounts as well as replies to various queries. It is further observed that other state owned power companies of MP filed their true up petitions along with Annual Audited Accounts within the time lines. It must be realized by the petitioner that MP Genco true up consists of large numbers of additionally capitalized assets. It requires cross checking from audited accounts and delay in submission of audited accounts leads to delay in issue of true up order. In view of the above, the petitioner is directed to maintain the time lines in submission of all required documents in respect of all tariff related petitions in future.

Disclaimer for Rounding

27. In this Order, certain numbers as a whole, upto several decimal places have been rounded up or down. Therefore, there may be discrepancies between the totals of the individual numbers shown in the tables upto two decimal places and numbers given in the corresponding analysis in the text of this order.

Capital Cost

Petitioner's submission:

28. The petitioner submitted that the Opening Gross Fixed Assets (GFA) as on 1st April, 2023 considered in this true-up petition is same as Closing Gross Block on 31st March, 2023 as admitted by the Commission in its last true up Order dated 07.03.2024 in P. No. 71/2023 for FY 2022-23. The petitioner further submitted that additional capitalization was carried out during FY 2023-24 in existing power stations and these asset additions were made on account of new assets capitalized under the head of Fixed Assets. The petitioner also filed that write-off/ adjustments of assets which have also made adjusted in the Gross Fixed Assets of the various power stations.
29. The details of opening GFA along with asset additions & deductions during FY 2023-24 and closing GFA as filed by the petitioner are given below:

Table 10: Power Station/House wise break-up of fixed assets as filed in the petition (Rs. in Crore)

Station		Opening Gross Block 01.04.2023	Asset Additions during FY 2023-24	Deductions during FY 2023-24	Closing Gross Block 31.03.2024
1	ATPS PH-3	1132.52	0.47	-0.81	1132.17
2	STPS PH-2&3	562.43	0.00	-0.02	562.41
3	STPS PH-4	3276.58	13.14	-0.06	3289.66
4	SGTPS PH-1&2	2208.07	0.00	-0.09	2207.98
5	SGTPS PH-3	2049.95	2.72	-7.78	2044.89
6	SSTPP PH-1	7328.49	13.81	-0.09	7342.21
7	SSTPP PH-2	6761.07	4.09	0.00	6765.16
	Total Thermal	23319.11	34.22	-8.84	23344.49

8	Gandhi Sagar	11.14	0.21	0.00	11.35
9	Pench	119.44	5.87	-1.12	124.18
10	Rajghat	107.43	1.51	0.00	108.94
11	Bargi	92.48	1.54	0.00	94.02
12	Bansagar PH-1,2&3	1175.45	35.53	-1.05	1209.92
13	Bansagar PH-4	116.85	0.71	0.00	117.56
14	Birsinghpur	53.15	0.00	0.00	53.15
15	Madhikheda	218.16	0.02	0.00	218.18
	Total Hydro	1894.10	45.38	-2.18	1937.31
	Total	25213.21	79.61	-11.02	25281.79

Provisions in Regulation:

30. Regarding capital cost of the existing generating stations, Regulation 21.3 and 21.4 of the Regulations, 2020 provides as under:

21.3 *"The Capital cost of an existing project shall include the following:*

- (i) *the capital cost admitted by the Commission prior to 1.4.2019 duly trued up by excluding liability, if any, up to last true-up order issued by the Commission;*
- (ii) *additional capitalization and de-capitalization for the respective year of tariff as determined in accordance with these Regulations;*
- (iii) *capital expenditure on account of renovation and modernization as admitted by the Commission in accordance with these Regulations;*
- (iv) *capital expenditure on account of ash disposal including handling and transportation facility;*
- (v) *capital expenditure incurred towards railway infrastructure and its augmentation for transportation of coal upto the receiving end of generating station but does not include the transportation cost and any other appurtenant cost paid to the railway; and*
- (vi) *capital cost incurred or projected to be incurred by a thermal generating station, on account of implementation of the norms under Perform, Achieve and Trade (PAT) scheme of Government of India shall be considered by the Commission subject to sharing of benefits accrued under the PAT scheme with the beneficiaries*

21.4 *The capital cost in case of existing/new hydro generating station shall also include:*

- (i) *cost of approved rehabilitation and resettlement (R&R) plan of the project in conformity with National R&R Policy and R&R package as approved; and*
- (ii) *cost of the developer's 10% contribution towards Rajiv Gandhi Grameen Vidyutikaran Yojana (RGGVY) and Deen Dayal Upadhyaya Gram Jyoti Yojana (DDUGJY) project in the affected area."*

Commission's Analysis:

31. With regard to capital cost, Regulation 7.4 of the Regulations, 2020, provides that in case existing project, the petition shall be based on admitted capital cost in last true-up order. Accordingly, the petitioner has filed the Opening Gross Fixed Assets (GFA) of Rs. 25,213.21 Crore as on 01st April, 2023 for its thermal and hydel power stations covered in the subject true-up petition same as admitted by the Commission in last true up order dated 07th March, 2024 for FY 2022-23. As such, the figures of Gross Fixed Assets, Normative Loan and Normative Equity considered in subject petition for FY 2023-24 are as per the figures already admitted by the Commission in the last True up Order for FY 2022-23 in Petition. No. 71/2023.
32. On scrutiny of the capital cost and additional capitalization filed in the petition, mismatch in the figures of assets additions as per Annual Audited Accounts and figures filed in the subject petition was observed. It was also observed that the petitioner has not filed Power Station/House wise Assets-cum-Depreciation Registers for FY 2023-24. Therefore, vide Commission's letter dated 31st December, 2024, the petitioner was asked to file power station-wise Assets-cum-Depreciation registers for FY 2023-24. The petitioner was also asked to reconcile the figures of addition of assets recorded in the Assets-cum-Depreciation registers with the figures in Annual Audited Accounts for FY 2023-24 as well as with the figures filed in the subject true-up petition.
33. By affidavit dated 20th January, 2025 petitioner submitted the Power Station-wise Assets-cum-Depreciation Registers for FY 2023-24 prepared in accordance with the provisions under Regulations, 2020. The petitioner also filed the Power Station wise comparative statements elaborating the difference between the figures as per Annual Audited Accounts of FY 2023-24 & recorded in Asset-Cum-Depreciation Registers vis-à-vis as claimed in subject petition with respect to Opening Gross fixed Assets, Assets Addition, Write-off/Adjustment of Assets-not-in-use etc., along with reasons.
34. The Power Station wise break up of GFA as per Annual Audited Accounts of FY 2023-24 along with asset additions and adjustment/deductions during FY 2023-24 as filed by the petitioner are as given below:

Table 11: GFA and Asset Additions/write-off as per Balance Sheet (Rs. in Crore)

Stations		Opening Gross Block as on 01.04.2023	Asset Addition during FY 2023-24	Asset write off/ adjustments during FY 2023-24	Closing Gross Block as on 31.03.2024
1	ATPS PH-3	1,287.06	0.47	-0.81	1286.71
2	STPS PH-2&3	4,408.00	-	-0.02	4421.07
3	STPS PH-4		13.14	-0.06	
4	SGTPS PH-1&2	4,504.03	2.08	-0.49	4500.55
5	SGTPS PH-3		2.72	-7.78	

6	SSTPP PH-1	14,882.24	13.81	-0.09	14900.05
7	SSTPP PH-2		4.09	-	
	Total Thermal	25,081.32	36.30	-9.24	25,108.38
8	Gandhi Sagar	11.67	0.21	-	11.88
9	R.P. Sagar	18.86	-	-	18.86
10	J Sagar	16.56	-	-	16.56
11	Pench	122.81	5.87	-4.10	124.57
12	Rajghat	112.85	1.51	-	114.36
13	Bargi	98.22	1.54	-	99.76
14	Bansagar PH-1,2&3	1,337.98	35.53	-1.05	1373.16
15	Bansagar PH-4		0.71	-	
16	Birsinghpur	53.84	-	-	53.84
17	Madhikheda	218.96	0.02	-	218.99
	Total Hydro	1,991.75	45.38	-5.16	2,031.98
	Solar Plant	-	42.32	-	42.32
	HQ	6.28	1.03	-0.13	7.17
	Total	27,079.36	125.03	-14.53	27,189.86
	Add: Assets Not in use & held for sale	23.48	12.76	-	36.25
	Add: Contra Entries/ INDAS adjustments	4.40	8.80	-13.20	0.00
	Total as per Audited Accounts FY 24	27,107.25	146.63	-27.73	27,226.15

35. The petitioner submitted the power station-wise justification for the difference in opening GFA as on 01.4.2023 as filed in the petition vis-a-vis recorded in Annual Audited Accounts. From the above, it is observed that the difference in GFA of Rs. 25,213.21 Crore as on 31st March, 2023 filed by the petitioner as per last true-up order dated 7th March, 2024 and the opening GFA as per Annual Audited Accounts for FY 2023-24 is on account of those assets which were not considered by the Commission in the previous tariff / true up orders due to various reasons such as not allowing asset additions over and above the cut-off date or capitalization not falling under the respective Regulations, etc., however, the petitioner has recorded/included all such asset additions in the Annual Audited Accounts.
36. It was further observed that the total asset addition claimed in the subject petition is Rs.79.61 Crore, whereas, the total asset addition of Rs.125.03 Crore (before assets not in use and INDAS adjustment) is indicated in the Annual Audited Accounts. It is noted that the difference in additional capitalization of Rs. 2.08 Crore is due to asset addition towards need based R&M works carried out in SGTPS PH 1&2. Since, the petitioner has already availed special allowance in this Power Station, therefore the additional capitalization of Rs. 2.08 Crore in SGTPS PH-1&2 is not claimed by the petitioner. Further in Annual Audited Accounts petitioner has recorded Rs. 42.32 Crore towards one of the solar plant transferred to petitioner by WRD and Rs. 1.03 Crore toward HQ, which are not the part of instant petition.

37. It was also observed that the total deduction/write-off of assets filed in the petition is of Rs.11.02 Crore, whereas, the total deduction/write-off of Rs.14.53 Crore (before assets not in use and INDAS adjustment) is recorded in the Annual Audited Accounts. This mismatch of figures was observed in PH-1 & 2 of SGTPS and Pench HPS. As per Annual Audited Accounts, write-off amount is Rs.0.49 Crore in SGTPS PH-1 & 2, whereas, the write-off amount filed in the petition in this power station was Rs. 0.09 Crore. In this regard petitioner submitted that Deduction/Adjustment towards Asset Retirement Obligation at SGTPS PH-1&2 of Rs.0.39 Crore is not considered, as the same was not allowed by the Commission as asset addition in earlier True Up orders. Further, as per Annual Audited Accounts, write-off amount is Rs.4.10 Crore in Pench, whereas, the write-off amount filed in the petition in this power station is Rs. 1.12 Crore. In this regard petitioner submitted that Deduction/Adjustment towards Capital Overhaul Expenses amounting to Rs. 2.98 Crore is not considered as the same was not permitted by the Commission as asset addition in earlier True Up orders. Moreover, in annual audited accounts, petitioner has written off the assets amounting to Rs. 0.13 Crore toward HQ which is not part of the petition. Accordingly, adjustment of Rs. 3.51 Crore with respect to assets added during FY 2013-14 is not considered by the petitioner, while filing the write-off amount in the subject petition.
38. The Commission has considered the opening Gross Fixed Assets, equity, loan and accumulated depreciation as on 1st April, 2023 for thermal and hydro power stations in this Order, same as considered as on 31.03.2023 in the last true-up order for FY 2022-23 issued on 7th March, 2024 in petition No. 71 of 2023. It is to mention that in last true-up order, the Commission also admitted additional capitalization in some of the power stations beyond the original scope of works. Therefore, for the purpose of return on equity, the equity component of such assets recorded separately. The power stations-wise details of opening GFA, funding and cumulative depreciation as admitted by the Commission in the last true-up order for FY 2022-23 and considered as on 1st April, 2023 in this Order are as given below:

Table 12: Opening GFA, loan/equity and Cumulative Dep. admitted as on 01st April, 2023 in this Order (Rs. in Crore)

Sr. No	Power Station	Opening GFA as on 01.04.2023	Opening Equity within original scope of work as on 01.4.2023	Opening equity towards assets beyond original scope of work as on 01.04.2023	Opening Loan as on 01.04.2023	Opening Acc. Dep. as on 01.04.2023
1	ATPS PH-3	1132.52	258.86	0.21	173.56	690.22
2	STPS PH-2 & 3	562.43	166.66	0.00	0.00	511.63
3	STPS PH-4	3276.58	662.83	2.72	1137.53	1507.81

4	SGTPS PH 1 &2	2208.07	655.88	0.05	0.00	1921.32
5	SGTPS PH-3	2049.95	578.02	1.30	124.49	1340.05
6	SSTPP PH-1	7328.49	1414.65	1.76	2743.41	3166.70
7	SSTPP PH-2	6761.07	1033.93	0.00	4300.10	1426.90
8	Gandhi Sagar, HPS	11.14	3.37	0.00	0.21	9.67
9	Pench, HPS	119.44	35.77	0.07	7.53	88.13
10	Rajghat, HPS	107.43	27.03	0.003	0.00	68.56
11	Bargi, HPS	92.48	27.77	0.003	0.00	74.32
12	Bansagar PH-1,2 & 3, HPS	1175.45	352.38	0.26	0.00	897.29
13	Bansagar PH-4 (Jhinna), HPS	116.85	35.05	0.00	0.00	86.62
14	Birsinghpur, HPS	53.15	15.65	0.22	0.00	42.89
15	Madhikheda, HPS	218.16	46.30	0.00	13.01	133.41
	Total	25213.21	5314.14	6.61	8499.82	11965.53

Additional Capitalization:**Petitioner's submission:**

39. The petitioner submitted that the total assets capitalization of Rs 79.61 Crore has been carried out in the existing power stations. These assets additions were made on account of new assets capitalized in thermal and hydel Power Stations. In the subject petition, the petitioner has filed the power station-wise details of additional capitalization during FY 2023-24 as given below:-

Table 13: Additional Capitalization Claimed in the petition (Rs. in Crore)

Stations		Amount
1	ATPS PH-3	0.47
2	STPS PH-2&3*	0.00
3	STPS PH-4	13.14
4	SGTPS PH-1&2*	0.00
5	SGTPS-PH 3	2.72
6	SSTPP PH-1	13.81
7	SSTPP PH-2	4.09
	Total Thermal	34.22
8	Gandhi Sagar, HPS	0.21
9	Pench, HPS	5.87
10	Rajghat, HPS	1.51
11	Bargi, HPS	1.54
12	Bansagar PH-1,2 &3	35.53
13	Bansagar PH-4	0.71
14	Birsinghpur, HPS	0.00
15	Madhikheda, HPS	0.02
	Total Hydro	45.38
	Total	79.61

*** Asset additions at STPS PH-2&3 & SGTPS PH 1&2 during FY 2023-24 are not considered as MPPGCL has availed Special Allowance for these units.**

Provision in Regulation

40. Regarding additional capitalization of the generating stations, Regulations 27.1, 27.2 and 28.1 of the Regulations, 2020 provide that:

27. Additional Capitalization within the original scope and after the cut-off date:

27.1 The additional capital expenditure incurred or projected to be incurred in respect of an existing project or a new project on the following counts within the original scope of work and after the cut-off date may be admitted by the Commission, subject to prudence check:

- (i) Liabilities to meet award of arbitration or for compliance of the directions or order of any statutory authority, or order or decree of any court of law;*
- (ii) Change in law or compliance of any existing law;*
- (iii) Deferred works relating to ash pond or ash handling system including ash transportation facility in the original scope of work;*
- (iv) Liability for works executed prior to the cut-off date;*
- (v) Force majeure events;*
- (vi) Liability for works admitted by the Commission after the cut-off date to the extent of discharge of such liabilities by actual payment; and*
- (vii) Additional capitalization on account of raising of ash dyke as a part of ash disposal system.*

27.2 In case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission, after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check on the following grounds:

- (a) The useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations;*
- (b) The replacement of the asset or equipment if necessary, on account of change in law or Force Majeure conditions;*
- (c) The replacement of such asset or equipment is necessary on account of obsolescence of technology; and*
- (d) The replacement of such asset or equipment has otherwise been allowed by the Commission.*

28. Additional Capitalization beyond the original scope:

28.1 The capital expenditure in respect of existing generating station incurred or projected to be incurred on the following counts beyond the original scope, may be admitted by the Commission, subject to prudence check:

- (a) *Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law;*
- (b) *Change in law or compliance of any existing law;*
- (c) *Force Majeure Events;*
- (d) *Any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security;*
- (e) *Deferred works relating to ash pond or ash handling system in addition to the original scope of work, on case to case basis:*

Provided that if any expenditure has been claimed under Renovation and Modernisation (R&M) or repairs and maintenance under O&M expenses, the same expenditure cannot be claimed under this Regulation; and

- (f) *Usage of water from sewage treatment plant in thermal generating station*

41. With regard to additional capitalization, by affidavit dated 13th February, 2025, the Respondent No. 1 (MPPMCL) in its response on the subject petition has submitted that the Petitioner has not disclosed the previously approved projections, if any. It is further submitted that the necessity for alleged Additional Capitalization has not been established by the Petitioner. MPPMCL mentioned that the Petitioner cannot claim Additional Capitalization in a mechanical manner for no justifications in every financial years throughout the plant life and till this belated stage. The translation of said Additional Capitalization that may be reflecting in better plant-performance and reduction in tariff has also not been set out in the Petition. It is also submitted that even otherwise, some of the said expenses are in the nature of Repairs & Maintenance expenses and nevertheless are Capital items.

Additional capitalization under Thermal Power Stations:

Commission's Analysis:

42. In the subject true-up petition, petitioner has filed additional capitalization of Rs.79.61 Crore during FY 2023-24 in its thermal and hydel power stations. The Commission has examined Power Station/House-wise additional capitalization claimed by the petitioner in light of the Annual Audited Accounts, Asset-cum-Depreciation Registers, provisions under the Regulations, details and documents filed by the petitioner and the comments/suggestions filed by the Respondent No 1 and other stakeholder in this regard.
43. Vide Commission's letter dated 31st December, 2024, the petitioner was asked to submit various details/documents regarding additional capitalization in its thermal and hydel power stations in terms of the Regulations, 2020. By affidavit dated 15th February, 2025 the petitioner filed its response on the issues of additional capitalization raised by

the Commission. Power Station/House-wise analysis of the additional capitalization carried out by the Commission is as given below:

a) Amarkantak Thermal Power Station (ATPS) PH-3:

44. The ATPS PH-3 Extension Unit No. 5 (210 MW) was commissioned on 10th September, 2009. Vide order dated 1st May, 2012, the Commission determined the final generation tariff of this thermal power station. In the subject true-up petition, the petitioner claimed the additional capitalization of Rs. 0.47 Crore in ATPS PH-3 during FY 2023-24 based on the Annual Audited Accounts.
45. The petitioner submitted that the works under additional capitalization were carried out during FY 2023-24 and capitalized in Annual Audited Accounts for FY 2023-24. The list of the assets capitalized during FY 2023-24 in ATPS-PH-3 under the additional capitalization along with relevant Regulation under which each asset additions are claimed by the petitioner are as given below:

Table 14: Additional Capitalization claimed in ATPS PH-3 (Rs. in Crore)

Sr No	A/c Code	Description	Amount	Relevant Regulation of the Regulations 2020
i	10.101	Land Owned Under Full Title	0.06	28.1 (b)
ii	10.102	Land held under lease	0.05	28.1 (b)
iii	10.322	Drainage And Sewerage Residential Colony	0.01	28.1(f)
iv	10.520	Instrumentation And Control	0.18	27.2(c), 28.1(b) & 27.2(a)
v	10.523	Switch Yard	0.04	28.1(a)
vi	10.800	Furniture And Fixtures	0.01	27.2(a)
vii	10.904	Others office Equipments	0.05	27.2(a)
viii	10.905	Computers	0.07	27.2(a)
		Total	0.47	

46. On scrutiny of the aforesaid details filed by the petitioner, it is observed that the generating unit of ATPS PH-3 achieved CoD on 10th September, 2009, therefore this power station is considered as existing project in terms of Regulation 3 (20) of the Regulations, 2020, which provides that the existing project means a project which have been declared under commercial operation on a date prior to 01.04.2019. The additional capital expenditure claimed in ATPS PH-3 capitalized after the cut-off date of the unit. Therefore, the said additional capitalization has been analyzed in terms of Regulation 27 of the Regulations, 2020, which provides that “the additional capitalization within the original scope of work and after the cut-off date of the project may be admitted by the Commission, subject to prudence check”. It is also observed

that the petitioner has claimed some of the assets under additional capitalization beyond the original scope of work, hence the aforesaid additional capitalization filed by the petitioner has also been analysed in terms of Regulation 28.1 of the Regulations, 2020.

47. Vide Commission's letter dated 31st December, 2024, the petitioner was asked to file certain details/ documents regarding additional capitalization with respect to ATPS PH-3. In response, by affidavit dated 15th February, 2025, the petitioner submitted the such details of additional capitalization claimed in ATPS PH-3.
48. The additional capitalization claimed by the petitioner in ATPS PH-3 has been analysed under different heads of assets as given below:

i. Land Owned Under Full Title:-

Petitioner's Submission:

The Additional Capitalization amounting to Rs 0.06 Crore is towards Land Owned Under Full Title vide Journal Voucher No. 680658 dated 31.03.2024 under Asset Retirement Obligation (ARO) during FY 2023-24.

As per INDAS-16, an Asset Retirement Obligation is a legal or contractual obligation to dismantle and remove an asset and to restore the site in which it is located on retirement of a tangible asset. The company estimates its obligation for assets retirement based on technical assessment and timing of future expenditure for required work considering the inflation & discounting factor. Therefore, as per statutory requirement of INDAS-16, MPPGCL has recognized the amount of Asset Retirement Obligation and capitalized the same in the Books of Accounts for FY 2023-24.

The aforesaid Capitalization is claimed as per proviso 28.1 (b) of MPERC Regulations 2020, which provides for additional capitalization on account of change in law or compliance of any existing law.

Commission's Analysis

The petitioner has claimed additional capitalization of Rs 0.06 Crore towards land owned under full title under Regulation 28.1 (b) of the Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of change in law or compliance of any existing law. It is observed that the aforesaid additional capitalization is only book entry with respect to future Asset Retirement Obligation in accordance to IND-AS, whereas Commission determining tariff under GAAP (Generally Accepted Accounting Principles). Therefore, the aforesaid additional capitalization is not covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, expenditure towards land owned under full title is not allowed in this Order.

ii. Land held under lease:-**Petitioner's Submission:**

The Capitalization amounting to Rs 0.05 Crore is towards Land held under Lease vide Journal Voucher No. 680658 dated 31.03.2024. As per INDAS-16, an Asset Retirement Obligation is a legal or contractual obligation to dismantle and remove an asset and to restore the site in which it is located on retirement of a tangible asset. The company estimates its obligation for assets retirement based on technical assessment and timing of future expenditure for required work considering the inflation & discounting factor.

Therefore, as per statutory requirement of INDAS-16, MPPGCL has recognized the amount of Asset Retirement Obligation and capitalized the same in the Books of Accounts for FY 2023-24. The aforesaid Capitalization is claimed as per proviso 28.1 (b) of MPERC Regulations 2020, which provides for additional capitalization on account of change in law or compliance of any existing law.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.05 Crore towards land held under lease under Regulation 28.1 (b) of the Regulations, 2020, which provides for additional capital expenditure beyond original scope of work on account of change in law or compliance of any existing law. It is observed that the aforesaid additional capitalization is only book entry with respect to future Asset Retirement Obligation in accordance to IND-AS, whereas Commission determining tariff under GAAP (Generally Accepted Accounting Principles). Therefore, the aforesaid additional capitalization is not covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, expenditure towards land held under lease is not allowed in this Order.

iii. Drainage and Sewerage Residential Colony :-

The Capitalization of Rs 0.011 Crore is towards procurement of 5.5KW/ 7.5 HP Sq. Cage Induction motor for Aerator Tank of Sewage Treatment Plant (STP), purchase vide Order No. 2135 dated 20.09.2023. The Aerated water from this Sewage Treatment Plant is being used for green belt development/ gardening, etc., thus, complying to Water (prevention & Control of Pollution) Act, 1974. The aforesaid capitalization is claimed as per Proviso 28.1(f) of MPERC Regulations, 2020 which provides for "Usage of water from sewage treatment plant in thermal generating station.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs. 0.01 Crore towards 5.5 KW induction motor for aerator tank of drainage and sewerage treatment plant in residential colony which has been capitalized in the Annual Audited Accounts for

FY 2023-24. The aforesaid additional capitalization is claimed under Regulation 28.1 (f) of the Regulations, 2020 which provides for "Usage of water from sewage treatment plant in thermal generating station". On perusal of the details filed by the petitioner, it is observed that the aforesaid expenditure under additional capitalization is made in compliance to Water (prevention & Control of Pollution) Act, 1974. It is observed that the assets under additional capitalization incurred and capitalized after the cut-off date of the project and beyond the original scope of works. Such assets have been recorded in Asset-cum-Depreciation Register and Capitalized Annual Audited Accounts, therefore, same is covered under Regulation 28.1 (f) of Regulations, 2020. Hence, the said expenditure is allowed in this Order.

iv. Instrumentation and Controls:-

Petitioner's Submission

These additional Capitalization is booked under Account Code 10.520 in the Books of Accounts amounting to Rs 0.18 Crore towards following work orders for:-

- a) *Supply erection and commissioning of Dry Blow Kits for Atlas Copco make Air Compressors amounting to Rs. 0.12 Crore for main plant at 210 MW, ATPS, Chachai vide order No. 159 dated 08.04.2022. This new item has been added to enhance the performance of existing old Air Compressors. The said capitalization is claimed under Proviso 27.2(c) of MPERC Regulations, 2020 which provides for replacement of such assets or equipment is necessary on account of obsolescence of technology.*
- b) *Procurement of Portable table top Multi Gas Analyzer amounting to Rs. 0.06 Crore for 210 MW, ATPS, Chachai vide order No. 3279 dated 07.12.2022). This gas analyzer is required for monitoring of emission standards pertaining to PM, SOx & NOx for compliance of AIR (Prevention & Control of Pollution) ACT, 1981. The said capitalization is claimed Proviso 28.1(b) of MPERC Regulations, 2020 which provides for compliance of existing Law.*
- c) *Procurement of Digital Vibration meter cum spike energy detector with standard accessories amounting to Rs. 0.01 Crore for 210 MW, ATPS, Chachai, vide order No. 2906 dated 05.12.2023. The asset has been booked in Books of Accounts in Account Code 10.520 **against the write-off of 01 No. old Portable Vibration meter of 210 MW, ATPS, Chachai. The Write-off report of old Portable vibrator meter annexed.** Aforesaid Capitalization is claimed under proviso 27.2 (a) of the Regulations, 2020 which provides for replacement of such asset or equipment where the useful life is not commensurate with the useful life of the project.*

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.18 Crore towards Instrumentation and Controls. Aforesaid additional capitalization mainly towards Dry Blow Kits for Air Compressors, portable table top Multi Gas Analyzer & digital vibration meter cum spike energy detector and are claimed under Regulation 27.2 (c), 28.1 (b) and 27.2 (a) respectively of the Regulations, 2020. The commission has examined aforesaid assets separately in accordance to the Regulations, 2020 as below:

- a). Additional capitalization of Rs 0.12 Crore has been claimed towards Supply erection and commissioning of Dry Blow Kits for Air Compressors and claimed under Regulation 27.2 (c) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown the replacement of existing assets towards obsolescence of technology. The petitioner has also not justified/established any adjustments in the gross fixed assets and the cumulative depreciation towards replacement of existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence not allowed in this Order.

- b). Additional capitalization of Rs. 0.06 Crore towards Procurement of Portable table top Multi Gas Analyzer under Regulation 28.1 (b) which provides additional capital expenditure beyond the original scope of work on account of Change in law or compliance of any existing law. The petitioner stated that the aforesaid expenditure, i.e., gas analyzer is required for monitoring of emission standards pertaining to PM, SO_x & NO_x and was made towards compliance of AIR (Prevention & Control of Pollution) Act, 1981, therefore, the same is covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, this expenditure of Rs 0.06 Crore is allowed in this Order.
- c). Additional capitalization of Rs 0.01 Crore towards Procurement of Digital Vibration meter cum spike energy detector with standard accessories under Regulation 27.2 (a) of the Regulations, 2020, which provides that the

additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

With regard to procurement of digital vibration meter cum spike energy detector, although the capitalization has been made against the write-off of old assets and necessary adjustments have been made in the Assets cum-Depreciation Register, but the Commission is of the view that these minor expenses towards procurement of digital vibration meter cum spike energy detector are in the nature of O&M expenses, hence, such expenditure is not allowed in this order.

v. Switch Yard:-

Petitioner's Submission

The additional Capitalization under Account Code 10.523 amounting to Rs 0.04 Crore is towards supply and installation of Control and Relay panel for Islanding Panel Scheme at ATPS, Chachai, vide order No. 372 dated 03.05.2023.

The IEGC / MPEGC, 2019, Part-IV “Protection Code” specifies minimum protection requirements for any equipment connected to the State Transmission System to minimize disruption due to faults. Where in Under-Frequency/ Islanding schemes have been approved by WRPC/MPERC. Under emergency conditions, it provides isolation to Grid, thus preventing total Grid collapse and/or enables early restoration of power supply. Therefore, serious damage to costly equipment is prevented/ avoided.

In compliance to the above and directions from SLDC, Islanding scheme with Control and Replay panels have been implemented at ATPS, Chachai (Grid Interface point between State of Madhya Pradesh and State of Chhattisgarh).

The said capitalization is claimed Proviso 28.1(a) of the Regulations, 2020 which provides for compliance of “directions given by Statutory authorities”.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs. 0.04 Crore towards Switch yard under Regulation 28.1 (a) which provides for “Liabilities to meet award

of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law". The petitioner has mentioned that the aforesaid capitalization is made towards compliance of IEGC and MPEGC and also in compliance to directions of SLDC, Islanding scheme with control and relay panels. The IEGC/MPEGC, 2019 Part-IV "Protection Code" specifies minimum protection requirements for any equipment connected to the State Transmission System to minimize disruption due to faults. Considering above, the said expenditure of Rs. 0.04 Crore towards switch yard (which is beyond original scope of work) is allowed under Regulation 28.1 (a) in this Order.

vi. Furniture and Fixtures, Office Equipments and Computers: -

Petitioner's Submission:

Furniture and Fixtures:-

The capitalization claimed under Account Code 10.800 is towards procurement of office furniture, vide order No. 574 dated 19.05.2023 and Journal Voucher No. 680595 dated 31.03.2024 amounting to Rs 0.01 Crore.

*Aforesaid Capitalization is claimed under proviso 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of such asset or equipment where the useful life is not commensurate with the useful life of the project. **The Survey Reporting/ Write-off of old furniture at ATPS, Chachai is in process.***

Other Office Equipment's:-

*The capitalization claimed under Account Code 10.904 is towards Procurement of 8 Nos. Split Air Conditioner and stabilizer along with installation of equipment's vide order No. 33 dated 11.04.2023 amounting to Rs.0.05 Crore. Aforesaid Capitalization is claimed under proviso 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of such asset or equipment where the useful life is not commensurate with the useful life of the project. **The Survey Reporting/ Write-off of old AC at ATPS, Chachai is in process.***

Computers

The capitalization claimed under Account Code 10.905 total amounting to Rs. 0.07 Crore is:

- (i) Supply of 01 No. Desktop Computer & 01 No. Laser jet scanner cum Printer, vide order No. 3569 dated 05.01.2023 & Voucher No. 680595, amounting to Rs. 0.01 Crore and Supply of 02 Nos. Desktop Computer, 02 No. Laser jet scanner cum Printer & 02 Nos. UPS, vide order No. 1161 dated 11.07.2023 & Voucher No. 680595, amounting to Rs 0.02 Crore.*
- (ii) Supply of 3 Nos. Printer and 04 Nos. UPS, amounting to Rs 0.007 Crore, vide Voucher No. 680599 & order No. 2914 dated 05.12.2023.*

(iii) Supply of 01 No. Laptop Computer, vide order No. 2915 dated 05.12.2023, amounting to Rs 0.01 Crore.

(iv) Supply of 04 No. Laptop Computer, vide order No. GEMC-511687708275347 dated 09.10.2023 & Voucher No. 286105, amounting to Rs 0.029 Crore.

*Aforesaid Capitalization is claimed under proviso 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of such asset or equipment where the useful life is not commensurate with the useful life of the project. **The Survey Reporting/ Write-off of old Desk Top Computers, Laptops, Laser Printers, Type writers, Computer accessories at ATPS, Chachai is annexed.***

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs. 0.01 Crore towards Furniture & Fixtures, Rs. 0.05 Crore towards office equipments & Rs. 0.07 Crore towards Computers under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (a) of the Regulations, 2020 as the petitioner has not shown the adjustments of such assets in the gross fixed assets and the cumulative depreciation and has submitted that Survey Reporting/Write-off of old furniture and old AC at ATPS, Chachai is in process, hence, not covered under Regulations, 2020. Further, the Commission is of the view that the additional expenditure incurred by the petitioner towards furniture & fixtures, office equipments are in the nature of Operation & Maintenance Expenses. Hence, expenditure towards Furniture & Fixtures and office equipments is not allowed in this Order.

Further, with regard to computers, although the capitalization has been made against the write-off of old assets and necessary adjustments have been made in the Assets cum-Depreciation Register, but the Commission is of the view that these minor expenses towards i.e. computers are in the nature of O&M expenses, hence, such expenditure is not allowed in this Order.

49. In view of the above, total additional capital expenditure of Rs. 0.11 Crore is allowed in ATPS PH-3 during FY 2023-24 in accordance to the provisions under the Regulations, 2020. The break-up of assets addition allowed in this Order within original scope of work and beyond original scope of work separately, are as follows:

Table 15: Additional Capitalization allowed by the Commission in ATPS PH-3
(Rs. in Crore)

A/c Code	Description	Amount	Assets within original scope of work	Assets beyond original scope of work
10.322	Drainage And Sewerage Residential Colony	0.01	-	0.01
10.52	Instrumentation And Control	0.06	-	0.06
10.523	Switch Yard	0.04	-	0.04
Total		0.11		0.11

50. The petitioner submitted that the entire additional capitalization in ATPS PH-3 has been funded through equity/internal resources. As per the Regulations, 2020, if the equity actually deployed is more than 30% of the additional capitalization claimed by the petitioner, equity in excess of 30% shall be treated as normative loan. Accordingly, the Commission has considered normative debt equity ratio as per the Regulations, 2020 in this Order.
51. The details of additional capitalization and corresponding funding allowed in this Order in ATPS PH-3 are as given below:

Table 16: Additional capitalization allowed in ATPS PH-3
(Rs. in Crore)

Particulars	Additions During FY 2023-24
Assets Additions	0.11
Loan Additions	0.08
Equity Addition for assets within Original Scope of Work	0.00
Equity Addition for assets beyond Original Scope of Work	0.03

b) STPS Sarni PH-2&3

52. The petitioner submitted that MPPGCL has opted Special Allowance for STPS PH-2&3. Accordingly, MPPGCL is not claiming any additional capitalization on these Units of STPS, Sarni from FY 2011-12 onwards.

53. The Commission has observed that units of STPS PH 2&3 completed its useful life and the petitioner has already opted the special allowance for STPS PH- 2&3 in accordance with the provisions under the applicable MPERC Regulations. Therefore, it is not entitled to claim any additional capitalization in term of the Regulation 30 of the Regulations, 2020 for the FY 2023-24.

c) STPS Sarni PH-4:

54. Satpura Thermal Power Station Extension (STPS) Unit No. 10 & 11 (250 MW each) achieved CoD on 18.08.2013 and 16.03.2014, respectively and the cut-off date of the project was 31.03.2017. The Commission vide order dated 07th January, 2016 determined the final tariff of STPS, Sarni PH-4 on the basis of Annual Audited Accounts.
55. In the subject true-up petition, the petitioner claimed additional capitalization of Rs.13.14 Crore in STPS PH-4 during FY 2023-24. The petitioner submitted that the additional capitalization of Rs 13.14 Crore has been capitalized in Annual Audited Accounts for FY 2023-24 and recorded in Asset-cum-Depreciation Register. The details of asset under the additional capitalization in STPS PH-4 and relevant Regulations as filed by the petitioner are as given below:

Table 17: Additional Capitalization claimed in STPS PH-4 (Rs. in Crore)

Sr No.	A/c Code	Description	Amount	Relevant Regulation of the Regulation 2020
I	10.102	Land held under lease-ARO	0.77	28.1(b)
li	10.401	Pucca roads-With RCC	2.87	28.1(b)
lii	10.501	Boiler Plant and equipments	0.65	27.2(a)
Iv	10.507	Ash handling plant	0.58	28.1(b) & 27.2(a)
V	10.520	Instrumentation and Control	0.47	28.1 (b)
Vi	10.523	Switch Yard	0.19	27.2(a)
Vii	10.543	Other transmission plant, transformer kiosks, sub-station equipment and other fixed apparatus	0.41	28.1(b)
Viii	10.551	Material handling equipments-Earth-movers, Bulldozers	3.34	27.2(a)
Ix	10.588	Chemical Lab Equipment	0.10	28.1(d) & 28.1(d)
X	10.800	Furniture And Fixtures	0.01	27.2(a)
Xi	10.904	Other office Equipments	0.04	27.2(a), 28.1(a), 28.1(a), 27.2(a), 27.2(a) & 27.2(a)
Xii	10.905	Computers	0.02	27.2(a)
Xiii	11.603	Capital Over Haul Turbine & Generator	3.69	27.2(a)& 28.1(b)
		Total	13.14	

56. On perusal of the aforesaid details and documents filed by the petitioner, it is observed that the generating Unit No. 11 of STPS PH-4 achieved CoD on 16.03.2014, hence, the Cut-off date of the project in terms of proviso 4.1 (I) of MPERC (Terms and Conditions for Determination of Generation Tariff) Regulations, 2015 was 31.03.2017. Therefore, this power station is considered as existing project in terms of Regulation 3.1(20) of the Regulations, 2020. The additional capitalization claimed in STPS PH-4 is after the cut-off date of the project. Therefore, aforesaid additional capitalization needs to be examined in light of the Regulation 27 of the Regulations, 2020. It is also observed that the petitioner has claimed some of the assets under additional capitalization beyond the original scope of work of project, hence, the said additional capitalization needs to be examined in light of the Regulation 28.1 of the Regulations, 2020.
57. Vide Commission's letter dated 31st December, 2024 the petitioner was asked to file certain details/ documents regarding the aforesaid additional capitalization claimed in STPS PH-4. By affidavit dated 15th February, 2025, the petitioner submitted such details.
58. The additional capitalization claimed by the petitioner in STPS PH-4 has been analysed under different heads of assets separately as given below:

i. **Land held under lease**

Petitioner's Submission

The Capitalization under Account Code 10.102/106 amounting to Rs 0.77 Crore is towards Land held under lease & cost of Tree plantation vide Journal Voucher No. 680228 dated 31.03.2024.

As per INDAS-16, an Asset Retirement Obligation is a legal or contractual obligation to dismantle and remove an asset and to restore the site in which it is located on retirement of a tangible asset. The company estimates its obligation for assets retirement based on technical assessment and timing of future expenditure for required work considering the inflation & discounting factor.

Therefore, as per statutory requirement of INDAS-16, MPPGCL has recognized the amount of Asset Retirement Obligation and capitalized the same in the Books of Accounts for FY 2023-24.

The aforesaid Capitalization is claimed as per proviso 28.1 (b) of MPERC Regulations 2020, which provides for additional capitalization on account of change in law or compliance of any existing law.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.77 Crore towards land held under lease under Regulation 28.1 (b) of the Regulations, 2020 which

provides for additional capital expenditure beyond original scope of work on account of change in law or compliance of any existing law. It is observed that the aforesaid additional capitalization is only book entry with respect to future Asset Retirement Obligation in accordance to IND-AS, whereas Commission determined tariff under GAAP (Generally Accepted Accounting Principles). Therefore, the aforesaid additional capitalization is not covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, expenditure towards land held under lease is not allowed in this Order.

**ii. Pucca Roads:-
Petitioner's Submission**

The Ministry of Environment, Forest and Climate Change on 31.12.2021 has issued Notification on Ash Utilization from Coal or Lignite Thermal Power Stations (Change in Law), wherein every Coal or lignite based thermal Power plant is primarily responsible to ensure 100% utilization of Ash generated by it in an eco-friendly manner. The earlier notification dated 25.01.2016 at Para 2(b) (9) had categorically mentioned that every coal or lignite based thermal power plant shall install dedicated dry ash silos having separate access road so as to ease delivery of fly ash.

In compliance to the above, an order was placed on M/s Annapurna Traders for RCC road construction, box culvert and road side drains in front of Silos (HCSD Pump house) in order to facilitate movement of incoming and outgoing ash lifting vehicles at STPS, Sarni vide order No. 942 dated 20.02.2017 amounting to Rs. 0.96 Crore. Another Order was placed M/s Annapurna Traders for construction of RCC Road at chainage (-)200m to chainage 1900m of HCSD extended bund for providing proper approach to Ash lifting vehicle, vide order No. 101 dated 01.05.2023, amounting to 1.91 Crore.

The total additional Capitalization has been booked under Account Code 10.401, amounting to Rs 2.87 Crore, for Pucca Road construction in front of Ash Silo. The said capitalization is being claimed as per Proviso 28.1(b) of MPERC Regulations, 2020 which provides for "Change in law or compliance of any existing law".

Commission's Analysis:

The petitioner has claimed capitalization of Rs 2.87 Crore towards RCC road construction, box culvert and road side drains in front of Silos (HCSD Pump house) in order to facilitate movement of incoming and outgoing ash lifting vehicles at STPS, Sarni. Aforesaid additional capitalization is claimed under Regulation 28.1 (b) of the Regulations, 2020, which provides for additional capital expenditure beyond original scope of work on account of Change in law or

compliance of any existing law. Since, the aforesaid capitalization is related to ash ponds works to facilitate smooth Ash handling and transportation to ensure 100% ash utilization as mandated by MoEFCC, these expenses has been done towards compliance of MoEF&CC notification towards Ash Utilization, hence, additional capitalization of Rs 2.87 Crore towards Pucca Roads is allowed in this Order under Regulation 28.1 (b) of the Regulations, 2020.

iii. **Boiler Plant & Equipments:-**

Petitioner's Submission

The capitalization claimed under Account Code 10.501 is procurement of 01 No. BHEL Make 6.6KV, 450KW Coal Mill Motor for unit No. 10 & 11 at STPS, Sarni. vide order No. 175 dated 09.05.2023, amounting to Rs. 0.65 Crore.

*Aforesaid Capitalization is claimed under proviso 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of such asset or equipment where the useful life is not commensurate with the useful life of the project. **The Survey report / write-off of old Mill motor is in process.***

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.65 Crore towards replacement of old Mill motor under Regulation 27.2 (a) of the Regulations, 2020 which provides that the additional capitalization towards replacement of such asset or equipment where the useful life is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regards to write-off of old Mill motor, the petitioner has mentioned that the write-off of old Mill motor is in process of write-off. Hence, expenditure towards Mill motor is not allowed in this Order at this stage under Regulation 27.2 (a) of the Regulation, 2020. The petitioner is at liberty to approach the Commission as and when, the old mill motor gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

iv. **Ash Handling Plant:-**

Petitioner's Submission

The additional Capitalization claimed under Account Code 10.507 is towards:

- a. Supply, Erection, Testing and Commissioning of 2 Nos. 100 Tons capacity pit less foundation less surface mounted Electronic Weigh Bridge with steel*

ramps and table below Ash silo of PH-4 at STPS, Sarni amounting to Rs 0.38 Crore vide order No. 2331 dated 31.03.2022.

At STPS PH-4, Sarni 2 Nos. of Silo are installed in Fly Ash system of Ash handling plant as storage tank of dry fly ash. Each silo having capacity around 1200 CuM. The Fly Ash collected in silos is being provided to fly ash users, like Cement & Bricks manufactures, etc. The quantity of fly ash being disposed off is required to be accurately weighed (in MT) to avoid overloading problems and for compliance of MoEF guidelines.

The Ministry of Environment, Forest and Climate Change on 31.12.2021 has issued Notification on Ash Utilization from Coal or Lignite Thermal Power Stations (Change in Law), wherein every Coal or lignite based thermal Power plants is primarily responsible to ensure **100% utilization of Ash generated by it in an eco-friendly manner.**

The said capitalizations are being claimed as per Proviso 28.1(b) of MPERC Regulations, 2020 which provides for "Change in law or compliance of any existing law".

- b. 1 No. LCD Display screen HMI is being used to operate High Concentration Ash Slurry Discharge (HCSD) pump amounting Rs. 0.20 Crore, vide order No. 195 dated 12.05.2023. In compliance to directives of MP Pollution Control Board as detailed in Consent Order to operate vide No. 117996 dated 20.04.2023 requires close monitoring of Un-utilized Ash disposal in the form of High Concentration Ash Slurry Disposal (HCSD) through pumps, round the clock for avoiding any spillage / overflow of ash slurry. **The survey reporting of old LCD Screen of HMI is in process.**

Aforesaid Capitalization is claimed under proviso 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of such asset or equipment where the useful life is not commensurate with the useful life of the project. The Survey report / write-off of is in process.

Commission's Analysis:

- a) The petitioner has claimed capitalization of Rs 0.38 Crore towards Supply, Erection, Testing and Commissioning of pit less foundation less surface mounted Electronic Weigh Bridge with steel ramps and table below Ash Silos. Aforesaid additional capitalization is claimed under Regulation 28.1 (b) of the Regulations, 2020, which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. Since, the aforesaid capitalization is related to ash handling plant works to ensure 100% utilization of Ash generated in an eco-friendly manner and has

been done towards compliance of MoEF&CC notification towards Ash Utilization, hence, additional capitalization of Rs 0.38 Crore towards Ash Handling System is allowed in this Order under Regulation 28.1 (b) of the Regulations, 2020.

- b) Further, petitioner has claimed additional capitalization of Rs 0.20 Crore towards Display screen HMI which is being used to operate High Concentration Ash Slurry Discharge (HCSD) pump under Regulation 27.2 (a) of the Regulations, 2020 which provides that the additional capitalization towards replacement of such asset or equipment where the useful life is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

With regards to write-off of old LCD Screen of HMI, the petitioner mentioned that write-off of the old LCD Screen of HMI is under process. Hence, the expenditure towards Display LCD Screen of HMI is not allowed in this Order at this stage under Regulation 27.2 (a) of the Regulations, 2020. The petitioner is at liberty to approach the Commission as and when, the old LCD Screen of HMI gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

v. Instrumentation and Controls: -

Petitioner's Submission

STPS, Sarni is interface point for Inter-State Transmission Lines. The Capitalization claimed under Account Code 10.520 amounting to Rs. 0.47 Crore is for procurement of Secure make ABT compliant Energy Meters of 0.2S accuracy class and GPRS/ GPS Modem along with cable Antenna & M-cubed software for switch yard at STPS, Sarni, vide order no. 1220 dated 22.12.2022, placed on M/s Narmada Sales, Indore.

These Energy Meters have been procured for compliance of directives of MP SLDC for State Energy Accounting and CEA (Installation and Operation of Meters) Regulations, 2006 read with subsequent amendments and technical Specification (TS) of Interface Energy Meters, Automatic Meter Reading System and Meter Data Processing System (vide CEA-GO-15-24/6/ 2020-NPC Division/297-309 dated 06.07.2022), which clearly specify the accuracy class of meters, AMR system and Data processing system.

The abovementioned capitalization is made towards compliance of directives of

MP-SLDC and CEA, therefore, aforesaid capitalization is claimed under proviso 28.1(b) of MPERC Regulations 2020, which provides for “change in law or compliance of any existing law”.

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 0.47 Crore towards Procurement of ABT compliant Energy Meters and GPRS/ GPS Modem along with cable Antenna & M-cubed software for switch yard under Regulation 28.1 (b) of Regulations, 2020, which provides additional capital expenditure beyond original scope of work on account of change in law or compliance of any existing law. The petitioner stated that aforesaid expenditure was made towards compliance of MP SLDC instructions for State Energy Accounting and CEA (Installation and Operation of Meters) Regulations, 2006, therefore, the same is covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, this expenditure of Rs 0.47 Crore towards Procurement of meters and modem is allowed under Regulation 28.1 (b) in this Order.

vi. Switch yard:-

Petitioner’s Submission

The Capitalization claimed under Account Code 10.523, amounting to Rs. 0.19 Crore is towards procurement of BHEL Make 6.6 KV HT Vacuum Circuit Breaker for Unit No. 10 & 11 of PH-4 at STPS, Sarni, vide order No. 964 dated 21.10.2022.

There are approx. 150 Nos. of 6.6KV 1250A, 2000A & 2500A M/s BHEL make Vacuum Circuit Breaker (VCBs) installed in BTG area of Unit No. 10 & 11 of PH-4, STPS, Sarni for motor feeder, incomer, outgoing feeder, tie & transformer feeder. These are installed since 2012-2013 and have completed more than 10 years of life. Due to continuous operation & switching on /off their contact and mechanism have deteriorated. Outage of any of the breaker will be result in forced outage. No spare Vacuum Circuit Breaker of rating 1250A, 2000A & 2500A is available at STPS PH-4, Sarni. To reduce breaker breakdown time, it is essential to purchase one No. breaker each of the above mentioned ratings.

*Aforesaid Capitalization is claimed under proviso 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of such asset or equipment where the useful life is not commensurate with the useful life of the project. **The Survey report / write-off of old Vacuum Circuit Breakers is in process.***

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 0.19 Crore towards procurement of Vacuum Circuit Breaker under Regulation 27.2 (a) of the

Regulations, 2020 which provides that the additional capitalization towards replacement of such asset or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”.

With regards to write-off of old Vacuum Circuit Breakers, the petitioner mentioned that the write-off of old Vacuum Circuit Breakers is under process. Hence, expenditure towards vacuum circuit breaker is not allowed in this Order at this stage under Regulation 27.2 (a) of the Regulations, 2020. The petitioner is at liberty to approach the Commission as and when, the old Vacuum circuit breakers gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

vii. Other transmission plant, transformer kiosks, sub-station equipment and other fixed apparatus:-

The additional capitalization claimed under Account Code 10.543, amounting to Rs. 0.41 Crore is towards Procurement of 01 No. transformer oil storage tank as per IS:803, Horizontal type capacity 30 KL Mobile Type and 01 No. Transformer Oil Filter machine capacity 12 kLPH as per IS:6034 (including commissioning charges) from M/s Krishna Engineering Company, Bhopal, vide order No. 930 dated 14.10.2022.

The Environment (Protection) Act, 1986 read with Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016 mandates that no person carrying on any industry, operation or process shall discharge or emit or be permitted to discharge or emit pollutants. Further, no person shall handle or cause to be handled any hazardous substance except in accordance with such procedure and after complying with such safeguards as may be prescribed. In compliance to the above, MPPGCL has procured one number High Vacuum Transformer Oil Filtering machine and evacuation system confirming to IS 6034. This Transformer Oil Filtering machine shall be utilized at PH-4, STPS Sarni for filtering and recycling Generator Transformer Oil, Station Transformer Oils and other transformers oils, thus avoiding discard of used Oil (Hazardous material).

The above-mentioned capitalization is made towards compliance of directives of The Environment (Protection) Act, 1986 and MoEF&CC Rules, therefore aforesaid capitalization is claimed under proviso 28.1(b) of MPERC Regulation 2020, which provides for “change in law or compliance of any existing law”.

Commission's Analysis:

The petitioner has claimed Rs 0.41 Crore under additional capitalization towards procurement of transformer oil storage tank and filter machine under Regulation 28.1 (b) of Regulations, 2020, which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The petitioner stated that aforesaid item shall be utilised for filtering and recycling generator transformer oil, station transformer oils and other transformer oils, thus avoiding discard of used oil (Hazardous material). Since, this capitalization is made towards compliance of directives of the Environment (Protection) Act, 1986 read with Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016, therefore, the same is covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, this expenditure of Rs 0.41 Crore towards works related to transmission plant, transformers, sub-station equipment and other items is allowed in this Order.

viii. Material handling equipments-Earth-movers, Bulldozers**Petitioner's submission**

The Capitalization claimed under Account Code 10.551 amounting to Rs. 3.34 Crore towards procurement of BEML Make complete Bulldozer Assembly Model BD-355 powered by standard BEML BS6D170-1,4 stroke, water cooled, turbocharged, direct injection diesel engine developing 416 FHP@ 2000 RPM, joystick control for work attachment, semi-U dozer blade, fitted with ROPS cabin as per the standard specification along with standard tools and initial spares for 2000 Hrs operation for CHP of PH-4 at STPS, Sarni, vide order No. 1663 dated 21.03.2023.

*In previous 5 years, 03 No. Bulldozers were Written-off after completion of useful life & getting satisfactory service. Against these Write-offs, 01 No. Bulldozer as replacement has been procured from M/s BEML for CHP of STPS, Sarni for trouble free coal feeding from coal yard to power house by dozing of coal into ground hoppers. **The old Bulldozers write off report/ order dated 15.09.2021 & 13.09.2018 are annexed.***

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 3.34 Crore towards procurement of BEML Make Bulldozer and equipments under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not

commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above Provision under the Regulations, the petitioner has informed that the Bulldozer has already been decapitalized/written off against aforesaid capitalization, which is considered under asset deduction. Hence, the said expenditure of Rs 3.34 Crore claimed by the petitioner falls under the aforesaid provision mentioned in the Regulation 27.2 (a) of the Regulations, 2020 as the petitioner has demonstrated necessary adjustments in the gross fixed assets and the cumulative depreciation in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, this expenditure towards material handling equipments- Bulldozers, Earth Movers is allowed under Regulation 27.2 (a) in this Order.

ix. Chemical Lab Equipment :-

Petitioner's Submission

The Capitalization claimed under Account Code 10.588 amounting to Rs. 0.10 Crore is towards:

- a) *Procurement of 01 No. Portable Hydrogen purity analyzer for Chemical Lab (2x250 MW), at STPS, Sarni vide Order No. 1457 dated 06.02.2023, amounting to Rs. 0.054 Crore. The Hydrogen analyzer consists of thermal conductivity detector, Amplifier board read out range switch, gas flow regulator valve, pump and flow indicator.*

Hydrogen analyzer is the necessary equipment of Chemical laboratories for determination / analysis of Hydrogen % present in 250MW Generator casing (pressurized system).

The aforesaid capitalization is claimed under regulation 28.1(d) of MPERC Regulations 2020, which provides for admittance of any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities.

- b) *Procurement of Trace O₂ Analyzer for Hydrogen Plant at PH-4 of STPS, Sarni vide order No. 489 dated 14.07.2022 amounting to Rs. 0.05 Crore from M/s Vortex India, Surat.*

Hydrogen Generation Plant is very critical as H₂ gas is explosive gas if the ratio of H₂ & O₂ gas reaches in explosive zone. Therefore, it is essential to monitor O₂ to H₂ ratio continuously & ensure protection to safeguard of plant, machinery and manpower. Hence it was essential to install additional Trace O₂ analyzer for safe operation of Hydrogen Generation Plant.

The aforesaid capitalization is claimed under regulation 28.1(d) of MPERC Regulations 2020, which provides for admittance of any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities.

Commission's Analysis:

The petitioner has claimed capitalization of Rs. 0.10 Crore towards Chemical lab Equipments, the said expenditure claimed by the petitioner under Regulation 28.1 (d) of the Regulations, 2020 which provides for any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security. On perusal of the details and documents filed by the petitioner, it is observed that Hydrogen analyzer is the necessary equipment of Chemical laboratories for determination / analysis of Hydrogen % present in 250 MW Generator casing (pressurized system). Also, Hydrogen Generation Plant is very critical as H₂ gas is explosive gas if the ratio of H₂ & O₂ gas reaches in explosive zone. Therefore, it is essential to monitor O₂ to H₂ ratio continuously & ensure protection to safeguard of plant, machinery and manpower. Considering the above, the same is covered under the Regulation 28.1 (d) of the Regulations, 2020. Hence, the said expenditure of Rs 0.10 Crore towards such assets is allowed in this Order.

Furniture & Fixtures, Office Equipments and Computers

Petitioner's Submission

x. Furniture & Fixtures:-

*The additional capitalization claimed under Account Code 10.800, amounting to Rs. 0.01 Crore is towards procurement of 6 Nos. Dining Tables & 32 Nos. Dining Chairs at Officers club STPS, Sarni as replacement of old assets vide voucher No. 685501 & order No. 633 dated 22.08.2023, amounting to Rs. 0.009 Crore and procurement of 2 Nos. Dining Tables for officers club vide Ext. Order No. 1132 dated 15.01.2024 and voucher No. 685501 amounting to Rs. 0.001 Crore. **The old replaced assets are being written-off shortly.***

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of asset when the useful life of the assets is not commensurate with the useful life of the project.

xi. Other office Equipments: -

The Capitalization claimed under Account Code 10.904 amounting to Rs. 0.04 Crore is towards:

- a) *Procurement of 02 Nos. office HP Multi-Function Machine (Digital copier), Model HP Laser Jet MFP M438nda with 1 year warranty, at STPS, Sarni order placed through GeM contract No. GEMC- 511687728038759 dated 16.02.2024 and distributed vide order No. 1259 dated 16.02.2024 amounting to Rs. 0.01 Crore. The old replaced assets were written-off vide order dated 06.10.2021.*

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of asset when the useful life of the assets is not commensurate with the useful life of the project.

- b) *Work order for supply, installation and commissioning of CCTV (Surveillance system) at various locations of primary coal yard of CHP at STPS, Sarni including installation, vide order No. 2244 dated 24.02.2023, amounting to Rs. 0.014 Crore.*

MP Pollution Control Board as detailed in Consent Order to operate vide No. 117996 dated 20.04.2023 has directed to monitor Sector Specific Air Condition at Power Station by installing and regularly operating Outdoor HD Industrial Grade IP Cameras with PTZ features, etc., with temper proof mechanism at suitable locations to display all emission sources / stack, Coal Yards, Coal conveyors / Crushers and effluent discharge points and is to be connected with Environment Surveillance Centre, MP Pollution Control Board, Bhopal and to ensure its uninterrupted connectivity for remote surveillance. Further, Coal mill rejects quantity is stored at primary coal yard in CHP premises and is disposed-off through E-auction. To monitor and record every lifting of coal mill reject digital CCTV cameras are installed. Therefore, it was essential to install 05 Nos. cameras, including full surveillance system. Cameras, at primary yard for proper monitoring, surveillance and to keep close watch on every movement of trucks for coal reject transportation/ lifting.

The aforesaid capitalization is claimed under regulation 28.1(a) of MPERC Regulations 2020, which provides for admittance of any capital expenditure to be incurred on compliance to directions of any statutory authority.

- c) *Procurement of 03 Nos. Bullet WiFi Cameras including installation & commissioning at various location of primary coal yard of CHP at STPS, Sarni vide Temporary Advance U.O. Note No. 1112 dated 16.06.2023 amounting to Rs. 0.002 Crore.*

Bullet WiFi cameras were procured for installation nearby Road Weigh Bridge for more monitoring by MP Pollution control Board as detailed in Consent Order to operate vide No. 117996 dated 20.04.2023, vigilance & security purpose in Coal Handling Plant area of PH-4 at STPS, Sarni.

The aforesaid capitalization is claimed under regulation 28.1 (a) read with 28.1(d) of MPERC Regulations 2020, which provides for admittance of any capital expenditure to be incurred on account of compliance to directions of any statutory authority and need for higher security & safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities.

- d) Supply and installation of 06 Nos. heavy duty Exhaust fans, single phase & 10 Nos. wall mounted fans at officer's club of STPS, Sarni vide order No. 634 dated 22.08.2023, amounting to Rs. 0.008 Crore. **The old replaced assets are written-off shortly.**

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of asset when the useful life of the assets is not commensurate with the useful life of the project.

- e) Procurement of 01 No. Water Cooler for W.T. Plant & Chemical Lab of 2x250MW, STPS, Sarni vide order No. 1661 dated 21.03.2023, amounting to Rs. 0.006 Crore. The old assets have been written-off.

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of asset when the useful life of the assets is not commensurate with the useful life of the project.

- f) Purchase order for supply 02 Nos. Laser jet Printers for O/o chief chemist at STPS, Sarni, vide order No. 717 dated 14.09.2023 amounting to Rs. 0.004 Crore. **These purchases have been made as replacement against write-off of old printers.**

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of asset when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

- a) The petitioner has claimed additional capitalization of Rs 0.01 Crore towards HP Multi-Function Machine under Regulation 27.2 (a) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case

of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (a) of the Regulations, 2020 as the petitioner has not shown the adjustments of such assets in the gross fixed assets and the cumulative depreciation, hence, not covered under Regulations, 2020.

- b) The petitioner has claimed additional capitalization of Rs 0.014 Crore towards commissioning of CCTV Cameras under Regulation 28.1 (a) of Regulations, 2020, which provides additional capital expenditure beyond original scope of work on account of Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law. The petitioner has mentioned that the aforesaid capitalization is made towards compliance of MP Pollution Control Board as detailed in Consent Order who has directed to monitor Sector Specific Air Condition at Power Station by installing and regularly operating Outdoor HD Industrial Grade IP Cameras with PTZ features, etc., with temper proof mechanism at suitable locations to display all emission sources / stack, Coal Yards, Coal conveyors / Crushers and effluent discharge points and to ensure its uninterrupted connectivity for remote surveillance. Therefore, the said expenditure of Rs 0.014 Crore claimed by the petitioner towards cctv cameras is allowed in this Order under Regulation 28.1 (a) of the Regulations, 2020.
- c) The petitioner has claimed additional capitalization of Rs 0.002 Crore towards Bullet Wifi Cameras under Regulation 28.1 (a) which provides for “Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law read with Regulation 28.1(d) of the Regulations, 2020, which provides any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security”. The petitioner informed that the aforesaid capitalization were procured and installation was done nearby Road Weigh Bridge for more monitoring for vigilance & security purpose in Coal Handling Plant area of Ph-4 Sarni towards the compliance order by MP Pollution control Board as detailed in Consent Order. Considering above, the expenditure of Rs.

0.002 Crore has been allowed under Regulation 28.1 (a) and 28.1(d) of the Regulations, 2020.

- d) The petitioner has claimed additional capitalization of Rs 0.008 Crore towards Exhaust Fans under Regulation 27.2 (a) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (a) of the Regulations, 2020 as the petitioner has not shown the adjustments of such assets in the gross fixed assets and the cumulative depreciation, hence, not covered under Regulations, 2020 and is not allowed in this Order.

- e) The petitioner has claimed additional capitalization of Rs 0.006 Crore towards water Cooler and Rs 0.004 Crore towards printers under Regulation 27.2 (a) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

With regard to water coolers and printers, although the capitalization has been made against the write-off of old assets and necessary adjustments have been made in the Assets cum-Depreciation Register, but the Commission is of the view that these minor expenses towards water coolers and printers are in the nature of O&M expenses, hence, such expenditure of Rs 0.006 Crore and Rs 0.004 Crore is not allowed in this Order.

xii. Computers: -

The Capitalization claimed under Account Code 10.905 amounting to Rs. 0.02 Crore is towards purchase order of 02 Nos. all in one computer configuration, with

MS office genuine license for O/o chief chemist at STPS, Sarni vide order No. 717 dated 14.09.2023. These purchases have been made as replacement against write-off of old computers.

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of asset when the useful life of the assets is not commensurate with the useful life of the project

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.01 Crore towards Furniture and Fixtures, Rs. 0.04 Crore towards other office equipments and Rs 0.02 Crore towards Computers under Regulation 27.2 (a) and Regulation 28.1 (a) of the Regulations, 2020.

The petitioner has claimed additional capitalization towards Computers under Regulation 27.2 (a) which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regard to computers, although the capitalization has been made against the write-off of old assets and necessary adjustments have been made in the Assets cum-Depreciation Register, but the Commission is of the view that these minor expenses towards computers are in the nature of O&M expenses, hence, such expenditure towards computers is not allowed in this order.

xiii. Capital Over Hauling (COH):-

Petitioner's Submission

The Statutory compliance of Indian Accounting Standards (INDAS) is mandatory on MPPGCL. Based on said standards, the Expenditure on Major inspection/capital Overhaul- Boiler/ Turbine was capitalized in the Audited books of Accounts of MPPGCL in FY 2023-24 at STPS, Sarni under Account Code 11.603 amounting to Rs 03.69 Crore is towards:

- a) Work order for overhauling of LP Turbine, bearing inspection and associated works, overhauling of Generator & Excitation and overhauling of IP Turbine during CoH of Unit No. 11 at STPS PH-4, Sarni, amounting to Rs 1.69 Crore. The copies of orders placed on M/s G.E. Powers India Ltd. Bhopal vide order No. 775 dated 18.07.2023 are annexed.*

b) Work of Capital overhauling of Rotary Breakers of CHP at STPS PH-4, Sarni order placed on M/s Black Diamond Equipment Pvt. Ltd., Korba (C.G.) vide order No. 1545 dated 07.11.2022. The schedule of the Order as detailed below:

- i) Complete Repairing and refitting of 04 Nos. tyres of 12'-00" dia X 27'-00" long rotary breaker as per GA drawing is amounting to Rs 0.41 Crore.
- ii) Replacement & repairing of 02 Nos. set containing 08 Nos. Trunnion wheels, 04 Nos. Guide wheels, amounting to Rs 0.23 Crore.
- iii) Supervision charges of OEM Services engineer 40 man days for 2 jobs amounting to Rs 0.18 Crore.

In above mentioned works, an amount of Rs. 0.23 Crore has been spent against replacement of Capital Asset by new one. The Write-off of this asset is in progress.

c) Replacement of old engine with new engine of Cummins make in BHEL make 300 HP NTA-855 Shipra Locomotive in CHP at STPS, Sarni, placed on M/s Sudhir Sales & Services Ltd., Bhopal vide order No. 2751 dated 26.09.2022. The order schedule is detailed as below:

- i) Supply Part is 01 No. Engine NTA-855-L400@2100 Locomotive and 2 Nos. Valvoline premium blue 7800 plus 1/55 LTR amounting to Rs 0.30 Crore.
- ii) Supervision charges for removal, fitment and transportation charges amounting to Rs 0.03 Crore.

In above mentioned works, an amount of Rs. 0.30 Crore has been spend against replacement of old Capital Asset by new one. **The Write-off of old asset is in progress.**

d) Work of Capital overhauling of 1800mm wide x 13920mm long Apron Feeders of Wagon Tippler of CHP at STPS PH-4, Sarni, order placed on M/s Black Diamond Equipment Pvt. Ltd., Korba (C.G.), vide order No. 149 dated 28.04.2023 amounting to Rs. 0.85 Crore.

Aforesaid Capitalization towards Capital Overhauling (COH) is claimed as per with Regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of Assets when the useful life of the assets is not commensurate with the useful life of the project read with Regulation 28.1(b) of MPERC Regulations, 2020 which provides for "Additional capitalization on account of Change in law or compliance of any existing law".

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 3.69 Crore towards Capital Overhaul Expenditure under Regulation 27.2 (a) and Regulation 28.1 (b) of the Regulations, 2020. Regulation 27.2 (a) provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not

commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (a) of the Regulations, 2020 as the petitioner has not shown the adjustments of such assets in the gross fixed assets and the cumulative depreciation and mentioned that the write off of old assets is in progress. Further, the petitioner has also not justified/established any adjustments in the gross fixed assets and cumulative depreciation towards replacement of existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts and mentioned that the write-off of old asset is in progress. Hence, expenditure towards Capital Overhauling is not allowed under Regulation 27.2 (a) in this Order at this stage.

The aforesaid additional capitalization of Rs. 3.69 Crore towards Capital Overhaul Expenditure is also claimed under Regulation 28.1 (b) which provides for additional capital expenditure beyond original scope of work on account of change in law or compliance of any existing law. It is observed that the aforesaid additional capitalization towards capital overhaul of equipments is only book entry, due to change in accounting practices under Indian Accounting Standards (IS), whereas, the Commission is determining tariff under GAAP. The said expenditure of Rs. 3.69 Crore claimed by the petitioner also does not fall under Regulation 28.1 (b) of the Regulations, 2020. It is also observed that petitioner is unable to justify aforementioned claim of additional expenditure under the Regulations, 2020. Hence, expenditure towards Capital Overhaul Expenditure is not allowed in this Order.

59. In view of the above, the total additional capital expenditure of Rs. 7.59 Crore is allowed in STPS PH-4 during FY 2023-24 in accordance to the Regulation 27.1 and 28.1 of the Regulations, 2020. The breakup of assets addition allowed in this Order which are within original scope of work and beyond original scope of work are as follows:

Table 18: Additional capitalization allowed in STPS PH-4 (Rs. in Crore)

A/c Code	Description	Amount	Additions within original scope of work	Additions beyond original scope of work
10.401	Pucca roads-With RCC	2.87		2.87
10.507	Ash handling plant	0.38		0.38
10.520	Instrumentation & Controls	0.47		0.47
10.543	Other transmission plant, transformer kiosks, sub-station	0.41		0.41

	equipment and other fixed apparatus			
10.588	Chemical Lab Equipments	0.10		0.10
10.904	Other Office Equipments	0.016		0.016
10.551	Material handling equipments- Earth-movers, Bulldozers	3.34	3.34	
Total		7.59	3.34	4.25

60. In subject petition, the petitioner has submitted that the additional capitalization in STPS PH-4 has been funded through loan component of Rs. 1.92 Crore and equity/internal resources of Rs.11.22 Crore.
61. Since, equity deployed over and above 30% is treated as normative loan as per Regulations, 2020, therefore, the Commission has considered normative debt equity ratio of 70:30 as per Regulations, 2020 in this Order. The details of additional capitalization and corresponding funding allowed in this Order in STPS PH-4 are as given below:

Table 19: Additional capitalization and funding allowed in STPS PH-4

(Rs. in Crore)

Particulars	Additions During FY 2023-24
Assets Additions	7.59
Loan Additions	5.31
Equity Additions for assets within Original Scope of Work	1.00
Equity Additions for assets beyond Original Scope of Work	1.27

d) SGTPS Birsinghpur PH-1&2

62. The petitioner submitted that MPPGCL has opted Special Allowance for SGTPS PH-1&2. Accordingly, MPPGCL is not claiming any additional capitalization on these Units of SGTPS, Birsinghpur.

63. The Commission has observed that units of SGTPS PH 1&2 completed its useful life and the petitioner has opted the special allowance for units of SGTPS PH- 1&2 in accordance with the provisions under the applicable MPERC Regulations, 2020. Therefore, the petitioner is not entitled to claim any additional capitalization in term of the Regulation 30 of the Regulations, 2020.

e) SGTPS PH-3 (1x500 MW)

64. In the subject petition, the petitioner filed the additional capitalization of Rs. 2.72 Crore in SGTPS Ext. Unit No. 5 for FY 2023-24 as per the Annual Audited Accounts. The details of the assets capitalized during FY 2023-24 in SGTPS 500 MW as filed by the petitioner are as given below:

Table 20: Additional capitalization claimed in SGTPS PH-3 (Rs in Crore)

Sr No	A/c Code	Description	Amount	Relevant Regulation of The Regulation 2020
i	10.520	Instrumentation and Control	2.65	27.2(c), 28.1(b), 28.1(b), 27.2(c), 27.2(a&c) & 28.1(b)
ii	10.905	Computers	0.02	27.2(c)
iii	11.300	Capital Spares	0.05	2.5 (i) of MPERC Regulations, 2005
		Total	2.72	

65. SGTPS PH-3 Unit No 5 was declared under commercial operation on 28.08.2008 prior to 01.04.2019, therefore this power station is considered as existing project in terms of Regulation 3.1 (20) of the Regulations, 2020. The additional capitalization filed by the petitioner has been analysed in terms of Regulation 27 of the Regulations, 2020, which provides that “The capital expenditure, in respect of existing generating station incurred or projected to be incurred on the several counts after the cut-off date, may be admitted by the Commission, subject to prudence check”. It is observed that the petitioner has also claimed some of the additional capitalization components beyond the original scope of work, hence, the said additional capitalization needs examination in light of the Regulation 28.1 of the Regulations, 2020.
66. Vide Commission’s letter dated 31st December, 2024, the petitioner was asked to file certain details/ documents regarding aforesaid additional capitalization. By affidavit dated 15th February, 2025, the petitioner submitted such details. The additional capitalization claimed by the petitioner in SGTPS PH-3 has been analysed under different heads of assets separately as given below:-

i. Instrumentation and Controls :-

Petitioner’s Submission

The capitalization claimed under Account Code 10.520 amounting to Rs. 2.65 Crore is towards:

- a) *Order provided to M/s CSS Automation for up-gradation and revival of existing series 90-30 of M/s GE Fanuc make PLC system of Fire hydrant and Spray system of 1x500MW Unit No.5 at SGTPS, Birsinghpur including supply & installation charges vide order No. 2179 dated 20.09.2022, amounting to Rs. 0.614 Crore. The Hardware and software support to old system has been discontinued.*

*The said capitalization is claimed as per Proviso 27.2(c) of MPERC Regulations, 2020 which provides “the replacement of such asset or equipment is necessary on account of obsolescence of technology”. **The survey Report/Write-off the asset being up-graded is in process.***

- b) Order for supply, installation and commissioning of latest CO analyzer (Carbon Mono Oxide analyzer) for measurement of CO in flue gas at Economizer outlet left and right of unit No. 5, 1x500 MW, at SGTPS, Birsinghpur, vide order No. 2580 dated 18.10.2022.

For efficient combustion to occur, the monitoring of O₂% and CO at Economizer outlet, left and right, is one of the most essential requirements. At present, supply of excess air is being controlled by monitoring only O₂% at Economizer outlet, left and right, through air flow auto loop, but it is not sufficient for proper monitoring of combustion. Therefore, procurement of a CO analyzer for an amount of Rs. 0.81 Crore has been done.

The above-mentioned capitalization is made towards compliance of directives of The AIR (PREVENTION & CONTROL OF POLLUTION) ACT, 1981, wherein continuous monitoring of level of pollutants (such as Carbon Mono-Oxide, etc.) is required on 8 hours basis. Therefore, aforesaid capitalization is claimed under proviso 28.1(b) of MPERC Regulations 2020, which provides for “change in law or compliance of any existing law”.

- c) Supply, installation & commissioning of Flow meter & Transmitter at various location like water/ slurry pipe lines of PH-3 at SGTPS, Birsinghpur.
- i. Electromagnetic type Flow transmitter for raw water common discharge line of PH-3 at SGTPS, Birsinghpur, having main Characteristics line size 600 NB or mm, max flow around 2000 to 2500 m³/ hr & pressure 4 kg/cm², vide order No. 1012 dated 15.06.2022, amounting to Rs. 0.043 Crore.
 - ii. Electromagnetic type Flow transmitter for inlet point of clarifier before aerator of PH-3 at SGTPS, Birsinghpur, with main Characteristics of line size 400 NB or mm, max flow around 300 m³/ hr & pressure 4 kg/cm², vide order No. 1012 dated 15.06.2022, amounting to Rs. 0.037 Crore.
 - iii. Electromagnetic type Flow transmitter for Ash slurry make up water line of PH-3 at SGTPS, Birsinghpur, with main Characteristics of line size 400 NB or mm, max flow around 300 m³/ hr & pressure 4 kg/cm², vide order No. 1012 dated 15.06.2022, amounting to Rs. 0.037 Crore.

The aforesaid capitalization is in compliance to the Water (Prevention and Control of Pollution) Act, 1974. It is mandatory to install Water Meter preferably Electromagnetic /Ultrasonic type with digital flow recording facilities and shall be installed separately for category wise consumption of water.

Therefore, aforesaid capitalization is claimed under proviso 28.1(b) of MPERC Regulations 2020, which provides for “change in law or compliance of any existing law”.

- d) Supply, installation & commissioning of latest 2x105 KVA or equivalent UPS system for up-gradation of existing M/s Vertiv Energy (Tata Liebert) IGBT based 2x105 KVA UPS system at Unit No.5 of 500MW, SGTPS, MPPGCL, Birsinghpur as the existing UPS Model has become very old & obsolete and the manufacturer has stopped its production & spare support in 2017.

The UPS system are used to provide 240 VAC, 1-phase supply for Engineer & Operator work stations, Bentley and Shinkawa make vibration monitoring panels, field analyzer like O₂, H₂ Gas and dust analyzers, etc., as well as to provide supply for other field instruments and auxiliaries.

The OEM M/s Vertiv Energy Pvt. Ltd. strongly recommended for up-gradation of existing UPS system with latest version for better services because old system is out of production and it's spares are not available. Minutes of Meeting held between M/s Vertiv Energy and MPPGCL is annexed.

These Assets have been Capitalized in Books under Account Code 10.520 amounting to Rs 0.56 Crore, vide order No. 4740 dated 07.03.2023. **The old replaced assets are being written-off shortly.**

The aforesaid capitalization is claimed as per Proviso 27.2(c) of MPERC Regulations, 2020 which provides for "The replacement of such asset or equipment is necessary on account of obsolescence of technology".

- e) Order for up-gradation of 5/80C PLC System (M/s Rockwell Automation System) installed at 1x500MW, CHP at SGTPS, Birsinghpur including supply & installation charges.

This Asset has been Capitalization in Books under Account Code 10.520 amounting to Rs 0.54 Crore vide order No. 2616 dated 19.10.2022. **The old replaced assets are being written-off shortly.**

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of asset when the useful life of the assets is not commensurate with the useful life of the project read with Proviso 27.2(c) of the Regulations, 2020 which provides for "The replacement of such asset or equipment is necessary on account of obsolescence of technology".

- f) Procurement of Sensor Model Lp202-4R1-1E of Vibration Monitoring System vide order No. 272 dated 11.03.2016 the Amounting towards 0.002 Crore.

The aforesaid capitalization in compliance to the AIR (Prevention and Control of Pollution) Act, 1981. It is mandatory that the industries shall take adequate measures for control of noise level generated from industrial area within the premises at less than 75 dB (A) during day time and 70 dB(A) during night time.

Therefore, aforesaid capitalization is claimed under proviso 28.1(b) of MPERC Regulations 2020, which provides for “change in law or compliance of any existing law”.

Commission’s Analysis:

67. The petitioner has claimed additional capitalization of Rs 2.65 Crore towards Instrumentation and Controls. Aforesaid additional capitalization is claimed under Regulation 27.2(a) & (c) and 28.1 (b) of the Regulations, 2020.

a). The petitioner has claimed additional capitalization of Rs 0.61 Crore towards up-gradation and revival of PLC system of Fire hydrant and Spray system under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check”.

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (c) of the Regulations, 2020 as the petitioner has not shown the replacement of existing assets towards obsolescence of technology. The petitioner has also not justified/established any adjustments in the gross fixed assets and the cumulative depreciation towards replacement of existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts.

With regards to write-off of old assets, the petitioner mentioned that the old assets is in process of write-off. Hence, expenditure towards up-gradation and revival of Fire hydrant and Spray system is not allowed in this Order at this stage under Regulation 27.2(a) of the Regulation, 2020. The petitioner is at liberty to approach the Commission as and when, the old assets gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

b). The petitioner has claimed Rs 0.81 Crore under additional capitalization towards supply, installation and commissioning of a CO₂ analyser under Regulation 28.1 (b) of Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The petitioner has mentioned that this capitalization is made towards compliance of directives of the AIR (Prevention & Control of Pollution) Act, 1981. It is observed that the petitioner has not

specified any specific provision/clause of the AIR (Prevention & Control of Pollution) Act, 1981 under which additional capitalization is claimed. The said expenditure of Rs 0.81 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020 as the petitioner has not demonstrated any change in law event or compliance with existing law in relation to aforesaid AIR Act, 1981. Hence, expenditure towards procurement of a CO₂ analyser is not allowed in this Order.

- c). The petitioner has claimed Rs 0.11 Crore under additional capitalization towards supply, installation & commissioning of different types of Flow meters & Transmitters at various location like water/ slurry pipe lines under Regulation 28.1 (b) of Regulations, 2020, which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The petitioner has mentioned that this capitalization is made towards compliance of directives of the Water (Prevention and Control of Pollution) Act, 1974. It is observed that the petitioner has not mentioned /specified any specific provision/clause of the Water (Prevention and Control of Pollution) Act, 1974 under which additional capitalization is claimed. The said expenditure of Rs 0.11 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020 as the petitioner has not demonstrated any change in law event or compliance with existing law in relation to aforesaid Water (Prevention and Control of Pollution) Act, 1974. Hence, the additional capitalization of Rs 0.11 Crore towards supply, installation & commissioning of Flow meters & Transmitters is not allowed under Regulation 28.1 (b) in this Order.
- d). The petitioner has claimed additional capitalization of Rs 0.56 Crore towards up-gradation of UPS system under Regulation 27.2 (c) of the Regulations, 2020 which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check”.

With regards to write-off of old assets, the petitioner mentioned that the old assets is in process of write-off. Hence, expenditure towards UPS system for up-gradation is not allowed in this Order at this stage under Regulation 27.2 (c) of the Regulation, 2020. The petitioner is at liberty to approach the Commission as and when, the old UPS system gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

- e). The petitioner has claimed additional capitalization of Rs 0.54 Crore towards up-gradation of PLC System under Regulation 27.2 (a) and 27.2 (c) of the Regulations, 2020 which provides that the additional capital expenditure towards the replacement of assets where useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Further Regulation 27.2 (c) provides that the additional capital expenditure towards the replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

With regards to write-off of old replaced assets, the petitioner mentioned that the old assets are being written-off shortly. Hence, expenditure towards up-gradation of PLC System is not allowed in this Order at this stage. The petitioner is at liberty to approach the Commission as and when, the old replaced assets are being written-off shortly in Annual Audited Accounts and Asset-cum-Depreciation register.

- f). The petitioner has claimed additional capitalization of Rs 0.002 Crore towards Procurement of Sensor Model under Regulation 28.1 (b) of Regulations, 2020 which provides additional capitalization beyond original scope of work on account of change in law or compliance of any existing law”. The petitioner has mentioned that this capitalization is made towards compliance of the AIR (Prevention and Control of Pollution) Act, 1981. The said expenditure of Rs 0.002 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020 as the petitioner has not demonstrated any change in law event or compliance with existing law in relation to aforesaid AIR (Prevention and Control of Pollution) Act, 1981. It is also observed that the petitioner has not mentioned any specific provision/clause of the AIR (Prevention and Control of Pollution) Act, 1981 under which additional capitalization is claimed. Hence, the additional capitalization of Rs 0.002 Crore towards Procurement of Sensor Model is not allowed under Regulation 28.1 (b) in this Order.

ii. Computers:-
Petitioner's Submission

1. *Procurement of “01 No. Desktop Computer with UPS and Printer cum scanner with photocopier” for coal sampling office of the S.E. (Services)-II, at SGTPS,*

Birsinghpur, vide order No. 451 dated 06.06.2022, amounting to Rs. 0.0027 Crore has been considered on share basis of Unit No. 5 at SGTPS.

The above capitalization is claimed as per Regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of asset when the useful life of the assets is not commensurate with the useful life of the project.

2. *Procurement of 5 Nos. Dell Desktop Computers with Intel Core i5 12500 8 GB / HDD/ Windows 11 Professional, vide GeM sanction order No. 511687709053789 dated 10.04.2023, out of which 4 Nos. Dell intel Core PCs are used for 1x500MW unit at SGTPS, Birsinghpur. The amount of Rs. 0.0172 Crore has therefore been considered on MW share basis pertaining to Unit No. 5 at SGTPS.*

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of asset when the useful life of the assets is not commensurate with the useful life of the project.

3. *Procurement of 2 Nos. Dell Intel Core i5 15.6 Inch Laptop (Windows 10 Professional), vide GeM sanction order No. 511687709053789 dated 10.04.2023. out of which 1 No. Dell intel Core Laptop is used for Common Services. Therefore, booking of amount of Rs. 0.0023 Crore has been considered on share basis pertaining to Unit No. 5 at SGTPS.*

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of asset when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.02 Crore towards different type of Computers under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capital expenditure towards the replacement of assets where useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (a) of the Regulations, 2020 as the petitioner has not shown the adjustment of such assets

in the Gross Fixed Assets and the cumulative depreciation, hence is not covered under Regulation 27.2 (a) of the Regulation, 2020. Further, the Commission is of the view that the additional expenditure incurred by the petitioner towards computers is in the nature of Operation & Maintenance Expenses. Hence, expenditure towards computers is not allowed in this Order.

iii. **Capital Spares:-**

Petitioner's Submission

Capital spares amounting to Rs. 0.048 Crore pertaining to 2x105KVA UPS system have been purchased vide order No. 4740 dated 07.03.2023 along with the new UPS purchased as replacement to old UPS system and have been booked under Account Code 11.300, and capitalized in FY 2023-24 in the Audited Books of Accounts. The same is considered in the instant True up petition.

The CoD of SGTPS PH-3 (1x500MW), Birsinghpur Unit is 28.08.2008; therefore, this unit is governed by MPERC - Terms and Conditions for determination of Generation Tariff Regulations, 2005 wherein there is no provision of Cut-off Date. The Regulation 2.5 (i) specifies Initial spare upto 2.5% of original capital Cost in case of coal based generating stations.

Commission's Analysis:

Petitioner has claimed capital spares of Rs 0.05 Crore under Regulation 2.5(i) of Regulation, 2005, whereas Commission has dealt with the additional capitalization of capital spares under Regulation 26.1 (iii) of 2020 which provides that "procurement of initial capital spares within the original scope of work upto cut-off date in accordance with the provisions of Regulation 25". Since, the capital spares of Rs. 0.05 Crore are claimed by the petitioner during FY 2023-24 are capitalized after the cut-off date of the project and this amount is not covered under the scope of Regulation 26.1 (iii), hence, not allowed in this Order.

68. In view of the above, the Commission has observed that none of the additional capitalization claimed by the petitioner in SGTPS PH-3, Birsinghpur is covered under the Regulations, 2020.

f) SSTPP Khandwa PH 1:

69. Unit No.1 & 2 (2x600 MW) of SSTPP PH-1 were commissioned on 01.02.2014 and 28.12.2014, respectively, therefore, the cut-off date of the project as per clause 4.1(I) of MPERC Tariff Regulations, 2015 was 31.03.2017. Additional capitalization claimed in this power station is beyond the cut-off date of the project. The Commission vide Order dated 30.12.2017 had determined the final generation Tariff from CoD of Unit No. 1 to 31st March, 2016. The petitioner submitted that the additional capitalization of Rs. 13.81 Crore claimed in the subject petition has been capitalized during FY 2023-24 in SSTPP PH-I and recorded in Audited Books of Accounts.

70. The details of assets capitalized under the additional capitalization as filed by the petitioner are as given below:

Table 21: Additional Capitalization claimed in SSTPP PH-1(Rs. in Crore)

Sr No	A/c Code	Description	Amount	Relevant Regulation of the Regulations, 2020
i	10.101	Land owned under full title	2.98	28.1(b)
ii	10.102	Land held under lease	0.20	28.1(b)
iii	10.233	Other buildings	0.47	28.1(b)
iv	10.412	Railway sidings	0.88	28.1(a)
v	10.420	Boundary wall for civil building	0.40	27.1(iv)
vi	10.426	Ash Bund for thermal power station	2.99	28.1(a)
vii	10.515	Coal handling plant and handling equipments	0.84	28.1(a), 28.1(b), 28.1(b) & 27.1(iv)
viii	10.520	Instrumentation And Control	0.45	27.2(c)
ix	10.578	Air-Conditioning & Ventilation System	0.54	27.1(iv)
x	10.588	Chemical Lab Equipment	0.01	28.1(a)
xi	10.800	Furniture And Fixtures	0.03	27.1(vi)
xii	10.904	Other office Equipments	0.18	27.2(a), 28.1(a), 28.1(a), 28.1(d) , 27.2(a), 27.2(a), 28.1(b), 27.2(a), 27.2(a), 27.2(a) & 27.2(a)
xiii	10.905	Computers	0.07	27.2(a)
xiv	11.300	Capital Spares	0.20	27.1(vi)
xv	11.603	Capital Over Haul Turbine & Generator	3.57	28.1(b)
		Total	13.81	

71. Since, SSTPP PH-1 was declared under commercial operation prior to 01.04.2019, therefore, this power station is considered as existing project in terms of Regulation 3.1(20) of the Regulations, 2020. The additional capitalization claimed in SSTPP PH-1 is after the cut-off date of the project. Therefore, the aforesaid additional capitalization needs to be examined in light of the Regulation 27 of the Regulations, 2020. The petitioner has also claimed few components of the additional capitalization beyond the original scope of work. Therefore, the aforesaid additional capitalization of such assets also needs to be examined in light of the Regulation 28 of the Regulations, 2020.

72. Vide Commission's letter dated 31st December, 2024, the petitioner was asked to file certain details/ documents regarding the additional capitalization in SSTPP PH-1. By affidavit dated 15th February, 2025, the petitioner filed its response. The additional capitalization claimed by the petitioner in SSTPP PH-1 has been analysed under different heads of assets separately as given below:

i. Land owned under full title:-**Petitioner's Submission**

The Capitalization under Account Code 10.101 amounting to Rs 2.98 Crore is towards Land Owned Under Full Title, vide Journal Voucher No. 680393 dated— 31.03.2024.

As per INDAS-16, an Asset Retirement Obligation is a legal or contractual obligation to dismantle and remove an asset and to restore the site in which it is located on retirement of a tangible asset. The company estimates its obligation for assets retirement based on technical assessment and timing of future expenditure for required work considering the inflation & discounting factor.

Therefore, as per statutory requirement of INDAS-16, MPPGCL has recognized the amount of Asset Retirement Obligation and capitalized the same in the Books of Accounts for FY 2023-24.

The aforesaid Capitalization is claimed as per proviso 28.1 (b) of MPERC Regulations 2020, which provides for additional capitalization on account of change in law or compliance of any existing law.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 2.98 Crore towards land owned under full title under Regulation 28.1 (b) of the Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of change in law or compliance of any existing law. It is observed that the aforesaid additional capitalization is only due to change in book entry with respect to future Asset Retirement Obligation in accordance to IND-AS, whereas, Commission determined tariff under GAAP (Generally Accepted Accounting Principles). Therefore, the aforesaid additional capitalization is not covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, expenditure towards land owned under full title is not allowed in this Order.

ii. Land held under lease:**Petitioner's Submission**

The Capitalization under Account Code 10.102 amounting to Rs 0.20 Crore is towards Land Owned Land under lease, vide Journal Voucher No. 680393 dated 31.03.2024.

As per INDAS-16, an Asset Retirement Obligation is a legal or contractual obligation to dismantle and remove an asset and to restore the site in which it is located on retirement of a tangible asset. The company estimates its obligation for assets retirement based on technical assessment and timing of future expenditure for required work considering inflation & discounting factor.

Therefore, as per statutory requirement of INDAS-16, MPPGCL has recognized the amount of Asset Retirement Obligation and capitalized the same in the Books of Accounts for FY 2023-24. The aforesaid Capitalization is claimed as per proviso 28.1 (b) of MPERC Regulations 2020, which provides for additional capitalization on account of change in law or compliance of any existing law.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.20 Crore towards land held under lease under Regulation 28.1 (b) of the Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of change in law or compliance of any existing law. It is observed that the aforesaid additional capitalization is only due to change in book entry with respect to future Asset Retirement Obligation in accordance to IND-AS, whereas Commission determined tariff under GAAP (Generally Accepted Accounting Principles). Therefore, the aforesaid additional capitalization is not covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, expenditure towards land held under lease is not allowed in this Order.

iii. Other buildings:-

Petitioner's Submission

The Capitalization under Account Code 10.233 amounting to Rs 0.47 Crore is towards other buildings as detailed below:

- a) Construction of Shed for Motor Maintenance Section EMD-1 in front of Service Building at SSTPP, Khandwa, vide order No. 807 dated 04.02.2022 amounting to Rs. 0.43 Crore. The shed was constructed in the plant area for Repair & Maintenance and Testing of various Heavy Motors installed in PH-1, locally within the Power Station, as the required arrangement was not available for trial and maintenance. Hence, the shed was constructed to meet out the said requirement.*
- b) Construction of Radiography Source Storage Room (pit room) for unit No. 1 & 2 at SSTPP, Khandwa vide order No. 283 dated 23.06.2023 amounting to Rs. 0.036 Crore.*

The Boiler maintenance division (BMD) has a requirement of a source storage room (pit room) for storing radiography source (camera). To carry out the radiography testing work during forced outage of the units and the radiography testing agency must be available at the site along with machinery all times to avoid any delay from the testing side. Hence a source storage rooms was required to be constructed at minus level for storing Radiography Source (Camera), so that radiation of source could not affect human being and also comply to the Rule 20(2) of Atomic Energy (Radiation

Protection) Rules, 2004, which state that the user shall ensure physical security of the sources at all times i.e. ensuring security for Industrial Gamma Radiography Exposure Devices (IGREDs) during their use, storage and during transport. Therefore, it is a statutory requirement to keep the Source of Radiography at a safe place.

Thus, the above-mentioned capitalization is made towards compliance of directives of CEA, therefore aforesaid capitalization is claimed under proviso 28.1(b) of the Regulations, 2020, which provides for “change in law or compliance of any existing law”.

Commission’s Analysis:

Additional capitalization of Rs 0.47 Crore towards Other buildings is claimed by the petitioner under Regulation 28.1 (b) of the Regulations, 2020 are as under:-

- (a) The petitioner has claimed additional capitalization of Rs 0.43 Crore towards Construction of Shed for Motor Maintenance Section under Regulation 28.1 (b) of Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The petitioner has mentioned that this capitalization is made towards compliance of directives of CEA. The said expenditure of Rs 0.43 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020 as the petitioner has not demonstrated any change in law event or compliance with existing law in relation to CEA directives. It is observed that the petitioner has neither filed any specific directives of the CEA nor enclosed copy of such directives under which such additional capitalization is claimed. Hence, expenditure towards Construction of Shed is not allowed in this Order.
- (b) The petitioner has further claimed additional capitalization of Rs 0.036 Crore towards Construction of Radiography Source Storage Room under Regulation 28.1 (b) of Regulations, 2020 which provides additional capital expenditure beyond original scope of work on account of change in law or compliance of any existing law”. The petitioner stated that aforesaid expenditure was made towards compliance of Rule 20(2) of Atomic Energy Radiation Protection Rules, 2004 which stated that the user shall ensure physical security of the sources at all times, i.e. ensuring security for industrial Gamma Radiography exposure device during their use, storage and during transport. Therefore, it is a statutory requirement to keep the source of Radiography at a safe place. The same is covered under Regulation 28.1 (b) of the Regulations, 2020, hence, this expenditure of Rs 0.036 Crore is allowed under regulation 28.1(b) in this Order.

iv. Railway sidings:-**Petitioner's Submission**

The additional capitalization under Account Code 10.412 amounting to Rs 0.88 Crore is towards Construction of "Railway Under Bridges-RUB" carried out through Deposit work.

The Ministry of Railway, Government of India, vide No. 2013/W-I/Genl./30 pt-II dated 18.06.2013 created a policy regarding elimination of level crossing on New Rail line, Gauge Conversion and Doubling Projects, all over India for ensuring speed and safety point of view. The Railway Board has further simplified the procedure & policy regarding provision of accommodation works, i.e., Diversion Road, Subway, RUB, ROB, Level Crossings, in case of new line, gauge conversion and doubling projects

As per the Private Siding Agreement signed between Western Central Railway and MPPGCL at clause 9 of Annexure-3 (page-29), it has been directed by Railways to eliminate level crossing and build RUB/ROB/sub way, etc., by MPPGCL. The relevant page of the agreement is annexed.

Thus, the above-mentioned capitalization at SSTPP, Khandwa is made towards compliance of directives of Ministry of Indian Railways, Government of India. Accordingly, aforesaid capitalization is claimed Under Proviso 28.1(a) of MPERC Regulations, 2020 which provides for compliance of "order or directions of the any statutory authorities".

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.88 Crore towards construction of Railway Under Bridges under Regulation 28.1 (a) of Regulations, 2020, which provides for additional capital expenditure beyond original scope of work on account of Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law. The petitioner submitted that as per the Private Siding Agreement signed between Western Central Railway and MPPGCL at clause (9), it has been directed by Railways to eliminate level crossing and build RUB/ROB/sub way, etc. The Ministry of Indian Railways, Government of India, dated 18.06.2013 issued a policy regarding elimination of level crossing on New Rail line, Gauge Conversion and Doubling Projects, all over India for ensuring speed and safety point of view. As such, additional capitalization of these assets is covered under statutory requirement. Therefore, the said expenditure of Rs 0.88 Crore claimed by the petitioner towards Railway Under Bridges-RUB is allowed in this Order under Regulation 28.1 (a) of the Regulations, 2020.

v. Boundary wall for civil building:-**Petitioner's Submission**

The Capitalization under Account Code 10.420 amounting to Rs 0.40 Crore is towards Construction of Boundary wall around plant area of SSTPP, Khandwa.

Work for construction of boundary wall around the plant area was awarded, vide order No. 4555 dated 07.08.2012, on M/s K.P. Mishra Engineers & contractor. Though the Boundary Wall was constructed in time, however, there was delay in passing the bills as the contractor was not accepting measurement and therefore not signing the RA Bills, delay in submission of royalty clearance and also as GST was introduced in India in July, 2017. As such the tax invoice was not submitted. The bills have now been cleared and accordingly the assets have been capitalized.

The said capitalization is claimed under Proviso 27.1 (iv) of MPERC Regulations, 2020, which provides for "Liabilities for works executed prior to the cut-off date".

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.40 Crore towards construction of boundary wall under Regulation 27.1 (iv) of Regulation 2020 which provides for additional capitalization within the original scope and after the cut-off date on account of Liability for works executed prior to the cut-off date. On perusal of the details filed by the petitioner, it is observed that the aforesaid asset under additional capitalization actually made after the cut-off date of the project. The petitioner submitted that construction work of boundary wall was completed on time, however, delay in payment was on account of some measurement and GST issues, therefore the expenditure of Rs 0.40 Crore covered under the Regulation 27.1 (iv) of Regulations, 2020. Hence, additional capitalization of Rs 0.40 Crore towards construction of boundary wall is allowed in this Order under Regulation 27.1 (iv) of the Regulations, 2020.

vi. Ash Bund for thermal power: -**Petitioner's Submission**

The Capitalization under Account Code 10.426 amounting to Rs 2.99 Crore is towards Construction of Pucca Drain sump and pump house to control seepage in adjoining agricultural fields of Ash Dyke of SSTPP, Khandwa, vide order No. 389 dated 18.06.2021.

The Ash bund of PH-1 at SSTPP, Khandwa have a large area 147.5 hectare land for disposal of pond ash. Due to water content in ash slurry, seepage has been observed in surrounding nearby agricultural field. The Govt. officials of Local Administration have directed SSTPP, MPPGCL to control this situation.

Therefore, an action plan has been prepared to control the seepage water by the help of peripheral drains and two Nos. Sumps. The seepage water can be recycled to the recovery system of ash disposal (Ash Water Recirculation System-AWRS), so that the target of Zero Liquid Discharge is achieved for compliance of the Environment (Protection) Rules, 1986 read with amendments dated 07.03.2016 and 28.06.2018.

The said capitalization is claimed as per Proviso 28.1(a) of MPERC Regulations, 2020 which provides for “compliance of order or directions of the any statutory authorities”.

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 2.99 Crore towards Construction of Pucca Drain sump and pump house to control seepage in adjoining fields of Ash Dyke under Regulation 28.1 (a) of Regulations, 2020, which provides additional capital expenditure beyond original scope of work on account of Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law. The petitioner has mentioned that the aforesaid capitalization is made towards target of zero liquid discharge is achieved for compliance of the Environment (Protection) Rules, 1986 read with amendments dated 07.03.2016 and 28.06.2018. Therefore, the said expenditure of Rs 2.99 Crore claimed by the petitioner towards Construction of Pucca Drain sump and pump house to control seepage in adjoining fields of Ash Dyke is allowed in this Order under Regulation 28.1 (a) of the Regulations, 2020.

vii. Coal handling plant and handling equipments:-

Petitioner’s Submission

The Capitalization under Account Code 10.515 amounting to Rs 0.84 Crore is towards:-

- a) *Supply, installation and commissioning of 01 No. new In-motion-Weigh-Bridge (IMWB) having 140 MT Capacity as per RDSO specification No. WD-29-MISC-19 on EPC basic with all accessories and associated system on Rail Line between Bir Railway station to Power House at SSTPP, Khandwa, vide order No. 6310 dated 05.08.2022, placed on M/s Weightrack India Private Limited, Bhubaneswar, amounting to 0.51 Crore.*

As per the Private Siding Agreement signed between Western Central Railway and MPPGCL at clause 9 of Annexure-3 (page-29), it has been directed by Railways to install and operate electronic in-motion weigh bridge house and weigh bridge siding by MPPGCL. The relevant page of the agreement is annexed for reference.

The coal rakes arriving at SSTPP plant are being accurately weighed. This is essential for justification of coal quantity mentioned in Railway Receipt (RR) and useful for coal accounting which ultimately helps for preparation of Form TPS-15 and to workout landed cost of coal.

The said capitalization is claimed under Proviso 28.1(a) of MPERC Regulations, 2020 which provides for compliance of “compliance of order or directions of the any statutory authorities”.

- b) Order for supply of Portable Hydraulic Oil Filter Machine (online filtration system) for Servo system 68 grade Hydraulic oil for various power packs of 2x600 MW, CHP, at SSTPP, Khandwa, placed on M/s Absolute Engineers, Bhiwandi (MH), vide order No. 9798 dated 05.12.2023 amounting to Rs. 0.05 Crore.

The 2x600 MW coal Handling Plant of SSTPP consists of various hydraulic equipment, auxiliaries, various types and different sizes of hydraulic power packs, which are in service since last 11 years. CHP-I consist of various equipment, like wagon tippler, side arm charger, apron feeder, stacker-reclaimer etc for coal rake unloading, evacuation of coal from hopper and stacking/ reclaiming purpose, having hydraulic system. All equipment are running under coal dust atmosphere and as a result the hydraulic oil which is in continuous use gets contaminated. Life of equipment power pack mainly depends on oil quality being used. Contaminated oil will affect smooth running of equipment and the equipment will get wear & tear. Therefore, filtration of oil is essential for enhancing the life of oil and to reduce the consumption of hydraulic oil. If oil is filtered from time to time, service life of oil will definitely be improved and it will reduce wear & tear of hydraulic parts & shall help to run all the auxiliaries smoothly.

This portable Oil Filtering machine shall be utilized at SSTPP PH-1, Khandwa for filtering and recycling various Hydraulic oils in CHP area thus avoiding discard of used Oil (Hazardous material).

The abovementioned capitalization is made towards compliance of directives of The Environment (Protection) Act, 1986 and MoEF&CC Rules, therefore aforesaid capitalization is claimed under proviso 28.1(b) of MPERC Regulations 2020, which provides for “change in law or compliance of any existing law”.

- c). Order for supply of 01 No. Hammer type Pulverizer for coal sampling lab at SSTPP, Khandwa placed on M/s Ultimate Analytics, Kolkata, vide order No. 10300 dated 18.12.2023, amounting to Rs. 0.013 Crore.

The above item has been procured for Coal sampling purpose. For determination of GCV of coal “as received” at Power Stations, the samples of coal are taken as per the Bureau of Indian Standards IS:436 (Part1/Sec1)-1964 wherein at clause 10.3 procedure of sample preparation has been specified. The procedure mentions that for Small Coal – the gross sample shall be crushed to 3.55 mm in two steps, namely through 12.5mm by a Jaw crusher and finally to 3.55 mm by a Palmac (Pulverizer) type reduction mill then the lumps are pulverized to meet the requirements for further testing.

The above-mentioned capitalization is made towards compliance of Bureau of Indian Standards IS:436 (Part1/Sec1)-1964 Methods for sampling of Coal & Coke, therefore aforesaid capitalization is claimed under proviso 28.1(b) of Regulations 2020, which provides for “change in law or compliance of any existing law”.

- d). The Capitalization under Account Code 10.515 amounting to Rs 0.27 Crore is towards Gap billing claimed by M/s L&T on account of Coal Handling Plant & equipment, vide voucher No. 680406 dated 31.03.2024.

The said capitalization is claimed under Proviso 27.1 (iv) of the Regulations, 2020 which provides for “Liabilities for works executed prior to the cut-off date.”

Commission's Analysis:

Additional capitalization of Rs 0.84 Crore towards Coal handling plant and handling equipments has been claimed under Regulation 28.1 (a) & (b) and Regulation 27.1 (iv) of the Regulations, 2020 and analysis of the same are as follows:-

- a) The petitioner has claimed additional capitalization of Rs 0.51 Crore towards Supply, installation and commissioning of new in-motion-Weigh-Bridge under Regulation 28.1 (a) of Regulations, 2020 which provides additional capital expenditure beyond original scope of work on account of Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law. The petitioner submitted that as per the Private Siding Agreement signed between Western Central Railway and MPPGCL at clause 9, it has been directed by Railways to install and operate electronic in-motion weigh bridge house and weigh bridge siding by MPPGCL. Hence, Supply, installation and procurement/commissioning of electronic In-motion-Weigh-Bridge falls under statutory liabilities as part of agreement signed by MPPGCL with central government body, i.e., Railway and is now binding on the MPPGCL to fulfil the terms and conditions of Amendment. Therefore, the said expenditure of Rs 0.51 Crore claimed by the petitioner

towards procurement of In-motion-Weigh-Bridge is allowed in this Order under Regulation 28.1 (a) of the Regulations, 2020.

- b) The petitioner has claimed Rs. 0.05 Crore towards Portable Hydraulic Oil Filter Machine (online filtration system) under Regulation 28.1 (b) of Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The petitioner stated that aforesaid item shall be utilised for filtering and recycling generator transformer oil, station transformer oils and other transformer oils, thus avoiding discard of used oil (Hazardous material). Since, this capitalization is made towards compliance of directives of the Environment (Protection) Act, 1986 read with Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016, therefore, the same is covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, this expenditure of Rs 0.05 Crore towards such asset is allowed in this Order.
- c) The petitioner has claimed Rs. 0.013 Crore towards Hammer type Pulverizer for coal sampling lab under Regulation 28.1 (b) of the Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The petitioner has mentioned that this capitalization is made towards compliance of Bureau of Indian Standards IS:436 (Part1/Sec1)-1964 Methods for sampling of Coal and compliance of Bureau of Indian Standards. Considering above, aforesaid expenditure of Rs 0.013 Crore towards hammer type pulverizer is allowed in this Order.
- d) The petitioner has claimed capitalization of Rs 0.27 Crore Coal Handling Plant & equipment under Regulation 27.1 (iv) of Regulations, 2020 which provides for additional capital expenditure within the original scope and after the cut-off date on account of Liability for works executed prior to the cut-off date. On perusal of the details filed by the petitioner, it is observed that the aforesaid asset under additional capitalization is actually made after the cut-off date of the project. The petitioner submitted that procurement of coal handling plant and equipments was completed on time, however, delay in payment was on account of gap billing, therefore the expenditure of Rs 0.27 Crore is covered under the Regulation 27.1 (iv) of the Regulations, 2020. Therefore, additional capitalization of Rs 0.27 Crore towards Coal Handling Plant & equipment is allowed in this Order.

viii. Instrumentation And Control:-**Petitioner's Submission**

The Capitalization under Account Code 10.520 amounting to Rs 0.45 Crore is towards order for supply of Chloride analyzer, chiller along with dynamic calibrator and one-year Reagents installed in SWAS system for 2X600 MW, SSTPP, Khandwa, vide order No. 2267 dated 25.05.2023.

*The old Chloride analyzer Thermo scientific make, Orion 1817L, is declared obsolete by OEM and the spares support is discontinued by the OEM. **The Survey reporting / write-off of old Chloride analyzer is in process.***

The above capitalization is claimed as per regulation 27.2 (c) of MPERC Regulations, 2020 which provides for replacement of such assets or equipments is necessary on account of obsolescence of technology.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.45 Crore towards supply of Chloride analyzer under Regulation 27.2 (c) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment is necessary on account of obsolescence of technology. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regards to write-off of old Chloride analyzer, the petitioner mentioned that the old Chloride analyzer is in process of write-off. Hence, expenditure towards old Chloride analyzer is not allowed in this Order at this stage under Regulation 27.2(c) of the Regulation, 2020. The petitioner is at liberty to approach the Commission as and when, the these old chloride analyzer gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

ix. Air-Conditioning & Ventilation System.**Petitioner's Submission**

The Capitalization under Account Code 10.578 amounting to Rs 0.54 Crore is towards Gap billing on account of Air-Conditioning & Ventilation System of SSTPP PH-1, Khandwa vide voucher No. 680406 dated 31.03.2024.

The said capitalization is claimed under Proviso 27.1 (iv) of MPERC Regulations, 2020 which provides for "Liabilities for works executed prior to the cut-off date."

Commission's Analysis:

The petitioner has claimed capitalization of Rs 0.54 Crore towards A/C and Ventilation System under Regulation 27.1 (iv) of Regulations, 2020, which provides for additional capital expenditure within the original scope and after the cut-off date on account of Liability for works executed prior to the cut-off date. The petitioner submitted that air conditioning and ventilation system was procured in FY 2008 which was admitted by the Commission before cut-off date, however, delay in payment was on account of gap billing, therefore the expenditure of Rs 0.54 Crore is covered under the Regulation 27.1 (iv) of Regulations, 2020. Hence, additional capitalization of Rs 0.54 Crore towards A/C and Ventilation System is allowed in this Order.

x. Chemical Lab Equipment.**Petitioner's Submission**

The Capitalization under Account Code 10.588 amounting to Rs 0.01 Crore is towards order for supply of Portable Turbidity Meter for Chemistry Lab vide order No. 366 dated 12.04.2023 placed on M/s ChromQ Instruments (OPC) Pvt. Ltd., Indore.

This item has been added for testing of Drinking water and DM water in Power Plants. The Bureau of Indian Standards IS 10500:2012 specify the Organoleptic and Physical Parameters of Safe Drink Water. Any deviation from set limits results in water quality not suitable. Similarly, the Water (Prevention & control of Pollution) Act, 1974 and standards prescribed by the MP Pollution Control board also provides that Industry shall provide adequate facility for treatment of industrial waste water, including the bleed from boiler house and domestic to ensure that the treated effluent quality meets the standards. Therefore, for carrying out site testing of water quality, Portable Turbidity Meter is utmost essential.

The said capitalization is claimed Proviso 28.1(a) of MPERC Regulations, 2020 which provides for compliance of "directions given by Statutory authorities."

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.01 Crore towards Chemical lab Equipments under Regulation 28.1 (a) of Regulations, 2020 which provides additional capital expenditure beyond original scope of work on account of Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law. The petitioner stated that as per the Water (Prevention & control of Pollution) Act, 1974 and standards prescribed by the MP Pollution Control

board, Industry shall provide adequate facility for treatment of industrial waste water, including the bleed from boiler house and domestic to ensure that the treated effluent quality meets the standards. Therefore, for carrying out site testing of water quality, Portable Turbidity Meter is utmost essential. Since, this capitalization is made towards compliance of directives of The Bureau of Indian Standards IS 10500:2012 and Water (Prevention & control of Pollution) Act, 1974, therefore, the same is covered under Regulation 28.1 (a) of the Regulations, 2020. Hence, this expenditure of Rs 0.01 Crore towards Chemical lab Equipments is allowed in this Order.

xi. Furniture And Fixtures.

Petitioner's Submission

The Capitalization under Account Code 10.800 amounting to Rs 0.03 Crore is towards

- a) Procurement of 04 Nos. Almirahs, 6' * 4' iron sheet from Modi sales, Mundi, Khandwa, vide Bill No./ GST invoice No. R000138 dated 20.06.2023, amounting to Rs. 0.64 Lakhs or Rs. 0.006 Crore. These Almirahs are required for keeping the additional office records safely.*
- b) Procurement of 50 Nos. Writing Pad Chairs for training hall for SE (HQ), O/o CE(Gen) at SSTPP, Khandwa to conduct different training modules for various departmental and other authorized candidates at SSTPP, Khandwa from M/s Shyam ji Trading Co. Chandigarh vide order No. 14911 dated 08.02.2023 towards amounting is Rs. 0.016 Crore.*
- c) Procurement of 02 Nos. Almirahs 6' * 4' iron sheet from Modi sales, Mundi, Khandwa vide Bill No./ GST invoice No. R000344 dated 26.10.2023, amounting to Rs. 0.32 Lakhs or Rs. 0.003 Crore.*
- d) Procurement of 04 Nos. Drawer Box double & 04 Nos. Racks from Modi sales, Mundi, Khandwa, vide Bill No./ GST invoice No. R000345 dated 26.10.2023, amounting to Rs. 0.54 Lakhs or Rs. 0.005 Crore.*

The said capitalization is claimed under Proviso 27.1 (vi) of MPERC Regulations, 2020 which provides for "Liabilities for works admitted by the commission after the cut-off date to the extent of discharge of such liabilities by actual payment."

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.03 Crore towards minor assets of Furniture and Fixtures under Regulation 27.1 (vi) of Regulations, 2020 which provides for additional capital expenditure within the original scope and after the cut-off date on account of liability for works admitted by the Commission after the cut-off date. Commission observed that the

expenditure does not fall under the Regulation 27.1 (vi) of the Regulations, 2020. The Commission is also of the view that the additional expenditure incurred by the petitioner towards furniture & fixtures are in the nature of Operation & Maintenance Expenses. Hence, expenditure towards Furnitures & Fixtures is not allowed in this Order at this stage.

xii. Others office Equipments

Petitioner's Submission

The Capitalization under Account Code 10.904 amounting to Rs 0.18 Crore is towards:-

- a) *Procurement of 08 Nos. (black & white multifunction) Hp Laser jet Pro Printer vide order No. 1650 dated 11.05.2023, amounting to Rs. 0.02 Crore. **The old assets shall be written off shortly.***

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

- b) *Procurement of 02 Nos. Dot Matrix Printer for In Motion Weigh Bridge (IMWB) vide R000137 dated 20.06.2023 by temporary advanced amounting to Rs. 0.62 Lakhs or 0.006 Crore.*

The team of Railway officials, Bhopal visited and inspected the site office at SSTPP, Khandwa and they asked to get 02 computer and printers to the office immediately as per siding agreement with Railways.

The said capitalization is claimed Proviso 28.1(a) of MPERC Regulations, 2020 which provides for compliance of "directions given by Statutory authorities"

- c) *Supply and installation of 6 Nos. 2-tons 3-star Air Conditioner for Railway running room, In Motion Weigh Bridge (IMWB) control room, S&T Cabin-A & Cabin-B installed at SSTPP, Khandwa vide order No. 4093 dated 07.07.2023, amounting to Rs. 0.022 Crore.*

*IPS panel room consists of 3 Nos. IPS panel with sensitive equipment / electronic card, IPS card, etc., which required A/c environment (24*7) so that they may not malfunction / damage due to excessive heating of equipment during summer season which may result into complete shutdown of S&T system. Further, this may result into the nonfunctioning of signal, point machine, etc., that causes unwanted delay in coal rake receiving and releasing time which ultimately result into huge demurrage imposed by India Railways. Higher authorities of MPPGCL/ Railways also suggested installing AC in IPS panel room for cooling.*

The said capitalization is claimed Proviso 28.1(a) of MPERC Regulations, 2020 which provides for compliance of “directions given by Statutory authorities”

- d) Procurement of 05 Nos. Guard Tour Monitoring System (GTMS) with GPRS including GTMS Web software for SSTPP, Khandwa vide order No. 4074 dated 07.07.2023, amounting to Rs. 0.05 Crore.

Aforesaid capitalization is claimed as per Proviso 28.1(d) of MPERC Regulations, 2020 which provides for “Any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security”.

- e) Procurement of 01 No all in one (Black & white) Photocopy Machine for the O/o S.E.(HQ) at office of C.E.(Gen), SSTPP, Khandwa vide order No. 7143 dated 18.09.2023, amounting to Rs. 0.017 Crore. **The old photocopy machine is being written-off shortly.**

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

- f) Supply of 02 Nos. Air Conditioner (High Wall Split) at Environment Cell Laboratory, SSTPP, Khandwa, vide order No. 14146 dated 20.03.2024, amounting to Rs. 0.01 Crore. **The old A/Cs are being written-off shortly.**

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

- g) Procurement of work of installing of 08 Nos. air purifiers in various offices and auditorium rooms at SSTPP, Khandwa, vide order No. 9813 dated 05.12.2023 amounting to Rs. 0.014 Crore.

To achieve the pollution free atmosphere and to get fresh air in some cabins/ offices in Admin. building, service building etc. 08 Nos. purifier have procured and installed in various offices rooms at SSTPP, Khandwa,.

The aforesaid capitalization is claimed under proviso 28.1(b) of MPERC Regulations 2020, which provides for “change in law or compliance of any existing law”.

- h) Procurement of 01 No. HP smart tank 525 all in one color printer, 5 Nos. Laser Printers to achieve the day to day office work, vide bill No. 403-3325276-4587510 dated 29.02.2024 and Order No. 12527 dated 13.02.2024, respectively, amounting to Rs. 0.013 Crore. **The old machines are being written-off shortly.**

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.18 Crore towards Others office Equipments under Regulation 27.2 (a) of the Regulations, 2020 which provides that the additional capital expenditure towards the replacement of assets if the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

Further, the petitioner has also claimed some other office equipments under Regulation 28.1 (a) which provides for "Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law. Petitioner has also claimed some of the office equipments under Regulation 28.1 (b) which provides that any capital expenditure to be incurred on account of Change in law or compliance of any existing law & Regulation 28.1(d) of the Regulations, 2020, which provides that any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security.

In view of the above provision under the respective Regulations, it is observed that the said expenditure claimed by the petitioner not fall under any clauses of the Regulation 27.2 (a) of the Regulations, 2020, as the petitioner mentioned that the old assets will write-off shortly. With regard to assets claimed under Regulation 27.2 (a), the petitioner has not justified/established any adjustments in the gross fixed assets and the cumulative depreciation towards replacement of existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts.

Regarding the assets claimed under Regulation 28.1(b), the petitioner has not filed any specific law and/or compliance of existing law. For the assets claimed under Regulation 28.1 (d) the petitioner has not filed any advise or directive by appropriate Government Agencies or statutory authorities responsible for national security/internal security. The Commission is of the view that the additional expenditure incurred by the petitioner towards office equipments is in

the nature of Operation & Maintenance Expenses. Hence, expenditure towards other office equipments is not allowed in this Order at this stage.

xiii. Computers

Petitioner's Submission

The Capitalization under Account Code 10.905 amounting to Rs 0.07 Crore is towards:-

- a) *Supply of 12 Nos. of Desktop computers & 1 No. Laptop at SSTPP, Khandwa vide order No. 5621 dated 19.08.2023 & No. 6792 dated 18.09.2023 and No. 511 dated 21.04.2023 respectively amounting to Rs. 0.06 Crore. The old assets are to be written off shortly.*

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

- b) *Supply of 05 Nos. of Mono Printers & 1 No. Projector Screen and 01 No. Laser Printer at SSTPP, Khandwa vide order No. 12770 dated 20.02.2024, amounting to Rs. 0.019 Crore. **The old assets are to be written off shortly.***

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

- c) *Supply of 02 Nos. of Desktop computers at SSTPP, Khandwa vide order No. 511 dated 17.04.2023 and GEMC 511687791787111 dated 05.04.2023 respectively, amounting to Rs. 0.06 Crore. **The old assets are to be written off shortly.***

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

- d) *Supply of 25 Nos. of Wall mounted Fan for Plant Canteen at SSTPP, Khandwa, vide order No. 5790 dated 14.08.2023 and 01 No. Cooler Bill No. 09 dated 26.05.2023, amounting to Rs. 0.007 Crore. **The old assets are to be written off shortly.***

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.07 Crore towards Computer under Regulation 27.2 (a) of the Regulations, 2020 which provides that the additional capital expenditure towards the replacement of assets if the useful life of the assets is not commensurate with the useful life of the project and such

assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

On perusal of the break-up of aforesaid assets, it is observed that the total value of order is Rs. 0.146 Crore, whereas the petitioner has indicated only Rs. 0.07 Crore in summary table of the additional capitalization under this head, this may be typographical error. It is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (a) of the Regulations, 2020, as the petitioner has not shown the replacement of existing assets where the useful life of the assets is not commensurate with the useful life of the project. The Commission is of the view that the additional expenditure incurred by the petitioner towards computers is in the nature of Operation & Maintenance Expenses. Further, old assets are yet to be written-off as submitted by the petitioner. Hence, expenditure towards Computer is not allowed under Regulation 27.2 (a) in this Order at this stage.

xiv. Capital Spares

Petitioner's Submission

The capital spares booked under Account Code 11.300 amounting to Rs. 0.20 Crore are capitalized in FY 2023-24 in the Audited Books of Accounts of FY 2023-24 and same is considered in the instant True up petition.

The above mentioned Capitalization is claimed under proviso 27.1(vi) following clauses of MPERC Regulations, 2020 which provides for “Any liability for works admitted by the Commission after the cut-off date to the extent of discharge of such liabilities by actual payments;” read with proviso 25 of the Regulations, 2020 towards ceiling limit of capital spares. The copy of store indent is annexed.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.20 Crore towards capital spares under Regulation 27.1 (vi) of Regulations, 2020, which provides for additional capital expenditure within the original scope and after the cut-off date on account of liability for works admitted by the Commission after the cut-off date. It is observed that such spares have been capitalized after the cut-off date, therefore, the capital spares of Rs. 0.20 Crore claimed by the petitioner during FY 2023-24 is not covered under Regulation 27 (vi) of the Regulations, 2020. Hence, this amount is not allowed in this Order.

xv. Capital Over Hauling (COH)**Petitioner's Submission**

The Statutory compliance of Indian Accounting Standards (INDAS) is mandatory on MPPGCL. Based on said standards, the Expenditure on Major inspection/capital Overhaul- Boiler/ Turbine was capitalized in the Audited books of Accounts of MPPGCL in FY 2023-24 at SSTPP PH-1, Khandwa under Account Code 11.603 amounting to Rs 3.56 Crore is towards:

- (i) Work order for Capital overhauling of Generator with threading out of rotor, internal inspection of rotor and related testing including C&I work of Unit No. 2 Generator at SSTPP PH-1, Khandwa placed on M/s BHEL Spares & services business group, Jabalpur, vide order No. 14323 dated 25.03.2022.*
- (ii) Work order for Capital overhauling of HP Turbine and IP Turbine Modules of Unit No. 2 at SSTPP PH-1, Khandwa placed on M/s BHEL Spares & services business group, Jabalpur, vide order No. 14464 dated 28.03.2022.*
- (iii) Work order for overhauling of TG Bearings (1 to 8), Servicing of HP & IP Turbine valves & its Servomotors, inspection of MS/HRH Stainers, checking and adjustment of main Turbine Governing System and other associated works in Unit No. 2 at SSTPP PH-1, Khandwa, placed on M/s BHEL Spares & services business group, Jabalpur, vide order No. 14466 dated 28.03.2022.*
- (iv) Work order for work of Boroscopic inspection of Turbo Generator Rotor, Stator & related Oil line & Oil header of Unit No. 2 Generator of SSTPP PH-1, Khandwa placed on M/s BHEL Spares & services business group, Jabalpur, vide order No. 3320 dated 16.06.2023.*

Aforesaid Capitalization is claimed as per Regulation 28.1(b) of MPERC Regulations, 2020 which provides for "Additional capitalization on account of Change in law or compliance of any existing law"

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 3.57 Crore towards Capital Overhaul Expenditure under Regulation 28.1 (b) of the Regulations, 2020, which provides for additional capital expenditure beyond original scope of work on account of change in law or compliance of any existing law. It is observed that the aforesaid additional capitalization is only book entry, due to change in accounting practices under Indian Accounting Standards, whereas, the Commission is determining tariff under GAAP. The said expenditure of Rs. 3.57 Crore claimed by the petitioner does not fall under Regulation 28.1 (b) of the

Regulations, 2020. It is also observed that petitioner is unable to justify its claim of additional expenditure under the Regulations, 2020. Hence, expenditure towards Capital Overhaul Expenditure is not allowed in this Order.

73. In view of the above, the total additional capital expenditure of Rs 5.70 Crore is allowed in SSTPP PH-1 during FY 2023-24 in accordance with the Regulations, 2020. The break-up of additional capitalization allowed in this Order which are within original scope of work and beyond original scope of work are as follows:

Table 22: Additional capitalization allowed in SSTPP PH-1 (Rs. in Crore)

A/c Code	Description	Amount	Assets within original scope of work	Assets beyond original scope of work
10.233	Other buildings	0.036		0.036
10.412	Railway sidings	0.88		0.88
10.42	Boundary wall for civil building	0.40	0.40	
10.426	Ash Bund for thermal power station	2.99		2.99
10.515	Coal handling plant and handling equipments	0.84	0.27	0.57
10.578	Air Conditioning & Ventilation System	0.54	0.54	
10.588	Chemical Lab Equipments	0.01		0.01
Total		5.70	1.21	4.49

74. The petitioner submitted that the entire additional capitalization in SSTPP PH 1 has been funded through equity/internal resources. As per the Regulations, 2020, if the equity actually deployed is more than 30% of the additional capitalization claimed by the petitioner, equity in excess of 30% shall be treated as normative loan. Accordingly, the Commission has considered normative debt equity ratio as per the Regulations, 2020 in this Order.
75. Accordingly, the details of the additional capitalization and funding allowed in this Order are as given below:

Table 23: Additional capitalization and funding allowed in SSTPP PH-1 (Rs. in Crore)

Particular	Additions During FY 2023-24
Assets Addition	5.70
Loan Addition	3.99
Equity Addition for assets within Original Scope of work	0.36
Equity Addition for assets beyond Original Scope of work	1.35

g) SSTPP PH 2:

76. The Unit No. 3 & 4 of 2x660 MW of SSTPP PH-2 were commissioned on 18.11.2018 and 27.3.2019 respectively, therefore the cut-off date of the project as per clause 4.1(I) of MPERC Tariff Regulations, 2015 was 31.03.2022. The Commission vide Order dated 18th May, 2021 in Petition No 25 of 2020 had determined the final generation Tariff from CoD of Unit No. 3&4 to 31st March, 2019. The petitioner submitted that the additional capitalization of Rs. 4.09 Crore has been capitalized during FY 2023-24 in SSTPP PH-2 and recorded in Audited Books of Accounts.
77. The petitioner further submitted that the works under additional capitalization were carried out during FY 2023-24. The details of asset capitalized under the additional capitalization as filed by the petitioner are as given below:

Table 24: Additional Capitalization claimed in SSTPP PH-2

Sr No	A/c Code	Description	Amount Rs. Crore	Relevant Regulation of the Regulations, 2020
i	10.412	Railway sidings	1.01	28.1(a)
ii	10.515	Coal handling plant and handling equipments	0.62	28.1(b) & 27.2(a)
iii	10.588	Chemical Lab Equipment	0.29	28.1(b) & 28.1(a)
iv	10.904	Others office Equipments	0.01	28.1(d)
v	10.905	Computers	0.01	27.2(a)
vi	11.300	Capital Spares	0.44	27.1(vi)
Towards Price Variation				
vii	10.233 to 10.599	PV impact	1.70	27.1(iv)
Total			4.09	

78. Vide Commission's letter dated 31st December, 2024, the petitioner was asked to file certain details/ documents regarding the additional capitalization in SSTPP PH-2. By affidavit dated 15th February, 2024, the petitioner filed its response to the queries raised by the Commission as given below:

Railway sidings:**Petitioner's Submission**

The additional capitalization under Account Code 10.412 amounting to Rs 1.01 Crore is towards Construction of "Railway Under Bridges-RUB" carried out through Deposit work.

The Ministry of Railway, Government of India, vide No. 2013/W-I/Genl./30 pt-II dated 18.06.2013 created a policy regarding elimination of level crossing on New Rail line, Gauge Conversion and Doubling Projects, all over India for ensuring speed and safety point of view. The Railway Board has further simplified the procedure & policy regarding

provision of accommodation works i.e. Diversion Road, Subway, RUB, ROB, Level Crossings, in case of new line, gauge conversion and doubling projects.

AS per the Private Siding Agreement signed between Western Central Railway and MPPGCL at clause 9 of Annexure-3 (page-29), it has been directed by Railways to eliminate level crossing and build RUB/ROB/sub way, etc., by MPPGCL. The relevant page of the agreement is annexed.

Thus, the above-mentioned capitalization at SSTPP, Khandwa is made towards compliance of directives of Ministry of Indian Railways, Government of India, accordingly, aforesaid capitalization is claimed Under Proviso 28.1(a) of MPERC Regulations, 2020 which provides for compliance of “order or directions of the any statutory authorities”

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 1.01 Crore towards Railway Under Bridges-RUB claimed under Regulation 28.1 (a) of Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law. The petitioner submitted as per the Private Siding Agreement signed between Western Central Railway and MPPGCL, at clause 9, it has been directed by Railways to eliminate level crossing and build RUB/ROB/sub way, etc. Ministry of Indian Railways, Government of India, dated 18.06.2013 issued a policy regarding elimination of level crossing on New Rail line, Gauge Conversion and Doubling Projects, all over India for ensuring speed and safety point of view. Hence, aforesaid assets under additional capitalization falls under statutory requirement. Therefore, the said expenditure of Rs 1.01 Crore claimed by the petitioner towards Railway Under Bridges-RUB is allowed in this Order under Regulation 28.1 (a) of the Regulations, 2020.

Coal handling plant and handling equipments

Petitioner’s Submission

The Capitalization under Account Code 10.515 amounting to Rs 0.62 Crore is towards following:

- a) Supply of “Portable Hydraulic Oil Filtration/ Cleaning Machine for HLP 68 grade Hydraulic Oil for CHP PH-2, SSTPP, Khandwa, vide order No. 11932 dated 09.12.2022, amounting to Rs. 0.052 Crore.

CHP of 2X660 MW, SSTPP Khandwa consists of various equipment, i.e., wagon tippler, side arm charger, apron feeder, stacker-reclaimer, etc., for coal rake unloading, evacuation of coal from hopper and stacking/ reclaiming purpose,

having hydraulic systems. All equipment are running under coal dust atmosphere and the hydraulic oil, which is in continuous use gets contaminated. Life of equipment, power pack, mainly depends on oil quality being used. Contaminated oil will affect smooth running of equipment and the equipment will get wear & tear by using contaminated oil. Filtration is essential for enhancing the life of oil and to reduce the consumption of hydraulic oil. If oil is filtered and recycled from time to time, service life of oil will definitely be improved and it will reduce wear & tear of hydraulic parts & shall help to run all the auxiliaries smoothly.

The Environment (Protection) Act, 1986 read with Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016 mandates that no person carrying on any industry, operation or process shall discharge or emit or permit to discharge or emit pollutants. Further, no person shall handle or cause to be handled any hazardous substance except in accordance with such procedure and after complying with such safeguards as may be prescribed. Therefore, 01 No. Portable hydraulic oil filtration machine has been procured.

The above-mentioned capitalization is made towards compliance of directives of The Environment (Protection) Act, 1986 and MoEF&CC Rules, therefore aforesaid capitalization is claimed under proviso 28.1(b) of the Regulations 2020, which provides for “change in law or compliance of any existing law”.

- b) Supply of 01 No. Elecon make complete set of Gear box type, size: SBN- 355, vide order No. 5165 dated 28.07.2023, including freight charges, amounting to Rs. 0.57 Crore.

Elecon make Gear Box SBN 355 is installed to drive Rotary Breaker. M/s L&T Power has not supplied gearbox of this Model in mandatory spares. However, 01 No. Gear Box was procured in year 2019 and the same has been consumed in Aug-2022. Unavailability of this complete Gearbox set would interrupt the operation of rotary breaker, in case of emergency. Therefore, the aforesaid Gearbox has been procured. **The old gear box is being written-off shortly.** The above capitalization is claimed as per regulation 27.2 (a) of the Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.62 Crore towards Coal handling plant and handling equipments. Aforesaid additional capitalization is claimed under Regulation 28.1 (a) and 27.2(a) of the Regulations, 2020.

- a) The petitioner has claimed Rs. 0.052 Crore towards Portable Hydraulic Oil Filtration/ Cleaning Machine under Regulation 28.1 (b) of Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The petitioner stated that aforesaid item shall be utilised for filtering and recycling various types of lubricating oils used in CHP Equipments, thus avoiding discard of used oil (Hazardous material). Since, this capitalization is made towards compliance of directives of the Environment (Protection) Act, 1986 read with Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016, therefore, the same is covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, this expenditure of Rs 0.17 Crore towards works related to coal handling plant and handling equipments is allowed in this Order.
- b) The petitioner has claimed additional capitalization of Rs 0.57 Crore towards Gear box under Regulation 27.2 (a) of the Regulations, 2020 which provides that the additional capital expenditure towards the replacement of assets where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regards to write-off of Gear box, the petitioner mentioned that the Gear box, is under process of write-off. Hence, expenditure towards aforesaid asset is not allowed in this Order at this stage under Regulation 27.2 (a) of the Regulation, 2020. The petitioner is at liberty to approach the Commission as and when, the Gear box, gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

Chemical Lab Equipment:-

Petitioner's Submission

The Capitalization under Account Code 10.588 amounting to Rs 0.29 Crore is towards:

- a) *Supply of 02 Nos. Portable Conductivity Meter and 03 Nos. Benchtop Conductivity Meter complete assembly, vide order No. 1653 dated 11.05.2023 amounting to Rs. 0.084 Crore, for measuring conductivity/ TDS/ salinity and temperature.*

Conductivity is a vital parameter for supercritical thermal generating units and conductivity meter is used for the testing/ measuring conductivity of various water samples of units, Raw water, pre treatment plant, DM plant, etc., where portable

conductivity meter has provided the flexibility to check the parameter at the site and Benchtop conductivity meter is used at chemical lab.

The above mentioned capitalization is made towards compliance of directives of the WATER (PREVENTION & CONTROL OF POLLUTION) ACT, 1974, wherein continuous monitoring of level of pollutant in water. Therefore, aforesaid capitalization is claimed under proviso 28.1(b) of MPERC Regulations 2020, which provides for “change in law or compliance of any existing law”.

- b). Supply of Flue Gas Analyzer complete assembly for chemical laboratory, 2X660MW at SSTPP, Khandwa vide order No. 11128 dated 08.01.2024 amounting to Rs. 0.21 Crore.

Flue Gas Analyzer is used for testing/ measuring CO, O₂, CO₂ in flue gas path and these parameters are required in the calculation of combustion efficiency of boiler of the units. Further, this parameter provides the status of combustion. Further, SSTPP, Khandwa has to ensure compliance of the directions issued by CPCB under section 5 of Environment Protection Act, 1986, vide letter No. B33014/07/2019/IPC-II/TPP/10204 dated 13.12.2019, pertaining to the plant regarding compliance of emission standards pertaining to PM, SO_x & NO_x.

Thus, the above-mentioned capitalization is made towards compliance of directives of CPCB, Government of India and MoEF&CC Notifications/Acts. Therefore, aforesaid capitalization is claimed Under Proviso 28.1(a) of MPERC Regulations, 2020 which provides for compliance of “order or directions of any statutory authorities.

Commission’s Analysis

The petitioner has claimed additional capitalization of Rs 0.29 Crore towards Chemical lab equipment. Aforesaid additional capitalization is claimed under Regulation 28.1 of the Regulations, 2020.

- a). The petitioner has claimed Rs. 0.084 Crore under additional capitalization towards Portable Conductivity Meter and Benchtop Conductivity Meter under Regulation 28.1 (b) of Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The petitioner has mentioned that this capitalization is made towards compliance of directives of Water (Prevention & Control of Pollution) Act, 1974. The said expenditure of Rs 0.084 Crore claimed by the petitioner does not fall under the Regulation 28.1 (b) of the Regulations, 2020 as the petitioner has not demonstrated any change in law event or compliance with existing law in relation to aforesaid Water Act, 1974. It is observed that the petitioner has not cited any specific provision/clause of the Water (Prevention & Control

of Pollution) Act, 1974 under which additional capitalization is claimed. Hence, expenditure towards conductivity meter is not allowed in this Order.

- b). The petitioner has claimed additional capitalization of Rs 0.21 Crore towards supply of Flue Gas Analyzer complete assembly for chemical laboratory claimed under Regulation 28.1 (a) of Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law. The petitioner has mentioned that the aforesaid capitalization is made towards the compliance of the Environment (Protection) Rules, 1986 dated 13.12.2019, pertaining to the plant regarding compliance of emission standards pertaining to PM, SO_x & NO_x, CPCB, Government of India and MoEF&CC Notifications/Acts. Therefore, the said expenditure of Rs 0.21 Crore claimed by the petitioner towards supply of Flue Gas Analyzer is allowed in this Order under Regulation 28.1 (a) of the Regulations, 2020.

Others office Equipments:-

Petitioner's Submission

The Capitalization under Account Code 10.904 amounting to Rs 0.01 Crore is towards: supply of Usha make heavy duty pedestal fans for plant at 2x660MW, SSTPP, Khandwa vide order No. 17911 dated 31.03.2023, amounting to Rs. 0.013 Crore.

12 Nos. of Heavy duty Pedestal fans have been procured and installed at different plant locations to reduced higher winding temperature of Excitation transformers and Unit service transformer of unit No. 3 & 4, Hydrogen plant Rectifier Transformer, AVR temperature Unit No. 4, Higher bearing temperature of HT motors of Unit No. 3 & 4, Relay panels and BTS system at SSTPP, Khandwa.

This new item has been added for safety and to enhance the performance of existing Auxiliaries and is claimed as per Proviso 28.1(d) of MPERC Regulations, 2020 which provides for "Any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security.

Commission's Analysis

The petitioner has claimed capitalization of Rs. 0.01 Crore towards Others office Equipments under Regulation 28.1(d) of the Regulations, 2020, which provides any capital expenditure to be incurred on account of need for higher security and safety

of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security". On perusal of the details and documents filed by the petitioner, it is observed that the petitioner has not demonstrated that the aforesaid expenditure is made on advise or direction by the Govt. agency or any statutory body in accordance to the Regulations, 2020. The Commission is also of the view that the additional expenditure incurred by the petitioner towards office equipments is in the nature of Operation & Maintenance Expenses. Therefore, the same is not covered under the Regulation 28.1 (d) of the Regulations, 2020. Hence, the said expenditure of Rs 0.01 Crore is not allowed in this Order.

Computers:-

Petitioner's Submission

*The Capitalization under Account Code 10.905 amounting to Rs 0.014 Crore is towards, supply of 03 Nos. Desktop computers with all accessories, VOLTRIQ Intel Core i5 10500 8GB/ 1000GB HDD/ Windows 10 professional at 2x660MW, SSTPP, Khandwa vide GeM Contract No. GEMC-511687791787111 dated 05.04.2023, amounting to Rs. 0.014 Crore. **The survey reporting of old/faulty computers is in process.***

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis

The petitioner has claimed additional capitalization of Rs 0.014 Crore towards Computer under Regulation 27.2 (a) of the Regulations, 2020 which provides that the additional capital expenditure towards the replacement of assets if the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (a) of the Regulations, 2020 as the petitioner has not shown write-off of such assets in annual Audited Accounts and mentioned that the survey report of computers is in process. The Commission is also of the view that the additional expenditure incurred by the petitioner towards computers is in the nature of Operation & Maintenance Expenses. Hence, expenditure towards Computer is not allowed in this Order at this stage.

Capital Spares:-**Petitioner's Submission**

The capital spares booked under Account Code 11.300 amounting to Rs. 0.44 Crore are capitalized in FY 2023-24 in the Audited Books of Accounts. The same is considered in the instant True up petition.

The above mentioned Capitalization is claimed under proviso 27.1(vi) of MPERC Regulations, 2020 which provides for "Any liability for works admitted by the Commission after the cut-off date to the extent of discharge of such liabilities by actual payments;" read with proviso 25 of MPERC Regulations, 2020 towards ceiling limit of capital spares. The copy of store indent is annexed.

Commission's Analysis

The petitioner has claimed additional capitalization of Rs 0.44 Crore towards capital spares under Regulation 27.1 (vi) of the Regulations, 2020 which provides for additional capital expenditure within the original scope and after the cut-off date on account of liability for works admitted by the Commission after the cut-off date. It is observed that such spares have been capitalized after the cut-off date, therefore, the capital spares of Rs. 0.44 Crore claimed by the petitioner during FY 2023-24 is not covered under Regulation 27 (vi) of the Regulations, 2020. Hence, this amount is not allowed in this Order.

Impact of Price Variation:-**Petitioner's Submission**

The 660 MW Unit No.3 of SSTPP Stage-II, Khandwa was put under Commercial Operation w.e.f. 18.11.2018 00:00 Hrs. Similarly, the 660 MW Unit No.4 of SSTPP Stage-II was put under Commercial Operation w.e.f. 27.03.2019. The final bills related to Erection works have been regularized in FY 2023-24, wherein minor variation in various account code wise asset have been noticed due to Price Variation. The impact of this price variation amounts to Rs. 1.70 Crore.

The said capitalization is claimed under Proviso 27.1 (iv) of MPERC Regulations, 2020 which provides for "Liabilities for works executed prior to the cut-off date."

Commission's Analysis

The petitioner has claimed capitalization of Rs 1.70 Crore towards the impact of price variation under Regulation 27.1 (iv) of the Regulations, 2020 which provides for additional capital expenditure within the original scope and after the cut-off date on account of Liability for works executed prior to the cut-off date. On perusal of the details filed by the petitioner, the Commission has observed that the petitioner has demonstrated that such assets/works were completed prior to cut-off date. The petitioner has established/justified by submitting its certificate dated 27.3.2025 that

such assets/works in which impact of price variation was sought were admitted by the Commission at the time of determination of final tariff. In view of the above, the aforesaid assets are covered under the Regulation 27.1 (iv) of Regulations, 2020. Hence, additional capitalization of Rs 1.70 Crore towards impact of price variation is allowed in this Order.

79. In view of the above, the total additional capital expenditure of Rs. 2.97 Crore towards Railway Sidings, Oil Filtration Machine and Chemical Lab Equipments, etc is allowed in SSTPP PH-2 during FY 2023-24 in accordance with the Regulations, 2020.
80. The break-up of additional capitalization allowed in this Order which are within original scope of work and beyond original scope of work are as follows:

Table 25: Additional capitalization allowed in SSTPP PH-2 (Rs. in Crore)

A/c Code	Description	Amount	Assets within original scope of work	Assets beyond original scope of work
10.412	Railway sidings	1.01		1.01
10.515	Coal handling plant and handling equipments	0.05		0.05
10.588	Chemical Lab Equipments	0.21		0.21
10.233 to 10.599	Price Variation Impact	1.70	1.70	
Total		2.97	1.70	1.27

81. The petitioner has submitted that the additional capitalization has been funded through loan only, no equity component incurred by the petitioner in this power station during FY 2023-24. Therefore, the Commission has considered loan component only towards funding as per Regulation, 2020 in this Order.
82. Accordingly, the details of the additional capitalization and funding allowed in this Order are as given below:

Table 26: Additional capitalization and funding allowed in SSTPP PH-2

(Rs. in Crore)

Particular	Additions During FY 2023-24
Assets	2.97
Loan	2.97
Equity	0.00

Additional Capitalization under Hydro Power Stations:**h) Gandhisagar HPS**

83. The petitioner filed the additional capitalization of Rs. 0.23 Crore in Gandhisagar Hydro Power station during FY 2023-24 towards office buildings, communication equipments-telephone lines & telephones, DG set for emergency power and other misc. equipments including fire protection system. The petitioner further submitted that the additional assets of Rs. 0.23 Crore in Gandhisagar HPS have been funded through equity. The details of the additional assets in Gandhisagar HPS filed in the petition are as follows:

Table 27: Additional Capitalization claimed in Gandhisagar HPS (Rs. in Crore)

A/c Code	Description	Amount	Relevant Regulation of the Regulations, 2020
10.211	Office buildings	0.03	28.1(d)
10.572	Communication equipments-Telephone lines & Telephones	0.004	28.1(d)
10.579	DG Set for Emergency Power	0.16	27.2(a) read with 28.1(a)
10.599	Other misc. equipments including fire protection system	0.01	27.2(a)
Total		0.21	

84. The Commission has observed that the assets of Rs. 0.23 Crore claimed by the petitioner under Regulation 27.2 (a) and Regulations 28.1 (a) & (d), of the Regulations, 2020 and are capitalized in the Annual Audited Accounts for FY 2023-24 as well as recorded in Asset-cum-Depreciation Register of Gandhisagar HPS.
85. Vide Commission's letter dated 31th December, 2024 the petitioner was asked to file certain details/ documents regarding the additional capitalization in Gandhisagar HPS. By affidavit dated 15th February, 2025, the petitioner filed its following response to the queries raised by the Commission:

i. Office buildings: -**Petitioner's Submission:**

The INTELLIGENCE BUREAU (IB), Ministry of Home Affairs, GoI had inspected various Thermal and Hydro Power Stations of MPPGCL and conveyed various recommendations through Confidential Reports for strengthening the Security of Power Stations. During the visit to Gandhi Sagar Hydel Power Stations, it was recommended by IB in its Classified Security Inspection Report to construct a boundary wall around S.E.(O&M:Gen.) office building. In compliance to above, an order No. 348-349 dated

27.10.2021 was placed on M/s Annapurna Traders amounting to Rs. 0.063 Crore for construction of the same.

The expenses incurred towards above have been Capitalized in the books of Accounts under Account Code 10.211 vide Voucher No. 680089 dated 31.10.2023. Therefore, an amount of Rs. 0.03 Crore has been considered as new Asset on MP share basis.

The aforesaid capitalization is claimed under regulation 28.1(d) of MPERC Regulations 2020, which provides for admittance of any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities.

Commission's Analysis:

The petitioner has claimed Rs 0.03 Crore under additional capitalization towards construction of office buildings under Regulation 28.1 (d) of the Regulations, 2020 which provides for any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security. On perusal of the details and documents filed by the petitioner, it is observed that this work has been carried out as per the directives given by the Intelligence Bureau (GOI). Further, the petitioner on affidavit has submitted that the IB directives are highly classified/confidential documents and could not be reproduced to others. Considering the above submission and the work is covered under the Regulation 28.1 (d) of the Regulations, 2020. Hence, the said expenditure of Rs 0.03 Crore towards construction of office buildings is allowed in this Order.

ii. Communication equipment's-Telephone lines & Telephones: -

Petitioner's submission:

The INTELLIGENCE BUREAU (IB), Ministry of Home Affairs, GoI had inspected various Thermal and Hydro Power Stations of MPPGCL and conveyed various recommendations through Confidential Reports for strengthening the Security of Power Stations. During the visit to Gandhi Sagar Hydel Power Stations, it was recommended by IB in its Classified Security Inspection Report to procure 10 Nos. of Walkie Talkie set for better communication in and around the plant for higher security and safety of the plant.

In compliance to above, an order vide no. 546 dated 10.05.2023 was placed on M/s ICONET Services, Chennai (T.N.) amounting to Rs. 0.708 Lakhs for procurement of the same.

The expenses incurred towards above have been Capitalized in the books of Accounts under Account Code 10.572 vide Voucher No. 680153 dated 30.06.2023. Therefore, an amount of Rs. 0.004 Crore has been considered in new Asset on MP share basis.

The aforesaid capitalization is claimed under regulation 28.1(d) of MPERC Regulations 2020, which provides for admittance of any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities.

Commission's Analysis:

The petitioner has claimed Rs 0.004 Crore under additional capitalization towards Communication equipments-Telephone lines & Telephones under Regulation 28.1 (d) of the Regulations, 2020, which provides for any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security. On perusal of the details and documents filed by the petitioner, it is observed that this work has been carried out as per the directives given by the Intelligence Bureau (IB), (GOI). Further, the petitioner on affidavit has submitted that IB directives are highly classified/confidential documents and could not be reproduced to others. Considering the above submission and as the work is covered under the Regulation 28.1 (d) of the Regulations, 2020, hence, the said expenditure of Rs 0.004 Crore towards Communication equipments-Telephone lines & Telephones is allowed in this Order.

iii. DG Set for Emergency Power: -

Petitioner's Submission:

*One No. 250KVA- 415 Volt, 1500RPM, Kirloskar Oil Engine make DG Set having Genset Model No. 1250WS & Engine Model NO. 6SL1500TA along with AMF Panel and cable has been installed and commissioned in FY 2023-24 at Gandhi Sagar HPS vide order No. 794 dated 23.09.2022 amounting to Rs. 0.3215 Crore. **This asset has been added against write-off of old Genset (Diesel Generator Set).***

It is, further to submit that as per the directive issued from time to time in MP Electricity Grid Codes, in case of total regional black out, SLDC In-charge shall co-ordinate and follow the instructions of WRLDC for early restoration of the entire grid. After total collapse, to avoid damage to the turbine, survival power is required for each power station. To meet the survival power, diesel generating (DG) sets of sufficient capacity shall be available at each power station. Start-up power to the thermal station shall be given by the hydel Power Stations and interstate supply.

The expenses incurred towards above have been Capitalized in the books of Accounts under Account Code 10.579 vide Voucher No. 680250 dated 31.01.2024. The additional Capitalization is booked under Account Code 10.579 amounting to Rs 0.16 Crore on MP share basis.

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis

The petitioner has claimed additional capitalization of Rs 0.16 Crore towards DG Set for emergency power under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

In view of the above provision under Regulations, the petitioner has informed that the old DG Set for emergency power are decapitalized/written off against aforesaid capitalization, which is considered under asset deduction. Hence, the said expenditure of Rs. 0.16 Crore claimed by the petitioner falls under the aforesaid provision mentioned in the Regulation 27.2 (a) of the Regulations, 2020 as the petitioner has demonstrated necessary adjustments in the gross fixed assets and the cumulative depreciation in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, this expenditure towards DG Set for emergency power is allowed in this Order.

iv. Other misc. equipment's including fire protection system: -

Petitioner's submission:

*One No. 55 KW/75 HP, IE2, 415 Volt Induction motor has been procured vide order No. 1333 dated 22.09.2023 amounting to Rs. 2.89 Lakhs, to be used as replacement of Induction motor in Pump set for Water Supply System at Gandhi Sagar HPS. This motor has been installed and commissioned in the Pump set in FY 2023-24 at Gandhi Sagar HPS. **The old un-serviceable Induction Motor Kirloskar Make DSM-5 75 HP has been written-off.***

The expenses incurred towards above have been Capitalized in the books of Accounts under Account Code 10.599 vide Voucher No. 680197 dated 30.11.2023. The additional Capitalization amounts to Rs 0.03 Crore on MP share basis.

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of assets when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.01 Crore on MP Share Basis towards Induction motor under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

In view of the above Provision under Regulations, the petitioner has informed that the induction motors are decapitalized/written off against aforesaid capitalization, which is considered under asset deduction. Hence, the said expenditure of Rs 0.01 Crore claimed by the petitioner falls under the aforesaid provision mentioned in the Regulation 27.2 (a) of the Regulations, 2020 as the petitioner has demonstrated necessary adjustments in the gross fixed assets and the cumulative depreciation in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, this expenditure towards Induction Motor is allowed in this Order.

86. The breakup of assets addition of Rs 0.21 Crore allowed in this Order is as given below:

Table 28: Additional capitalization allowed in Gandhisagar HPS (Rs. in Crore)

A/c Code	Description	Amount	Addition within Original scope of work	Addition beyond Original scope of work
10.211	Office Buildings	0.03		0.03
10.572	Communication Equipment-Telephone Lines and Telephones	0.004		0.004
10.579	DG Set for Emergency Power	0.16	0.16	
10.599	Fire Protection System	0.01	0.01	
Total		0.21	0.17	0.03

87. The petitioner has submitted that the additional capitalization in GandhiSagar HPS has been funded through entirely internal resources. Since, equity deployed over and above 30% is treated as normative loan as per Regulations, 2020, therefore, normative debt equity ratio of 70:30 is considered as per the Regulations, 2020.
88. Accordingly, the details of the additional capitalization and funding allowed in this Order are as given below:

Table 29: Additional capitalization and funding allowed in GandhiSagar HPS
(Rs. in Crore)

Particular	Additions During FY 2023-24
Assets	0.21
Loan	0.15
Equity allowed for assets within the original scope of work	0.05
Equity allowed for assets beyond the original scope of work	0.01

i) Pench HPS:

89. The petitioner filed the additional capitalization of Rs. 5.87 Crore in Pench Hydro Power station during FY 2023-24 on account of expenses towards hydel power generation plants, other transformers-power house, batteries including charging equipments, etc.
90. The petitioner submitted that the additional assets of Rs 5.87 Crore in Pench HPS are capitalized in Annual Audited Accounts for FY 2023-24 and same have been funded through internal resources/ equity component. The details of the additional assets in Pench HPS filed in the petition are as follows:

Table 30: Assets Capitalization Claimed in Pench HPS (Rs. in Crore)

Sr No	A/c Code	Description	Amount	Relevant Regulation of the Regulation 2020
i	10.531	Hydel Power Generation Plant	5.73	27.2(b)
ii	10.542	Other transformers- Power House	0.10	28.1(a)
iii	10.563	Batteries including charging equipments	0.01	27.2(a)
iv	10.571	Communication equipment-radio & high frequency carrier system	0.002	28.1(a)
v	10.599	Other misc. equipments including fire protection system	0.002	27.2(a)
vii	10.904	Other office equipments	0.004	27.2(a)
viii	10.905	Computers	0.03	27.2(c)
		Total	5.87	

91. Vide Commission's letter dated 31st December, 2024, the petitioner was asked to file certain details/ documents regarding the additional capitalization in Pench HPS. By affidavit dated 15th February, 2025 the petitioner filed its response to the queries. The additional capitalization claimed by the petitioner in Pench HPS has been analysed under different heads of assets separately as given below:

i. Hydel Power Generation Plant: -**Petitioner's Submission**

The existing generators have been in operation for more than 35 years and have outlived their technical life. The windings of Unit-1 are Class 'F' & that of Unit-2 is Class 'B' and the poles are insulated with class 'B' insulation. The class 'B' insulation is hygroscopic in nature (i.e. easily absorbs moisture).

On 22.12.2020 at 07:09 Hrs., fire outbreak incidence occurred (a Force Majeure Event) initially at bottom joint of machine, reportedly due to earth fault resulting severe damage to Generator of Unit No.1 Pench HPS. Further, due to severe fire outbreak, the condition of stator coils was found to be deteriorated (insulation burnt and melted soldering material penetrated inside the bars) and the Unit was found not reliable for further operations.

For restoration of the Generator of Unit No.1, orders were placed on M/s Coral Rewinding India Private Limited, Erode (T.N.) vide No. 582 dated 27.05.2022 and No. 185 dated 13.04.2023 for supply and replacement of 11 kV Generator Stator Bars, amounting to Rs. 3.83 Crores and Rs.3.66 Crore respectively. The Unit No.1 was ultimately restored and put back under operation on 28.07.2023.

*The expenses of capital nature incurred towards above restoration works have been Capitalized in the books of Accounts under Account Code 10.531 vide Voucher No. 680680 dated 31.03.2024 and No. 680679 dated 31.03.2024. The additional Capitalization amounts to Rs 5.73 Crore on MP share basis. The deletion of asset on due to above mentioned replacement amounting to Rs. 0.93 Crore has been considered in this petition. **The damaged 504 Nos. Stator Bars have been survey reported/ Written-off.***

The above capitalization is claimed as per regulation 27.2(b) of MPERC Regulations, 2020 which provides for replacement of the asset or equipment if necessary on account of Force Majeure conditions.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs. 5.73 Crore towards Hydel power generation plant under Regulation 27.2 (b) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment if necessary, on account of change in law or Force Majeure conditions. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

According to Regulation 3.1 (24) of the Regulations, 2020, Force Majeure means “the event or circumstance or combination of events or circumstances which partly or fully prevents the generating company to complete the project within the time specified in the Investment Approval, and only if such events or circumstances are not within the control of the generating company and could not have been avoided, had the generating company taken reasonable care or complied with prudent utility practices.

The petitioner submitted that fire outbreak incidence (a Force Majeure Event) occurred initially at bottom joint of machine, due to earth fault resulting severe damage to Generator of Unit No.1, of Pench HPS and has claimed this work under force majeure events. The Commission observes that the expenses of capital nature incurred towards above restoration works have been Capitalized in the Annual Audited Accounts in FY 2023-24. It is further observed that (the damaged Stator Bars have already been Written-off) and the deletion of asset due to above mentioned replacement amounting to Rs. 0.93 Crore has been allowed in this petition.

It is further observed that the aforesaid work/assets have been written-off and adjustment of the same have already done in Annual Audited Accounts & Assets-cum-depreciation register. Since, the petitioner has demonstrated/justified with supporting documentary evidences that this work towards restoration of Generator of Unit No 1 of Pench HPS falls under the events prescribed under the force majeure conditions. In view of above, additional capitalization of Rs 5.73 Crore towards hydel power generation plant is allowed in this Order under Regulation 27.2(b).

ii. Other transformers- Power House: -

Petitioner's Submission

For compliance of directives of MP SLDC for Regional Energy Accounting and CEA (Installation and Operation of Meters) Regulations, 2006 read with subsequent amendments which specify that the accuracy of Current Transformers (CTs) and Voltage Transformers (VTS/CVTs) shall not be inferior to that of associated meters (0.2s), 9 Nos. of 0.2 accuracy class 132KV CVT (Current Voltage Transformer) have been commissioned at 2x80 MW Pench, HPS vide order no. 312 dated 15.03.2022.

The Capitalization booked under Account Code 10.542 amounting to Rs 0.10 Crore on MP share basis, is towards supply of 9 Nos. 0.2 accuracy class 132KV CVT (Current Voltage Transformer) at 2x80 MW Pench, HPS.

The expenses of capital nature have been Capitalized in the books of Accounts under Account Code 10.542 vide Voucher No. 680496 dated 31.03.2024.

The above-mentioned capital expenditure is made towards compliance of directives of CEA, Regulations, therefore, aforesaid capitalization is claimed Under Proviso 28.1(a)

of the Regulations, 2020 which provides for compliance of “order or directions of any statutory authorities”

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 0.10 Crore towards Other transformers claimed under Regulation 28.1 (a) which provides for “Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law”. The petitioner stated that aforesaid expenditure was made towards compliance of the directions of MP SLDC for State Energy Accounting and CEA (Installation and Operation of Meters) Regulations, 2006, hence, the same is covered under Regulation 28.1 (b) of the Regulations, 2020 which provides for “additional capitalization on account of change in law or compliance of any existing law”. Hence, this expenditure of Rs 0.10 Crore towards other transformers of power house is allowed under Regulation 28.1 (b) in this Order.

iii. Batteries Including Charging Equipment:-

Petitioner’s Submission

To provide Uninterrupted Power Supply to the equipments at Pench HPS, 12 Volt, 200AH Inverter Batteries were purchased from M/s AMR Enterprises, Nagpur vide order No. 862 dated 26.09.2023. The old unserviceable Batteries have been exchanged on BuyBack scheme by the supplier and the differential amounts has been charged to the purchaser i.e. MPPGCL.

*The above Capitalization booked under Account Code 10.563 amounting to Rs 0.01 Crore is towards supply of 6 Nos. 12V 200AH tabular inverter batteries at 2x80MW Pench HPS. **The old batteries are being written-off shortly.***

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of assets deployed under the original scope of the existing project after the cut-off date when the useful life of the assets is not commensurate with the useful life of the project.

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 0.01 Crore towards Batteries Including Charging Equipment under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.

With regards to write-off of old batteries, the petitioner mentioned that the old batteries are in process of write-off. Hence, expenditure batteries including charging equipments is not allowed in this Order at this stage under Regulation 27.2(a) of the Regulation, 2020. The petitioner is at liberty to approach the Commission as and when, the old batteries gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

iv. Communication equipment-radio & high frequency carrier system: -

Petitioner's Submission

MPPGCL has to ensure compliance of directives of MP SLDC and CEA (Technical Standards for Communication System in Power System Operations) Regulations, 2020 which clearly specify that adequate Communication System is to be provided for reliable data and voice communication and tele-protection for power system at National, Level, Regional Level, Interstate Level and Intra State level. The Pench Hydel Power Station is located in core area of Pench Tiger Reserve forest, which prohibits laying of communication cables or any kind of structures. Therefore, for providing reliable 100Mbps Broadband Internet facility at Pench HPS and Office at Paoni, Radio (Wireless) Communication Equipments were required to be installed.

Accordingly, an order was placed on M/s Borkar Broadband Services, Parseoni, Nagpur vide No. 456 dated 27.04.2022. The new assets are booked as additional Capitalization under Account Code 10.571 amounting to Rs 0.002 Crore is towards supply & installation of RF equipment and providing 100 Mbps Unlimited BSNL Broadband Internet at Pench HPS.

The above-mentioned capital expenditure is made towards compliance of directives of CEA, Regulations therefore aforesaid capitalization is claimed Under Proviso 28.1(a) of MPERC Regulations, 2020 which provides for compliance of "order or directions of any statutory authorities"

Commission's Analysis

The petitioner has claimed additional capitalization of Rs 0.002 Crore towards Communication equipment-radio & high frequency carrier system under Regulation 28.1 (a) which provides for "Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law". The petitioner informed that the aforesaid capitalization is done towards compliance of directives of MP SLDC and CEA (Technical Standards for Communication System in Power System Operations) Regulations, 2020, which clearly specifies that adequate communication system is to be provided for reliable

data and voice communication and tele-protection for power system at National, Regional, Interstate and Intra-State level. Therefore, the said expenditure of Rs. 0.002 Crore towards communication equipment-radio and high frequency carrier system (which is beyond original scope of work) is allowed under Regulation 28.1 (a) in this Order.

v. Other misc. equipments including fire protection system: -

Petitioner's Submission

*One No. 3 Phase, 415 Voly, 3 HP, 2880 RPM, 15 Stages submersible has been procured vide order No. 231 dated 26.02.2024 amounting to Rs 0.003 Crore at Pench HPS. This submersible pump (drainage pump) has been installed and commissioned in FY 2023-24 at Underground Pench HPS. **The old un-serviceable pump is being written-off shortly.***

The expenses incurred towards above have been capitalized in the books of Accounts under Account Code 10.599. The additional Capitalization amounts to Rs 0.002 Crore on MP share basis.

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of assets under the original scope when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.002 Crore towards Other misc. equipments including fire protection system under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regards to write-off of old unserviceable pumps, the petitioner mentioned that the old unserviceable pumps is in process of write-off. Hence, expenditure towards Other misc. equipments including fire protection system is not allowed in this Order at this stage under Regulation 27.2(a) of the Regulation, 2020. The petitioner is at liberty to approach the Commission as and when, the old unserviceable pumps gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

vi. Other Office Equipments :-**Petitioner's Submission**

Following Office Equipments have been purchased at Pench HPS:-

- a) *Purchase, Supply & installation of 2 Nos. HP Laser Jet Printer for computer, vide Gem invoice No. 614/23-24 dated 21.02.2024, amounting to Rs 0.002 Crore. These purchases have been made as replacement **against write-off of old printers.***
- b) *Purchase of 1 No. LED smart T.V. 55 inch HD, vide Gem invoice No. 1052 dated 15.03.2024 amounting to Rs 0.002 Crore. **This purchase as replacement has been made against write-off old Monitor.***

The replaced assets have been capitalization and booked under Account Code 10.904 amounting to Rs 0.004 Crore.

The above capitalization is claimed as per regulation 27.2 (a) of the Regulations, 2020 which provides for replacement of assets under the original scope when the useful life of the assets is not commensurate with the useful life of the project.

vii. Computers: -**Petitioner's Submission**

Following Office Equipments have been purchased at Pench HPS:-

- a) *Purchase of 5 Nos Dell make Laptop – Notebook (Q2), vide No. GEM invoice No. GEMC-511687772886959 dated 16.02.2024, amounting to Rs 0.02 Crore. These purchases have been made as replacement **against write-off of old computers.***
- b) *Supply of 2 Nos desktop computer with all accessories vide GEM Contract No. GEMC-511687794415798 dated 16.02.2024 amounting to Rs 0.006 Crore. **These purchases have been made as replacement against write-off of old computers.***

The replaced assets have been capitalization and booked under Account Code 10.905 amounting to Rs 0.03 Crore.

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of assets under the original scope when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.004 Crore towards office equipments & Rs 0.03 Crore towards Computers under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization

towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

With regard to computers and office equipments, although the capitalization has been made against the write-off of old assets and necessary adjustments have been made in the Assets cum-Depreciation Register, but the Commission is of the view that these minor expenses towards computers and office equipments are in the nature of O&M expenses, hence, such expenditure is not allowed in this order. In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (a) of the Regulations, 2020. Hence, expenditure towards computers and office equipments is not allowed in this Order.

92. On perusal of the details filed by the petitioner, the Commission has observed that total expenditure of Rs 5.83 Crore towards hydel power generation plants, other transformers and communication equipment is covered under the Regulations, 2020, hence, allowed in this Order.
93. The breakup of assets addition allowed in this Order which are within original scope of work and beyond original scope of work are as follows:

Table 31: Additional capitalization allowed in PENCH HPS (Rs. in Crore)

A/c Code	Description	Amount	Addition within Original scope of work	Addition beyond Original scope of work
10.531	Hydel Power Generation Plant	5.73	5.73	
10.542	Other transformers-power house	0.10		0.10
10.571	Communication equipment	0.002		0.002
Total		5.83	5.73	0.10

94. The petitioner informed that the entire additional capitalisation is funded through equity/internal resources. Since, equity deployed over and above 30% is treated as normative loan as per Regulations, 2020, therefore, normative debt equity ratio of 70:30 is considered as per the Regulations, 2020.
95. Accordingly, the additional capitalization and its funding for PENCH HPS is allowed in this Order are as given below:

Table 32: Additional Capitalization and Funding allowed in Pench HPS**(Rs. in Crore)**

Particular	Additions During FY 2023-24
Assets	5.83
Loan	4.08
Equity allowed for assets within the original scope of work	1.72
Equity allowed for assets beyond the original scope of work	0.03

j) Raighat HPS:

96. The petitioner filed the additional capitalization of Rs. 1.51 Crore in Rajghat Hydro Power station during FY 2022-23. The details of the additional capitalization are as under:

Table 33: Additional Capitalization claimed in Rajghat HPS**(Rs. in Crore)**

Sr No	A/c Code	Description	Amount	Relevant Regulation of the Regulations, 2020
i	10.531	Hydel Power Generation Plant	0.14	28.1(a) & 28.1(d)
ii	10.542	Other transformers- Power House	0.43	Transfer from ATPS
iii	10.563	Batteries including charging equipments	0.04	27.2(a)
iv	10.583	Tools and tackles	0.01	27.2(a)
v	10.599	Other misc. equipments including fire protection system	0.01	28.1(a) & 28.1(d)
vi	10.904	Other office equipments	0.03	27.2(a)
vii	10.905	Computers	0.02	27.2(a)
viii	11.603	Capital Over Haul Turbine & Generator	0.82	28.1(b)
		Total	1.51	

97. Vide Commission's letter dated 31st December, 2024 the petitioner was asked to file certain details/ documents regarding the additional capitalization in Rajghat HPS. By affidavit dated 15th February, 2025 the petitioner filed its response to the queries raised by the Commission. The additional capitalization claimed by the petitioner in Rajghat HPS has been analysed under different heads of assets separately as given below:

i. Hydel Power Generation Plant: -**Petitioner's Submission**

An order was placed on M/s Advent Electric Technologies Pvt. Ltd., Delhi, vide No. 159 dated 10.05.2023 for procurement of 30 Nos. CO₂ gas filled cylinders of 45 Kg each and 04 Nos. of Nitrogen gas filled pilot cylinders of 2 Kg capacity each for use in CO₂ Fire Extinguisher System for Generator Protection at Rajghat HPS.

The assets have been capitalized in the Books of Accounts under Account Code 10.531 amounting to Rs. 0.14 Crore on MP Share basis vide Voucher No. 680151 dated 30.06.2023.

The Central Electricity Authority (Best Practices in operation and maintenance of Hydro Power Stations) recommends for mock trials of the fire fighting system along with evacuation system. Checking weight loss of the CO₂ Cylinders and replenish as per recommendations of OEM.

Further, CEA (Measures relating to safety and electric supply) Regulations, 2023 also mandates every generating stations, substations or switching stations, an artificial respirator, Fire extinguishers, first aid boxes, and gas masks shall be provided and kept in good working condition and locations of the same shall be displayed in the control room and operator cabin.

Therefore, aforesaid capitalization is claimed Under Proviso 28.1(a) of MPERC Regulations, 2020 which provides for compliance of “order or directions of any statutory authorities” read with Proviso 28.1(d) of MPERC Regulations, 2020 which provides for “Any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security”.

Commission’s Analysis:

The petitioner has claimed capitalization of Rs. 0.14 Crore towards procurement of CO₂ gas filled cylinders, Nitrogen gas filled pilot cylinders for Generator Protection under Regulation 28.1 (a) which provides for “Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law read with Regulation 28.1(d) of the Regulations, 2020, which provides any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security”. The petitioner informed that the aforesaid capitalization is done towards compliance of CEA (Best Practices in operation and maintenance of Hydro Power Stations) and (Measures relating to safety and electric supply) Regulations, 2023.

On perusal of the details and documents filed by the petitioner, it is observed that in para 6.2.3 of the Best practices in O&M of hydro “inspection of circuits for protection & control & mock trails of fire fighting system alongwith evacuation system. Checking weight loss of the CO₂ cylinders and replenish as per recommendations of OEM”. Further Regulation 29 of the CEA

(Measures relating to safety and electric supply) also mandate the hydro power station for such work. In view of the above, such assets additions is covered under aforesaid CEA Regulations, therefore, the same have been allowed under Regulation 28.1 (a) and 28.1(d) of the Regulations, 2020. Hence, the said additional capitalization of Rs. 0.14 Crore is allowed in this Order.

ii. Other transformers- Power House: -

Petitioner's Submission

The Capitalization booked under Account Code 10.542 amounting to Rs 0.43 Crore is towards Transfer of 1 No. 40 MVA, 132/33 KV, Transformer from ATPS PH-3, Chachai to Rajghat HPS vide order No. 1678 dated 22.03.2024.

The asset was already approved by the Commission at ATPS, Chachai the same has now been deleted and transferred to Rajghat HPS, therefore this asset has been added at Rajghat HPS.

In view of the above, MPPGCL requests the Commission to kindly allow the above capitalization on account of transfer of assets from ATPS, Chachai to Rajghat HPS.

Commission's Analysis:

The petitioner claimed the additional capitalization amounting to Rs. 0.43 Crore towards transfer of 132/33 KV, Transformer from ATPS PH-3, Chachai to Rajghat HPS. As consequent impact, the amount of Rs. 0.43 Crore has already been considered under total asset deduction of Rs. 0.81 Crore at ATPS Chachai as reflected in corresponding table of subject true up petition. Correspondingly Normative Loan/Equity has also been reduced for ATPS Chachai, which is also reflected in subject true up petition. It is observed that the aforesaid additional capitalisation is towards book adjustment. Earlier the assets of Transformer was under ATPS Chachai and now it has been transferred to Rajghat HPS. Hence, the asset of Rs 0.43 Crore transfer from ATPS PH-3 to Rajghat HPS is allowed in this Order, accordingly.

iii. Batteries Including Charging Equipment:-

Petitioner's Submission:

The additional Capitalization booked under Account Code 10.563 amounting to Rs 0.04 Crore is towards:

- a) Procurement order for Design, manufacture, supply, erection, testing & commissioning of 3 Nos. 12V 150AH, lead acid type tabular, rugged material with water level indicator Battery, amounting to Rs 0.004 Crore, vide order No. 428 dated 07.07.2023.*

- b) Procurement of 15 Nos. 12V 65AH SMF Battery at Rajghat HPS, amounting to Rs 0.01 Crore, vide order No. 1004 dated 13.12.2023.
- c) Procurement of 12 Nos. 24V, 300AH HDP Tabular Battery Set along with installation, testing and commissioning at Rajghat HPS, amounting to Rs 0.024 Crore vide order No. 421 dated 05.07.2023.

The write-off of old batteries is under process.

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020, which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.04 Crore towards Batteries Including Charging Equipment under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regards to write-off of old batteries, the petitioner submitted that the old batteries is in the process of write-off. Hence, expenditure towards batteries Including Charging Equipment is not allowed in this Order at this stage under Regulation 27.2 (a) of the Regulations, 2020. The petitioner is at liberty to approach the Commission as and when, the batteries gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

iv. Tools and Tackles:-

Petitioner's Submission

The capitalization claimed under Account Code 10.583 amounting to Rs. 0.01 Crore is towards

1. Procurement of 2 Nos. Single Phase, input VAC, IGBT Based, heavy duty Welding machine.
2. Procurement of 2 Nos. hand drill machine,
3. Procurement of 2 Nos. Angle Grinder, Weight 1.5-2 kg Dia 100mm, speed 12000rpm.
4. Procurement of 1 No. socket sets.

5. Procurement of 1 No. Spanner Box tabular double ended.
 6. Procurement of 1 No. Spanner set ring type single ended.
 7. Procurement of 1 No. Allen key set.
- vide order No. 1210 dated 07.03.2023.

The write-off of old tools & tackles is under process.

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.01 Crore towards tools and tackles under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regards to write-off of old tools & tackles, the Commission is of the view that though old tools & tackles is in process of write-off, but these items are in the nature of O&M expenses, hence, expenditure towards tools & tackles are not allowed as capital expenses in this Order.

v. Other Misc. Equipments Including Fire Protection System :-

Petitioner's Submission

The Capitalization booked under Account Code 10.599 amounting to Rs. 0.01 Crore is towards:

1. Procurement of 5 Nos. CO2 type fire extinguishers, 22.5 kg capacity & 10 Nos fire extinguishers, 6.5kg capacity.
2. Procurement of 10 Nos. Dry chemical powder type fire extinguishers, 9 kg capacity & 10 Nos. Dry chemical powder type fire extinguishers, 6 kg capacity.
3. Procurement of 10 Nos. Mechanical foam type fire extinguishers, 9 ltr capacity.

Vide order No. 1262 dated 20.03.2023.

The Central Electricity Authority (Best Practices in operation and maintenance of Hydro Power Stations) recommends for mock trials of the fire fighting system

along with evacuation system. Checking weight loss of the CO2 Cylinders and replenish as per recommendations of OEM.

Further, CEA (Measures relating to safety and electric supply) Regulations, 2023 also mandates every generating stations, substations or switching stations, an artificial respirator, Fire extinguishers, first aid boxes, and gas masks shall be provided and kept in good working condition and locations of the same shall be displayed in the control room and operator cabin.

Therefore, aforesaid capitalization is claimed Under Proviso 28.1(a) of MPERC Regulations, 2020 which provides for compliance of “order or directions of any statutory authorities” read with Proviso 28.1(d) of MPERC Regulations, 2020 which provides for “Any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security”.

Commission’s Analysis:

The petitioner has claimed capitalization of Rs. 0.01 Crore towards procurement of Other Misc. Equipments Including Fire Protection System under Regulation 28.1 (a) which provides for “Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law read with Regulation 28.1(d) of the Regulations, 2020, which provides any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security”. The petitioner informed that the aforesaid capitalization is done towards compliance of CEA (Best Practices in operation and maintenance of Hydro Power Stations) and (Measures relating to safety and electric supply) Regulations, 2023. On perusal of the details and documents filed by the petitioner, it is observed that Regulation 29(1) & (5) of the CEA (Measures relating to safety and electric supply) also mandate the hydro power station for such work. In view of the above, such assets additions is covered under aforesaid CEA Regulations, therefore, the same has been allowed under Regulation 28.1 (a) and 28.1(d) of the Regulations, 2020. Hence, the said additional capitalization of Rs. 0.01 Crore is allowed in this Order.

vi. Other Office Equipments :-

Petitioner’s Submission

The capitalization booked under Account Code 10.904 amounting to Rs 0.03 Crore is towards:

1. Procurement of 1 No. Kent makes Water purifier with necessary spares and accessories at Rajghat HPS vide order No. 154 dated 08.05.2023.
2. Procurement of 1 No. Split Air Conditioner capacity 2Ton 5 Star, 1 No. double door fridge with inverter frost free technology with 5 star rating having capacity 240 ltr. and 1 No. Electric storage water heater with overheat protection having capacity of 10 ltr with 5 star rating at Rajghat HPS vide order No. 1141 dated 17.01.2024.
3. Procurement of 1 No. Arctic make, model No. ADC-32K, capacity 22000CMH Evaporative Air Cooler at Rajghat HPS vide order No. 305 dated 13.06.2023.

The write-off of office equipment is under process.

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

vii. Computers:-

Petitioner's Submission

The capitalization booked under Account Code 10.905 amounting to Rs 0.02 Crore is towards:

1. Procurement of 2 Nos. Dell intel core i5 15.6" Laptop (window 11 professional) at Rajghat HPS, vide GeM Contract No. 511687787506678 dated 15.03.2024.
2. Procurement of 6 Nos. Desktop Computers, Hp intel core i5 12500 16 GB/ 1000GB HDD/ Windows-11 Professional at Rajghat HPS, vide GeM Contract No. 511687752183014 dated 23.01.2024. **The old computers are being written-off shortly.**

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis

The petitioner has claimed additional capitalization of Rs 0.03 Crore towards office equipments & Rs 0.02 Crore towards Computers under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be

admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

In view of the above provision under the Regulations, it is observed that the said expenditure towards office equipments claimed by the petitioner does not fall under the Regulation 27.2 (a) of the Regulations, 2020 as the petitioner has not shown the replacement of existing assets where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Also the Commission is of the view that these minor expenses towards office equipments are in the nature of O&M expenses, hence, such expenditure is not allowed in this order.

With regard to computers, although the capitalization has been made against the write-off of old assets and necessary adjustments have been made in the Assets cum-Depreciation Register, but the Commission is of the view that these minor expenses towards computers are in the nature of O&M expenses, hence, such expenditure is not allowed in this order.

viii. Capital Over Haul Turbine & Generator (COH):

Petitioner's Submission

The Statutory compliance of Indian Accounting Standards (INDAS) is mandatory on MPPGCL. Based on said standards, the Expenditure on Major inspection/capital Overhaul-Generator Turbine was capitalized in the Audited books of Accounts of MPPGCL in FY 2023-24 at Rajghat HPS under Account Code 11.603 amounting to Rs. 0.82 Crore on MP share basis. The same is claimed in the instant petition is towards:

Work of Capital overhauling of Unit No. 3 at Rajghat HPS order placed on M/s Multitech Engineers, Ghaziabad (U.P.), vide order No. 81 dated 13.04.2023, Voucher No. 680005 dated 31.01.2024 and extension work order for Capital Overhauling placed to M/s Multitech Engineers Ghaziabad (U.P.), for Unit No.3 at Rajghat HPS, as per scope of work, vide order No. 1125 dated 12.01.2024 and Voucher No. 680550 dated 31.03.2024.

Aforesaid Capitalization is claimed as per Proviso 28.1(b) of MPERC Regulations, 20 which provides for “Additional capitalization on account of Change in law or compliance of any existing law”.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.82 Crore towards Capital Overhaul Expenditure under Regulation 28.1 (b) of the Regulations, 2020,

which provides for additional capital expenditure beyond original scope of work on account of change in law or compliance of any existing law. It is observed that the aforesaid additional capitalization is only book entry, due to change in accounting practices under Indian Accounting Standards, whereas, the Commission is determining tariff under GAAP. The said expenditure of Rs. 0.82 Crore claimed by the petitioner does not fall under Regulation 28.1 (b) of the Regulations, 2020. It is also observed that petitioner is unable to justify its claim of additional expenditure under the Regulations, 2020. Hence, expenditure towards Boiler/Turbine Capital Overhaul Expenditure is not allowed in this Order.

98. In view of the above, the Commission has only allowed capitalization of hydel power generation plant, transformers and fire-fighting system of Rs 0.58 Crore under the Regulations, 2020 in Rajghat HPS.
99. The breakup of assets addition allowed in this Order which are within original scope of work and beyond original scope of work are as follows:

Table 34: Additional capitalization allowed in Rajghat HPS (Rs. in Crore)

A/c Code	Description	Amount	Addition within Original scope of work	Addition beyond Original scope of work
10.531	Hydel Power Generation Plant	0.14		0.14
10.542	Other transformers- Power House	0.43	0.43	
10.599	Other misc. equipments including fire protection system	0.01		0.01
Total		0.58	0.43	0.15

100. The petitioner informed that the entire additional capitalisation is fully funded through equity/internal resources. Since, equity deployed over and above 30% is treated as normative loan as per Regulations, 2020, therefore, normative debt equity ratio of 70:30 is considered as per the Regulations, 2020.
101. Accordingly, the additional capitalization and its funding for Rajghat HPS allowed in this Order are as given below:

Table 35: Additional Capitalization and Funding allowed in Rajghat HPS (Rs. in Crore)

Particular	Additions During FY 2023-24
Assets	0.58
Loan	0.41
Equity allowed for assets within the original scope of work	0.13
Equity allowed for assets within the beyond original scope of work	0.05

k) Bargi HPS:

102. The petitioner filed the additional capitalization of Rs. 1.54 Crore in Bargi Hydro Power station during FY 2023-24 towards instrumentation and controls, other transformers-power house and other transmission plant etc.
103. The petitioner confirmed that the additional assets of Rs. 1.54 Crore in Bargi HPS are capitalized in Annual Audited Accounts for FY 2023-24 and same has been funded entirely through internal resources/equity. The details of the additional assets in Bargi HPS filed in the petition are as follows:

Table 36: Additional Capitalization claimed in Bargi HPS (Rs. in Crore)

Sr No	A/c Code	Description	Amount	Relevant Regulation of the Regulation, 2020
i.	10.520	Instrumentation And Controls	0.18	27.2(a)
ii.	10.542	Other transformers- Power House	0.99	28.1(a)
iii.	10.543	Other transmission plant, transformer kiosks, sub-station equipment and other fixed apparatus	0.17	28.1(b)
iv.	10.561	Switchgear including cable connections	0.08	27.2(a)
v.	10.567	Lightning arrestors	0.08	27.2(a)
vi.	10.599	Other misc. equipments including fire protection system	0.02	28.1(a) & 28.1(d)
vii.	10.904	Other office equipments	0.005	28.1(b)
Total			1.54	

104. Vide Commission's letter dated 31th December, 2024 the petitioner was asked to file certain details/ documents regarding the additional capitalization in Bargi HPS. By affidavit dated 15th February, 2025, the petitioner filed its response to the queries raised by the Commission. The additional capitalization claimed by the petitioner in Bargi HPS has been analysed under different heads of assets separately as given below:

i. Instrumentation and Controls: -**Petitioner's Submission**

An order was placed on M/s Temflo Systems Private Limited, Ghaziabad towards supply, erection & commissioning of 6 Nos. 24 channel temperature graphic paper less recorder at RABS HPS, Bargi Nagar, vide order No. 1828 dated 31.03.2024. These recorders capture data from all sensible points of Generator using RTD. Close

monitoring of Generator can therefore be done, thus contributing towards safety. These 24 Channel Temperature Graphic paper less recorder have been purchased against old unserviceable Chart Recorders installed during commissioning of Units. The Capitalization is booked under Account Code 10.520 amounting to Rs. 0.18 Crore vide voucher No. 680684 dated 31.03.2024. **The old replaced assets are being written-off shortly.**

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of assets under the original scope when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.18 Crore towards Instrumentation & Controls under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regards to write-off of old replaced assets, the petitioner mentioned that the temperature graphic paper less recorder is in process of write-off and being written off shortly. Hence, expenditure towards Instrumentation & Controls is not allowed in this Order at this stage under Regulation 27.2(a) of the Regulation, 2020. The petitioner is at liberty to approach the Commission as and when, the old replaced assets gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

ii. Other transformers- Power House: -

Petitioner's Submission

For compliance of directives of MP SLDC for State Energy Accounting and CEA (Installation and Operation of Meters) Regulations, 2006 read with subsequent amendments, which specify that the accuracy of Current Transformers (CTs) and Voltage Transformers (VTS/CVTs) shall not be inferior to that of associated meters (0.2s). Accordingly, Purchase, installation, testing & commissioning of 24 Nos. CT (Current Transformer), 8 Nos. PT (Potential Transformer), 9 Nos. CVT (Current Voltage Transformer) 0.2 accuracy class 132 KV, along with dismantling of existing system at RABS HPS, Bargi nagar have been carried out, vide order No. 1710 dated 06.03.2023, placed on M/s S.D. Integrated Marketing Services, Jabalpur.

These assets have been Capitalization in Books under Account Code 10.542 amounting to Rs 0.99 Crore, vide voucher No. 680497 dated 31.03.2024.

The above-mentioned capitalization is made towards compliance of directives of CEA, therefore, aforesaid capitalization is claimed Under Proviso 28.1(a) of MPERC Regulations, 2020 which provides for compliance of “order or directions of any statutory authorities”

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 0.99 Crore towards Other transformers has claimed under Regulation 28.1 (a) which provides for “Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law”. The petitioner informed that the aforesaid capitalization is done towards compliance of directives of MP SLDC for State Energy Accounting and CEA (Installation and Operation of Meters) Regulations, 2006 which specifies the accuracy of interface meter shall be 0.2s, therefore, the said expenditure of Rs. 0.99 Crore towards other transformers (which is beyond original scope of work) is allowed in this Order.

iii. Other transmission plant, transformer kiosks, sub-station equipment and other fixed apparatus: -

Petitioner’s Submission

(a) The Environment (Protection) Act, 1986 read with Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016 mandates that no person carrying on any industry, operation or process shall discharge or emit or be permitted to be discharge or emit pollutants. Further, no person shall handle or cause to be handled any hazardous substance except in accordance with such procedure and after complying with such safeguards as may be prescribed. In compliance to the above MPPGCL has procured one number High Vacuum Transformer Oil Filtering machine and evacuation system confirming to IS 6034 from M/s Krishna Engineering Company, Bhopal vide order no. 3272 dated 21.03.2023. This Transformer Oil Filtering machine shall be utilized at Bargi HPS for filtering and recycling Generator Transformer Oil, Station Transformer Oils and other transformers oils thus avoiding discard of used Oil (Hazardous material).

The new asset has been Capitalized in books of accounts under Account Code 10.543 vide voucher No. 680685 dated 31.03.2024 amounting to Rs. 0.17 Crore.

The above-mentioned capitalization is made towards compliance of directives of The Environment (Protection) Act, 1986 and MoEF&CC Rules, therefore aforesaid capitalization is claimed under proviso 28.1(b) of the Regulations 2020, which provides for “change in law or compliance of any existing law”.

(b) Further, 33 Nos. 132/33KV Isolator TP gang operated without earth switch amounting to Rs 0.01 Crore vide order No. 1678 dated 22.03.2024 have been transferred from ATPS PH-3, Chachai to RABS HPS, Bargi Nagar and commissioned. The asset value is Rs. 01 Crore.

The asset was already approved by the Commission at ATPS, Chachai the same has now been deleted and transferred to Bargi HPS, therefore this asset has been added at Bargi HPS.

In view of the above, MPPGCL requests the Commission to kindly allow the above capitalization on account of transfer of assets from ATPS, Chachai to Bargi HPS.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.17 Crore towards Transformer Oil Filtering machine under Regulation 28.1 (b) of Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The petitioner stated that aforesaid item shall be utilised for filtering and recycling generator transformer oil, station transformer oils and other transformer oils, thus avoiding discard of used oil (Hazardous material). Since, this capitalization is made towards compliance of directives of the Environment (Protection) Act, 1986 read with Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016, therefore, the same is covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, this expenditure of Rs 0.17 Crore towards works related to transmission plant, transformers, sub-station equipment and other items is allowed in this Order

Further, the petitioner claimed the additional capitalization amounting to Rs. 0.01 Crore towards transfer of asset related to 33 Nos. 132/33KV Isolator TP gang operated without earth switch from ATPS PH 3 to Bargi HPS. It is observed that the amount of Rs. 0.01 Crore is not considered under total asset deduction of Rs. 0.81 Crore at ATPS PH 3 as reflected in corresponding table of True up petition. Since, the petitioner has not demonstrated/justified the transfer of assets to ATPS PH 3 to Bargi HPS. Hence, the Commission has not allowed the transfer of asset in this Order, at this stage.

iv. Switchgears including Cable Connections:-

Petitioner's Submission

One number 132 kV, CGL make SF6 Gas Circuit Breaker has been diverted from Bansagar PH-4 Jhinna to Bargi HPS. The same has been put to use in Unit No.1 in FY 2023-24. The capitalization claimed under Account Code 10.561 amounting to Rs 0.08 Crore is towards order for Supply of Circuit breaker including

installation charges vide order No. 2643 dated 12.10.2020 at RABS HPS, Bargi nagar. **The old unserviceable Circuit breaker is being survey reported and written-off shortly.**

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.08 Crore towards Supply of Circuit breaker including installation charges under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regards to write-off of old unserviceable circuit breakers, the petitioner mentioned that the old unserviceable circuit breakers is in process of write-off and being written-off shortly. Hence, expenditure towards circuit breaker is not allowed in this Order at this stage under Regulation 27.2(a) of the Regulation, 2020. The petitioner is at liberty to approach the Commission as and when, the old unserviceable circuit breakers gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

v. Lightning Arrestors:-

Petitioner's Submission

As order was placed on M/s LAMCO Industries Private Limited, Hyderabad for procurement of 132 kV and 33kV Metal Oxide Lightning Arrestors, vide order No. 3100 dated 19.10.2022 amounting to Rs 0.08 Crore for Bargi HPS. 12 Nos. 33KV & 18 Nos. 132KV Lighting Arrestors have been used as replacement to old Lighting Arrestors at Bargi HPS whose reliability cannot be assured. **The survey report of old Lighting Arrestors is in process and they will be written-off shortly.**

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.08 Crore towards Lighting Arrestors under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regards to write-off of old Lighting Arrestors, the petitioner mentioned that the old Lighting Arrestors is in process of write-off. Hence, expenditure towards Lighting Arrestors is not allowed in this Order at this stage under Regulation 27.2 of the Regulations, 2020. The petitioner is at liberty to approach the Commission as and when, the Lighting Arrestors gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

vi. Other Misc. Equipments Including Fire Protection System :-**Petitioner's Submission**

As order was placed on M/s Singh International Security Services, Bhopal order No. 1714 dated 19.12.2023 for supply of CO₂ type Fire extinguishers, Dry Chemical Powder (DCP) extinguishers and Mechanical Foam type extinguishers. Similarly, an order was placed on M/s Rudraksh Enterprises, Jabalpur for supply Fire Equipments vide No. 388 dated 05.06.2023 for Bargi HPS.

The new assets has been Capitalized in the books of Accounts under Account Code 10.599 amounting to Rs. 0.02 Crore. These new assets are in addition to the existing Fire extinguishers based on safety recommendations.

The Central Electricity Authority (Best Practices in operation and maintenance of Hydro Power Stations) recommends for mock trials of the fire fighting system along with evacuation system. Checking weight loss of the CO₂ Cylinders and replenish as per recommendations of OEM.

Further, CEA (Measures relating to safety and electric supply) Regulations, 2023 also mandates every generating stations, substations or switching stations, an artificial respirator, Fire extinguishers, first aid boxes, and gas masks shall be provided and kept in good working condition and locations of the same shall be displayed in the control room and operator cabin.

Therefore, aforesaid capitalization is claimed Under Proviso 28.1(a) of MPERC Regulations, 2020 which provides for compliance of “order or directions of any statutory authorities” read with Proviso 28.1(d) of MPERC Regulations, 2020 which provides for “Any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security”.

Commission’s Analysis:

The petitioner has claimed capitalization of Rs. 0.02 Crore towards Other Miscellaneous Equipments including Fire Protection System under Regulation 28.1 (a) which provides for “Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law read with Regulation 28.1(d) of the Regulations, 2020, which provides any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security”. The petitioner has mentioned that the aforesaid capitalization is made towards compliance of CEA (Best Practices in operation and maintenance of Hydro Power Stations) and (Measures relating to safety and electric supply) Regulations, 2023, therefore, the said additional capitalization of Rs. 0.02 Crore towards fire-protection system (which is beyond original scope of work) is allowed in this Order.

vii. Other Office Equipments:-

Petitioner’s Submission

As order was placed on M/s Satguru Aqua Solutions, Jabalpur for supply and installation of 01 No. Water Cooler and 01 No. Water Purifier vide order No. 1924 dated 17.01.2024.

The new asset has been capitalization in books of accounts under Account Code 10.904 amounting to Rs 0.005 Crore.

This procurement is in compliance to Section 18 of Factory Act, 1948, where in it has been directed that in every factory effective arrangements shall be made to provide and maintain, at suitable points conveniently situated for all workers employed therein, a sufficient supply of wholesome drinking water.

The aforesaid capitalization is claimed under proviso 28.1(b) of MPERC Regulations 2020, which provides for “change in law or compliance of any existing law”.

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 0.005 Crore towards office equipments such as Water Cooler and Water Purifier under Regulation 28.1 (b) of

Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The petitioner has mentioned that this capitalization is made towards compliance to Section 18 of the Factory Act, 1948 which states that it is the responsibility of the factory owner to provide portable water facility to the workers employed therein. Considering above, the said expenditure falls under Regulation 28.1 (b) of the Regulations, 2020. Hence, expenditure of Rs 0.005 Crore towards such asset is allowed in this Order.

105. In view of the above, the Commission has allowed additional capitalization of Rs 1.19 Crore towards other transformers-power house, other transmission plant transformer kiosks, sub-station equipment and other misc. equipments including fire-fighting system and office equipments under the Regulations, 2020 in Bargi HPS.

106. The breakup of assets addition allowed in this Order which are within original scope of work and beyond original scope of work are as follows:

Table 37: Additional capitalization allowed in Bargi HPS (Rs. in Crore)

A/c Code	Description	Amount	Addition within Original scope of work	Addition beyond Original scope of work
10.542	Other transformers- Power House	0.99		0.99
10.543	Other transmission plant, transformer kiosks, sub-station equipment and other fixed apparatus	0.17		0.17
10.599	Other misc. equipments including fire protection system	0.02		0.02
10.904	Other office equipments	0.005		0.005
Total		1.19		1.19

107. The petitioner informed that the entire additional capitalisation is fully funded through equity/internal resources. Since, equity deployed over and above 30% is treated as normative loan as per Regulations, 2020, therefore, normative debt equity ratio of 70:30 is considered as per the Regulations, 2020.

108. Accordingly, the additional capitalization and its funding for Bargi HPS allowed in this Order are as given below:

Table 38: Additional Capitalization and Funding allowed in Bargi HPS (Rs. in Crore)

Particular	Additions During FY 2023-24
Assets	1.19
Loan	0.83
Equity allowed for assets beyond the original scope of work	0.36
Equity allowed for assets within the original scope of work	0.00

I) Bansagar PH-1, 2 & 3 HPS:

109. The petitioner filed the additional capitalization of Rs. 35.53 Crore in Bansagar, PH-1,2&3 during FY 2023-24. The details of same are as under:

Table 39: Asset Capitalization claimed in Bansagar PH-1,2&3 HPS (Rs. in Crore)

Sr No.	A/c Code	Description	Amount	Relevant Regulation of the Regulations, 2020
i	10.531	Hydel Power Generation Plant	6.02	27.2(b)
ii	10.535	Auxiliaries in hydel power plant	0.20	27.2(a) & 28.1(b)
iii	10.542	Other transformers- Power House	1.92	27.2(a)
iv	10.543	Other transmission plant, transformer kiosks, sub-station equipment and other fixed apparatus	0.15	27.2(a)
v	10.563	Batteries including charging equipments	0.42	27.2(a)
vi	10.572	Communication equipments-Telephone lines & Telephones	0.10	28.1(b)
vii	10.905	Computers	0.01	27.2(a)
viii	11.603	Capital Over Haul Turbine & Generator	26.70	28.1(b) & 27.2(a)
Total			35.53	

110. Vide Commission's letter dated 31th December, 2024 the petitioner was asked to file certain details/ documents regarding the additional capitalization in Bansagar PH-1,2 & 3 HPS. By affidavit dated 15th February, 2025 the petitioner filed its response to the queries raised by the Commission. The additional capitalization claimed by the petitioner in Bansagar PH-1,2&3 has been analysed under different heads of assets separately as given below:

(i) Hydel Power Generation Plants :-**Petitioner's Submission**

*The Capitalization booked under Account Code 10.531 amounting to Rs. 6.02 Crore is towards Replacement of Complete stator windings (540 bars) including connectors, bus ring connection and other winding insulation items for stator windings of BHEL make Generator of Unit No.1 at 3x105MW, Tons Hydel Power Station placed on M/s BHEL Spares & services business group, Jabalpur, vide Order No. 781 dated 05.01.2021 and amendment order Nos 992 dated 22.02.2021 and 411 dated 04.08.2021. **The survey report of old Stator windings of Unit No.1 along with other accessories is in process.***

As already explained above, the Unit No. 1 of Tons HPS Sirmour (Bansagar PH-1) had tripped on 05.01.2022 at 15:50 Hrs. with flash over and fire observed in generator which was a force majeure condition. Aforesaid capitalization is, therefore, claimed under proviso 27.2(b) of MPERC Regulations 2020, which provides for the replacement of asset or equipment is necessary, on account of change in law of Forced Majeure conditions.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs. 6.02 Crore towards Hydel power generation plant under Regulation 27.2 (b) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment if necessary, on account of change in law or Force Majeure conditions. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regards to write-off of old Stator windings of Unit No.1 along with other accessories, the petitioner mentioned that the old Stator windings of Unit No.1 along with other accessories yet to be written-off is in the process of write-off. Hence, expenditure towards Hydel power generation plant is not allowed in this Order at this stage under Regulation 27.2 (a) of the Regulations, 2020. The petitioner is at liberty to approach the Commission as and when, the old Stator windings of Unit No.1 along with other accessories gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register

(ii) Auxilliarities In Hydel Power Plants:-

Petitioner's Submission

The Capitalization booked under Account Code 10.535 amounting to Rs. 0.20 Crore is towards:

- a. Order for supply of 02 Nos. Cooling Water Motor Pump set (CW Pump set), at Bansagar HPS PH-1, having capacity of 12500LPM, head 65m single stage suction was placed on M/s Flowmore Limited, Delhi, vide order No. 2017 dated 29.10.2020, amounting to Rs. 0.09 Crore. **The Survey Report/ write-off of old asset is in process.****

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

- b. *The Environment (Protection) Act, 1986 read with Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016 mandates that no person carrying on any industry, operation or process shall discharge or emit or be permitted to be discharge or emit pollutants. Further, no person shall handle or cause to be handled any hazardous substance except in accordance with such procedure and after complying with such safeguards as may be prescribed.*

In compliance to the above MPPGCL has procured 01 No. of Oil Centrifuge Unit from M/s CBS Technologies Pvt. Ltd., Noida, vide order No. 3143 dated 13.03.2023, amounting to Rs. 0.11 Crore.

This Oil Centrifuge Unit shall be utilized at Bansagar HPS PH-2 for separating contamination in servo oil, being used by various auxiliaries of Hydel Power Station and to retain its property. The Oil shall be reused without any wastage, thus avoiding discard of used Oil (Hazardous material).

The above-mentioned capitalization is made towards compliance of directives of The Environment (Protection) Act, 1986 and MoEF&CC Rules, therefore aforesaid capitalization is claimed under proviso 28.1(b) of MPERC Regulations 2020, which provides for “change in law or compliance of any existing law”.

Commission’s Analysis:

- a. The petitioner has claimed additional capitalization of Rs 0.20 Crore towards Cooling Water Motor Pump set under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

With regards to write-off of old assets, the petitioner mentioned that the old assets is in process of write-off. Hence, expenditure towards Cooling Water Motor Pump set is not allowed in this Order at this stage under Regulation 27.2 (a) of the Regulations, 2020. The petitioner is at liberty to approach the Commission as and when, the Assets gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

- b. The petitioner has also claimed additional capitalization of Rs 0.11 Crore towards Oil Centrifuge Unit under Regulation 28.1 (b) of the Regulations, 2020 which

provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The petitioner has mentioned that the aforesaid item shall be utilised for separating contamination in servo oil/lubricating oil, being used in various auxiliaries of Hydel Power Station. The Oil shall be reused without any wastage, thus avoiding discard of used oil (Hazardous material). Since, this capitalization is made towards compliance of directives of the Environment (Protection) Act, 1986 and MoEF&CC Rules, therefore, the same is covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, this expenditure of Rs 0.11 Crore towards auxiliaries in hydel power plant is allowed in this Order.

(iii) Other Transformers Of Power House:-

Petitioner's Submission

*The additional capitalization amounting to Rs 1.92 Crore, is booked under Account Code 10.542 for procurement of 20 MVA 220kV/33 KV Transformer (to be used as Station transformer) with terminal connector at Bansagar HPS PH-1, vide order No. 314 dated 22.02.2021 and amended order No. 08 dated 04.04.2022. **The survey report / write-off of old transformer is in process.***

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 1.92 Crore towards procurement other transformers of power house under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regards to write-off of old transformer, the petitioner mentioned that the old transformer is yet to be written-off and is in the process of write-off. Hence, expenditure towards transformer is not allowed in this Order at this stage under Regulation 27.2 (a) of the Regulations, 2020. The petitioner is at liberty to approach the Commission as and when, the transformer gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

(iv) Other transmission plant, transformer kiosks, sub-station equipment and other fixed apparatus: -

Petitioner's Submission

*Two numbers of 145 kV, Gang operated 145 KV SF-6 Circuit Breakers along with essential spare at 2x15 MW, BS HPS-2 have been procure from M/s C.G. Power and Industrial Solutions Ltd., Mumbai, vide order No. 2612 dated 31.12.2020, amounting to Rs 0.154 Crore. The additional capitalization is booked under Account Code 10.543. **The old unserviceable Circuit breaker is being survey reported and written-off shortly.***

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.0154 Crore towards Other transmission plant, transformer kiosks, sub-station equipment and other fixed apparatus under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regards to write-off of old unserviceable Circuit breaker, the petitioner mentioned that the old unserviceable Circuit breaker is yet to be written off and in process of write-off. Hence, expenditure towards Circuit Breakers is not allowed in this Order at this stage under Regulation 27.2 (a) of the Regulations, 2020. The petitioner is at liberty to approach the Commission as and when, the old unserviceable Circuit breaker gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

(v) Batteries Including Charging Equipment :-

Petitioner's Submission

The Capitalization booked under Account Code 10.563 amounting to Rs. 0.42 Crore is towards:

- a) Supply, Erection, Testing & Commissioning of 02 Nos. 220V/300AH Float and Float cum Boost Charger for Bansagar HPS PH-1, amounting to Rs 0.07 Crore, vide order No. 1786 dated 29.07.2021.*

- b) Supply, Erection, Testing & Commissioning of “Exide” make 220-300AH Station battery for Bansagar HPS PH-2, amounting to Rs 0.28 Crore, vide order No. 2936 dated 15.11.2016.
- c) Supply, Erection, Testing & commissioning of 220V/ 50A Battery Charger for Bansagar HPS PH-2, amounting to Rs 0.06 Crore, vide order No. 2879 dated 24.12.2019.

*The old unserviceable Battery chargers at Bansagar HPS PH-1 &2 and Battery set at Bansagar HPS PH-2, **are being survey reported and written-off shortly.***

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission’s Analysis:

The petitioner has claimed additional capitalization of Rs 0.42 Crore towards batteries including charging equipments under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

With regards to write-off of old unserviceable Battery chargers and Battery set, the petitioner mentioned that the old unserviceable Battery chargers and Battery set are in process of write-off. Hence, expenditure towards batteries including charging equipments is not allowed in this Order at this stage under Regulation 27.2 (a) of the Regulations, 2020. The petitioner is at liberty to approach the Commission as and when, the old unserviceable Battery chargers and Battery set gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

(vi) Communication equipment’s-Telephone lines & Telephones: -

Petitioner’s Submission

The additional capitalization booked under Account Code 10.572 is for procurement of 2 Nos Single Channel PLCC Cabinet 40 Watt without protection coupler at Bansagar HPS PH-3, amounting to Rs 0.10 Crore, vide order No. 2736 dated 23.01.2023, for transmission of telemetry data.

An order was placed on M/s Punjab Communication Ltd., Mohali, vide No. 2736 dated 23.01.2023 for supply, erection, testing and commissioning of Power Line

*Carrier Communication (PLCC) cabinets along with all accessories for transmission of telemetry data of Bansagar HPS PH-3 (Deolond) to SLDC Jabalpur with repeater stations at Bansagar HPS (Jhinna) and Satna substations. These cabinets are replacement to **old obsolete PLCC cabinets whose survey report and write-off** is already in process. Further, as reliable communication of telemetry data is essential for Power System monitoring by MP SLDC, priority was therefore given for commissioning of new PLCC equipments. This also complies to the directives issued in IEGC and MP Grid Code towards proper Communication for Telemetry, Protection Equipments and Speech.*

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.10 Crore towards communication equipment-telephone line and telephones under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regards to write-off of old obsolete PLCC cabinets, the petitioner mentioned that the old obsolete PLCC cabinets is in process of write-off. Hence, expenditure towards procurement of communication equipments is not allowed in this Order at this stage under Regulation 27.2 (a) of the Regulations, 2020. The petitioner is at liberty to approach the Commission as and when, the obsolete PLCC cabinets gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

(vii) Computers :-

Petitioner's Submission

*The additional capitalization booked under Account Code 10.905 amounting to Rs. 0.01 Crore is towards supply of 2 Nos. desktop computers and 1 No. HP Laser AIO Printer for Bansagar HPS PH-3, vide order No. 318 dated 03.05.2023. The old unserviceable desktop computers and printers is **being survey reported and written-off shortly.***

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.01 Crore towards Computers under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regard to computers, the Commission is of the view though old computers are in the process of write-off but these items are in the nature of O&M expenses, hence, such expenditure towards computers is not allowed as capital expenses in this order.

(viii) Capital Over Hauling (COH):- Petitioner's Submission

The Statutory compliance of Indian Accounting Standards (INDAS) is mandatory on MPPGCL. Based on said standards, the Expenditure on Major inspection/capital Overhaul- Generator and Turbine was capitalized in the Audited books of Accounts of MPPGCL in FY 2023-24 at Bansagar HPS PH-1,2 & 3 under Account Code 11.603 amounting to Rs 26.70 Crore is towards:

- a) Order for work contract for supply, erection, commissioning and restoration of damaged generator including dismantling, rectification, assembly of Stator core windings and Rotor Poles of BHEL make Generator of Unit No.1 at 3x105 MW, Bansagar PH-1, vide No. 1031 dated 28.01.2022, having total value of Rs. 18.07 Crore. The total value issued on completion of CoH is Rs. 17.78 Crore. Out of this an amount of Rs. 6.02 Crore has been capitalized in account code 10.531 as already described in **Point A** above. The balance value on completion of CoH is Rs.11.76 Crore, as capitalized in account code 11.603.*

Therefore, the supply portion of tangible asset (supply part) of Generator No.-1 in this order, amounts to Rs. 8.70 Crore and the works portion amounts to Rs. 3.06 Crore.

- b) Order for work contract for Capital Overhauling of Turbine of Unit No.1 at 3x105 MW, Bansagar PH-1, vide No.783 dated 05.01.2021, having total value of Rs. 09.95 Crore. The total asset value issued on completion of CoH is Rs. 9.60 Crore, as capitalized in account code 11.603. The supply portion of tangible asset (supply part) of Turbine No.1, in this order, amounts to Rs. 7.83 Crore and the works portion amounts to Rs. 1.77 Crore.
- c) Work Order for supply and repair works of Turbine and generator part of Unit No.1 at 3x105 MW, Bansagar PH-1 vide No.1804 dated 20.10.2022, having total value of Rs. 4.84 Crore. The total asset value issued on completion of CoH is Rs. 4.84 Crore, as capitalized in account code 11.603. The supply portion of tangible asset (supply part) in this order amounts to Rs. 1.70 Crore and the works portion amounts to Rs. 3.14 Crore.
- d) The Freight charges of the supply portion of tangible asset (supply part) for COH works of Turbine and Generator part of Unit No.3 at 3x105 MW, Bansagar PH-1, vide No.293 dated 14.08.2020, amounting to Rs. 0.097 Crore, has been capitalized in account code 11.603, in the Audited books of Accounts of MPPGCL in FY 2023-24.

The Freight charges of the supply portion of tangible asset (supply part) for COH works of Turbine and generator part of Unit No.3 at 3x105 MW, Bansagar PH-1, vide No. 294 dated 14.08.2020, amounting to Rs. 0.39 Crore, has been capitalized in account code 11.603, in the Audited books of Accounts of MPPGCL in FY 2023-24.

- e) Order for supply of one runner disc for 11KV, BHEL make hydro TG set at 3x105MW, Bansagar PH-1, vide No.3613 dated 18.01.2019, having total value of Rs. 0.46 Crore for the supply portion of tangible asset (supply part). An amount of Rs. 0.32 Crore towards this order has been capitalized in account code 11.603 in the Audited books of Accounts of MPPGCL in FY 2023-24.

Aforesaid Capitalization is claimed as per Regulation 28.1(b) of MPERC Regulations, 2020 which provides for "Additional capitalization on account of Change in law or compliance of any existing law" read with Regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement of Assets when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 26.70 Crore towards Generator and Turbine Capital Overhaul Expenditure under Regulation 28.1 (b) of the Regulations, 2020, which provides for additional capital expenditure beyond original scope of work on account of change in law or compliance of any existing

law. It is observed that the aforesaid additional capitalization is only book entry, due to change in accounting practices under Indian Accounting Standards, whereas, the Commission is determining tariff under GAAP. The said expenditure of Rs. 26.70 Crore claimed by the petitioner does not fall under Regulation 28.1 (b) of the Regulations, 2020. It is also observed that petitioner is unable to justify its claim of additional expenditure under the Regulations, 2020. Hence, expenditure towards Boiler/Turbine Capital Overhaul Expenditure is not allowed in this Order.

Further, the petitioner has also claimed aforesaid additional capitalization towards Generator and Turbine Capital Overhaul Expenditure under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.

In view of the above provision under the Regulations, it is observed that the said expenditure claimed by the petitioner does not fall under the Regulation 27.2 (a) of the Regulations, 2020 as the petitioner has not shown the replacement of existing assets where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. The petitioner has also not justified/established any adjustments in the gross fixed assets and cumulative depreciation towards replacement of existing assets in its Asset-cum-Depreciation register as well as its Annual Audited Accounts. Hence, expenditure towards Generator and Turbine Capital Overhaul Expenditure is not allowed in this Order.

111. In view of the above, the total additional capital expenditure of Rs.0.11 Crore is allowed in Bansagar PH-1,2&3 HPS during FY 2023-24 in accordance to the Regulation 28.1 of the Regulations, 2020. The breakup of assets addition allowed in this Order which are within original scope of work and beyond original scope of work are as follows:

Table 40: Additional capitalization allowed in Bansagar PH-1,2 &3 HPS (Rs. in Crore)

A/c Code	Description	Amount	Addition within Original scope of work	Addition beyond Original scope of work
10.535	Auxiliaries in hydel power plant	0.11		0.11
Total		0.11		0.11

112. The petitioner informed that the entire additional capitalisation is fully funded through equity/internal resources. Since, equity deployed over and above 30% is treated as normative loan as per Regulations, 2020, therefore, normative debt equity ratio of 70:30 is allowed as per the Regulations, 2020.
113. Accordingly, the additional capitalization and its funding for Bansagar Ph-1,2&3 HPS allowed in this Order are as given below:

Table 41: Additional Capitalization and Funding allowed in Bansagar Ph-1,2&3 HPS (Rs. in Crore)

Particular	Additions During FY 2023-24
Assets	0.11
Loan	0.08
Equity allowed for assets beyond the original scope of work	0.03

m) Bansagar PH-4 HPS:

114. The Commission has observed that the assets of Rs. 0.71 Crore are capitalized by the petitioner in the books of accounts for FY 2023-24 and recorded in Asset-cum-Depreciation Register of Bansagar PH-4 HPS.
115. In Bansagar PH-4 HPS, the petitioner has claimed additional capitalization under following heads:

Table 42: Additional capitalization claimed in Bansagar PH-4 HPS (Rs. in Crore)

Sr No	A/c Code	Description	Amount	Relevant Regulation of the Regulations, 2020
i	10.531	Hydel Power Generation Plant	0.24	28.1(a)
ii	10.535	Auxiliaries in hydel power plant	0.12	28.1(b)
lii	10.543	Other transmission plant, transformer kiosks, sub-station equipment and other fixed apparatus	0.24	27.2(a) and 28.1(b)
lv	10.572	Communication equipments-Telephone lines & Telephones	0.11	27.2(a)
		Total	0.71	

116. Vide Commission's letter dated 31th December, 2024, the petitioner was asked to file certain details/ documents regarding the additional capitalization in Bansagar PH-4 HPS. By affidavit dated 15th February, 2025 the petitioner filed its response to the queries raised by the Commission. The Commission has analysed additional capitalization in Bansagar PH-4 as follows:

i. Hydel Power Generation Plant:**Petitioner's Submission**

An order vide No. 2234 dated 29.11.2021 was placed on M/s Mona Generators Services Pvt. Ltd. Nehru Place, New Delhi for supply, erection, testing and commissioning of One No. 250KVA/ 200kW silent DG Set with direct injection water cooled, 6 cylinder, 4 stroke, 1500RPM, along with AMF Panel and cable. The same has been installed and commissioned in FY 2023-24 at Bansagar PH-4 HPS amounting to Rs 0.24 Crore. This asset has been added against old Genset (Diesel Generator Set) earlier transferred to Bansagar PH-2 (Silpara) for avoidance of flooding of Power Station due to floods in Common Water Carrier (CWC) Canal during rainy season. The DG Set supplies emergency power supply to Hydel power station and also the most important use for restoration post partial /total blackout in case of Grid failure under the coordination with SLDC.

It is, further to submit that as per the directive issued from time to time in MP Electricity Grid Codes, in case of total regional black out, SLDC In-charge shall co-ordinate and follow the instructions of WRLDC for early restoration of the entire grid. After total collapse, for each power station, to avoid damage to the turbine, survival power is required. To meet the survival power, the diesel generating (DG) sets of sufficient capacity shall be available at each power station. Start-up power to the thermal station shall be given by the hydel stations and interstate supply.

The expenses incurred towards above have been Capitalized in the books of Accounts under Account Code 10.531.

Therefore, aforesaid capitalization is claimed Under Proviso 28.1(a) of MPERC Regulations, 2020 which provides for compliance of "order or directions of any statutory authorities"

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.24 Crore towards DG Set under Regulation 28.1 (a) which provides for "Liabilities to meet award of arbitration or for compliance of the order or directions of the any statutory authority, or order or decree of any court of law". The petitioner has mentioned that this asset has been added against old Genset earlier transferred to Bansagar PH-2. It is observed that the petitioner has failed to demonstrate these transfer of assets from Bansagar PH-4 to Silpara HPS. Further, the petitioner informed that the aforesaid capitalization is done towards compliance of directives of MP Electricity Grid Codes. On perusal of the details and documents submitted by the petitioner, it is observed that the petitioner has not filed specific provision of the Grid Code under which such assets have been capitalized, therefore such assets additions is not covered under MP Electricity Grid Code, therefore, the same does not fall under Regulation 28.1 (a) of

the Regulations, 2020. Hence, the said additional capitalization of Rs. 0.24 Crore is not allowed in this Order at this stage.

ii. Auxiliaries In Hydel Power Plants :-

Petitioner's Submission

The Environment (Protection) Act, 1986 read with Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016 mandates that no person carrying on any industry, operation or process shall discharge or emit or permit to be discharges or emitted pollutants. Further, no person shall handle or cause to be handled any hazardous substance except in accordance with such procedure and after complying with such safeguards as may be prescribed.

In compliance to the above MPPGCL has procured 01 No. of Oil Centrifuge Unit from M/s Ameya Agencies, Nagpur vide order No. 2604 dated 03.01.2022 This Oil Centrifuge Unit shall be utilized at Bansagar HPS PH-4 for separating contamination in servo oil, being used by various auxiliaries of Hydel Power Station. The Oil shall be reused without any wastage, thus avoiding discard of used Oil (Hazardous material).

The new asset has been capitalized in books of accounts under Account Code 10.535 amounting to Rs. 0.12 Crore.

The above-mentioned capitalization is made towards compliance of directives of The Environment (Protection) Act, 1986 and MoEF&CC Rules, therefore aforesaid capitalization is claimed under proviso 28.1(b) of MPERC Regulations 2020, which provides for "change in law or compliance of any existing law".

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.12 Crore towards procurement of oil centrifuge unit under Regulation 28.1 (b) of Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The petitioner has mentioned that the aforesaid item shall be utilised for separating contamination in servo oil, being used by various auxiliaries of Hydel Power Station. The oil shall be reused without any wastage, thus avoiding discard of used oil (Hazardous material). Since, this capitalization is made towards compliance of directives of the Environment (Protection) Act, 1986 read with Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016, therefore, the same is covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, this expenditure of Rs 0.12 Crore towards auxiliaries in hydel power plant is allowed in this Order.

iii. Other transmission plant, transformer kiosks, sub-station equipment and other fixed apparatus: -

Petitioner's Submission

- a) Two numbers 145 kV, Gang operated SF6 Gas Circuit Breakers with connectors and control panel have been procure from M/s C.G. Power and Industrial Solutions Ltd., Mumbai vide order No. 2225 dated 29.11.2021. The capitalization has been claimed under Account Code 10.543 amounting to Rs 0.08 Crore. **The old unserviceable Circuit breaker is being survey reported and written-off shortly.**

The above capitalization is claimed as per regulation 27.2(a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

- b) The Environment (Protection) Act, 1986 read with Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016 mandates that no person carrying on any industry, operation or process shall discharge or emit or be permitted to discharge or emit pollutants. Further, no person shall handle or cause to be handled any hazardous substance except in accordance with such procedure and after complying with such safeguards as may be prescribed. In compliance to the above MPPGCL has procured one number High Vacuum Transformer Oil Filtering machine and evacuation system confirming to IS 6034 from M/s Krishna Engineering Company, Bhopal vide order No. 3272 dated 21.03.2023. This Transformer Oil Filtering machine shall be utilized at Bansagar HPS PH-4 for filtering and recycling Generator Transformer Oil, Station Transformer Oils and other transformers oils thus avoiding discard of used Oil (Hazardous material).

The new asset has been Capitalized in books of accounts under Account Code 10.543 vide voucher No. 680277 dated 31.03.2024 amounting to Rs 0.17 Crore. The above mentioned capitalization is made towards compliance of directives of The Environment (Protection) Act, 1986 and MoEF&CC Rules, therefore aforesaid capitalization is claimed under proviso 28.1(b) of MPERC Regulations 2020, which provides for “change in law or compliance of any existing law”.

Commission’s Analysis:

- a. The petitioner has claimed additional capitalization of Rs 0.08 Crore towards Other transmission plant, transformer kiosks, sub-station equipment and other fixed apparatus under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that “in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization

may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.”

With regards to write-off of old unserviceable Circuit breaker, the petitioner mentioned that the old unserviceable Circuit breaker is in process of write-off. Hence, expenditure towards Circuit Breakers is not allowed in this Order at this stage under Regulation 27.2 of the Regulations, 2020. The petitioner is at liberty to approach the Commission as and when, the unserviceable Circuit breaker gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

- b. Further, the petitioner has claimed additional capitalization of Rs 0.17 Crore towards Transformer Oil Filtering machine under Regulation 28.1 (b) of Regulations, 2020 which provides for additional capital expenditure beyond original scope of work on account of Change in law or compliance of any existing law. The petitioner has mentioned that the aforesaid item shall be utilised for filtering and recycling generator transformer oil, station transformer oils and other transformer oils, thus avoiding discard of used oil (Hazardous material). Since, this capitalization is made towards compliance of directives of the Environment (Protection) Act, 1986 read with Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016, therefore, the same is covered under Regulation 28.1 (b) of the Regulations, 2020. Hence, this expenditure of Rs 0.17 Crore towards works related to transmission plant, transformers kiosks, sub-station equipment and other items is allowed in this Order.

iv. **Communication equipment-Telephone lines & Telephones: - Petitioner's Submission**

An order was placed on M/s Punjab Communication Ltd., Mohali, vide No. 2736 dated 23.01.2023 for supply, erection, testing and commissioning of Power Line Carrier Communication (PLCC) cabinets along with all accessories for transmission of telemetry data of Bansagar HPS PH-3 (Deolond) to SLDC Jabalpur with repeater stations at Bansagar HPS (Jhinna) and Satna substations. These cabinets are replacement to old obsolete PLCC cabinets whose survey report and write-off is already in process. Further, as reliable communication of telemetry data is essential for Power System monitoring by MP SLDC, priority was therefore given for commissioning of new PLCC equipments. This also complies to the directives issued in IEGC and MP Grid Code towards proper Communication for Telemetry, Protection Equipments and Speech.

*The Capitalization booked under Account Code 10.572 is procurement of 02 Nos. Single Channel PLCC Cabinet 40 Watt along with accessories at Bansagar HPS, PH-4 amounting to Rs 0.11 Crore for transmission of telemetry data. **The old PLCC cabinets are being written-off shortly.***

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

Commission's Analysis:

The petitioner has claimed additional capitalization of Rs 0.11 Crore towards communication equipments-telephone line and telephones under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check.'

With regards to write-off of old PLCC cabinets, petitioner mentioned that the old PLCC cabinets is in the process of write-off. Hence, expenditure towards procurement of 02 Nos. Single Channel PLCC Cabinet 40 Watt along with accessories is not allowed in this Order at this stage under Regulation 27.2 (a) of the Regulations, 2020. The petitioner is at liberty to approach the Commission as and when, the PLCC cabinets gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

117. In view of the above, the Commission has allowed capitalization of Rs 0.29 Crore towards auxiliaries in hydel power plants and other transmission plant, transformer kiosks and sub-station equipments under the Regulations, 2020 in Bansagar Ph-4 HPS.
118. In view of the above, the total additional capital expenditure of Rs.0.29 Crore is allowed in Bansagar PH-4 HPS during FY 2023-24 in accordance to the Regulation 28.1 of the Regulations, 2020. The breakup of assets addition allowed in this Order which are within original scope of work and beyond original scope of work are as follows:

Table 43: Additional capitalization allowed in Bansagar PH-4 HPS (Rs. in Crore)

A/c Code	Description	Amount	Addition within Original scope of work	Addition beyond Original scope of work
10.535	Auxiliaries in hydel power plant	0.12		0.12
10.543	Other transmission plant, transformer kiosks, sub-station equipment and other fixed apparatus	0.17		0.17
Total		0.29		0.29

119. The petitioner informed that the entire additional capitalisation is fully funded through equity/internal resources. Since, equity deployed over and above 30% is treated as normative loan as per Regulations, 2020, therefore, normative debt equity ratio of 70:30 is allowed as per the Regulations, 2020.

120. Accordingly, the additional capitalization and its funding for Bansagar Ph-4 HPS allowed in this Order are as given below:

Table 44: Additional Capitalization and Funding allowed in Bansagar Ph-4 HPS (Rs. in Crore)

Particular	Additions During FY 2023-24
Assets	0.29
Loan	0.20
Equity allowed for assets beyond the original scope of work	0.09
Equity allowed for assets within the original scope of work	0.00

n) Birsinghpur HPS:

121. The petitioner has not claimed any additional capitalization for Birsinghpur HPS during FY 2023-24.

o) Madhikheda HPS:

122. The Commission has observed that the assets of Rs. 0.023 Crore are capitalized by the petitioner in the Annual Audited Accounts for FY 2023-24 and recorded in Asset-cum-Depreciation Register of Madhikheda HPS.

123. In Madhikheda HPS, the petitioner has claimed additional capitalization under following heads:

Table 45: Additional capitalization claimed in MadhiKheda HPS (Rs. in Crore)

Sr No	A/c Code	Description	Amount	Relevant Regulation of the Regulations, 2020
i	10.904	Others office equipments	0.022	27.2(a)
ii	10.904	Others office equipments	0.0016	28.1(d)
		Total	0.023	

124. Vide Commission's letter dated 31th December, 2024, the petitioner was asked to file certain details/ documents regarding the additional capitalization in Madhikheda HPS. By affidavit dated 15th February, 2025 the petitioner filed its response to the queries raised by the Commission The petitioner has broadly submitted the following:

Other Office Equipments:-

- i. *An order was placed on M/s Weartech Engineers Pvt. Ltd., Bhopal for supply of 04 Nos. of Air Conditioners of 5-star rating & 2 Ton capacity each for Madhikheda HPS vide order No. 1133 dated 16.02.2023. The asset has been capitalized in Books of Accounts under Account Code 10.904 amounting to Rs 0.022 Crore. **The survey report and write-off of old ACs is under process.***

The above capitalization is claimed as per regulation 27.2 (a) of MPERC Regulations, 2020 which provides for replacement when the useful life of the assets is not commensurate with the useful life of the project.

- ii. *The INTELLIGENCE BUREAU, Ministry of Home Affairs, GoI had inspected various Thermal and Hydro Power Stations of MPPGCL and had conveyed various recommendations through its classified Confidential Reports for strengthening the Security of Power Stations. It was recommended by IB to install CC TV Camera system in and around Madhikheda HPS for higher security and safety of the plant.*

In compliance to above, an order vide No. 1094 dated 20.01.2022 was placed on M/s Computer World, Shivpuri amounting to Rs. 1.43 Lakhs for procurement of 1 No. Dome Camera, 2 Nos. Bullet Cameras, Power Supply, connectors, Cable, etc. The amount of asset capitalized is Rs. 0.167 Lakhs.

The aforesaid capitalization is claimed under Regulation 28.1(d) of the Regulations 2020, which provides for admittance of any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities.

Commission's Analysis

- i. The petitioner has claimed additional capitalization of Rs 0.022 Crore towards other office equipments under Regulation 27.2 (a) of the Regulations, 2020, which provides that the additional capitalization towards replacement of assets or equipment where the useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these Regulations. Regulation 27.2 further provides that "in case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check."

With regards to write-off of old ACs, the petitioner mentioned that the old ACs are yet to be write-off and in the process of write-off. Hence, expenditure towards Air

Conditioners is not allowed in this Order at this stage under Regulation 27.2 (a) of the Regulations, 2020. The petitioner is at liberty to approach the Commission as and when, the ACs gets written-off in Annual Audited Accounts and Asset-cum-Depreciation register.

- ii. The petitioner has claimed capitalization of Rs. 0.0016 Crore towards CC TV Camera system under Regulation 28.1(d) of the Regulations, 2020, which provides any capital expenditure to be incurred on account of need for higher security and safety of the plant as advised or directed by appropriate Government Agencies or statutory authorities responsible for national security/ internal security". On perusal of the details and documents filed by the petitioner, it is observed that this work has been carried out as per the directives given by the Intelligence Bureau (IB) (GOI). Further, as per the submission of the petitioner made in affidavit, IB directives are highly classified/confidential documents and could not be reproduced to others. Considering the submission made by the petitioner and as the same is covered under the Regulation 28.1 (d) of the Regulations, 2020, hence, the said expenditure of Rs 0.0016 Crore towards CCTV Cameras is allowed in this Order.

125. In view of the above, the Commission has allowed only Rs 0.0016 Crore towards additional capitalization of CCTV Cameras under the Regulations, 2020 in Madhikheda HPS.
126. In view of the above, the total additional capital expenditure of Rs.0.0016 Crore is allowed in Madhikheda HPS during FY 2023-24 in accordance to the Regulation 28.1 of the Regulations, 2020. The breakup of assets addition allowed in this Order which are within original scope of work and beyond original scope of work are as follows:

Table 46: Additional capitalization allowed in Madhikheda HPS

(Rs. in Crore)				
A/c Code	Description	Amount	Addition within Original scope of work	Addition beyond Original scope of work
10.904	Office equipments	0.0016	-	0.0016
Total		0.0016		0.0016

127. Accordingly, the additional capitalization and its funding for Madhikheda HPS allowed in this Order are as given below:

Table 47: Additional Capitalization and Funding allowed in Madhikheda HPS
(Rs in Crore)

Particular	Additions During FY 2023-24
Assets	0.0016
Loan	0.0011
Equity allowed for assets beyond the original scope of work	0.0005
Equity allowed for assets within the original scope of work	0.00

128. Based on the above, the power station wise additional capitalization and corresponding funding thereof allowed in this true-up Order for FY 2023-24 are as given below:

Table 48: Details of Power Station/House Wise Additional Capitalization allowed by the Commission with corresponding Funding (Rs. in Crore)

S. No.	Particulars	Addition Admitted for FY 2023-24			
		Asset Addition	Loan Addition including excess Equity	Equity Addition for assets within original scope of work	Equity Addition for assets beyond original scope of work
1	ATPS PH-III	0.11	0.08	0.00	0.03
2	STPS PH-2&3	0.00	0.00	0.00	0.00
3	STPS PH-4	7.59	5.31	1.00	1.27
4	SGTPS PH-I&II	0.00	0.00	0.00	0.00
5	SGTPS PH-III	0.00	0.00	0.00	0.00
6	SSTPP PH-I	5.70	3.99	0.36	1.35
7	SSTPP PH-2	2.97	2.97	0.00	0.00
8	Gandhi Sagar	0.21	0.15	0.05	0.01
9	Pench	5.83	4.08	1.72	0.03
10	Rajghat	0.58	0.41	0.13	0.05
11	Bargi	1.19	0.83	0.00	0.36
12	Bansagar I, II & III	0.11	0.08	0.00	0.03
13	Bansagar PH-4	0.29	0.20	0.00	0.09
14	Birsinghpur	0.00	0.00	0.00	0.00
15	Madhikheda	0.0016	0.0011	0.00	0.0005
	TOTAL	24.57	18.09	3.27	3.22

Asset written off / de-capitalized / Adjustments

129. In the petition, the petitioner submitted that the write off /adjustment of Assets were made in the Gross Fixed Assets (GFA) of the various power stations and these adjustments were reflected in the Annual Audited Accounts for FY 2023-24. The summary of power station/House wise details of Assets deductions as filed by the petitioner is given below:

Table 49: Asset deductions during FY 2023-24**(Rs. in Crore)**

Stations		Amount	Remarks
1	ATPS PH-3	-0.81	Assets Write-off
2	STPS PH-2&3	-0.02	Assets Write-off
3	STPS PH-4	-0.06	Assets Write-off
4	SGTPS PH-1&2	-0.09	Assets Write-off
5	SGTPS-PH 3	-7.78	Deletion
6	SSTPP PH-1	-0.09	Assets Write-off
7	SSTPP PH-2	0.00	
	Total Thermal	-8.84	
8	Gandhi Sagar	0.00	
9	Pench	-1.12	Assets Write-off
10	Rajghat	0.00	Assets Write-off
11	Bargi	0.00	
12	Bansagar PH-1,2 &3	-1.05	Assets Write-off
13	Bansagar PH-4	0.00	
14	Birsinghpur	0.00	
15	Madhikheda	0.00	
	Total Hydro	-2.18	
	Total	-11.02	

130. The petitioner has filed write-off/adjustments of assets of Rs.11.02 Crore in thermal & hydro power stations. It is observed that the corresponding equity / loan amount pertaining to write-off/adjustment assets have also been reduced from the equity-debt components of the respective power stations.

131. With regard to de-capitalization, Regulation 28.2 of the Regulations, 2020 provides that:

“28.2 In case of de-capitalisation of assets of a generating company, the original cost of such asset as on the date of de- capitalisation shall be deducted from the value of gross fixed asset and corresponding loan as well as equity shall be deducted from outstanding loan and the equity respectively in the year such de-capitalisation takes place with corresponding adjustments in cumulative depreciation and cumulative repayment of loan, duly taking into consideration the year in which it was capitalised.”

132. On perusal of the power Station/House wise Asset-cum-Depreciation registers filed by the petitioner, it is observed that the petitioner has adjusted assets write-off in the power stations during the year and then worked out the closing GFA. The write-off/de-capitalization of assets in different power stations is discussed separately as follows:

ATPS PH-3

133. With respect to write off/adjustment of assets in ATPS PH-3, the assets of Rs. 0.81 Crore have been written off in ATPS PH-3 during the financial year 2023-24. These assets have been reduced from the GFA of ATPS PH-3 for the purpose of claiming depreciation for FY 2023-24. The corresponding equity/ loan balances of aforesaid assets have also been adjusted. The detail of assets written off in ATPS PH-3 and their corresponding funding as filed by petitioner is given below:

Table 50: Assets Written-off submitted in ATPS PH-3 (Rs. in Crore)

A/c Code	Description	Amount
10.507	Ash handling plant	0.02
10.544	Sub-station transformers, transformer kiosks (including plant foundations)-having rating of 100 KVA and above	0.74
10.580	Refrigerators and water coolers	0.00
10.730	Jeeps and Motor Cars	0.01
10.901	Calculators	0.00
10.902	Typewriters	0.01
10.904	Others office Equipments	0.00
10.905	Computers	0.03
Total		0.81

134. In view of the above, the Commission has considered the above mentioned written-off assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt – Equity components are as given below:

Table 51: Assets written off and Funding considered by the Commission in ATPS PH-3**(Rs. in Crore)**

Particular	Amount
Gross Fixed Asset	0.81
Loan component	0.57
Equity component	0.24
Accumulated Depreciation towards Write-off	0.50
Balance Loan	0.07

STPS PH-2&3

135. In STPS PH-2&3, the assets of Rs.0.02 Crore have been written off/de-capitalized in STPS PH-2&3 as per Annual Audited Accounts for FY 2023-24 and the such assets have been reduced from the Gross Block of STPS PH-2&3. These assets were funded through Loan/Equity component and the corresponding normative loan/ equity balances have been reduced. The following are the details of assets written off in STPS PH-2&3 as filed by the petitioner:

Table 52: Assets Written-off submitted in STPS PH-2&3 (Rs. in Crore)

A/c Code	Description	Amount
10.580	Refrigerators and water coolers	0.001
10.904	Others office Equipments	0.001
10.905	Computers	0.013
Total		0.016

136. In view of the above, the Commission has considered above mentioned written-off of assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt – Equity components are as given below:

Table 53: Assets written off and Corresponding Funding considered by the Commission in STPS PH-2&3 (Rs. in Crore)

Particular	Amount
Gross Fixed Asset	0.016
Loan component	0.011
Equity component	0.005
Accumulated Depreciation towards Write-off	0.014
Balance Loan	0.00

STPS PH-4

137. With respect to write off/adjustment of assets in STPS PH-4, the assets of Rs.0.06 Crore have been written off in STPS PH-4. The aforesaid assets have been reduced from the Gross Fixed Assets of STPS PH-4 for the purpose of claiming depreciation for FY 2023-24. These assets are funded through loan/ equity component and the corresponding normative loan/ equity balance has also been reduced, proportionately. The details of asset written off as filed by the petitioner are given below:

Table 54: Assets Written-off submitted in STPS PH-4 (Rs. in Crore)

A/c Code	Description	Amount
10.587	Other Electrical Equipment for BoP	0.006
10.904	Others office Equipments	0.003
10.905	Computers	0.046
Total		0.056

138. In view of the above, the Commission has considered above mentioned written-off of assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt – Equity components are as given below:

Table 55: Assets written off and Funding considered by the Commission in STPS PH-4 (Rs. in Crore)

Particular	Amount
Gross Fixed Asset	0.06

Loan component	0.04
Equity component	0.02
Accumulated Depreciation towards Write-off	0.03
Balance Loan	0.01

SGTPS PH-1&2

139. With respect to write off/adjustment of assets in SGTPS PH-1&2, the assets of Rs 0.09 Crore have been written off in SGTPS PH-1&2. The aforesaid assets have also been reduced from the Gross Fixed Assets of SGTPS PH-1&2 for the purpose of claiming depreciation for FY 2023-24. These assets are funded through loan/ equity component and the corresponding normative loan/ equity balance has been reduced, proportionately. The details of asset written off as filed by the petitioner are given below:

Table 56: Assets Written-off submitted in SGTPS PH-1&2 (Rs. in Crore)

A/c Code	Description	Amount
10.501	Boiler Plant and equipments	0.08
10.905	Computers	0.01
Total		0.09

140. In view of the above, the Commission has considered the above mentioned written-off of assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt –Equity components are as given below:

Table 57: Assets written off and Funding considered by the Commission in SGTPS PH-1&2 (Rs. in Crore)

Particular	Amount
Gross Fixed Asset	0.09
Loan component	0.06
Equity component	0.03
Accumulated Depreciation towards Write-off	0.08
Balance Loan	0.00

SGTPS PH-3

141. The assets of Rs 7.78 Crore were written off at SGTPS PH-3 as per Audited Books of Accounts for FY 2023-24. The aforesaid assets have been reduced from the GFA of SGTPS PH-3 for the purpose of claiming depreciation for FY 2023-24. The details of the assets written off as submitted by the petitioner are given below:

Table 58: Assets Written-off submitted in SGTPS PH-3 (Rs. in Crore)

A/c Code	Description	Amount
10.541	Transmission plant-transformers having a rating of 100 KVA & above	0.292
10.543	Other transmission plant, transformer kiosks, sub-station equipment and other fixed apparatus	7.487
Total		7.78

142. In view of the above, the Commission has considered the above mentioned written-off of assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt -Equity components are as given below:

Table 59: Assets written off and Funding considered by the Commission in SGTPS PH-3
(Rs. in Crore)

Particular	Amount
Gross Fixed Asset	7.78
Loan component	5.45
Equity component	2.33
Accumulated Depreciation towards Write-off	5.09
Balance Loan	0.36

SSTPP PH-1

143. With respect to write off/adjustment of assets in SSTPP PH-1, the assets of Rs 0.09 Crore have been written off in SSTPP PH-1. The aforesaid assets have been reduced from the Gross Fixed Assets of SSTPP PH-1 for the purpose of claiming depreciation for FY 2023-24. The petitioner also submitted that these assets are funded through loan/ equity component and the corresponding normative loan/ equity balance has been reduced. The details of asset written off as filed by the petitioner are given below:

Table 60: Assets Written-off submitted in SSTPP PH-1 (Rs. in Crore)

A/c Code	Description	Amount
10.520	Instrumentation And Controls	0.070
10.580	Refrigerators and water coolers	0.009
10.904	Others office Equipments	0.007
10.905	Computers	0.004
Total		0.091

144. In view of the above, the Commission has considered the above mentioned written-off of assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt –Equity components are as given below:

Table 61: Assets written off and Funding considered by the Commission in SSTPP PH-1
(Rs. in Crore)

Particular	Amount
Gross Fixed Asset	0.09
Loan component	0.06
Equity component	0.03
Accumulated Depreciation towards Write-off	0.04
Balance Loan	0.02

Pench HPS

145. The assets of Rs 1.12 Crore were written off at Pench as per Audited Books of Accounts for FY 2023-24. Aforesaid assets have been reduced from the Gross Fixed Assets of Pench for the purpose of claiming depreciation for FY 2023-24. The details of the assets written off as submitted by the petitioner are given below:

Table 62: Assets Written-off submitted in Pench HPS (Rs. in Crore)

A/c Code	Description	Amount
10.531	Hydel Power Generation Plant	0.925
10.542	Other transformers- Power House	0.163
10.740	Other Vehicles	0.026
10.905	Computers	0.010
Total		1.125

146. In view of the above, the Commission has considered the above mentioned written-off of assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt –Equity components are as given below:

Table 63: Assets written off and Funding considered by the Commission in Pench (Rs. in Crore)

Particular	Amount
Gross Fixed Asset	1.12
Loan component	0.78
Equity component	0.33
Accumulated Depreciation towards Write-off	0.83
Balance Loan	0.00

Bansagar PH- 1, 2&3 HPS:

147. The assets of Rs 1.05 Crore were written off at Bansagar PH-1,2&3 HPS. The below-mentioned assets have been reduced from the Gross Fixed Assets of Bansagar PH-1,2&3 HPS for the purpose of claiming depreciation for FY 2023-24. The details of the assets written-off in Bansagar PH-1,2&3 HPS are as given below:

Table 64: Assets Written-off submitted in BansagarPH-1,2&3**(Rs in Crore)**

A/c Code	Description	Amount
10.101	Land owned under full title	0.241
10.531	Hydel Power Generation Plant	0.040
10.543	Other transmission plant, transformer kiosks, sub-station equipment and other fixed apparatus	0.773
Total		1.054

148. In view of the above, the Commission has considered the written-off of assets under Regulation 28.2 of the Regulations, 2020 and their corresponding Debt–Equity components are as given below:

Table 65: Assets written off and Funding considered by the Commission in Bansagar PH-1,2&3 (Rs. in Crore)

Particular	Amount
Gross Fixed Asset	1.05
Loan component	0.74
Equity component	0.32
Accumulated Depreciation towards Write-off	0.62
Balance Loan	-

149. Accordingly, the power stations details of Normative Loan/Equity adjustment due to assets Write off /Adjustments as worked out by the Commission are detailed hereunder:

Table 66: Power Station/House Wise Loan/Equity adjustments due to assets write-off/adjustments (Rs. in Crore)

Power Station		Assets	Corresponding Funding			
		Write off /Adjustments	Loan	Cumulative Depreciation received towards write-off	Balance Loan	Equity
1	ATPS PH-3	-0.81	-0.57	-0.50	-0.07	-0.24
2	STPS PH-2 & 3	-0.016	-0.011	-0.010	-0.001	-0.005
3	STPS PH-4	-0.06	-0.04	-0.03	-0.01	-0.02
4	SGTPS PH 1 & 2	-0.09	-0.06	-0.08	0.00	-0.03
5	SGTPS PH-3	-7.78	-5.45	-5.09	-0.36	-2.33
6	SSTPP PH-1	-0.09	-0.06	-0.04	-0.02	-0.03
7	SSTPP PH-2	0.00	0.00	0.00	0.00	0.00
8	Gandhisagar HPS	0.00	0.00	0.00	0.00	0.00
9	Pench HPS	-1.12	-0.78	-0.83	0.00	-0.34
10	Rajghat HPS	0.00	0.00	0.00	0.00	0.00
11	Bargi HPS	0.00	0.00	0.00	0.00	0.00
12	Bansagar Ph-1,2&3 HPS	-1.05	-0.74	-0.62	0.00	-0.32
13	Bansagar Ph-4 HPS	0.00	0.00	0.00	0.00	0.00
14	Birsinghpur HPS	0.00	0.00	0.00	0.00	0.00
15	Madhikheda HPS	0.00	0.00	0.00	0.00	0.00
Total		-11.02	-7.72	-7.19	-0.46	-3.31

Note:-Cumulative Dep recovered on write-off asset is more than normative loan of write-off (except ATPS PH-3, STPS PH-4, SGTPS PH-3 and SSTPP PH-1)

150. The Power Station/House wise closing GFA, closing equity, closing loan component and closing cumulative depreciation admitted as on 31st March, 2024 are worked out after asset additions and write-off/adjustment/de-capitalization of assets which are as given below:

Table 67: Power Station/House Wise Closing Gross Fixed Assets allowed by the Commission as on 31st March, 2023 (Rs. in Crore)

S. No	Power Stations	Gross Fixed Assets			
		Opening GFA as on 01.04.2023	Asset Additions	Assets Written Off/De-capitalized	Closing GFA as on 31.3.2024
1	ATPS PH-3	1132.52	0.11	-0.81	1131.82
2	STPS PH-2 & 3	562.43	0.00	-0.02	562.41
3	STPS PH-4	3276.58	7.59	-0.06	3284.11
4	SGTPS PH 1 & 2	2208.07	0.00	-0.09	2207.98
5	SGTPS PH-3	2049.95	0.00	-7.78	2042.17
6	SSTPP PH-1	7328.49	5.70	-0.09	7334.10
7	SSTPP PH-2	6761.07	2.97	0.00	6764.04
	Thermal	23319.11	16.37	-8.84	23326.64
8	Gandhi Sagar HPS	11.14	0.21	-	11.35
9	Pench HPS	119.44	5.83	-1.12	124.15
10	Rajghat HPS	107.43	0.58	-	108.01
11	Bargi HPS	92.48	1.19	-	93.67
12	Bansagar PH-1,2 & 3 HPS	1175.45	0.11	-1.05	1174.51
13	Bansagar PH-4 HPS	116.85	0.29	-	117.14
14	Birsinghpur HPS	53.15	-	-	53.15
15	Madhikheda HPS	218.16	0.00	-	218.16
	Total Hydro	1894.10	8.21	-2.17	1900.14
	Total	25213.21	24.57	-11.02	25226.77

Table 68: Power Station/House wise Closing Equity considered by the Commission as on 31st March, 2023 (Rs. in Crore)

S. No	Power Stations	Equity Within Original scope of work				Equity beyond original scope of work		
		Opening Equity	Equity Addition	Written Off/De-capitalized	Closing Equity	Opening Equity	Equity Addition	Closing Equity
1	ATPS PH-3	258.86	0.00	-0.24	258.62	0.21	0.03	0.24
2	STPS PH-2 & 3	166.66	0.00	-0.01	166.65	0.00	0.00	0.00
3	STPS PH-4	662.83	1.00	-0.02	663.81	2.72	1.27	3.99
4	SGTPS PH 1 & 2	655.88	0.00	-0.03	655.85	0.05	0.00	0.05
5	SGTPS PH-3	578.02	0.00	-2.33	575.69	1.30	0.00	1.30
6	SSTPP PH-1	1414.65	0.36	-0.03	1414.99	1.76	1.35	3.11
7	SSTPP PH-2	1033.93	0.00	0.00	1033.93	0.00	0.00	0.00
	Thermal	4770.83	1.37	-2.66	4769.54	6.04	2.65	8.69

8	Gandhi Sagar HPS	3.37	0.05	0.00	3.42	0.00	0.01	0.01
9	Pench HPS	35.77	1.72	-0.34	37.15	0.07	0.03	0.10
10	Rajghat HPS	27.03	0.13	0.00	27.16	0.00	0.05	0.05
11	Bargi HPS	27.77	0.00	0.00	27.77	0.00	0.36	0.36
12	Bansagar PH-1,2 &3 HPS	352.38	0.00	-0.32	352.07	0.26	0.03	0.29
13	Bansagar PH-4 HPS	35.05	0.00	0.00	35.05	0.00	0.09	0.09
14	Birsinghpur HPS	15.65	0.00	0.00	15.65	0.22	0.00	0.22
15	Madhikheda HPS	46.30	0.00	0.00	46.30	0.00	0.00	0.00
	Total Hydro	543.32	1.90	-0.65	544.57	0.56	0.56	1.12
	Total	5314.14	3.27	-3.31	5314.11	6.61	3.22	9.81

Table 69: Power Station/House wise Closing Loan considered by the Commission as on 31st March, 2024 (without considering repayment): (Rs. in Crore)

S. No	Power Stations	Normative Loan			
		Opening Loan as on 01.04.2023	Loan Additions	Assets Written Off/De-capitalized	Closing Loan as on 31.3.2024
1	ATPS PH-3	173.56	0.08	-0.07	173.57
2	STPS PH-2 & 3	0.00	0.00	0.00	-0.00
3	STPS PH-4	1137.53	5.31	-0.01	1142.83
4	SGTPS PH 1 &2	0.00	0.00	0.00	0.00
5	SGTPS PH-3	124.49	0.00	-0.36	124.13
6	SSTPP PH-1	2743.41	3.99	-0.02	2747.38
7	SSTPP PH-2	4300.10	2.97	0.00	4303.07
	Thermal	8479.09	12.35	-0.46	8490.98
8	Gandhi Sagar HPS	0.21	0.15	0.00	0.36
9	Pench HPS	7.53	4.08	0.00	11.61
10	Rajghat HPS	0.00	0.41	0.00	0.41
11	Bargi HPS	0.00	0.83	0.00	0.83
12	Bansagar PH-1,2 &3 HPS	0.00	0.08	0.00	0.08
13	Bansagar PH-4 HPS	0.00	0.20	0.00	0.20
14	Birsinghpur HPS	0.00	0.00	0.00	0.00
15	Madhikheda HPS	13.01	0.00	0.00	13.01
	Total Hydro	20.75	5.74	0.00	26.49
	Total	8499.84	18.09	-0.46	8517.47

*Cumulative Dep recovered on write-off asset is more than normative loan of write-off (except ATPS PH-3, STPS PH4, SGTPS PH-3 and SSTPP PH-1)

Table 70: Power Station/House wise Cumulative Depreciation considered by the Commission as on 31st March, 2023
(without considering depreciation during FY 2023-24): (Rs. in Crore)

Sr No	Power Stations	Opening as on 01.04.2023	Asset Write off/Decapitalized	Closing as on 31.3.2024
1	ATPS PH-3	690.22	-0.50	689.72
2	STPS PH-2 & 3	511.63	-0.01	511.62

3	STPS PH-4	1507.81	-0.025	1507.79
4	SGTPS PH 1 &2	1921.32	-0.08	1921.24
5	SGTPS PH-3	1340.05	-5.09	1334.96
6	SSTPP PH-1	3166.70	-0.04	3166.66
7	SSTPP PH-2	1426.90	0.00	1426.90
	Thermal	10564.63	-5.75	10558.89
8	Gandhi Sagar HPS	9.67	0.00	9.67
9	Pench HPS	88.13	-0.83	87.30
10	Rajghat HPS	68.56	0.00	68.56
11	Bargi HPS	74.32	0.00	74.32
12	Bansagar PH-1,2 &3 HPS	897.29	-0.62	896.67
13	Bansagar PH-4 HPS	86.62	0.00	86.62
14	Birsinghpur HPS	42.89	0.00	42.89
15	Madhikheda HPS	133.41	0.00	133.41
	Total Hydro	1400.89	-1.45	1399.44
	Total	11965.52	-7.19	11958.33

Debt-Equity Ratio:

151. With regard to Debt: equity ratio, Regulation 33 of the Regulations, 2020 provides as under:

33.1 For new projects, the debt-equity ratio of 70:30 as on date of commercial operation shall be considered. If the equity actually deployed is more than 30% of the capital cost, equity in excess of 30% shall be treated as normative loan:

Provided that:

- a. where equity actually deployed is less than 30% of the capital cost, actual equity shall be considered for determination of tariff:*
- b. the equity invested in foreign currency shall be designated in Indian rupees on the date of each investment:*
- c. any grant obtained for the execution of the project shall not be considered as a part of capital structure for the purpose of debt : equity ratio.*

Explanation.-The premium, if any, raised by the generating company while issuing share capital and investment of internal resources created out of its free reserve, for the funding of the project, shall be reckoned as paid up capital for the purpose of computing return on equity, only if such premium amount and internal resources are actually utilised for meeting the capital expenditure of the generating station.

33.2 The generating company shall submit the resolution of the Board of the company regarding infusion of fund from internal resources in support of the utilization made or proposed to be made to meet the capital expenditure of the generating station.

33.3 In case of the generating station declared under commercial operation prior to

1.4.2019, debt- equity ratio allowed by the Commission for determination of tariff for the period ending 31.3.2019 shall be considered:

Provided that in case of a generating station which has completed its useful life as on or after 01.04.2019, if the equity actually deployed as on 01.04.2019 is more than 30% of the capital cost, equity in excess of 30% shall not be taken into account for tariff determination.

33.4 In case of the generating station declared under commercial operation prior to 1.4.2019, but where debt: equity ratio has not been determined by the Commission for determination of tariff for the period ending 31.3.2019, the Commission shall approve the debt : equity in accordance with Regulation 33.1 of these Regulations.

33.5 Any expenditure incurred or projected to be incurred on or after 1.4.2019 as may be admitted by the Commission as additional capital expenditure for determination of tariff, and renovation and modernisation expenditure for life extension shall be serviced in the manner specified in clause 33.1 of this Regulation

152. Regulation 33.3 of the Regulations provides that the Generating Station/Unit declared under commercial operation prior to 01.04.2019, debt-equity ratio allowed by the Commission for determination for period ending 31.03.2019 shall be considered. Based on above Regulation, the Commission has considered power station wise opening loan and equity as on 01st April, 2023 same as loan and equity balances as on 31st March, 2023 considered in last true-up Order for FY 2022-23 issued on 7th March, 2024.

153. Further, Regulation 33.5 of the Regulations, 2020 provides that debt : equity ratio of any expenditure incurred as may be admitted by the Commission as additional capital expenditure for determination of tariff shall be determined in the manner specified in Regulations 33.1 of this Regulation. Therefore, the debt and equity component for the additional capitalization admitted in this Order has been considered accordingly.

Annual Capacity (fixed) Charges:

154. Regulation 17 of the Regulations, 2020 provides that Annual Capacity (fixed) Charges derived on the basis of annual fixed cost (AFC) which shall consist of the following components:

- (a) Return on Equity;
- (b) Depreciation
- (c) Interest on Loan Capital;
- (d) Operation and Maintenance Expenses
- (e) Interest on Working Capital;

Provided that special allowance in lieu of R&M, where opted in accordance with Regulation 30 of these Regulations shall be recovered separately and shall not be considered for computation of working capital.

a. Return on Equity:

Petitioner's submission:

155. With regard to the return on equity, the petitioner broadly submitted the following:

- i). The proviso 33.1 of the Regulations, 2020 specifies debt Equity ratio of 70:30 of capital cost for the purpose of determination of Return on Equity.
- ii). In accordance with above, the normative Equity as on 01.04.2023 as submitted in the True-Up Petition for FY 2022-23 and considered in instant True Up petition is tabulated hereunder:-

Table 71: Power Station/House wise Closing and Average Equity claimed by the petitioner

(Rs. in Crore)

Station		Opening Normative Equity as on 1.4.2023	Normative Equity addition w.r.t. Asset addition during FY 2023-24	Normative Equity deletion w.r.t. Asset Write off etc during FY 2023-24	Closing Normative Equity as on 31.3.2024	Normative Equity as on 01.04.2023 beyond Original scope of work
1	ATPS PH-3	258.86	0.14	-0.24	258.76	0.21
2	STPS PH-2&3	166.66	0.00	-0.005	166.66	0.00
3	STPS PH-4	662.83	3.94	-0.02	666.75	2.72
4	SGTPS PH-1&2	655.88	0.00	-0.03	655.85	0.05
5	SGTPS PH-3	578.01	0.82	-2.33	576.49	1.30
6	SSTPP PH-1	1414.65	4.14	-0.03	1418.77	1.76
7	SSTPP PH-2	1033.93	0.00	0.00	1033.93	0.00
8	Total Thermal	4770.82	9.04	-2.65	4777.21	6.04
9	Gandhi Sagar HPS	3.37	0.06		3.43	0.00
10	Pench HPS	35.77	1.76	-0.34	37.19	0.07
11	Rajghat HPS	27.03	0.45	0.00	27.48	0.003
12	Bargi HPS	27.77	0.46		28.23	0.003
13	Bansagar PH-1,2 &3 HPS	352.38	10.66	-0.32	362.72	0.26
14	Bansagar PH-4 HPS	35.05	0.21		35.26	0.00
16	Birsinghpur HPS	15.65	0.00		15.65	0.22
15	Madhikheda HPS	46.30	0.01		46.31	0.00
17	Total Hydro	543.32	13.62	-0.65	556.28	0.57
Total		5314.14	22.65	-3.31	5333.49	6.61

156. Since MPPGCL has not paid any tax during FY2023-24, therefore, MPPGCL has worked out the Return on Equity on pre-tax basis at a base rate and Return on Equity on Normative Equity towards asset additions worked out as tabulated below:

Table 72: Power Station/House wise Return on Equity claimed by the petitioner (Rs. in Crore)

Station		RoE within original scope of work			RoE beyond original scope of work			Total RoE
		Average Equity	Rate of RoE	RoE at base rate	Average Equity	Wt. Av. Rate of Interest	RoE @ Wt. Av. Rate of Interest	
1	ATPS PH-3	258.81	15.50%	40.12	0.21	13.02%	0.03	40.14
2	STPS PH-2&3	166.66	15.50%	25.83	0.00	12.90%	0.00	25.83
3	STPS PH-4	664.79	15.50%	103.04	2.72	10.11%	0.28	103.32
4	SGTPS PH-1&2	655.87	15.50%	101.66	0.05	12.22%	0.01	101.67
5	SGTPS PH-3	577.25	15.50%	89.47	1.30	13.02%	0.17	89.64
6	SSTPP PH-1	1416.71	15.50%	219.59	1.76	10.10%	0.18	219.77
7	SSTPP PH-2	1033.93	15.50%	160.26	0.00	10.03%	0.00	160.26
8	Total Thermal	4774.01	-	739.97	6.04		0.66	740.63
9	Gandhi Sagar, HPS	3.40	16.50%	0.56	0.00	13.50%	0.00	0.56
10	Pench, HPS	36.48	16.50%	6.02	0.07	13.50%	0.01	6.03
11	Rajghat, HPS	27.26	16.50%	4.50	0.00	13.50%	0.00	4.50
12	Bargi, HPS	28.00	16.50%	4.62	0.00	13.50%	0.00	4.62
13	Bansagar PH-1,2&3	357.55	16.50%	59.00	0.26	13.02%	0.03	59.03
14	Bansagar PH-4	35.16	16.50%	5.80	0.00	13.50%	0.00	5.80
15	Birsinghpur, HPS	15.65	16.50%	2.58	0.22	13.50%	0.03	2.61
16	Madhikheda, HPS	46.30	16.50%	7.64	0.00	13.02%	0.00	7.64
17	Total Hydro	549.80		90.72	0.57		0.08	90.79
Total		5323.81		830.69	6.61		0.73	831.42

Provision in Regulations:

157. With Regards to Return on Equity, Regulation 34 of the Regulations, 2020 provides that:

34 . Return on Equity:

34.1 Return on equity shall be computed in rupee terms on the equity base determined in accordance with Regulation 33 of these Regulations.

34.2 Return on equity shall be computed at the base rate of 15.50% for thermal generating stations and hydro generating stations and at the base rate of 16.50% for the pumped storage hydro generating stations and run-of river generating stations with pondage.

Provided that

- in case of a new project, the rate of return of a new project shall be reduced by 1.00% for such period as may be decided by the Commission, if the generating station is found to be declared under commercial operation without commissioning of any of the Restricted Governor Mode Operation (RGMO)/ Free Governor Mode Operation (FGMO):
- in case of existing generating station any of the above requirements are

found lacking based on the report submitted by the respective SLDC/RLDC, RoE shall be reduced by 1% for the period for which the deficiency continues.

- iii. *in case of a thermal generating station, with effect from 1.04.2020:*
 - (a) *rate of return on equity shall be reduced by 0.25% in case of failure to achieve the ramp rate of 1% per minute:*
 - (b) *an additional rate of return on equity of 0.25% shall be allowed for every incremental ramp rate of 1% per minute achieved over and above the ramp rate of 1% per minute, subject to ceiling of additional rate of return on equity of 1.00%:*

Commission's Analysis:

158. In this Order, the Commission has considered the power station wise opening equity as on 1st April, 2023 same as the closing equity admitted in last true-up order for FY 2022-23 issued on 7th March, 2024.

159. In compliance to Regulation 34.2 of the Regulations, 2020, the petitioner in its reply filed in proceeding of MYT Order dated 4th March, 2025 in Petition No. 56 of 2024 informed that the generating stations of MPPGCL having installed capacity above 25 MW have RGMO/FGMO commissioned. The petitioner further submitted that all the thermal generating stations of MPPGCL are operating with the ramp rate of over 1% per minute and same has also been certified by the State Load Dispatch Center (SLDC).

160. With regard to ROE in respect of additional capitalization, after the cut-off date beyond the original scope of work, proviso of Regulation 34.2 of the Regulations, 2020, as amended provides that:

“Provided also that return on equity in respect of additional capitalization after cutoff date beyond the original scope of work, excluding additional capitalization on account of emission control system, shall be computed at the weighted average rate of interest on actual loan portfolio of the generating station or in the absence of actual loan portfolio of the generating station, the weighted average rate of interest of the generating company, as a whole shall be considered, subject to ceiling of 14%”

161. The petitioner filed the additional capitalization in thermal and hydel power stations during FY 2023-24 and claimed return on equity on additional equity infusion in respect of additional capitalization. The Commission has considered the power station wise equity addition within original scope of work and beyond original scope of work separately only to the extent of additional capitalization considered in this true-up Order.

The equity over and above the normative equity is considered as normative loan. The Commission has also considered the reduction of equity amount in respect of the asset deletion/de-capitalization in respective power stations during the year.

162. Based on the above, the Power Station/House wise break-up of normative equity eligible for return on equity in this true-up Order is worked out as given below:

Table 73: Power Station/House wise Opening Equity, Additions and Closing Equity within original scope of work considered by the Commission (Rs. in Crore)

Sr. No.	Power Station	Normative Equity Within Original scope of work			
		Opening Equity as on 01.04.2023 within original scope of work	Equity Addition towards assets within Original Scope of Work	Equity Assets Written Off/ Decapitalized	Closing Equity as on 31.3.2024 within original scope of work
1	ATPS PH-3	258.86	-	-0.24	258.62
2	STPS PH-2 & 3	166.66	-	-0.01	166.65
3	STPS PH-4	662.83	1.00	-0.02	663.81
4	SGTPS PH 1 & 2	655.88	-	-0.03	655.85
5	SGTPS PH-3	578.02	-	-2.33	575.69
6	SSTPP PH-1	1414.65	0.36	-0.03	1,414.99
7	SSTPP PH-2	1033.93	-	-	1,033.93
	Total Thermal	4770.83	1.37	-2.66	4769.54
7	Gandhi Sagar HPS	3.37	0.05	-	3.42
8	Pench HPS	35.77	1.72	-0.34	37.15
9	Rajghat HPS	27.03	0.13	-	27.16
10	Bargi HPS	27.77	-	-	27.77
11	Bansagar PH-1,2 & 3 HPS	352.38	-	-0.32	352.07
12	Bansagar PH-4 HPS	35.05	-	-	35.05
13	Birsinghpur HPS	15.65	-	-	15.65
14	Madhikheda HPS	46.30	-	-	46.30
	Total Hydro	543.32	1.90	-0.65	544.57
	Total	5314.14	3.27	-3.31	5314.11

Table 74: Power Station/House wise Opening Equity, Equity Addition and Closing Equity beyond original scope of work considered by the Commission (Rs. in Crore)

Sr. No.	Power Station	Normative Equity beyond original scope of work		
		Opening Equity beyond original scope of work as on 01.04.2023	Equity Addition towards assets beyond Original Scope of Work	Closing Equity beyond original scope of work as on 31.3.2024
1	ATPS PH-3	0.21	0.03	0.24
2	STPS PH-2 & 3	0.00	-	-
3	STPS PH-4	2.72	1.27	3.99
4	SGTPS PH 1 & 2	0.05	-	0.05
5	SGTPS PH-3	1.30	-	1.30

6	SSTPP PH-1	1.76	1.35	3.11
7	SSTPP PH-2	0.00	-	-
	Total Thermal	6.04	2.65	8.69
7	Gandhi Sagar HPS	0.00	0.01	0.01
8	Pench HPS	0.07	0.03	0.10
9	Rajghat HPS	0.00	0.05	0.05
10	Bargi HPS	0.00	0.36	0.36
11	Bansagar PH-1,2 &3 HPS	0.26	0.03	0.29
12	Bansagar PH-4 HPS	0.00	0.09	0.09
13	Birsinghpur HPS	0.22	-	0.22
14	Madhikheda HPS	0.00	0.00	0.00
	Total Hydro	0.56	0.56	1.12
	Total	6.61	3.22	9.81

163. The Commission has determined the ROE on equity component within the original scope considered at the base rate of return @15.50% for thermal power stations and 16.50% for hydro power stations, however, while calculating ROE on equity component incurred and admitted after the cut-off date and beyond the original scope, the Commission has considered the rate of RoE @ weighted average rate of Interest on actual loan portfolio of respective power stations with ceiling limit of 14% in accordance with proviso 34.2 of the Regulations, 2020, as amended. Aforesaid Regulation further provides that in the absence of actual loan portfolio of the generating station, the weighted average rate of interest of the generating company, as a whole shall be considered.

164. Accordingly, the return on equity for equity invested in assets within the original scope work and beyond the original scope of work been worked out for FY 2023-24 for thermal and hydel power stations as given below:

Table 75: Power Station/House wise Return on Equity for FY 2023-24 allowed by the Commission

Sr. No.	Station	Average Equity invested within original scope of work	Rate of RoE	Return on Equity	Average Equity for equity invested beyond original scope of work	Weighted Avg. Rate of Interest ceiling @14%	Return on Equity	Total Return on Equity Allowed
1	2	3	4	5	6	7	8	9
		Rs. Crores	%	Rs. Crores	Rs. Crores	%	Rs. Crores	Rs. Crores
1	ATPS PH-3	258.74	15.50%	40.10	0.23	13.02%	0.03	40.13
2	STPS PH-2&3	166.66	15.50%	25.83	0.00	12.90%	0.00	25.83
3	STPS PH-4	663.32	15.50%	102.81	3.36	10.11%	0.34	103.15
4	SGTPS PH-1&2	655.87	15.50%	101.66	0.05	12.22%	0.01	101.67

5	SGTPS PH-3	576.85	15.50%	89.41	1.30	13.02%	0.17	89.58
6	SSTPP PH-1	1414.82	15.50%	219.30	2.43	10.10%	0.25	219.54
	SSTPP PH-2	1033.93	15.50%	160.26	0.00	10.03%	0.00	160.26
	Total Thermal	4770.19		739.38	7.37		0.79	740.17
7	Gandhi Sagar HPS	3.40	16.50%	0.56	0.01	13.50%	0.00	0.56
8	Pench HPS	36.46	16.50%	6.02	0.09	13.50%	0.01	6.03
9	Rajghat HPS	27.09	16.50%	4.47	0.03	13.50%	0.00	4.47
10	Bargi HPS	27.77	16.50%	4.58	0.18	13.50%	0.02	4.61
11	Bansagar PH-1,2 &3 HPS	352.22	16.50%	58.12	0.28	13.02%	0.04	58.15
12	Bansagar PH-4 HPS	35.05	16.50%	5.78	0.04	13.50%	0.01	5.79
13	Birsinghpur HPS	15.65	16.50%	2.58	0.22	13.50%	0.03	2.61
14	Madhikheda HPS	46.30	16.50%	7.64	0.00	13.02%	0.00	7.64
	Total Hydro	543.94		89.75	0.84		0.11	89.86
	Total	5314.13		829.13	8.20		0.90	830.03

b. Depreciation:
Petitioner's submission

165. With regard to the depreciation, the petitioner broadly submitted the following:

- a. "Considering the asset additions and deductions, the Closing Gross Block and the Average Gross Block for FY 2023-24 works out as under:-

Table 76: Opening GFA, Additions, Deductions, Closing GFA claimed by the petitioner
(Rs. in Crore)

	Station	Opening Gross Block 01.04.2023	Asset Additions during FY 2023-24	Deductions during FY 2023-24	Closing Gross Block 31.03.2024	Average Gross Block
1	ATPS PH-3	1132.52	0.47	-0.81	1132.17	1132.35
2	STPS PH-2&3	562.43	0.00	-0.02	562.41	562.42
3	STPS PH-4	3276.58	13.14	-0.06	3289.66	3283.12
4	SGTPS PH-1&2	2208.07	0.00	-0.09	2207.98	2208.02
5	SGTPS PH-3	2049.95	2.72	-7.78	2044.89	2047.42
6	SSTPP PH-1	7328.49	13.81	-0.09	7342.21	7335.35
7	SSTPP PH-2	6761.07	4.09	0.00	6765.16	6763.12
	Total Thermal	23319.11	34.22	-8.84	23344.49	23331.80
8	Gandhi Sagar HPS	11.14	0.21	0.00	11.35	11.25
9	Pench HPS	119.44	5.87	-1.12	124.18	121.81
10	Rajghat HPS	107.43	1.51	0.00	108.94	108.19
11	Bargi HPS	92.48	1.54	0.00	94.02	93.25

12	Bansagar PH-1,2&3 HPS	1175.45	35.53	-1.05	1209.92	1192.69
13	Bansagar PH-4 HPS	116.85	0.71	0.00	117.56	117.20
14	Birsinghpur HPS	53.15	0.00	0.00	53.15	53.15
15	Madhikheda HPS	218.16	0.02	0.00	218.18	218.17
	Total Hydro	1894.10	45.38	-2.18	1937.31	1915.70
	Total	25213.21	79.61	-11.02	25281.79	25247.50

b. The depreciation on the Gross Block has been computed based on the following:-

- The rates for depreciation are considered as approved by Commission in Appendix-I of the Regulations, 2020.
- The salvage value of assets is considered as 10% i.e. none of the assets are depreciated more than 90% of the gross value.
- Proviso 37.6 of the Regulations, 2020 specifies that the remaining depreciable value as on 31st March of the year closing after a period of 12 years from the effective date of commercial operation of the station shall be spread over the balance useful life. In this regard it is to submit as under:-
- In accordance aforesaid said proviso, MPPGCL has worked out the depreciation rate for balance life of assets for the stations which have completed the useful life of 12 years.
- Gandhisagar HPS & SGTPS PH-1 Birsinghpur have outlived their useful life, accordingly, estimated useful life has been considered for working out the depreciation rate for balance life for asset additions made at these stations.
- In case of asset addition made during the year, the depreciation is charged on pro-rata basis based on the commercial operation of the assets for part of the year.
- The Assets additions on account of need-based R&M works at STPS PH-2&3 & SGTPS PH-1 are not considered as Special Allowance has been opted for these units.
- The assets in the records of MPPGCL are only for its own share, accordingly, depreciation is computed for MPPGCL share only

166. Considering the above, the depreciation on various power stations has been worked out by the petitioner as tabulated below:-

Table 77: Power Station/House wise Depreciation Claimed by petitioner for FY 2023-24

Station		Average Gross Block (Rs. in Crore)	Wt. Av. Rate of Dep. (%)	Dep. Amount for FY 24 (Rs. in Crore)
1	ATPS PH-3	1132.35	2.39%	27.01
2	STPS PH-2&3	562.42	0.00%	0.00
3	STPS PH-4	3283.12	5.18%	170.01
4	SGTPS PH-1&2	2208.02	1.33%	29.29
5	SGTPS PH-3	2047.42	2.01%	41.16
6	SSTPP PH-1	7335.35	5.06%	371.21
7	SSTPP PH-2	6763.12	5.22%	352.91
	Total Thermal	23331.80		991.58
8	Gandhi Sagar HPS	11.25	0.60%	0.07
9	Pench HPS	121.81	1.22%	1.48
10	Rajghat HPS	108.19	1.58%	1.71
11	Bargi HPS	93.25	1.29%	1.20
12	Bansagar PH-1,2&3 HPS	1192.69	1.44%	17.17
13	Bansagar PH-4 HPS	117.20	1.14%	1.34
14	Birsinghpur HPS	53.15	0.95%	0.50
15	Madhikheda HPS	218.17	1.14%	2.48
	Total Hydro	1915.70		25.95
Total		25247.50		1017.53

167. Accordingly, the Closing Accumulated Depreciation filed by the petitioner for FY 2023-24 is as under:

Table 78: Power-Station Wise Opening & Closing Accumulated Depreciation submitted by the petitioner (Rs. in Crore)

Station		Opening Balance of Acc. Dep. 01-04-2023	Dep. Amount for FY 24	Acc. Dep. reduction towards write off/ adjustment	Closing Balance of Acc. Dep. 31-03-2024	As % of Gross Block
1	ATPS PH-3	690.22	27.01	-0.50	716.73	63%
2	STPS PH-2&3	511.63	0.00	-0.01	511.62	90%
3	STPS PH-4	1507.81	170.01	-0.03	1677.80	51%
4	SGTPS PH-1&2	1921.32	29.29	-0.08	1950.53	88%
5	SGTPS PH-3	1340.05	41.16	-5.09	1376.12	67%
6	SSTPP PH-1	3166.70	371.21	-0.04	3537.87	48%
7	SSTPP PH-2	1426.90	352.91	0.00	1779.80	26%
	Total Thermal	10564.62	991.58	-5.74	11550.47	
8	Gandhi Sagar HPS	9.67	0.07	0.00	9.74	86%
9	Pench HPS	88.13	1.48	-0.83	88.78	71%
10	Rajghat HPS	68.56	1.71	0.00	70.27	65%

11	Bargi HPS	74.32	1.20	0.00	75.52	80%
12	Bansagar PH-1,2&3 HPS	897.29	17.17	-0.62	913.83	76%
13	Bansagar PH-4 HPS	86.62	1.34	0.00	87.96	75%
14	Birsinghpur HPS	42.89	0.50	0.00	43.40	82%
15	Madhikheda HPS	133.41	2.48	0.00	135.89	62%
	Total Hydro	1400.90	25.95	-1.45	1425.40	
	Total	11965.52	1017.53	-7.19	12975.86	

Provision in Regulations:

168. With regard to Depreciation, Regulation 37 of the Regulations, 2020 provides that:

“37.1“Depreciation shall be computed from the date of commercial operation of a generating station or unit thereof. In case of the tariff of all the units of a generating station for which a single tariff needs to be determined, the depreciation shall be computed from the effective date of commercial operation of the generating station taking into consideration the depreciation of individual units:

Provided that effective date of commercial operation shall be worked out by considering the actual date of commercial operation and installed capacity of all the units of the generating station for which single tariff needs to be determined.

37.2 The value base for the purpose of depreciation shall be the capital cost of the asset admitted by the Commission. In case of multiple units of a generating station, weighted average life for the generating station shall be applied.

37.3 The salvage value of the asset shall be considered as 10% and depreciation shall be allowed up to maximum of 90% of the capital cost of the asset:

Provided that in case of hydro generating station, the salvage value shall be as provided in the agreement, if any, signed by the developers with the State Government for development of the generating station:

Provided further that the capital cost of the assets of the hydro generating station for the purpose of computation of depreciated value shall correspond to the percentage of sale of electricity under long-term power purchase agreement at regulated tariff:

Provided also that any depreciation disallowed on account of lower availability of the generating station or generating unit shall not be allowed to be recovered at a later stage during the useful life or the extended life:

Provided also that the salvage value for IT equipment and software shall

be considered as NIL and 100% value of the assets shall be considered depreciable.

37.4 Land other than the land held under lease and the land for reservoir in case of hydro generating station shall not be a depreciable asset and its cost shall be excluded from the capital cost while computing depreciable value of the asset.

37.5 Depreciation shall be calculated annually based on 'Straight Line Method' and at rates specified in Appendix-I to these Regulations for the assets of the generating station.

37.6 Depreciation shall be chargeable from the first Year of commercial operation. In case of commercial operation of the asset for part of the Year, depreciation shall be charged on pro rata basis:

Provided that the remaining depreciable value as on 31st March of the year closing after a period of 12 years from the effective date of commercial operation of the station shall be spread over the balance useful life of the assets.

37.7 In case of the existing projects, the balance depreciable value as on 1.4.2019 shall be worked out by deducting the cumulative depreciation as admitted by the Commission upto 31.3.2019 from the gross depreciable value of the assets.

37.8 The generating company shall submit the details of proposed capital expenditure five years before the completion of useful life of the project along with justification and proposed life extension. The Commission based on prudence check of such submissions shall approve the depreciation on capital expenditure during the final end of the project.

37.9 In case of de-capitalization of assets in respect of generating station or unit thereof, the cumulative depreciation shall be adjusted by taking into account the depreciation recovered in tariff by the de-capitalized asset during its useful services."

Commission's Analysis:

169. Regulation 37.2 stated that the value base for the purpose of depreciation shall be the capital cost of the asset admitted by the Commission. In accordance with the aforesaid Regulation, Gross Fixed Assets as on 31st March, 2023 admitted by the Commission in the last True-up order for FY 2022-23 issued on 7th March, 2024 in petition No. 71 of 2023 is considered as the base opening figure of capital cost as on 01st April, 2023 for all thermal and hydel power stations in this Order.
170. Further, the petitioner mentioned that in case of asset addition made during the year, the depreciation is charged on pro-rata basis, based on the commercial operation of the assets for part of the year.

171. As per proviso 37.6 of the Regulations 2020 which provides that the remaining depreciable value as on 31st March of the year closing after a period of 12 years from the effective date of commercial operation of the station and shall be spread over the balance useful life of the assets. The petitioner submitted that it has already modified their Asset-cum-Depreciation registers in accordance with the aforesaid Regulations.
172. By affidavit dated 6th February, 2025, the petitioner has filed Assets-cum-Depreciation Registers. The Commission has considered Weighted Average rate of Depreciation as submitted by the petitioner in its Asset-cum-Depreciation register of FY 2023-24 for respective power stations.
173. The Commission observed that ATPS PH-3, SGTPS PH-1&2, SGTPS PH-3 and all Hydro power stations have completed useful life of 12 years. Accordingly, balance depreciation of these power stations has been spread over the balance useful life of the assets. Further, cumulative depreciation of STPS PH 2&3 already reaches to 90% of the GFA therefore, no depreciation is considered in this power station.
174. Accumulated Depreciation balances (as on 31st March, 2023) admitted by the Commission in last true-up order for FY 2022-23 for all power stations is considered as the base opening figures as on 01st April, 2023. Further, adjustment in Accumulated Depreciation towards de-capitalized assets is also considered to work out Adjusted Opening Accumulated Depreciation.
175. Based on the above, the opening GFA, additions admitted during the year, deductions towards de-capitalised assets considered during the year and the closing GFA is worked out as given below:

Table 79: Power Station wise Opening & Closing GFA Balances worked by the Commission out in this Order (Rs.in Crore)

Sr. No.	Power Station	Opening GFA	Assets Addition	Deductions /Write-off	Closing GFA	Average GFA
1	ATPS, Chachai PH-III	1132.52	0.11	-0.81	1131.82	1132.17
2	STPS, PH-2&3	562.43	0.00	-0.02	562.41	562.42
3	STPS, PH-4	3276.58	7.59	-0.06	3284.11	3280.34
4	SGTPS, PH-1&2	2208.07	0.00	-0.09	2207.98	2208.03
5	SGTPS, PH-3	2049.95	0.00	-7.78	2042.17	2046.06
6	SSTPP PH-1	7328.49	5.70	-0.09	7334.10	7331.29
7	SSTPP PH-2	6761.07	2.97	0.00	6764.04	6762.56
	Total Thermal	23319.11	16.37	-8.85	23326.63	23322.87
8	Gandhi Sagar HPS	11.14	0.21	0.00	11.35	11.24
9	Pench HPS	119.44	5.83	-1.12	124.15	121.80
10	Rajghat HPS	107.43	0.58	0.00	108.01	107.72
11	Bargi HPS	92.48	1.19	0.00	93.67	93.07

12	Bansagar PH (I to III) HPS	1175.45	0.11	-1.05	1174.51	1174.98
13	Bansagar IV HPS	116.85	0.29	0.00	117.14	117.00
14	Birsinghpur HPS	53.15	0.00	0.00	53.15	53.15
15	Madhikheda HPS	218.16	0.00	0.00	218.16	218.16
	Total Hydro	1894.10	8.21	-2.17	1900.14	1897.12
	Total	25213.21	24.57	-11.02	25226.76	25219.99

176. The depreciation for FY 2023-24 for power stations has been worked out in this Order by considering the weighted average rate of depreciation as per the Power Station/House wise Assets-cum-Depreciation registers submitted by the petitioner. Accordingly, the power station wise depreciation is worked out as given below:

Table 80: Power Station/House wise Depreciation allowed by the Commission for FY 2023-24

Sr. No.	Power Station	Wt. avg.rate of Dep.	Dep. Amount	Opening Cumm.Dep.	Accu. Depr Write - off	Closing Cumm. Dep.	Closing Cumm. Dep. % of Closing GFA
1	ATPS, PH-3	2.39%	27.01	690.22	(0.50)	716.73	63.33%
2	STPS, PH-2&3	0.00%	0.00	511.63	(0.01)	511.62	90.97%
3	STPS PH-4	5.18%	169.87	1507.81	(0.03)	1677.65	51.08%
4	SGTPS, PH-1&2	1.33%	29.29	1921.32	(0.08)	1950.53	88.34%
5	SGTPS, PH-3	2.01%	41.13	1340.05	(5.09)	1376.09	67.38%
6	SSTPP, PH-1	5.06%	371.00	3166.70	(0.04)	3537.66	48.24%
7	SSTPP PH-2	5.22%	352.88	1426.90	-	1779.78	26.31%
	Total Thermal		991.17	10564.63	-5.74	11550.05	
8	Gandhi Sagar HPS	0.60%	0.07	9.67	-	9.74	85.80%
9	Pench HPS	1.22%	1.48	88.13	(0.83)	88.78	71.51%
10	Rajghat HPS	1.58%	1.70	68.56	-	70.26	65.05%
11	Bargi HPS	1.29%	1.20	74.32	-	75.52	80.63%
12	Bansagar PH (1,2 & 3) HPS	1.44%	16.91	897.29	(0.62)	913.58	77.78%
12	Bansagar PH -4 HPS	1.14%	1.34	86.62	-	87.96	75.09%
13	Birsinghpur HPS	0.95%	0.50	42.89	-	43.39	81.65%
14	Madhikheda HPS	1.14%	2.48	133.41	-	135.89	62.29%
	Total Hydro		25.68	1400.89	-1.45	1425.12	
	Total		1016.85	11965.53	-7.19	12975.17	

c. Interest on loan capital:

Petitioner's submission:

177. With regard to interest on loan capital, the petitioner broadly submitted the following:

- Power station wise Normative opening loan balances as on 01.04.2023 as per True up order issued by MPERC for FY 2022-23 and considered in instant petition.*
- During FY 2023-24, asset additions were made in existing as well as in new projects. The details of Power Station wise asset additions along with their funding*

through Loan & Equity Component is detailed in the subject petition.

- c. During FY 2023-24, Assets were written-off/adjusted as reflected in Audited Books of Accounts for FY 2023-24.
- d. The Power station wise Closing and Average balances of loan considering the repayment equal to depreciation charged during FY 2023-24 as per proviso 36 of MPERC Regulations, 2020 are indicated as below:

Table 81: Power Station/House wise Loan Balances claimed by the petitioner
(Rs. in Crore)

Stations		Normative Loan Opening Bal 1-4-2023	Additions		Deletion towards Write- off etc	Principal repayment (Dep)	Closing Bal 31-03- 2024	Average Bal
			Loan	Excess Equity treated as loan				
1	ATPS PH-3	173.56	0.00	0.33	-0.57	27.01	146.31	159.93
2	STPS PH-2&3	0.00	0.00	0.00	-0.01	0.00	0.00	0.00
3	STPS PH-4	1137.53	1.92	7.28	-0.04	170.01	976.68	1057.10
4	SGTPS PH-1&2	0.00	0.00	0.00	-0.06	0.00	0.00	0.00
5	SGTPS PH-3	124.49	0.00	1.90	-5.45	41.16	79.79	102.14
6	SSTPP PH-1	2743.41	0.00	9.67	-0.06	371.21	2381.81	2562.61
7	SSTPP PH-2	4300.10	4.09	0.00	0.00	352.91	3951.28	4125.69
8	Total Thermal	8479.09	6.01	19.17	-6.19	962.29	7535.86	8007.48
9	Gandhi Sagar HPS	0.21	0.00	0.15	0.00	0.07	0.29	0.25
10	Pench HPS	7.53	0.00	4.11	-0.79	1.48	9.37	8.45
11	Rajghat HPS	0.00	0.00	1.06	0.00	1.06	0.00	0.00
12	Bargi HPS	0.00	0.00	1.08	0.00	1.08	0.00	0.00
13	Bansagar PH-1,2 &3 HPS	0.00	0.00	24.87	-0.74	17.17	6.97	3.48
14	Bansagar PH-4 HPS	0.00	0.00	0.49	0.00	0.49	0.00	0.00
15	Birsinghpur HPS	0.00	0.00	0.00	0.00	0.00	0.00	0.00
16	Madhikheda HPS	13.01	0.00	0.02	0.00	2.48	10.55	11.78
17	Total Hydel	20.75	0.00	31.77	-1.53	23.82	27.18	23.96
Total		8499.84	6.01	50.94	-7.72	986.11	7563.04	8031.44

The petitioner has considered, the Power station wise Interest charges (including Intt. on Excess Equity) for FY 2023-24 has been worked out in accordance to the proviso 36 of the Generation Tariff Regulations, 2020 by applying Weighted Average Rate of Interest on loans as indicated hereunder:

178. The petitioner worked out the Interest charges for FY 2023-24 by applying weighted average rate of interest on loans as given below:

Table 82: Power Station/House wise Interest on Loan claimed by the petitioner

Stations		Average Balance (Rs. in Crore)	Wt. Av. Rate of Interest (%)	Interest Amount (Rs. in Crore)
1	ATPS PH-3	159.93	13.02%	20.82
2	STPS PH-2&3	0.00	12.90%	0.00
3	STPS PH-4	1057.10	10.11%	106.89
4	SGTPS PH-1&2	0.00	12.22%	0.00
5	SGTPS PH-3	102.14	13.02%	13.30
6	SSTPP PH-1	2562.61	10.10%	258.86
7	SSTPP PH-2	4125.69	10.03%	413.73
8	Total Thermal	8007.48		813.59
9	Gandhi Sagar HPS	0.25	13.50%	0.03
10	Pench HPS	8.45	13.50%	1.14
11	Rajghat HPS	0.00	13.50%	0.00
12	Bargi HPS	0.00	13.50%	0.00
13	Bansagar PH-1,2 &3 HPS	3.48	13.02%	0.45
14	Bansagar PH-4 HPS	0.00	13.50%	0.00
15	Birsinghpur HPS	0.00	13.50%	0.00
16	Madhikheda HPS	11.78	13.02%	1.53
17	Total Hydel	23.96		3.16
Total		8031.44		816.75

Provision in Regulations:

179. Regulation 36 of the Regulations 2020, provides that:

36.1 The loans arrived at in the manner indicated in Regulation 33 of these Regulations shall be considered as gross normative loan for calculation of interest on loan.

36.2 The normative loan outstanding as on 1.4.2019 shall be worked out by deducting the cumulative repayment as admitted by the Commission up to 31.3.2019 from the gross normative loan. The repayment for each of the year of the tariff period 2019-24 shall be deemed to be equal to the depreciation allowed for the corresponding year/period. In case of de-capitalization of assets, the repayment shall be adjusted by taking into account cumulative repayment on a pro rata basis and the adjustment should not exceed cumulative depreciation recovered upto the date of de-capitalisation of such asset

36.3 Notwithstanding any moratorium period availed by the generating company, the repayment of loan shall be considered from the first year of commercial operation of the project and shall be equal to the depreciation allowed for the year or part of the year.

36.4 The rate of interest shall be the weighted average rate of interest calculated on the basis of the actual loan portfolio after providing appropriate accounting adjustment for interest capitalized:

Provided that if there is no actual loan for a particular year but normative loan is still outstanding, the last available weighted average rate of interest shall be considered:

Provided further that if the generating station does not have actual loan, then the weighted average rate of interest of the generating company as a whole shall be considered.

36.5 The interest on loan shall be calculated on the normative average loan of the year by applying the weighted average rate of interest.

Commission's analysis:

180. In this Order, the Commission has considered power station wise opening loan as on 1st April, 2023 same as closing loan admitted in last true-up order for FY 2022-23 issued on 7th March, 2024.
181. The power station wise details of loan additions towards asset additions to the extent of additional capitalization is considered in this Order. The Commission has also considered the reduction of loan amount in respect of the assets deletion/de-capitalized in respective power stations during the year.
182. The petitioner claimed interest on loan by applying the Power Station/House wise weighted average rate of interest worked out by considering the actual loan portfolio. The Power Station- wise details of weighted average interest rate on loan worked out by the petitioner filed in its additional submission are as given below:

Table 83: Power Station/House wise Weighted Average Rate of Interest claimed by the petitioner

Particulars		Wt.Av.Rate of Interest of Loans FY 2023-24		
		PFC Loan(%)	GoMP Loan(%)	Total(%)
1	ATPS PH-3	-	13.02%	13.02%
2	STPS PH-2&3	-	12.90%	12.90%
3	STPS PH-4	10.11%	13.50%	10.11%
4	SGTPS PH 1&2	10.01%	13.02%	12.22%
5	SGTPS PH 3	-	13.02%	13.02%
6	SSTTP PH-1	10.10%	-	10.10%
7	SSTTP PH-2	10.03%	-	10.03%
8	Total Thermal	10.07%	12.98%	10.12%

Particulars		Wt.Av.Rate of Interest of Loans FY 2023-24		
		PFC Loan(%)	GoMP Loan(%)	Total(%)
9	Gandhi Sagar HPS		13.50%	13.50%
10	R.P. Sagar			0.00%
11	J Sagar			0.00%
12	Pench HPS		13.50%	13.50%
13	Rajghat HPS		13.50%	13.50%
14	Bargi HPS		13.50%	13.50%
15	Bansagar PH-1,2&3 HPS		13.02%	13.02%
16	Bansagar PH-4 HPS		13.50%	13.50%
17	Birsinghpur HPS		13.50%	13.50%
18	Madhikheda HPS		13.02%	13.02%
19	Total Hydro		13.19%	13.19%
Total		10.07%	13.04%	10.14%

183. Vide Commission's letter dated 31st December, 2024 the petitioner was asked to file the basis of power station wise weighted average rate of interest on term loan as worked out in the subject petition.

184. By affidavit dated 20th January, 2025, the petitioner submitted the detailed working of Weighted Average Rate of Interest filed in the subject petition along with supporting documents in this regard. In respect of GoMP Loan, the petitioner submitted that same is provided to MPPGCL without any Primary/collateral security, accordingly, the Rate of interest applicable for GoMP loans are as per their prevailing practices. Further, the petitioner informed that:

The Loan wise Rate of interest considered for working out the Power station wise Weighted Average Rate of Interest is considered as per the prevailing interest rate specified by the lenders (PFC and GoMP), actual principal and interest amount and as per procedure specified in TPS Form -13 & HPS Form of the Regulations, 2020.

In this regard, the supporting documents are annexed for kind reference please:

- a) For PFC loans, the copy of Interest Calculation Statements and Quarterly Loan Demand provided by M/s PFC, New Delhi, indicating Rate of interest charged by them, is annexed for kind reference please.*
- b) For GoMP loan, the copy of relevant schedule of Audited Accounts for FY 2023-24 indicating Rate of interest charged by Hon'ble GoMP is annexed for kind reference please.*

185. Further, the petitioner by affidavit dated 20th January, 2025, also confirmed that no interest-on-interest amount or any penalty due to default in repayment is claimed in the petition as reflected in Weighted Average Rate of Calculations.
186. With regard to adjustment of cumulative depreciation, in respect of the assets decapitalized the reduction of loan amount towards write-off adjustments has been done after considering repayments of loan of de-capitalized assets. Hence, loan reduction due to write-off amount in some of the power stations has got nil except ATPS PH-3, STPS PH-2 & 3, STPS PH-4, SGTPS PH 1 & 2, SSTPP PH-1, SGTPS PH-3 and Pench HPS.
187. The Commission has worked out the power station wise opening balance of loan, loan additions during the year, deductions towards asset write-off/adjustments, repayment equal to depreciation charged during the year & Closing balances of loan as given below:

Table 84: Power Station wise loan Balances allowed by the Commission (Rs. in Crore)

Sr. No.	Power Station	Opening Loan as on 01.04.2023	Loan addition during FY 2023-24	Write off during the year	Normative Repayment during FY 2023-24 equal to dep.	Closing Loan as on 31.03.2024
1	ATPS PH-3	173.56	0.08	-0.07	27.01	146.56
2	STPS PH-2 & 3	0.00	0.00	0.00	0.00	0.00
3	STPS PH-4	1137.53	5.31	-0.01	169.87	972.96
4	SGTPS PH 1 & 2	0.00	0.00	0.00	0.00	0.00
5	SGTPS PH-3	124.49	0.00	-0.36	41.13	83.00
6	SSTPP PH-1	2743.41	3.99	-0.02	371.00	2376.42
7	SSTPP PH-2	4300.10	2.97	0.00	352.88	3950.20
8	Gandhi Sagar HPS	0.21	0.15	0.00	0.07	0.29
9	Pench HPS	7.53	4.08	0.00	1.48	10.13
10	Rajghat HPS	0.00	0.41	0.00	0.41	0.00
11	Bargi HPS	0.00	0.83	0.00	0.83	0.00
12	Bansagar PH-1,2 & 3 HPS	0.00	0.08	0.00	0.08	0.00
13	Bansagar PH-4 HPS	0.00	0.20	0.00	0.20	0.00
14	Birsinghpur HPS	0.00	0.00	0.00	0.00	0.00
15	Madhikheda HPS	13.01	0.00	0.00	2.48	10.53
	Total	8499.82	18.09	-0.46	967.42	7550.10

188. The power station- wise interest amount on loan is worked out by applying the power station wise applicable wt. average rate of interest on term loan are as given below:

Table 85: Power Station wise interest amount on loan capital allowed by the Commission

Sr. No.	Power Station	Average Loan (Rs. in Crore)	Wt. Avg Rate of Interest (%)	Interest on Loan Capital (Rs. in Crore)
1	ATPS PH-3	160.06	13.02%	20.84
2	STPS PH-2 & 3	-	12.90%	-
3	STPS PH-4	1055.24	10.11%	106.70
4	SGTPS PH 1 & 2	0.00	12.22%	-
5	SGTPS PH-3	103.75	13.02%	13.51
6	SSTPP PH-1	2559.92	10.10%	258.58
7	SSTPP PH-2	4125.15	10.03%	413.68
8	Gandhi Sagar HPS	0.25	13.50%	0.03
9	Pench HPS	8.83	13.50%	1.19
10	Rajghat HPS	-	13.50%	-
11	Bargi HPS	-	13.50%	-
12	Bansagar PH-1,2 & 3 HPS	-	13.02%	-
13	Bansagar PH-4 HPS	-	13.50%	-
14	Birsinghpur HPS	-	13.50%	-
15	Madhikheda HPS	11.77	13.02%	1.53
	Total	8024.97		816.06

189. The petitioner is directed to make efforts for restructuring/refinancing of its higher interest rate of loans with lower interest rate of loans in accordance to Regulation 57 of the Regulations, 2020.

d) Operation and Maintenance Expenses:

Petitioner's submission

190. The petitioner has filed the Operation and Maintenance expenses for the project for FY 2023-24 in accordance to the norms under the Regulations, 2020 as given below:

Table 86: Power Station/House wise Operation & Maintenance Expenses claimed by the petitioner (Rs. in Crore)

Sr.No.	Power Stations	As considered by MPPGCL on Norms
1	ATPS PH-3	68.23
2	STPS PH-2&3	269.67
3	STPS PH-4	189.20
4	SGTPS PH-1&2	272.92
5	SGTPS PH-3	130.40
6	SSTPP PH-1	279.12
7	SSTPP PH-2	307.03
8	Gandhi Sagar, HPS	14.97
9	Pench, HPS	20.83

10	Rajghat, HPS	5.86
11	Bargi, HPS	11.72
12	Bansagar PH-1,2&3 HPS	52.73
13	Bansagar PH-4 HPS	2.60
14	Birsinghpur, HPS	2.60
15	Madhikheda, HPS	7.81
	Total	1635.70

Provision in Regulations:

191. Regarding the operation and maintenance expenses of thermal power stations, Regulation 40.1 & 40.2 of the Regulations, 2020, provides as under:

40.1 “The Operation and Maintenance expenses admissible to the thermal power stations declared under commercial operation prior to 01.04.2012 comprise of employee cost, Repair & Maintenance (R&M) cost and Administrative and General (A&G) cost. These norms for O&M exclude Pension and Terminal Benefits, EL encashment, and arrears to be paid to employees, taxes payable to the Government, and fees payable to MPERC. The generating company shall claim the rate, rent & taxes payable to the Government, cost of chemicals and consumables, fees to be paid to MPERC, EL encashment and any arrears paid to employees separately as actual. If the O&M expenses as per norms provided in these Regulations are more than the actual total O&M expenses including arrears if any, as per audited accounts of generating company, O&M expenses to the extent of normative O&M shall be allowed. The claim of pension and Terminal Benefits shall be dealt as per Regulation 39.4 of these Regulations.”

Table 87: Operation and Maintenance Norms for Existing Thermal Generating Units

Units (MW)	FY 2023-24
	Rs. Lakh/MW
200/210/250	32.49
500	26.08

192. Above mentioned norms are applicable for the Thermal Generating Stations which were commissioned on or before 31.03.2012. The O&M Norms for Thermal Generating units commissioned on or after 01.04.2012 provided in Regulation 40.2 as under:

Table 88: Operation and Maintenance Norms for New Thermal Generating Units

Units (MW)	FY 2023-24
	Rs. Lakh/MW
200/210/250	37.84
600/660	23.26

193. Further, Regulation 41.2 of the Regulations, 2020, regarding Hydro Power Stations provides the following O&M norms:

Table 89: Operation and Maintenance Norms for Hydro Generating Units

Year	O&M Expenses Rs. in Lakh/MW
2023-24	13.02

Commission's Analysis:

194. For Thermal and Hydel Power Stations, the Commission has worked out the Power Station/House wise annual O&M expenses by applying normative O&M expenses specified under the Regulations, 2020. The Power Station/House wise operation and maintenance expenses allowed in this Order are as given below:

Table 90: Power Station/House wise Operation and Maintenance Expenses allowed by the Commission for FY 2023-24

Sr.No.	Power Station	Capacity	Normative O&M Expenses	Annual O&M Expenses as per norms
		MW	Lacs/MW	Rs. in Crores
1	ATPS, Chachai PH-III	210	32.49	68.23
2	STPS PH 2&3	830	32.49	269.67
3	STPS, PH-4	500	37.84	189.20
4	SGTPS, PH-1&2	840	32.49	272.92
5	SGTPS, PH-3	500	26.08	130.40
6	SSTPP, PH-1	1200	23.26	279.12
7	SSTPP PH-2	1320	23.26	307.03
8	Gandhi Sagar HPS	115	13.02	14.97
9	Pench HPS	160	13.02	20.83
10	Rajghat HPS	45	13.02	5.86
11	Bargi HPS	90	13.02	11.72
12	Bansagar PH-1,2&3 HPS	405	13.02	52.73
13	Bansagar PH-4 HPS	20	13.02	2.60
14	Birsinghpur HPS	20	13.02	2.60
15	Madhikheda HPS	60	13.02	7.81
	Total	6315		1635.70

**e) Special allowance:
Petitioner's submission**

195. With regard to the special allowance, the petitioner submitted the following:
- "The proviso 30 of the Regulations, 2020 provides that the Generating Company, in case of thermal generating stations, instead of availing R&M may opt to avail a "special allowance" in accordance with the norms specified in this Regulation,*

as compensation for meeting the requirement of expenses including renovation and modernization beyond the useful life of the generating station or a unit thereof, and in such an event, upward revision of the capital cost shall not be allowed and the applicable operational norms shall not be relaxed but the special allowance shall be included in the annual fixed cost.

The Commission vide MYT order dated 19.05.2021 in petition No. 53 of 2020 has permitted Special Allowance for Units of PH-2 & 3 STPS, Sarni from FY 2019-20 to FY 2023-24. Accordingly, the Truing up of the same has been considered in the petition.

Further, the Commission vide order dated 27.07.2023 in Petition No.11 of 2023, has permitted recovery of Special Allowance (w.e.f. 01.04.2023) for Units of PH-1, SGTPS, Birsinghpur on completion of Useful life. Similarly, the Commission vide order dated 17.01.2024 in Petition No.52 of 2023 has permitted Special Allowance (w.e.f. 27.02.2024) for Unit No.3, of PH-2, SGTPS, Birsinghpur on completion of Useful life. Accordingly, special allowance on thermal power stations worked out as below:-

Table 91: Special Allowance submitted by the petitioner for FY 2022-23 (Rs. In Crore)

S. No	Particulars	MPPGCL as per Norms
1	STPS PH 2&3	78.85
2	SGTPS PH-1	39.90
3	SGTPS Unit-3	1.804
	Total	120.55

Provision in the Regulations:

196. With regard to special allowance, Regulation 30.2 of the Regulations, 2020 provides that:

30. Special allowance for Coal-based Thermal Generating station:

30.1 In case of coal-based thermal generating station, the generating company, instead of availing R&M may opt to avail a “special allowance” in accordance with the norms specified in this Regulation, as compensation for meeting the requirement of expenses including renovation and modernisation beyond the useful life of the generating station or a unit thereof, and in such an event, upward revision of the capital cost shall not be allowed and the applicable operational norms shall not be relaxed but the special allowance shall be included in the annual fixed cost:

Provided that such option shall not be available for a generating station or unit thereof for which renovation and modernization has been undertaken and the expenditure has been admitted by the Commission before commencement of these Regulations, or for a generating station or unit which is in a depleted

condition or operating under relaxed operational and performance norms:

Provided further that special allowance shall also be available for a generating station which has availed the special allowance during the tariff period 2013-14 to 2015-16 or 2016-17 to 2018-19 as applicable from the date of completion of the useful life.

- 30.2 *The special allowance admissible to the generating station shall be @ Rs. 9.5 lakh/MW/year for the tariff period 2019-24.*
- 30.3 *In the event of granting special allowance by the Commission, the expenditure incurred or utilized from special allowance shall be maintained separately by the generating station and details of same shall be made available to the Commission as and when directed to furnish details of such expenditure.*
- 30.4 *The special allowance allowed under this Regulation shall be transferred to a separate fund for utilization towards Renovation & Maintenance activities, for which detailed methodology shall be issued separately.*

Commission's Analysis:

197. Petitioner has claimed special allowance in respect of STPS PH 2&3 and SGTPS PH 1&2 (Unit No. 1,2 & 3). Regulation 30 of the Regulations, 2020 provides the special allowance for coal based thermal power stations, instead of availing R&M for meeting the requirement of expenses including R&M beyond the useful life of generating station. Regulation 30.2 of the Regulations 2020 further provides that the special allowance admissible to the generating station shall be @ Rs. 9.5 lakh/MW/year for the tariff period 2019-24.
198. The Commission vide MYT order dated 19th May, 2021 allowed the special allowance for Unit No 6,7, 8 & 9 of STPS, Sarni PH-2&3. Further, vide order dated 27.07.2023 in Petition No. 11 of 2023, the Commission allowed special allowance for Unit No 1 & 2 (2x210MW) of SGTPS, Birsinghpur, PH-1 after completion of useful life (25 years) of Units. Subsequently, vide Order dated 17.01.2024 in Petition No. 52 of 2023, the Commission also allowed special allowance for Unit No.3 of SGTPS, Birsinghpur, PH-2 for the period from 28.02.2024 to 31.03.2024 (33 days) for FY 2023-24.
199. With regard to special allowance, Respondent No. 1 MPPMCL in its response submitted that the petitioner has neither submitted a separate account in respect of the Special Allowances availed by it in respect to SGTPS PH-1 & 2, nor Utilization Certificates, therefore, the Additional Capitalization in respect of the Units ought to be disallowed and Special Allowance availed refunded to the answering Respondent.
200. With regard to special allowance, Regulation 30.3 of the Regulations, 2020 provides that in the event of granting special allowance, the expenditure incurred or utilized from special allowance shall be maintained separately by the generating station and details of same shall be made available to the Commission as and when directed.

201. In view of the above, the petitioner was asked to file details of expenditure incurred from special allowance along with supporting documents.

202. In response to above, vide letter dated 06.02.2025, the petitioner submitted the following:

Special allowance for SGTPS PH-1&2, Birsinghpur have been worked out as detailed in Table 4.2.1.1 and Table 4.2.1.2 in the instant Petition. Further as desired by the Commission, the details of expenditure incurred / utilized from Special allowance of SGTPS PH-1 and Unit No.3 PH-2, Birsinghpur are annexed along with supporting documents (Order copies etc.) for kind reference please. In regard to STPS PH-2&3 it is to mention that the Units of STPS PH-2&3 are under forced outages in FY 2023-24, as such the Capacity (fixed) charges (including Special Allowance) on actual Availability, being 0.00%, are nil.

203. In view of the above, the Commission observed that the petitioner has filed list of works to be carried out through special allowance fund in SGTPS PH-1 & 2 and Unit No. 3 of Rs.39.90 Cr. and 1.804 Cr. respectively. The petitioner has also enclosed a list of orders alongwith the copies of work orders placed to different vender in this regard. The petitioner is directed to maintain separate record of expenditure carried out through special allowance fund and present the same before the Commission with next true-up petition. The petitioner is also directed to provide a copy of aforesaid details/documents to the procurer (MPPMCL) in this regard.

204. Accordingly, the Commission has considered the special allowance for FY 2023-24 for the units of STPS PH-2&3 and SGTPS PH 1 & 2 are as given below:

Table 92: Special Allowance allowed by the Commission for FY 2023-24

Sr. No.	Power Station	Capacity in MW	Special Allowance (Rs. Lakh/MW)	Total amount considered (Rs. in Crore)
1	STPS PH-2&3	830	9.5	78.85
2	SGTPS PH-1	420	9.5	39.90
3	SGTPS Unit-3	210	9.5	1.804

f) Interest on Working Capital:

Petitioner submission:

205. With regard to interest on working capital, the petitioner broadly submitted the following:

“The Working capital has been determined in the Commission’s MYT Order dated 19.05.2021 in accordance with proviso 38.1(A) & 38.1(B) of the Regulations, 2020.

Accordingly Cost of coal towards stock, if applicable, for 15 days for pit-head generating stations and 30 days for non-pit-head generating stations and Advance payment for 30 days towards cost of coal for generation corresponding to the normative annual plant availability factor, 2 Months cost of main Secondary Oil corresponding to NAPAF, O&M expenditure for 1 month, 20% of Normative O&M Expenses as maintenance spares for thermal and 15% of Normative O&M Expenses as maintenance spares for Hydro and 45 days Receivables has been considered for calculating interest on Working Capital.”

Accordingly, the Normative Interest on Working Capital as approved by Commission considering Interest rate as 11.25% (MCLR of SBI - 7.75% + 350 points) in the Tariff order is reproduced below before applying Actual Availability of power stations:

Table 93: Power Station/House wise Interest on Working Capital claimed in the Petition (Rs. in Crore)

Sr.No.	Station	As per MPERC Order	As considered by MPPGCL on Norms	Diff. Amount
1	ATPS PH-3	10.99	11.72	0.73
2	STPS PH-2&3	58.02	61.88	3.86
3	STPS PH-4	40.24	42.92	2.68
4	SGTPS PH-1&2	50.04	53.38	3.34
5	SGTPS PH-3	29.62	31.60	1.98
6	SSTPP PH-1	106.03	113.10	7.07
7	SSTPP PH-2	112.66	120.17	7.51
8	Total Thermal	407.60	434.78	27.18
9	Gandhi Sagar, HPS	0.62	0.66	0.04
10	Pench, HPS	0.94	1.00	0.06
11	Rajghat, HPS	0.37	0.39	0.02
12	Bargi, HPS	0.56	0.60	0.04
13	Bansagar PH-1,2&3	3.54	3.77	0.23
14	Bansagar PH-4	0.20	0.21	0.01
15	Birsinghpur, HPS	0.15	0.16	0.01
16	Madhikheda, HPS	0.47	0.50	0.03
17	Total Hydro	6.85	7.29	0.44
Total		414.45	442.07	27.62

Provision in Regulations:

206. regarding working capital for coal based generating stations, Regulation 38.1 (A) of the Regulations, 2020 provides that:

38.1 “The Working Capital shall cover:

A. Coal- based thermal generating stations

- i. Cost of coal towards stock, if applicable, for 15 days for pit-head generating stations and 30 days for non-pit-head generating stations for generation

corresponding to the normative annual plant availability factor or the maximum coal stock storage capacity whichever is lower;

- ii. Advance payment for 30 days towards cost of coal for generation corresponding to the normative annual plant availability factor;*
- iii. Cost of secondary fuel oil for two months for generation corresponding to the normative annual plant availability factor, and in case of use of more than one secondary fuel oil, cost of fuel oil stock for the main secondary fuel oil;*
- iv. Maintenance spares @ 20% of operation and maintenance expenses specified in Regulation 39 and 40 of these Regulations;*
- v. Receivables equivalent to 45 days of capacity charges and energy charges for sale of electricity calculated on the normative annual plant availability factor; and*
- vi. Operation and maintenance expenses for one month.*

207. Regarding working capital for hydel power stations, Regulation 38.1 (B) of the Regulations, 2020 provides that:

B. "Hydro Generating Station, the Working Capital shall include:

- (i) Receivables equivalent to 45 days of Annual fixed cost;*
- (ii) Maintenance spares @ 15% of operation and maintenance expenses specified in Regulation 39 and 41 of these Regulations; and*
- (iii) Operation and maintenance expenses for one month*

208. With regard to rate of interest on working capital, Regulation 38.3 of the Regulations, 2020 provides that:

"Rate of interest on working capital shall be on normative basis and shall be considered as the bank rate 1.4.2019 or as on 1st April of the year during the tariff period 2019-20 to 2023-24 in which the generating station or a unit thereof, is declared under commercial operation, whichever is later:

Provided that in case of truing-up, the rate of interest on working capital shall be considered at bank rate as on 1st April of each of the financial year during the tariff period 2019-24."

Commission's analysis:

209. While determining the interest on working capital, Regulation 38.2 of the Regulations, 2020 provides that the cost of fuel shall be based on the landed fuel cost incurred by the generating company and gross calorific value of fuel as per actual weighted average for the three month preceding the first month for which tariff is to be determined and no fuel price escalation shall be provided during the tariff period for calculating the working capital. The components of working capital worked out by the Commission as per the provisions under the Regulations, 2020 as given below:

- (i) 60 Days Cost of coal as considered in Commission's order dated 19th May, 2021 in Petition No. 53 of 2020 and Corrigendum dated 9th September, 2021 for FY 2022-23 for thermal power stations is considered in this Order.

Table 94: Power Station/House wise Cost of Coal as per MYT Order dated 19th May, 2021 (in accordance with Regulation 38.1 (A) (i) & (ii)) (Rs. in Crore)

Sr. No.	Power Station	Amount
1	ATPS PH-3	32.82
2	STPS PH-2&3	221.03
3	STPS PH-4	130.87
4	SGTPS PH-1&2	174.28
5	SGTPS PH-3	106.96
6	SSTPP PH-1	405.26
7	SSTPP PH-2	429.91
	Total	1501.13

- (ii) Cost of main secondary fuel oil for two months equivalent to normative plant availability factor as considered in MYT Order dated 19th May, 2021 for thermal power stations as given below is considered:

Table 95: Power Station/House wise Cost of Secondary Fuel as per MYT Order dated 19th May, 2021 (Rs. in Crore)

Sr. No.	Station	Amount
1	ATPS PH-3	0.69
2	STPS PH-2&3	6.54
3	STPS PH-4	1.37
4	SGTPS PH-1&2	4.70
5	SGTPS PH-3	1.38
6	SSTPP PH-1	3.26
7	SSTPP PH-2	3.22
	Total	21.16

- (iii) Maintenance spares 20% of O&M for thermal and 15% of O&M for Hydel Station as considered in MYT Order dated 19th May, 2021 for thermal & hydro power stations have been considered as follows:

Table 96: Maintenance spares 20% of O&M for thermal and 15% of O&M for Hydel Station (Rs. in Crore)

Sr. No.	Station	Amount
1	ATPS PH-3	13.65
2	STPS PH-2&3	53.93
3	STPS PH-4	37.84

4	SGTPS PH-1&2	54.58
5	SGTPS PH-3	26.08
6	SSTPP PH-1	55.82
7	SSTPP PH-2	61.41
8	Gandhi Sagar, HPS	2.25
9	Pench, HPS	3.12
10	Rajghat, HPS	0.88
11	Bargi, HPS	1.76
12	Bansagar PH-1,2&3 HPS	7.91
13	Bansagar PH-4 HPS	0.39
14	Birsinghpur, HPS	0.39
15	Madhikheda, HPS	1.17
Total		321.18

- (iv) O&M expenses for one month for the purpose of working capital as considered in MYT Order dated 19th May, 2021 for thermal & hydro power stations have been considered as follows:

Table 97: Power Station/House-wise O&M expenses for one month

Sr. No.	Power Station	Amount (Rs. in Crore)
1	ATPS PH-3	5.69
2	STPS PH-2&3	22.47
3	STPS PH-4	15.77
4	SGTPS PH-1&2	22.74
5	SGTPS PH-3	10.87
6	SSTPP PH-1	23.26
7	SSTPP PH-2	25.59
8	Gandhi Sagar, HPS	1.25
9	Pench, HPS	1.74
10	Rajghat, HPS	0.49
11	Bargi, HPS	0.98
12	Bansagar PH-1,2&3	4.39
13	Bansagar PH-4	0.22
14	Birsinghpur, HPS	0.22
15	Madhikheda, HPS	0.65
Total		136.31

- (v) Receivables have been worked out on the basis of 45 days of Annual Capacity Charges (determined in this Order) (for thermal and hydel power stations) and Energy Charges (for thermal power stations) as determined in MYT order dated 19th May, 2021 and

subsequent Corrigendum dated 9th September, 2021. Further, Proviso of Regulation 17 of the Regulations, 2020 provides that special allowance in lieu of R&M, where opted in accordance with Regulation 30 of these Regulations shall be recovered separately and shall not be considered for computation of working capital.

- (vi) In view of the above, the special allowance opted by the petitioner in STPS PH-2&3 and SGTPS PH 1&2 in lieu of R&M (Renovation & Modernization) is not considered in computation of fixed cost component of Receivables for working capital. Accordingly, the Power Station/House-wise receivables worked out in this Order is as given below:

Table 98: Power Station/House wise Receivable for 45 Days allowed

(Rs. in Crore)

S. No.	Power Station	45 Days Energy Charges as per Order dated 19.5.2021	45 Days Annual Capacity Charges allowed in this Order	Total Receivables for 45 days
1	ATPS PH-3	24.73	20.24	44.97
2	STPS PH-2&3	168.01	43.86	211.87
3	STPS PH-4	97.58	74.70	172.28
4	SGTPS PH-1&2	132.34	55.67	188.01
5	SGTPS PH-3	80.01	37.32	117.33
6	SSTPP PH-1	301.57	149.93	451.50
7	SSTPP PH-2	319.65	166.16	485.81
8	Gandhi Sagar HPS	-	1.97	1.97
9	Pench HPS	-	3.72	3.72
10	Rajghat HPS	-	1.46	1.46
11	Bargi HPS	-	2.21	2.21
12	Bansagar PH-1,2&3 HPS	-	16.06	16.06
13	Bansagar PH-4 HPS	-	1.22	1.22
14	Birsinghpur HPS	-	0.72	0.72
15	Madhikheda HPS	-	2.45	2.45
Total		1123.87	577.69	1701.58

210. With regard to Bank Rate, Regulation 3.1 (7) of the Regulations, 2020 provides that Bank rate means the one-year marginal cost of lending rate (MCLR) of the State Bank of India issued from time to time plus 350 basis points. Accordingly, one-year MCLR of State Bank of India applicable as on 1.4.2023 is 8.50%, therefore, the interest on the working capital is considered 12.00% (8.50% + 3.50%) in this Order:

Table 99: Power Station/House wise Interest on Working Capital allowed for FY 2023-24

Sr.No.	Station	Total Working Capital Considered above (Rs. in Crore)	Applicable rate of Interest	Working Capital allowed in this Order (Rs. in Crore)
1	ATPS PH-3	97.82	12.00%	11.74
2	STPS PH-2&3	515.84	12.00%	61.90
3	STPS PH-4	358.13	12.00%	42.98

4	SGTPS PH-1&2	444.31	12.00%	53.32
5	SGTPS PH-3	262.62	12.00%	31.51
6	SSTPP PH-1	939.11	12.00%	112.69
7	SSTPP PH-2	1005.94	12.00%	120.71
8	Gandhi Sagar, HPS	5.46	12.00%	0.66
9	Pench, HPS	8.59	12.00%	1.03
10	Rajghat, HPS	2.83	12.00%	0.34
11	Bargi, HPS	4.95	12.00%	0.59
12	Bansagar PH-1,2&3 HPS	28.36	12.00%	3.40
13	Bansagar PH-4 HPS	1.83	12.00%	0.22
14	Birsinghpur, HPS	1.33	12.00%	0.16
15	Madhikheda, HPS	4.27	12.00%	0.51
Total		3681.38		441.77

g) Non-tariff Income

Petitioner's Submission

211. The power station wise non-tariff income claimed by the petitioner is as under:

**Table 100: Power Station/House wise Non-Tariff Income Claimed by the petitioner
(Rs. inCrore)**

Stations		On 100% Capacity Operated	Non Tariff Income (50% Share)
1	ATPS PH-3	6.64	3.32
2	STPS PH-2&3	1.35	0.68
3	STPS PH-4	8.63	4.31
4	SGTPS PH-1&2	8.85	4.42
5	SGTPS PH-3	5.27	2.63
6	SSTPP PH-1	6.11	3.06
7	SSTPP PH-2	6.26	3.13
8	Total Thermal	43.10	21.55
9	Gandhi Sagar	0.60	0.30
10	Pench	0.55	0.28
11	Rajghat	0.94	0.47
12	Bargi	0.28	0.14
13	Bansagar PH-1,2 &3	1.13	0.57
14	Bansagar PH-4	0.06	0.03
15	Birsinghpur	0.03	0.02
16	Madhikheda	0.15	0.07
17	Total Hydel	3.75	1.87
Total		46.85	23.42

Provision under Regulations

212. With Regard to Non-Tariff Income, Regulation 58.1 of the Regulations, 2020 provides that:

58.1 "The non-tariff net income in case of generating station on account of following shall be shared in the ratio of 50:50 with the beneficiaries and the generating company on annual basis:

- a) Income from rent of land or buildings;
- b) Income from sale of scrap;
- c) Income from sale of fly ash;
- d) Interest on advances to suppliers or contractors;
- e) Rental from staff quarters;
- f) Rental from contractors;
- g) Income from advertisements; and
- h) Interest on investments and bank balances:

Provided that the interest or dividend earned from investments made out of Return on Equity corresponding to the regulated business of the Generating Company shall not be included in Non-Tariff Income:

Provided further that the Generation Company shall submit full details of its forecast of Non-Tariff Income to the Commission. Non-tariff income shall also be trued-up based on audited accounts.

Commission's Analysis:

213. On scrutiny of the non-tariff income claimed in the petition, the petitioner was asked to reconcile the amount with the Annual Audited Accounts of FY 2023-24. The petitioner was also asked to explain the reasons for any difference in figures recorded in Annual Audited Accounts and filed in the subject petition.

214. By affidavit dated 6th February, 2025 the petitioner filed its response on the aforesaid queries raised by the Commission as given below:

The statement reflecting the amount of Non -Tariff Income as considered in the instant petition duly reconciled with Annual Audited Accounts of FY 2023-24 is as under:

Rs. Crore	
Particulars	Amount
Total Other Income as per Audited Accounts(on share Basis)	765.55
Less:- (Other Income other than Non-Tariff Income)	
Surcharge due to delayed payment by MPPMCL	382.54
Interest Income on unwinding of discount on Deposits/ Retentions	1.01
Income from O&M Contracts	0.51
Grant Income	6.42
Reversal of Gratuity Provision	14.17
Foreign Exchange gain on reinstatement of Liability	2.00
Reversal of Asset Retirement Obligation Provision	46.85
Interest from Fixed Deposit (R&M & ERP Loans)	1.36
Reversal of Ex-Gratia Provision	2.74
Liquidated Damages recoveries (SSTPP Khandwa PH-I)	36.86

Particulars	Amount
Recovery of Fly Ash Transportation Expenses	176.41
Coal Penalty	48.71
Balance Other Income or Non-Tariff Income (on Shared basis)	45.98
Balance Other Income or Non-Tariff Income (on 100% basis)	46.85
50% of Non- Tariff Income to be shared with beneficiary as per MPERC Regulations, 2020	23.42
50% of the Non-Tariff Income considered in the Instant Petition	23.42

The Power Station wise Other Income as per the audited books of accounts for FY 2023-24 as reflected in Note -26 amounts to Rs. 765.55 Crores.

The aforesaid Other Income amounting to Rs. 765.55 Crores includes following income which has not been considered under the head Non-Tariff income in accordance with MPERC Regulations.

(a) Surcharge due to delayed payment by MPPMCL.

MPPGCL has levied the surcharge on MPPMCL on delay in payment of Bills in accordance with proviso 55.1 of the Regulations, 2020 read with PPA's entered with MPPMCL. The amount of surcharge worked out to Rs. 382.54 Crore.

The proviso 58.1 of the Regulations 2020 does not include/specifies the income from Late Payment Surcharge due to delay in payment of Energy bills as part of Non-Tariff Income. Accordingly, MPPGCL humbly request Commission not to consider the Income from Surcharge due to delayed payment by MPPMCL as part of Non-Tariff Income.

It is to submit that the Commission in the past True Up Orders has not considered surcharge on delayed payments as Non-Tariff Income. The said approach may kindly be considered.

(b) Interest Income on Security Deposit due to Unwinding of Discount:

MPPGCL has adopted Indian Accounting Standard (INDAS) from FY 2016-17 onwards. The said Accounting Standard provides for recognition of notional income on account of expected gain considering discounting of Interest on Security Deposit. Accordingly, in compliance to INDAS, MPPGCL has recognized notional income of Rs. 1.01 Crores at Power Stations in the Financial Statement of Accounts for FY 2023-24.

Here it is to mention that this amount of Rs. 1.01 Crore is **merely a Book adjustment, and no actual cash is received by MPPGCL**. It is to mention that the Commission in the True Up order for FY 2017-18 to FY 2022-23 has not considered this head for determination of Non-Tariff income.

MPPGCL, therefore requests before Commission to not to consider this- amount of Rs. 1.01 Crores as part of Non-Tariff income.

(c) Income from O&M Contracts –**O&M of plant & Equipment of POWERGRID (PGCIL) at SGTPS, Birsinghpur and STPS, Sarni.**

MPPGCL has entered into contract with POWERGRID (PGCIL) for O&M of Plant & Equipments at Substations at SGTPS, Birsinghpur and STPS, Sarni.

As per the requirement of financial accounts the amount received / receivable towards O&M charges is to be treated as Other Income in Audited Books of Accounts of MPPGCL. This amounts to total Rs. 0.51 Crore.

As this receivable of Rs. 0.51 Crores is a sort of reimbursement towards expenditure incurred by MPPGCL for FY 2023-24, therefore, the same may not be considered as part of Non- Tariff income, as per Regulation 58.1 of the Regulations, 2020.

It is to mention that the Commission in the True Up order for FY 2017-18 to FY 2022-23 has not considered this head for determination of Non-Tariff income.

MPPGCL, therefore, requests before Hon'ble Commission to not to consider this amount of Rs. 0.51 Crores as part of Non-Tariff income.

(d) Income from Grant.

The MPERC Regulations, 2020 at proviso 21.5(e) provides as under:-

“21.5 The following shall be excluded or removed from the capital cost of the existing and new projects:

.....

(e) any grant received from the Central or State Government or any statutory body or authority for the execution of the project which does not carry any liability of repayment shall be excluded from the Capital Cost for the purpose of computation of interest on loan, return on equity and depreciation;

Accordingly, Commission in the True Up Tariff petition earlier years has not permitted the additional capital expenditure towards assets whose funding was met from Grant.

Further, MPPGCL has adopted Indian Accounting Standard (INDAS) from FY 2016-17 onwards. The said Accounting Standard provides for recognition of income as adjustment towards treatment of grant received. Accordingly, MPPGCL has recognized notional income of total Rs. 6.42 Crore at Note 26.1 (Other Income) in the Financial Statement of Accounts for FY 2023-24, which is merely a Book adjustment.

It is to mention that the Commission in the True Up order for FY 2018-19 to FY 2022-23 has not considered this head for determination of Non-Tariff income.

MPPGCL therefore humbly request Commission not to consider the Income from Grant amounting to Rs. 6.42 Crore as part of Non-Tariff Income.

(e) Reversal of Excess Gratuity provision :

MPPGCL has adopted Indian Accounting Standard (INDAS) from FY 2016-17. The said Accounting Standards read with Companies Act 1956 provides for recognition of provisions and reserves based on prescribed procedure. Accordingly, based on Actual Valuation Report, provision was created in the Books of Accounts for Pension & Gratuity in previous years. As of now the Terminal Liabilities towards Pension and Gratuity liabilities are borne by MPPTCL and same are claimed by them in their Tariff.

Based on Actual Valuation got conducted by MPPGCL in FY 2023-24, it was found that excess provision was created in the Books of Accounts of MPPGCL for erstwhile MPSEB Cadre employees. Accordingly, the amount of Rs.14.17 Crores towards Gratuity **Provision was reversed/written back and reflected in Note 26.1 (Other Income) of Audited Books of Accounts for FY 2023-24 being adjustment book entry for excess provision made in earlier years.**

MPPGCL request Commission not consider the aforesaid Reversal of excess provisions of Rs. 14.17 Crores as part of Non-Tariff Income, being an adjustment book entry.

(f) Reversal of Excess Asset Retirement Obligation Provision:

MPPGCL has adopted Indian Accounting Standard (INDAS) from FY 2016-17. As said Indian Accounting Standards, an Asset retirement obligation (ARO) is a legal or contractual obligation to dismantle and remove an asset and to restore the site in which it is located on retirement of a tangible asset. The company estimates its obligation for assets retirement based on technical assessment and timing of future expenditure for required work considering the inflation factor and discounting rate. Accordingly, **provision towards Asset Retirement obligation was created in the books in the previous years.**

In FY 2023-24, the Asset retirement obligation (ARO) estimates were revised and accordingly **the excess provision was reversed in in the Books of Accounts of MPPGCL** amounting to Rs.46.85 Crore as reflected in Note 26.1 (Other Income) of Audited Books of Accounts for FY 2023-24 **being adjustment book entry for excess provision made in earlier years.**

MPPGCL request Commission not consider the aforesaid Reversal of excess provision amounting to Rs. 46.85 Crore as part of Non-Tariff Income being an adjustment book entry.

(g) Interest on Fixed Deposit on R&M and e-Genco Loans.

MPPGCL keeps the GoMP R&M Loan Fund as Flexi Fixed Deposit (FFD) amounting to Rs. 127 Crores approx. in the Union Bank of India and makes

payment through this fund under R&M Scheme. This R&M fund also include Rs. 78 Crore for ERP implementation.

In the FY 2023-24, MPPGCL received/raccured Interest of Rs. 1.36 Crores on FFD from Union Bank of India on R&M Fund / e-Genco fund balance with Union Bank of India. The ERP implementation is under progress at MPPGCL. Further the works proposed through GoMP R&M Loan are mainly for compliance of statutory guidelines (Grid Code /CEA Regulations etc.) and need based schemes essential for efficient running of units.

It is to mention that the Commission in the True Up order for FY 2017-18 to FY 2022-23 has not considered this head for determination of Non-Tariff income.

MPPGCL request Commission not consider the Interest Rs. 1.36 Crore on above fixed deposits as part of Non-Tariff Income.

(h) Reversal of Ex-gratia provision.

The Payment of Bonus Act, 1965 read with subsequent amendments provide for the payment of Bonus/ Ex-gratia to persons employed in certain establishments on the basis of profits or on the basis of production or productivity and for matters connected therewith. In compliance to the above act the erstwhile MPEB/ MPSEB from time to time had issued various orders/ circulars for payment of Bonus/ Ex-gratia to its employees.

This procedure has also been adopted by MPPGCL and accordingly suitable provisions are made. Suitable arrangements have also been made by way of reversal entry towards the fund remaining un-utilized under the head Bonus/ Ex-gratia.

An amount of Rs.2.74 Crore towards reversal of Ex-gratia provision is embedded in Misc. Receipts under Note 26.1 (Other Income) of Audited Books of Accounts for FY 2023-24. MPPGCL humbly request Commission not consider the Reversal of Ex-gratia provision amounting to Rs.2.74 **as part of Non-Tariff Income being an adjustment entry.**

It is to mention that the Commission in the True Up order for FY 2018-19 to FY 2022-23 has not considered this head for determination of Non-Tariff income.

(i) Recovery of liquidated damages at SSTPP Khandwa Stage-I:-

The unit No.1 & 2(2x600MW) of SSTPP PH-1 was commissioned on 01.02.2014 and 28.12.2014 respectively. The Commission vide order dated 30.12.2017 in petition No. 09 of 2015 has determined the Final Generation Tariff of SSTPP PH-1 from CoD of respective units to 31.03.2016.

In the above mentioned Final Tariff order in Petition No. 09 of 2015 at Para 73, Table No.9, Page 34 has determined the excess IDC and FC due to delay in commissioning amounting to Rs.565.12 Crore. The Commission has

deducted/disallowed 50% of excess IDC & FC from capital cost claimed beyond schedule CoD of units amounting to Rs.282.56 Crore.

Here it is to mention that the amount of Liquidated damages to be recovered from vendors/contractors on account of delay in completion of project was not finalized at the time of determination of Final Generation of unit No.1 & 2(2x600MW) of SSTPP PH-1 Khandwa.

In the above context, it is to submit that the amount of Liquidated damages for delay in completion of project was finalized in FY 2022-23 amounting to Rs 168 Crore approx. & out of which amount of Rs. 132.02 Crore was recovered in FY 2022-23 as reflected in Note-26.1 of Audited Accounts for FY 2022-23.

The Commission in its True-up Tariff order dated 07.03.2024 for FY 2022-23, in Petition No. 71 of 2023, has deducted Rs. 66.01 Crores as Non Tariff Income towards Liquidated damages on account of delay in completion of project.

This deduction is in addition to the earlier deduction of Excess IDC & FC of Rs. 282.56 Crores as narrated above. Therefore, as on date the Hon'ble Commission has deducted Rs. 348.57 Crores (approx. 4.76% of approved Project cost) as on 31.03.2023 on account of delay in completion of SSTPP PH-1 project.

In this regard it is humbly submitted that the Regulation 23.5 of MPERC Regulations, 2020 provides as under:

“If the delay is attributable either in entirety or in part to the generating company or its contractor or supplier or agency, in such cases, IDC and IEDC beyond SCOD may be disallowed after due prudence check either in entirety or on pro-rata basis corresponding to the period of delay not condoned and the liquidated damages, if any, recovered from the contractor or supplier or agency shall be retained by the generating company.”

The above Regulation provides that the liquidated damages, recovered from the contractor or supplier are allowed to be retained by the generating company in such circumstances.

The Commission has already provided the benefit to the beneficiary amounting to Rs. 348.57 Crores which is more than double of the Liquidated damages recovery made by MPPGCL, amounting to Rs. 168 Crores.

In light of above Regulation, MPPGCL humbly requests before the Hon'ble Commission to not to consider **this amount of Rs. 36.86 Crores towards recovery of balance Liquidated Damages as part of Non-Tariff income.**

(j) Foreign exchange gain on reinstatement of liabilities:-

As per INDAS-21 the liabilities on closing date are to be reinstated at the closing rate and hence the retention in foreign currency against EPC Contract of SSTPP

PH-2 has been reinstated accordingly to comply with the said IND-AS and hence the accounting entry of difference has been considered in FY 2023-24.

Further, when the actual payments against these liabilities are made in future, suitable recognition of gain/loss shall be accounted in the books of accounts of corresponding year.

MPPGCL humbly requests the Commission not to consider the Foreign exchange gain on reinstatement of liabilities provision amounting to

Rs. 2.0 Crores as part of Non-Tariff Income, as per proviso 58.1 of MPERC Regulations, 2020, as the same shall be settled in future, i.e., on a subsequent date when actual payments are made and captured in Books of Accounts.

(k) Recovery of Ash Transportation Expenses:-

In compliance to MoEF&CC Notification, MPPGCL has an obligation to transport ash produced from its Thermal plants to designated entities and bear the cost of transportation. The said cost of Transportation is recoverable from beneficiary (MPPMCL) as per Regulations of Commission.

In this regard, MPPGCL has incurred expenditure of Rs.176.41 Crore towards Transportation of Fly Ash during FY 2023-24 as reflected in Note 31.1 at Serial No.8 of Audited Financial Statements of FY 2023-24. The said amount towards Recovery of Ash Transportation Expenses was billed to MPPMCL and reflected in Note 26.1 (Other Income) of Audited Books of Accounts for FY 2023-24.

The proviso 58.1 of the Regulations 2020 does not include/specifies Recovery of Ash Transportation Expenses as part of Non-Tariff Income. Further, the recovery was made as per Regulations of MPERC Accordingly, MPPGCL request Commission not to consider the Recovery of Ash Transportation Expenses amounting to Rs. 176.41 Crore as part of Non-Tariff Income.

(l) Coal Penalty:-

In accordance with Fuel Supply Agreement (FSA), Coal is to be transported from Coal Mines to the Thermal Power Stations of MPPGCL. Rail-cum-Road (RCR) is one of the modes through which coal is transported by Contractors to the Thermal Power Stations of MPPGCL. The transportation contract provides for various terms and conditions towards Quantity, Loading/uploading, delivery timing etc and various penalties are prescribed in contract for non-compliances of said terms and conditions.

Considering above, Coal penalty amounting to Rs.48.71 Crore was recovered in FY 2023-24 from the contractors and same was reflected in Note 26.1 (Other Income) of Audited Books of Accounts for FY 2023-24. It is to mention that said penalties was adjusted/recovered against the Bills/invoices raised by the contractors and for the point of presentation of Financial Statements as per

Companies Act, the amount of penalty is shown separately under the Head- Other income. Further proviso 58.1 of the Regulations 2020 does not include/specifies coal penalties as part of Non-Tariff Income.

Accordingly, MPPGCL request Commission not to consider coal penalties amounting to Rs. 48.71 Crore as part of Non-Tariff Income.

In view of above submission, the total Non-Tariff Income works out to Rs. 46.85 Crores. Accordingly, as per Regulations 58.1 of MPERC Regulations, 2020, the 50% of this amount, i.e., Rs. 23.42 Crores is to be shared with beneficiary (MPPMCL), as already submitted by MPPGCL in the instant petition. MPPGCL humbly requests the Hon'ble Commission to kindly consider this 50% amount of Non-Tariff Income, amounting to Rs. 23.42 Crores to be shared with beneficiary (MPPMCL).

215. On going through the above-mentioned reason stated by the petitioner for not considering liquidated damages recovered in SSTPP Khandwa PH-1 in non-tariff income, Hon'ble Appellate Tribunal for Electricity (APTEL) in its Judgment in Appeal No. 72 of 2010 has held the following:

"7.4. The delay in execution of a generating project could occur due to following reasons:

i) due to factors entirely attributable to the generating company, e.g., imprudence in selecting the contractors/suppliers and in executing contractual agreements including terms and conditions of the contracts, delay in award of contracts, delay in providing inputs like making land available to the contractors, delay in payments to contractors/suppliers as per the terms of contract, mismanagement of finances, slackness in project management like improper co-ordination between the various contractors, etc.

ii) due to factors beyond the control of the generating company e.g. delay caused due to force majeure like natural calamity or any other reasons which clearly establish, beyond any doubt, that there has been no imprudence on the part of the generating company in executing the project

iii) situation not covered by (i) & (ii) above. In our opinion in the first case the entire cost due to time over run has to be borne by the generating company. However, the Liquidated Damages (LDs) and insurance proceeds on account of delay, if any, received by the generating company could be retained by the generating company. In the second case the generating company could be given benefit of the additional cost incurred due to time over-run. However, the consumers should get full benefit of the LDs recovered from the contractors/suppliers of the generating company and the insurance proceeds, if any, to reduce the capital cost. In the third case the additional cost due to time overrun including the LDs and insurance proceeds could

be shared between the generating company and the consumer. It would also be prudent to consider the delay with respect to some benchmarks rather than depending on the provisions of the contract between the generating company and its contractors/suppliers. If the time schedule is taken as per the terms of the contract, this may result in imprudent time schedule not in accordance with good industry practices.”

216. With regard to sharing of impact on account of time overrun due to mix of controllable and uncontrollable factors, Hon'ble APTEL in its Judgment has ruled as follows:

“7.12. In view of above, we feel that this case falls under category (iii) described in Para 7.4. Accordingly, following the principles of prudence check laid down by us, the cost of time over run has to be shared equally between the generating company and the consumers. Admittedly, there is no enhancement in cost of the contract price of the equipment as no price variation escalation was permissible to BHEL beyond the schedule date of completion of the Project according to the terms of the agreement. The impact of time over run beyond the contractual schedule is only on IDC and overhead costs. Accordingly, the same have to be shared between the generating company and the consumers. Excess IDC and overhead costs for time overrun from scheduled date of commissioning to actual date of commissioning has to be worked out on prorata basis with respect to total actual time taken in commissioning of the unit. 50% of the excess IDC and overhead costs will have to be disallowed. Deduction on account of 50% of the Liquidity Damages received by the Appellant from its suppliers/contractors has also to be allowed from the capital cost, to give due credit for LDs to the consumers. This issue is answered accordingly.

217. In final tariff Order of SSTPP PH-1 dated 30th March, 2017 in Petition No 9 of 2017, the Commission had directed the following with regards to Liquidated damages:

62. On perusal of above reply of petitioner, the petitioner is directed to furnish the detailed information of actual LD/ penalty as and when deducted from contractor/ vendor. The aforesaid information be filed with the next petition for true up of SSTPP Stage-I, Unit No. 1 and 2.”

218. Accordingly, as per the above direction of the Commission and in line with the above Judgment towards *“Deduction on account of 50% of the Liquidity Damages received by the Appellant from its suppliers/contractors has also to be allowed from the capital cost, to give due credit for LDs to the consumers”, the Commission has considered 50% of LD damage costs recovery of Rs. 18.43 Crore and considered under non-tariff income of SSTPP PH-1.*

219. Accordingly, the total non-tariff income of Rs. 46.85 Crore for the power stations in accordance with the Regulations, 2020 is allowed in this Order. The break-up of 50%

share of non-tariff income to be passed on to the beneficiary in accordance to the provisions of Regulations, 2020, considered in this Order is as given below:

Table 101: Power Station/House wise Non -Tariff Income allowed for FY 2023-24
(Rs. in Crore)

Stations		Non-Tariff Income allowed in this Order	50% Non-Tariff Income
1	ATPS PH-3	6.64	3.32
2	STPS PH-2&3	1.35	0.68
3	STPS PH-4	8.63	4.31
4	SGTPS PH-1&2	8.85	4.42
5	SGTPS PH-3	5.27	2.63
6	SSTPP PH-1	6.11	3.05
7	SSTPP PH-2	6.26	3.13
8	Gandhi Sagar, HPS	0.60	0.30
9	Pench, HPS	0.55	0.28
10	Rajghat, HPS	0.94	0.47
11	Bargi, HPS	0.28	0.14
12	Bansagar PH-1,2 &3 HPS	1.13	0.57
13	Bansagar PH-4 HPS	0.06	0.03
14	Birsinghpur, HPS	0.03	0.02
15	Madhikheda, HPS	0.15	0.07
	50 % of LD recovered in SSTPP PH-1 from vendors towards delay in execution of project	-	18.43
Total		46.85	41.85

h) Other Charges:

Petitioner's Submission:

220. With regard to other charges, the petitioner broadly submitted the following:

Other Charges comprises of MPERC Fees & Publication Charges, Rent, Rates & Taxes, and Cost of Chemical & Consumable and Water Charges which are payable to Government have been paid based on rates specified by GoMP.

221. Considering the above elements, the total Other Charges work out by the petitioner for FY 2023-24 are as given below:

Table 102: Other Charges claimed by the petitioner (Rs. in Crore)

Sr. No.	Particulars	Amount
1	Rent, Rates & Taxes	1.43
2	Water Charges	171.53
3	Cost of Chemicals & Consumables	20.39

4	MPERC Fee + Publication Exp.	1.29
5	EL Encashment	23.93
Total		218.57

Commission's Analysis:

222. Regarding the other charges, Regulation 40.1 and 41.1 of the Regulations, 2020 for thermal and hydel power stations, respectively, provides the following:

“40.1 The Operation and Maintenance expenses admissible to the thermal power stations declared under commercial operation prior to 01.04.2012 comprise of employee cost, Repair & Maintenance (R&M) cost and Administrative and General (A&G) cost. These norms for O&M exclude Pension and Terminal Benefits, EL encashment, and arrears to be paid to employees, taxes payable to the Government, and fees payable to MPERC. The generating company shall claim the rate, rent & taxes payable to the Government, cost of chemicals and consumables, fees to be paid to MPERC, EL encashment and any arrears paid to employees separately as actual. If the O&M expenses as per norms provided in these Regulations are more than the actual total O&M expenses including arrears if any, as per audited accounts of generating company, the O&M expenses to the extent of normative O&M expenses shall be allowed. The claim of pension and Terminal Benefits shall be dealt as per Regulation 39.4 of these Regulations.

41.1 The Operation and Maintenance expenses admissible to existing hydro power stations comprise of employee cost, Repair & Maintenance (R&M) cost and Administrative and General (A&G) cost. These norms for O&M exclude Pension and Terminal Benefits, EL encashment, and arrears to be paid to employees, taxes payable to the Government, and fees payable to MPERC. The generating company shall claim the rate, rent & taxes payable to the Government, cost of chemicals and consumables, fees to be paid to MPERC, EL encashment and any arrears paid to employees separately as actual. If the O&M expenses as per norms provided in these Regulations are more than the actual total O&M expenses including arrears if any, as per audited accounts of generating company, the O&M expenses to the extent of normative O&M expenses shall be allowed. The claim of pension and Terminal Benefits shall be dealt as per Regulation 39.4 of these Regulations.”

223. Regarding water charges, electricity duty and cess Regulation 65(2) of the Regulations, 2020 provides as follows:

“Electricity duty, cess and water charges if payable by the Generating Company for generation of electricity from the power stations to the State Government, shall be considered and allowed by the Commission separately by considering normative parameters specified in these Regulations and shall be trued-up on actuals.”

224. Further, with regard to recovery of MPERC Fee and publication expenses, Regulation 65.1 (i) of the Regulations, 2020 provides as under:

“The application filing fee and the expenses incurred on publication of notices in the application for approval of tariff, may in the discretion of the Commission, be allowed to be recovered by the generating company directly from the beneficiaries.”

225. The Commission issued MYT Order for MPPGCL thermal and hydro power stations on 19th May, 2021. With regard to other charges, in Para 174, 176 & 178 of the MYT Order, the Commission mentioned the following:

174. The Commission observed that the O&M norms for MPPGCL’s thermal and hydel power stations are excluding cost of chemicals and consumables therefore, the petitioner is allowed to recover cost of chemicals and consumables in thermal and hydro power stations in accordance to Regulation 40.1 and 41.1 respectively.

176. The petitioner is allowed to recover the fee paid to MPERC and publication expenses as per Regulation 65.1 (i) of the Regulations, 2020 on submission of documentary evidence.

178. “In view of the above, the petitioner is also allowed to recover the water charges paid to Water Resources Department, Government of MP as per Regulation 65.2 of the Regulations, 2020 on submission of documentary evidence.”

226. In view of the provisions under the Regulations, 2020 and MYT Order, the following other charges have been considered in this Order:

- i. The petitioner is allowed to recover Rent, Rates and Taxes and cost of chemicals & consumables on actual basis in thermal and hydro power stations in accordance to Regulation 40.1 & 41.1 respectively;
- ii. The petitioner has claimed MPERC Fee and publication expenses on actual basis. The petitioner is allowed to recover the same in accordance to Regulation 65.1(i) of the Regulations, 2020.
- iii. The petitioner is also allowed to recover water charges in accordance to Regulation 65.2 of the Regulations, 2020 and amendment thereof. However, in accordance to the 2nd proviso of Regulation 40.2 of the Regulations, 2020, as amended, water charges shall be allowed to the extent of normative specific water consumption as per the MoEF&CC notification.
- iv. The petitioner has claimed Rs. 23.93 Crore towards EL Encashment in thermal and hydro power stations. The petitioner is allowed to recover the EL

Encashment in accordance to the Regulation 40.1 for thermal power stations and 41.1 for hydel power stations.

Sharing of gains:

227. Regarding the performance-based truing-up of energy charges on account of controllable parameters, Regulation 56.1 of the Regulations, 2020 provides that the generating company shall work out gains based on the actual performance of applicable controllable parameters as under:

- Station Heat rate
- Secondary Fuel Oil Consumption
- Auxiliary Energy Consumption

228. Further on sharing of gains, Regulation 56.2 provides that

56.2 The financial gains by the generating company, on account of controllable parameters shall be shared between generating company and the beneficiaries on annual basis. The financial gains computed as per the following formulae in case of generating station other than hydro generating stations on account of operational parameters as shown in Regulation 56.1 of these Regulations shall be shared in the ratio of 50:50 between the generating stations and beneficiaries.

$$\text{Net Gain} = (ECR_N - ECR_A) \times \text{Scheduled Generation}$$

229. In view of the above Regulation, it was observed by the Commission that the generating company shall carry out the truing-up of tariff of generating station based on the controllable performance parameters like Station Heat Rate, Secondary fuel oil consumption and Auxiliary Energy consumption. Vide letter dated 31st December, 2024 the petitioner was asked to file the annual details of aforesaid performance parameters actually achieved vis-à-vis normative parameters under the Regulations, 2020. The petitioner was also asked to file the details of financial gain if any, on account of controllable parameters and shared with the beneficiaries in light of the Regulation 56.2 of the Regulations, 2020.

230. In response to the above query, the petitioner by affidavit dated 20th January, 2024 submitted the following:

As desired by Commission, the Month-wise details of Operational performance parameters actually achieved vis-a-vis normative parameters for FY 2023-24, under the Regulations, 2020 namely, Station Heat Rate, Secondary Oil Consumption and Auxiliary Energy Consumption are submitted.

It is to submit that Regulations 56.1 & 56.2 provides that the financial gains by the generating company on account of controllable parameters shall be shared between generating company and the beneficiaries on annual basis.

From the above, it is noted that the Regulations clearly specify that the gain achieved by the Company need to be shared with beneficiary. As such since MPPGCL, as a Company, in totality has not achieved any financial gains on account of controllable parameters, therefore in accordance with regulations 56.2, no sharing of gains with the beneficiaries is required. MPPGCL requests Commission to kindly consider the same.

*However, as desired by the Commission, the Power Station wise financial gain / loss has been worked out. Considering only gains, **it is also to submit that at ATPS PH-3 minor gain of Rs. 19.58 Crores has been achieved, at STPS PH-4 gain of Rs. 30.53 Crores has been achieved, at SGTPS PH-1&2 gain of Rs. 6.31 Crores has been achieved and at SGTPS PH-3 gain of Rs. 7.57 Crores approx. has been achieved individually in FY 2023-24, therefore, the total sharable gain (50%) works out to Rs. 31.99 Crores**, whereas rests of the Power stations have not achieved any Financial Gains on account of Controllable parameters as per the regulation. The Power House wise detailed working in this regard along with Summary are submitted.*

Commission's Analysis

231. By affidavit 20th January, 2024, the petitioner has submitted the following power station wise financial gain/loss on account of controllable parameters:

Table 103: Power Station/House wise Financial Gain/Loss for FY 2023-24
(Rs. in Crore)

Power Station	Amount	Gain sharing with MPPMCL
ATPS PH-3	19.58	9.79
STPS PH-2&3	0.00	0.00
STPS PH-4	30.53	15.27
SGTPS PH-1&2	6.31	3.15
SGTPS PH-3	7.57	3.78
SSTPP PH-1	-175.09	0.00
SSTPP PH-2	-150.31	0.00
Total	-261.41	31.99

232. On perusal of the details filed by the petitioner, it is observed that actual operating parameters achieved by the petitioner's thermal power stations (except ATPS PH-3,

STPS PH-4, SGTPS PH- 1&2 and SGTPS PH-3) during FY 2023-24 were inferior than the normative parameters, therefore, the petitioner incurred loss in above mentioned generating stations on account of the inferior performance and poor actual operating parameters achieved by it during FY 2023-24, however, the petitioner had achieved financial gains in four of the generating stations namely, ATPS PH-3, STPS PH-4, SGTPS PH 1&2 and SGTPS PH-3.

233. Regulation 56.2 of the Regulations, 2020 provides that the financial gains by a generating company on account of controllable parameters shall be shared between generating company and the beneficiaries in the ratio of 50:50. It is, therefore directed that the gains achieved in above generating stations namely ATPS PH-3, STPS PH-4, SGTPS PH 1&2 and SGTPS PH-3 be passed on to the beneficiaries of the respective Generating Stations in accordance to the provisions under the Regulations, 2020.
234. The aforesaid Regulations do not provide for sharing of loss incurred by the generating company. Therefore, the loss incurred by the petitioner on the above-mentioned stations on account of inferior operating parameters shall not be passed on to the beneficiary.

Fly Ash Transportation Expenses:

Petitioner's Submission:

235. The petitioner has incurred total expenditure of Rs. 176.41 Crore on Transportation of Fly Ash in Thermal Power Stations during FY 2023-24 and has requested the Commission to consider it as additional expenses and permit the same.

Commission's Analysis:

236. With regard to recovery of Fly Ash Transportation Expenses, proviso of Regulation 65.3 of the Regulations, 2020, as amended provides that:

65.3 Expenses towards Fly Ash Utilization & transportation shall be payable in accordance to the directives issued by Government of India, Ministry of Environment, Forest & Climate Change vide Notification No. S.O. 5481 (E) dated 31.12.2021 and subsequent amendment issued from time to time.

*Provided that the generating company shall maintain separate accounts/records for expenses towards Fly ash Utilization & transportation reconciled with the Annual Audited Accounts and duly certified by the Statutory Auditor. **The generating company shall submit complete details of aforesaid expenses to the procurer in Form TPS 19 A along with supporting documents.***

237. In view of the above, the petitioner is allowed to recover fly ash utilization and transportation expenses in accordance to the Regulation 65.3 of the Regulations, 2020,

as amended. Further, petitioner is directed to comply with the directives related to maintenance of separate records/accounts for expenses towards Fly Ash Utilization and Transportation and details of same shall be made available to the procurer in accordance to the Regulations.

Summary of Annual Capacity (fixed) Charges:

238. The details of the head-wise and Power Station/House wise Annual Capacity (fixed) Charges for FY 2023-24 determined in the MYT Order dated 19th May, 2021 and Corrigendum dated 9th September, 2021 vis-a-vis determined in this true-up Order at normative Annual Plant Availability Factor are summarized as given below:

Table 104: Head Wise Annual Capacity (Fixed) Charges at Normative Availability
(Rs. in Crore)

Sr. No.	Head	AFC Allowed in MYT Order (A)	AFC Allowed in this order (B)	Difference Amount (B-A)
1	Return on Equity	816.42	830.03	13.61
2	Interest on Loan Capital	828.23	816.06	(12.17)
3	Depreciation	1024.78	1016.85	(7.93)
4	O&M Expenses	1635.70	1635.70	-
5	Special Allowance	120.55	120.55	0.00
6	Interest on Working Capital	414.44	441.77	27.33
7	Total AFC	4840.12	4860.96	20.84
8	Less: Non Tariff Income	0.00	41.86	41.86
9	Net AFC	4840.12	4819.10	(21.02)

Table 105: Power Station wise Annual Capacity (Fixed) Charges at normative availability
(Rs. in Crore)

Sr. No.	Power Station	AFC Allowed in MYT Order (A)	AFC Allowed in this order (B)	Difference Amount (B-A)
1	ATPS PH 3	163.59	164.62	1.03
2	STPS (Sarni) PH 2 & 3	434.32	435.57	1.25
3	STPS (Sarni) PH 4	603.99	607.59	3.60
4	SGTPS (Birsinghpur) PH 1 & 2	498.73	494.47	(4.26)
5	SGTPS (Birsinghpur) PH 3	309.32	303.50	(5.82)
6	SSTPP PH-1	1246.84	1219.45	(27.40)
	SSTPP PH-2	1314.60	1351.43	36.83
	Thermal Total	4571.39	4576.63	5.23
7	Gandhi Sagar	16.23	15.99	(0.24)
8	Pench HPS	28.49	30.28	1.79
9	Rajghat HPS	15.29	11.90	(3.39)
10	Bargi HPS	18.40	17.98	(0.42)
11	Bansagar 1,2&3	155.50	130.63	(24.87)
12	Bansagar Jhinna (HPS)	9.63	9.92	0.29
13	Birsinghpur HPS	6.24	5.86	(0.38)
14	Madhikheda HPS	18.94	19.90	0.96
	Hydro TOTAL	268.72	242.47	(26.25)
	Grand Total	4840.12	4819.10	(21.02)

Normative Annual Plant Availability Factor:

239. The Annual Capacity (fixed) Charges as determined in this Order are on normative annual plant availability factor (NAPAF) of thermal and hydel power stations. The recovery of Annual Capacity (fixed) Charges of thermal and hydel power stations shall be made by the petitioner in accordance with the Regulations 42, 43 and 47 of the Regulations, 2020, for thermal and hydel power stations respectively. A Power Station/House wise details of normative Plant Availability Factor vis-à-vis actual Plant Availability Factor (as certified by SLDC) for FY 2023-24 are as given below:

Table 106: Normative and Actual PAF considered in this Order

Name of Power Station	Normative PAF As per Regulations,2020	Actual PAF
ATPS Chachai PH-3	85.0%	85.00%
STPS Sarni PH- 2 & 3	70.0%	0.00%
STPS Sarni PH-4	85.0%	85.00%
SGTPS Birsinghpur PH-1 & 2	75.0%	72.74%
SGTPS Birsinghpur PH-3	85.0%	68.42%
SSTPP Khandwa PH-1	85.0%	74.57%
SSTPP Khandwa PH-2	85.0%	72.67%
Gandhi Sagar HPS	85.00%	42.18%
Pench HPS	85.00%	88.23%
Rajghat HPS	60.00%	70.80%
Bargi HPS	85.00%	97.54%
Bansagar 1,2&3 HPS	85.00%	84.96%
Bansagar 4 HPS	85.00%	106.69%
Birsinghpur HPS	85.00%	81.86%
Madhikheda HPS	85.00%	99.71%

Recovery of Annual Capacity (Fixed) Charges

240. The recovery of Annual capacity (fixed) charges payable to existing thermal generating stations for the FY 2023-24 are calculated in accordance with the Regulation 42 of the Regulations, 2020.
241. The annual capacity (fixed) charges of a hydro generating station (inclusive of incentive) are computed, based on norms specified under the Regulations, 2020 and recovered under capacity charges (inclusive of incentive) and energy charge in accordance with clause 47 of the Regulations, 2020. The Power Station/House wise recovery of Annual capacity (fixed) charges at normative PAF and at actual PAF along with the true-up amount payable to thermal and hydel generating stations for the FY 2023-24 are as given below:

Power Station wise Annual Capacity (Fixed) Charges determined by the Commission for FY 2023-24 in MYT Order dated 19.05.2021 vis-à-vis allowed in this Order along with True-up amount are as follow:

Table 107

ATPS PH-3

(Rs. in Crore)

Sr. No.	Particulars	Allowed in MYT Order dated 19th May' 2021 (A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	ROE	39.78	40.13	40.13	0.35
2	Interest on Loan Capital	17.57	20.84	20.84	3.27
3	Depreciation	27.03	27.01	27.01	(0.02)
4	O&M Expenses	68.23	68.23	68.23	(0.00)
5	Interest on Working Capital	10.99	11.74	11.74	0.75
	Total AFC	163.59	167.94	167.94	4.35
6	Less: Non Tariff Income	0	3.32	3.32	3.32
	Net AFC	163.59	164.62	164.62	1.03

Table 108:

STPS PH-2& 3

(Rs. in Crore)

Sr. No.	Particulars	Allowed in MYT Order dated 19 th May' 2021 (A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	ROE	27.79	25.83	0.00	(27.79)
2	Interest on Loan Capital	0.00	0.00	0.00	0.00
3	Depreciation	0.00	0.00	0.00	0.00
4	O&M Expenses	269.67	269.67	0.00	(269.67)
5	Special Allowance	78.85	78.85	0.00	(78.85)
6	Interest on Working Capital	58.02	61.90	0.00	(58.02)
	Total AFC	434.32	436.25	0.00	(434.33)
5	Less: Non Tariff Income	0.00	0.68	0.68	0.68
	Net AFC	434.32	435.57	-0.68	(435.01)

Table 109:

STPS PH-4

(Rs. in Crore)

Sr. No.	Particulars	Allowed in MYT Order dated 19th May' 2021 (A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	ROE	100.02	103.15	103.15	3.13
2	Interest on Loan Capital	108.60	106.70	106.70	(1.90)
3	Depreciation	165.93	169.87	169.87	3.94
4	O&M Expenses	189.20	189.20	189.20	0.00
5	Interest on Working Capital	40.24	42.98	42.98	2.74
	Total AFC	603.99	611.90	611.90	7.91
6	Less: Non Tariff Income	0.00	4.31	4.31	4.31
	Net AFC	603.99	607.59	607.59	3.60

Table 110:

SGTPS PH-1 & 2

(Rs. in Crore)

Sr. No.	Particulars	Allowed in MYT Order dated 19 th May' 2021 (A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	101.54	101.67	98.60	(2.94)
2	Interest on Loan Capital	0.00	0.00	0.00	0.00
3	Depreciation	32.53	29.29	28.41	(4.12)
4	O&M Expenses	272.92	272.92	264.69	(8.23)
5	Special Allowance	41.70	41.70	40.45	(1.25)
6	Interest on Working Capital	50.04	53.32	51.71	1.67
	Total AFC	498.73	498.89	483.87	(14.86)
7	Less: Non Tariff Income	0.00	4.42	4.42	4.42
	Net AFC	498.73	494.47	479.45	(19.28)

Table 111

SGTPS PH- 3

(Rs. in Crore)

Sr. No.	Particulars	Allowed in MYT Order dated 19 th May' 2021 (A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	89.88	89.58	72.11	(17.77)
2	Interest on Loan Capital	13.96	13.51	10.87	(3.09)
3	Depreciation	45.46	41.13	33.11	(12.35)
4	O&M Expenses	130.40	130.40	104.96	(25.44)
5	Interest on Working Capital	29.62	31.51	25.37	(4.25)
	Total AFC	309.32	306.13	246.42	(62.90)
6	Less: Non Tariff Income	0.00	2.63	2.63	2.63
	Net AFC	309.32	303.50	243.79	(65.53)

Table 112

SSTPP PH-1

(Rs. in Crore)

Sr. No.	Particulars	Allowed in MYT Order dated 19 th May' 2021 (A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	218.79	219.54	192.60	(26.19)
2	Interest on Loan Capital	274.69	258.58	226.85	(47.84)
3	Depreciation	368.22	371.00	325.48	(42.74)
4	O&M Expenses	279.12	279.12	244.87	(34.25)
5	Interest on Working Capital	106.03	112.69	98.86	(7.17)
	Total AFC	1246.84	1240.94	1088.67	(158.17)
6	Less: Non Tariff Income	0.00	21.49	21.49	21.49
	Net AFC	1246.84	1219.45	1067.18	(179.66)

Table 113: SSTPP PH-2

(Rs in Crore)

Sr. No.	Particulars	Allowed in MYT Order dated 19th May' 2021 (A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	149.85	160.26	137.01	(12.84)
2	Interest on Loan Capital	413.04	413.68	353.67	(59.37)
3	Depreciation	332.02	352.88	301.69	(30.33)
4	O&M Expenses	307.03	307.03	262.49	(44.54)
5	Interest on Working Capital	112.66	120.71	103.20	(9.46)
	Total AFC	1,314.60	1,354.56	1,158.07	(156.53)
6	Less: Non Tariff Income	-	3.13	3.13	3.13
	Net AFC	1,314.60	1,351.43	1,154.94	(159.66)

Table 114:

GANDHI SAGAR HPS

(Rs. in Crore)

Sr. No.	Particulars	Allowed in MYT Order dated 19 th May' 2021 (A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	0.56	0.56	0.42	(0.14)
2	Interest on Loan Capital	0.04	0.03	0.03	(0.01)
3	Depreciation	0.04	0.07	0.05	0.01
4	O&M Expenses	14.97	14.97	11.20	(3.77)
5	Interest on Working Capital	0.62	0.66	0.49	(0.13)
	Total AFC	16.23	16.29	12.19	(4.04)
6	Less: Non Tariff Income	0.00	0.30	0.30	0.30
	Net AFC	16.23	15.99	11.89	(4.34)

Table 115:

PENCH HPS

(Rs. in Crore)

Sr. No.	Particulars	Allowed in MYT Order dated 19th May' 2021 (A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	5.12	6.03	6.14	1.02
2	Depreciation	1.59	1.48	1.51	(0.08)
3	Interest on Loan Capital	0.00	1.19	1.21	1.21
4	O&M Expenses	20.83	20.83	21.23	0.40
5	Interest on Working Capital	0.94	1.03	1.05	0.11
	Total AFC	28.49	30.56	31.14	2.66
6	Less: Non Tariff Income	0.00	0.28	0.28	0.28
	Net AFC	28.49	30.28	30.86	2.38

Table 116:

RAJGHAT HPS**(Rs. in Crore)**

Sr. No.	Particulars	Allowed in MYT Order dated 19 th May' 2021 (A)	AFC Allowed in this order		True-Up at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	4.45	4.47	4.88	0.43
2	Interest On Loan Capital	0.00	0.00	0.00	0.00
3	Depreciation	4.62	1.70	1.85	(2.77)
4	O&M Expenses	5.86	5.86	6.39	0.53
5	Interest on Working Capital	0.37	0.34	0.37	0.00
	Total AFC	15.29	12.37	13.49	(1.80)
6	Less: Non Tariff Income	0.00	0.47	0.47	0.47
	Net AFC	15.29	11.90	13.02	(2.27)

Table 117:

BARGI HPS**(Rs. in Crore)**

Sr. No.	Particulars	Allowed in MYT Order dated 19 th May' 2021 (A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	4.38	4.61	4.95	0.57
2	Interest on Loan Capital	0.00	0.00	0.00	0.00
3	Depreciation	1.74	1.20	1.29	(0.45)
4	O&M Expenses	11.72	11.72	12.58	0.86
5	Interest on Working Capital	0.56	0.59	0.64	0.08
	Total AFC	18.40	18.12	19.46	1.06
6	Less: Non Tariff Income	0.00	0.14	0.14	0.14
	Net AFC	18.40	17.98	19.32	0.92

Table 118:

BANSAGAR PH-1, 2&3 HPS**(Rs in Crore)**

Sr. No.	Particulars	Allowed in MYT Order dated 19 th May' 2021 (A)	AFC Allowed in this order		True-Up at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	58.27	58.15	58.14	(0.13)
2	Interest on Loan Capital	0.00	0.00	0.00	0.00
3	Depreciation	40.96	16.91	16.91	(24.05)
4	O&M Expenses	52.73	52.73	52.72	(0.01)
5	Interest on Working Capital	3.54	3.40	3.40	(0.14)
	Total AFC	155.50	131.20	131.17	(24.33)
6	Less: Non Tariff Income	0.00	0.57	0.57	0.57
	Net AFC	155.50	130.63	130.60	(24.90)

Table 119:

BANSAGAR PH-4 HPS**(Rs. in Crore)**

Sr. No.	Particulars	Allowed in MYT Order dated 19 th May' 2021 (A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	5.78	5.79	6.53	0.75
2	Interest on Loan Capital	0.00	0.00	0.00	0.00
3	Depreciation	1.05	1.34	1.51	0.46
4	O&M Expenses	2.60	2.60	2.94	0.34
5	Interest on Working Capital	0.20	0.22	0.25	0.05
	Total AFC	9.63	9.95	11.22	1.59
6	Less: Non Tariff Income	0.00	0.03	0.03	0.03
	Net AFC	9.63	9.92	11.19	1.56

Table 120:

BIRSINGHPUR HPS**(Rs. in Crore)**

Sr. No.	Particulars	Allowed in MYT Order 19 th May' 2021(A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	2.58	2.61	2.56	(0.02)
2	Interest On Loan Capital	0.00	0.00	0.00	0.00
3	Depreciation	0.90	0.50	0.50	(0.40)
4	O&M Expenses	2.60	2.60	2.56	(0.04)
5	Interest on Working Capital	0.15	0.16	0.16	0.01
	Total AFC	6.24	5.88	5.77	(0.47)
6	Less: Non Tariff Income	0.00	0.02	0.02	0.02
	Net AFC	6.24	5.86	5.75	(0.49)

Table 121:

MADHIKHEDA HPS**(Rs. in Crore)**

Sr. No.	Particulars	Allowed in MYT Order 19 th May' 2021 (A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	7.63	7.64	8.30	0.67
2	Interest on Loan Capital	0.35	1.53	1.67	1.32
3	Depreciation	2.68	2.48	2.69	0.01
4	O&M Expenses	7.81	7.81	8.49	0.68
5	Interest on Working Capital	0.47	0.51	0.56	0.09
	Total AFC	18.94	19.97	21.70	2.76
6	Less: Non Tariff Income	0.00	0.07	0.07	0.07
	Net AFC	18.94	19.90	21.63	2.69

Table 122: Head wise Total Annual Capacity (Fixed) Charges allowed in this Order at actual availability: (Rs. in Crore)

Sr. No.	Head Wise	Allowed in MYT Order dated 19th May' 2021 (A)	AFC Allowed in this order		True-Up at amount actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	Return on Equity	816.42	830.03	735.53	(80.89)
2	Interest on Loan Capital	828.23	816.06	721.84	(106.39)
3	Depreciation	1024.78	1016.85	911.86	(112.92)
4	O&M Expenses	1635.7	1635.70	1252.55	(383.15)
5	Special Allowance	120.55	120.55	40.44	(80.11)
6	Interest on Working Capital	414.44	441.77	340.77	(73.67)
7	Total AFC	4840.12	4860.96	4002.98	(837.14)
8	Less: Non Tariff Income	0.00	41.86	41.86	41.86
9	Net AFC	4840.12	4819.10	3961.12	(879.00)

**Including special allowance allowed for Unit No. 1, 2 & 3 of SGTPS, Birsinghpur.*

Table 123: Power Station/House wise Annual Capacity (Fixed) Charges allowed in this Order at actual availability: (Rs. in Crore)

Sr. No.	POWER STATIONS	Allowed in MYT Order dated 19th May' 2021 (A)	AFC Allowed in this order		True-Up amount at actual PAF (C-A)
			At Normative PAF (B)	At Actual PAF (C)	
1	ATPS PH 3	163.59	164.62	164.62	1.03
2	STPS (Sarni) PH 2&3	434.32	435.57	-0.68	(435.00)
3	STPS (Sarni) PH 4	603.99	607.59	607.59	3.60
4	SGTPS (Birsinghpur) PH 1&2	498.73	494.47	479.45	(19.29)
5	SGTPS (Birsinghpur) PH 3	309.32	303.50	243.79	(65.53)
6	SSTPP PH 1	1246.84	1219.45	1067.18	(179.66)
7	SSTPP PH-2	1314.60	1351.43	1154.94	(159.67)
	Thermal Total	4571.39	4576.63	3716.88	-854.53
8	Gandhi Sagar	16.23	15.99	11.89	(4.34)
9	Pench	28.49	30.28	30.86	2.37
10	Rajghat HPS	15.29	11.90	13.02	(2.27)
11	Bargi HPS	18.40	17.98	19.32	0.92
12	Bansagar 1,2&3(HPS)	155.50	130.63	130.60	(24.90)
13	Bansagar Jhinna (HPS)	9.63	9.92	11.19	1.56
14	Birsinghpur HPS	6.24	5.86	5.75	(0.49)
15	Madhikheda HPS	18.94	19.90	21.63	2.69
	Hydro TOTAL	268.72	242.47	244.25	(24.47)
	Grand Total	4840.12	4819.10	3961.12	(879.00)

**Including special allowance allowed for Unit No. 1, 2 & 3 of SGTPS, Birsinghpur.*

242. This Order is for the true-up of multi-year tariff order dated 19th May, 2021 and Corrigendum dated 9th September, 2021 to the extent it was applicable for FY 2023-24. The petitioner must take steps to implement the order after giving seven (7) days' public notice in accordance with Clause 1.30 of MPERC (Details to be furnished and fee payable by licensee or generating company for determination of tariff and manner of making application) Regulations, 2004 and its amendments and recalculate its bills for the energy supplied to Distribution Companies of the State / M.P. Power Management Company Ltd. since 1st April, 2023 to 31st March, 2024. The petitioner must also provide information to the Commission in support of having complied with this Order. The surplus amount as a result of this Order shall be passed on to MP Power Management Company Ltd. / three Distribution Companies of the state in terms of Regulation 9.11 of the Regulations, 2020 in six equal monthly instalments during FY 2025-26.

243. With the above directions, this petition No. 76 of 2024 is disposed of.

(Prashant Chaturvedi)
Member

(Gopal Srivastava)
Member (Law)

Date : 8th April, 2025

Place: Bhopal

Annexure-I**Petitioner's Response on the comments offered by the Respondent No.1 (MPPMCL) along with the observations:****(i) MPPMCL's Comment:**

Auxiliary Consumption in respect of ATPS Chachai PH-3, SGTPS Birsinghpur PH-3 and SSTPP Khandwa PH-1 have been in excess to the normative by 0.21%, 0.87% and 0.09% respectively. The auxiliary consumption being controllable in the hands ought to be disallowed to the extent of being in excess. In all prudence, the excessive consumption to the extent being in excess ought to have been avoided by the Petitioner.

Petitioner's Reply:

MPPGCL has determined and claimed the monthly Energy Charges Rate (ECR) of its Thermal Power Stations on normative Auxiliary consumption, normative Gross Station Heat Rate, normative sp. Oil consumption, Wt. Average Landed price of Coal, Wt. Average GCV of coal as received, Wt. Avg. landed price of secondary fuel, in accordance with the formula specified for determination of ECR as per Regulation 43.2 of the Regulations, 2020.

Further, the Energy Charges have been determined on the certified Scheduled energy as per monthly State Energy Accounts of SLDC. The actual Auxiliary consumption has no role in calculation of Energy Charges Rate (ECR). The non-performance in respect of operating parameters is not passed on to consumers of state of MP.

MPPGCL wishes to submit that the statements made by the Respondent No.1 (MPPMCL) in the instant para are baseless and misleading, therefore may not be considered.

Observation:

The subject petition is for true-up of Annual Capacity (Fixed) Charges in respect of additional capitalization in thermal and hydel power stations during FY 2023-24 in terms of Regulation 9.4 of the Regulations, 2020. The issue does not pertain to subject petition. However, with regard to poor performance of thermal power stations in respect of inferior operating parameters, the petitioner in MYT Order allowed to claim energy charges on the normative operating parameters only and any non-performance in respect of operating parameters in any of the thermal power stations is not passed on to the consumers of the State.

(ii) MPPMCL's Comment:

There has been excessive consumption of Specific Fuel Oil to the extent of 0.20, 0.09 and 0.25 ml/kWh in respect of SGTPS Birsinghpur PH-3, SSTPP Khandwa PH-1 and SSTPP Khandwa PH-3. The same, being controllable in the hands, ought to be disallowed to the extent of being in excess. In all prudence, the excessive consumption to the extent being in excess ought to have been avoided by the Petitioner.

Petitioner's Reply:

MPPGCL has determined and claimed the monthly Energy Charges Rate (ECR) of its Thermal Power Stations on normative Auxiliary consumption, normative Gross Station Heat Rate, normative sp. Oil consumption, Wt. Average Landed price of Coal, Wt. Average GCV of coal as received, Wt. Avg. landed price of secondary fuel, in accordance with the formula specified for determination of ECR as per Regulation 43.2 of the Regulations, 2020.

Further, the Energy Charges have been determined on the certified Scheduled energy as per monthly State Energy Accounts of SLDC. The actual Sp. Oil consumption has no role in calculation of Energy Charges Rate (ECR). The non-performance in respect of operating parameters is not passed on to consumers of state of MP.

MPPGCL wishes to submit that the statements made by the Respondent No.1 (MPPMCL) in the instant para are baseless and misleading, therefore may not be considered.

Observation:

The subject petition is for true-up of Annual Capacity (Fixed) Charges in respect of additional capitalization in thermal and hydel power stations during FY 2023-24 in terms of Regulation 9.4 of the Regulations, 2020. The issue does not pertain to subject petition. However, with regard to poor performance of thermal power stations in respect of inferior operating parameters, the petitioner in MYT Order allowed to claim energy charges on the normative operating parameters only and any non-performance in respect of operating parameters in any of the thermal power stations is not passed on to the consumers of the State.

(iii) MPPMCL's Comment:

It is incorrect on part of the Petitioner to assail that the Petitioner, as a Company has not achieved any financial gains and therefore the same should not be shared with the Respondents. It is submitted that for the reasons the Tariff of the Petitioner company is determined unit-wise and not as a Company in whole, the gains from controllable factors in respect of each of such units be shared with the Respondents.

Petitioner's Reply:

It is to submit that the Regulations 56.1 & 56.2 of MPERC Regulations, 2020 provides that the financial gains by the generating company on account of controllable parameters shall be shared between generating company and the beneficiaries on annual basis.

From the above, it is noted that the Regulations clearly specify that the gain achieved by the Company need to be shared with beneficiary. As such since MPPGCL, as a Company, in totality, has not achieved any financial gains on account of controllable parameters, therefore in accordance with regulations 56.2, no sharing of gains with the beneficiaries is required. MPPGCL humbly requests Commission to kindly consider the same.

However, the Power Station wise financial gain / loss have been worked out. Considering only gains, it is to submit that at ATPS PH-3 minor gain of Rs. 19.58 Crores has been achieved, at STPS PH-4 gain of Rs. 30.53 Crore has been achieved, at SGTPS PH-1&2 gain of Rs. 6.31 Crore has been achieved and at SGTPS PH-3 gain of Rs. 7.57 Crores approx. has been achieved individually in FY 2023-24. Rest of the Power stations have not achieved any Financial Gains on account of Controllable parameters as per the Regulation. Therefore, 50% of the total sharable gain works out to Rs. 31.99 Crore.

MPPGCL wishes to further submit that the provisional sharing of gains due to variation in norms have already been passed on to MPPMCL (Respondent No.1) through Monthly Energy Bills for FY 2023-24. The same shall be reconciled on the basis of Trueup tariff order for FY 2023-24.

Power House wise detailed working towards sharing of gains, have already been submitted by MPPGCL as additional information before the Commission vide MPPGCL Letter No. 07-12/CS-MPPGCL/ MPERC/ TU FY 2023-24/ Pt. 76 of 2024/ 67 dated 20.01.2025.

In view of the above, MPPGCL submits that the statements made by the Respondent No.1 (MPPMCL) in the instant Para may not be considered, as all the details have already been submitted before the Commission.

Observation:

The petitioner has submitted the Thermal Power Station-wise monthly details for actual Operational performance parameters achieved during FY 2023-24 vis-a-vis normative parameters under the Regulations, 2020 namely, Station Heat Rate, Secondary Oil Consumption and Auxiliary Energy Consumption. Since the Commission has already

determined power station/ house-wise tariff in MYT Order, therefore, financial gain/ loss in respect of performance parameters fixed in MYT Order has been examined for all thermal power stations, separately. The financial gain wherever achieved by the petitioner in any of the thermal power stations on account of better operating parameters have been worked out separately for each power station and same has been allowed to be shared with beneficiary at the ratio of 50:50 in accordance to the Regulation 56 of the Regulations, 2020.

(iv) MPPMCL's Comment:

The Petitioner has availed Special Allowance in respect of STPS PH-2&3, SGTPS PH-1 and SGTPS Unit-3 to the tune of Rs. 120.55 Crore. STPS PH-2&3 stand decommissioned and there has been no expenditure towards Renovation and Modernization. Therefore, the entire Special Allowance of Rs. 78.85 which could not be serviced into the purpose for which it was granted, should be refunded to the answering Respondent. Further, the Special Allowance availed by the Petitioner, admittedly, could not be serviced by the Petitioner into SGTPS PH-1 and SGTPS Unit-3 to the tune of Rs. 1.20 Crore and Rs. 0.05 Crore respectively. The same, should be refunded to the answering Respondent. Furthermore, for the reasons that the Petitioner has not demonstrated as to how the said Allowance, to the extent alleged to be utilized, has actually been utilized and for the reasons that the Petitioner has not furnished details of Utilization of Special Allowance of submitted a duly audited Utilization Certificate in respect of these Units, the entire Special Allowance availed by the Petitioner, to the extent of Rs. 80.11 Crore, ought to be refunded to the answering Respondent.

Further, the Petitioner has neither submitted a separate account in respect of the Special Allowance availed by it in respect to STPS PH-2&3 nor a Utilization Certificate thereof. Therefore, the Additional Capitalization in respect of the Units ought to be disallowed and Special Allowance availed refunded to the answering Respondent

Petitioner's Reply:

The proviso 30 of the Regulations, 2020 {RG-26 (IV) of 2020}" provides that the Generating Company, in case of thermal generating stations, instead of availing R&M may opt to avail a "Special Allowance" in accordance with the norms specified in the Regulations, as compensation for meeting the requirement of expenses including renovation and modernization beyond the useful life of the generating station or a unit thereof, and in such an event, upward revision of the capital cost shall not be allowed and the applicable operational norms shall not be relaxed but the special allowance shall be included in the Annual Fixed Cost. The Commission vide MYT order dated 19.05.2021 in petition No. 53 of 2020 has permitted Special Allowance for Units of PH-2 & 3 STPS, Sarni upto FY 2019-20 to FY 2023-24.

The Commission vide order dated 27.07.2023 in Petition No.11 of 2023, has permitted recovery of Special Allowance (w.e.f. 01.04.2023) for PH-1, SGTPS, Birsinghpur on completion of Useful life. Similarly, the Commission vide order dated 17.01.2024 in Petition No. 52 of 2023 has permitted Special Allowance (w.e.f. 27.02.2024) for Unit No.3, PH-2, SGTPS, Birsinghpur on completion of Useful life.

Accordingly, Special allowance for SGTPS PH-1&2, Birsinghpur have been worked out as detailed in Table 4.2.1.1 on normative availability and Table 4.2.1.2 on actual availability of the power station in the instant Petition. Since, the Special Allowance forms the component of Annual Fixed Cost, therefore for its recovery, actual Plant Availability Factor is applied on prorated basis viz-a-viz Normative Plant Availability factor. On doing so, the special allowance for SGTPS PH-1 reduces from Rs. 39.90 Crores to Rs. 38.70 Crores (diff. Rs. 1.20 Crores). Similarly, for SGTPS Unit No.3 (PH-2) it reduces from Rs. 1.804 Crores to Rs. 1.75 Crores (diff. Rs. 0.05 Crores). It appears that these figures have been mis-understood by MPPMCL in its observation.

The details of expenditure incurred / utilized from Special allowance along with supporting documents pertaining to SGTPS PH-1 amounts to Rs. 39.33 Crores and Unit No.3 PH-2, amounts to Rs. 1.81 Crores and have been submitted to the Commission vide letter No. 103 dated 06.02.2025.

In regard to STPS PH-2&3, it is to mention here that the Special Allowance for this Power Station has not been claimed in the monthly Energy Bills issued to MPPMCL for FY 2023-24. Therefore, the issue of refund does not arise.

In view of the above, MPPGCL submits that the statements made by the Respondent No.1 (MPPMCL) in the instant Para may not be considered, as all the details have already been submitted before the Commission.

Observation:

All the Units of STPS PH 2 & 3 were under forced outage during FY 2023-24 and actual annual PAF of this power station was Nil during the year, therefore, recovery of special allowance in STPS PH-2&3 Sarni is NIL. Moreover, GoMP has granted approval for de-commissioning of units of this power station w.e.f. September, 2024. Further, with regard to special allowance in Unit No. 1, 2 of PH-1 and Unit No. 3 of PH-2 SGTPS, Birsinghpur, the Petitioner has filed a detailed statement indicating works to be done in these units of SGTPS Birsinghpur and work orders issued to different vendors through special account fund. The Petitioner has already been directed to maintain separate fund towards special allowance and present it before the Commission with next true-up petition. The Petitioner is directed to share relevant documents with MPPMCL.

(v) MPPMCL's Comment:

That, the Petitioner has vaguely claimed Additional Capitalization to the tune of Rs.0.47 Crore in respect of Unit 5 of ATPS 210 MW PH-3 which was commissioned way back on 10/09/2009. The Petitioner has not disclosed the previously approved projections, if any. The necessity for alleged Additional Capitalization, too, has not been established by the Petitioner. The Petitioner cannot claim Additional Capitalization in a mechanical manner for no justifications in every financial years throughout the plant life and till this belated stage. The translation of said Additional Capitalization that may be reflected in better plant-performance and reduction in tariff has also not been set out in the Petition. Hence, the said Additional Capitalization to the tune of Rs. 0.47 Crores be disallowed.

Petitioner's Reply:

In the above context it is to submit that the Commission in its MYT Order dated 19.05.2021 in MYT Petition No. 53 of 2020, at para 38 (on page 25) in regard to projected Additional Capitalization, had directed MPPGCL to approach the Commission at the time of truing up. Para 38 of the MPERC Order dated 19.5.2021 in Petition No. 53 of 2020 is reproduced below for kind reference please: -

. “ 38. In view of the above, the projected additional capitalization filed by the petitioner during the control period is required to be examined on several counts provided under Regulations 2020. Based on the actual details and documents in light of aforesaid Regulations to be made available by the petitioner, this exercise shall be carried out while undertaking true-up exercise for the respective year based on Annual Audited Accounts and other requisite details in this regard. The petitioner shall be at liberty to approach the Commission for approval of additional capitalization at the appropriate stage based on the actual expenditure incurred duly reconciled with the figures recorded in Annual Audited Accounts of respective year.”

Accordingly, MPPGCL has approached the Commission for True up of power station wise actual Additional Capitalization carried out based on the Annual Audited Accounts for FY 2023-24.

In regard to ATPS PH-3, actual Additional Capitalization of the works carried out during FY-24, in accordance with Regulations, 2020 amounts to Rs 0.47 Crore, which is captured in the Annual Audited Accounts of MPPGCL.

The above Additional Capitalization works have been done for different reasons such as to enhance the efficiency of Plant, on account of need based R&M, to follow the compliance or directives of statutory bodies & Acts, to abide by the existing laws, to ensure safety & security of Plant, etc., in accordance with MPERC Regulations, 2020. It may be appreciated by the Commission that the PLF (%) of ATPS PH-3 (210MW) was highest in India at 97.81% in FY-24 as per the CEA reports.

MPPGCL wishes to submit that the Power House wise detailed working towards additional capitalization, have already been submitted by MPPGCL before the Commission, as additional information vide MPPGCL Letter No. 07-12/CS-MPPGCL/MPERC/ TU FY 2023-24/ Pt. 76 of 2024/ 128 dated 15.02.2025.

In view of the above, MPPGCL humbly submits that the statements made by the Respondent No.1 (MPPMCL) in the instant Para may not be considered, as all the details have already been submitted before the Commission.

Observation:

Additional Capitalization of petitioner's PH-3 ATPS Chachai under subject petition has been examined for the assets under original scope of works and beyond the original scope of works separately, in accordance with the Regulation 27 and 28, respectively of the Regulations, 2020 and based on the additional details and documents filed by the petitioner. In this Order additional capitalization of assets, which were covered under the aforesaid Regulations, has been allowed.

(vi) MPPMCL's Comment:

That, the Petitioner has vaguely claimed Additional Capitalization to the tune of Rs.13.14 Crores in respect of Units No. 10 and 11 of STPS PH-4 which were commissioned way back on different dates – 18/08/2013 and 16/03/2014 respectively. The Petitioner has not disclosed the previously approved projections, if any. The necessity for alleged Additional Capitalization, too, has not been established by the Petitioner. The Petitioner cannot claim Additional Capitalization in a mechanical manner for no justifications in every financial years throughout the plant life and till this belated stage. The translation of said Additional Capitalization that may be reflecting in better plant-performance and reduction in tariff has also not been set out in the Petition. Hence, the said Additional Capitalization to the tune of Rs. 13.14 Crore be disallowed.

Petitioner's Reply:

In the above context it is to submit that the Commission in its MYT Order dated 19.05.2021 in MYT Petition No. 53 of 2020, at para 38 (on page 25) in regard to projected Additional Capitalization, had directed MPPGCL to approach the Commission at the time of truing up. Para 38 of the MPERC Order dated 19.5.2021 in Petition No. 53 of 2020 is reproduced below for kind reference please: -

“ 38. In view of the above, the projected additional capitalization filed by the petitioner during the control period is required to be examined on several counts provided under Regulations 2020. Based on the actual details and documents in light of aforesaid Regulations to be made available by the petitioner, this exercise shall be carried out while undertaking true-up exercise for the respective year based on Annual Audited Accounts and other requisite details in this regard. The petitioner

shall be at liberty to approach the Commission for approval of additional capitalization at the appropriate stage based on the actual expenditure incurred duly reconciled with the figures recorded in Annual Audited Accounts of respective year.”

Accordingly, MPPGCL has approached the Commission for True up of power station wise actual Additional Capitalization carried out based on the Annual Audited Accounts for FY 2023-24.

In regard to STPS PH-4, actual Additional Capitalization of the works carried out during FY-24 in accordance with Regulations, 2020, amounts to Rs 13.14 Crore, which is captured in the Annual Audited Accounts of MPPGCL.

The above Additional Capitalization works have been done for different reasons such as to enhance the efficiency of Plant, on account of need based R&M, to follow the compliance or directives of statutory bodies & Acts, to abide by the existing laws, to ensure safety & security of Plant, etc., in accordance with MPERC Regulations, 2020. It may be appreciated by the Commission that the PLF (%) of STPS PH-4 (2x250MW) was ever highest since CoD at 88.81% in FY-24.

MPPGCL wishes to submit that the Power House wise detailed working towards additional capitalization, have already been submitted by MPPGCL, before Commission, as additional information vide MPPGCL Letter No. 07-12/CS-MPPGCL/MPERC/ TU FY 2023-24/ Pt. 76 of 2024/ 128 dated 15.02.2025.

In view of the above, MPPGCL humbly submits that the statements made by the Respondent No.1 (MPPMCL) in the instant Para may not be considered, as all the details have already been submitted before the Hon'ble Commission.

Observation:

Additional Capitalization of petitioner's PH IV, STPS, Sarni under subject petition has been examined for the assets within original scope of works and beyond original scope of works, separately, in accordance with the provisions of Regulation 27 and 28, respectively of the Regulations, 2020 and based on the additional details and documents filed by the petitioner. In this Order additional capitalization of assets, which were covered under the aforesaid Regulations, have been allowed.

(vii) MPPMCL's Comment:

That, the Petitioner has neither submitted a separate account in respect of the Special Allowances availed by it in respect to SGTPS PH-1 & 2, nor Utilization Certificates thereof. Therefore, the Additional Capitalization in respect of the Units ought to be disallowed and Special Allowance availed refunded to the answering Respondent.

Petitioner's Reply:

The proviso 30 of the Regulations, 2020 {RG-26 (IV) of 2020} provides that the Generating Company, in case of thermal generating stations, instead of availing R&M may opt to avail a "Special Allowance" in accordance with the norms specified in the Regulations, as compensation for meeting the requirement of expenses including renovation and modernization beyond the useful life of the generating station or a unit thereof, and in such an event, upward revision of the capital cost shall not be allowed and the applicable operational norms shall not be relaxed but the special allowance shall be included in the Annual Fixed Cost.

The Commission vide order dated 27.07.2023 in Petition No.11 of 2023, has permitted recovery of Special Allowance (w.e.f. 01.04.2023) for PH-1, SGTPS, Birsinghpur on completion of Useful life.

Similarly, the Commission vide order dated 17.01.2024 in Petition No. 52 of 2023 has permitted Special Allowance (w.e.f. 27.02.2024) for Unit No.3, PH-2, SGTPS, Birsinghpur on completion of Useful life.

Accordingly, Special allowance for SGTPS PH-1&2, Birsinghpur have been worked out as detailed in Table 4.2.1.1 on normative availability and Table 4.2.1.2 on actual availability of the power station in the instant Petition. Since, the Special Allowance forms the component of Annual Fixed Cost, therefore for its recovery, actual Plant Availability Factor is applied on prorated basis viz-a-viz Normative Plant Availability factor.

The details of expenditure incurred/ utilized from Special allowance along with supporting documents pertaining to SGTPS PH-1 amounts to Rs. 39.33 Crores and Unit No.3 PH-2, amounts to Rs. 1.81 Crores and have been submitted to the Commission vide letter No. 103 dated 06.02.2025.

In view of the above, MPPGCL submits that the statements made by the Respondent No.1 (MPPMCL) in the instant Para may not be considered, as all the details have already been submitted before the Commission.

Observation:

With regard to Special Allowance in SGTPS, Birsinghpur (Unit No. 1,2 &3), the petitioner has filed a detailed statement indicating works to be done in the units of this power station through special allowance fund and list of work orders issued to different vendors. The petitioner is directed to maintain separate fund for special allowance and present before the Commission with next true-up petition. The petitioner is also directed to share relevant documents with MPPMCL.

(viii) MPPMCL's Comment:

That, the Petitioner has vaguely claimed Additional Capitalization to the tune of Rs. 2.72 Crore in respect of STPS PH-3 which was commissioned way back on 1983-84. The Petitioner has not disclosed the previously approved projections, if any. The necessity for alleged Additional Capitalization, too, has not been established by the Petitioner. The Petitioner cannot claim Additional Capitalization in a mechanical manner for no justifications in every financial years throughout the plant life and till this belated stage. The translation of said Additional Capitalization that may be reflecting in better plant-performance and reduction in tariff has also not been set out in the Petition. Hence, the said Additional Capitalization to the tune of Rs. 2.72 Crores be disallowed.

Petitioner's Reply:

In the above context, it is to submit that Commission vide MTY order dated 19.05.2021 in petition No. 53 of 2020 has permitted Special Allowance for Units of PH-2 & 3 STPS, Sarni upto FY 2019-20 to FY 2023-24.

In the context it is requested to kindly refer MPPGCL's True up Tariff Petition No. 76 of 2024, para 4.4.5 & 4.4.6 at page 45 wherein it has been mentioned that MPPGCL is not claiming any additional capitalization on these units of STPS PH-2 & 3.

MPPGCL, therefore submits that the observation made by MPPMCL (Respondent No.- 1) in regard to Additional capitalization for STPS PH-3, appears to be misleading and hence may not be considered.

Observation:

On perusal of the subject true-up petition filed by MPPGCL, it is observed that the Petitioner has not claimed any additional capitalization for STPS PH-3 as it has opted special allowance for the units of this power station in accordance to the Regulations. As such the issue raised by the respondent has no relevance.

(ix) MPPMCL's Comment:

That, the Petitioner has vaguely claimed Additional Capitalization to the tune of Rs. 13.81 Crores in respect of SSTPP PH-1 Units 1 & 2 which were commissioned way back on different dates – 01/02/2014 and 28/12/2014 respectively. The petitioner has not disclosed the previously approved projections, if any. The necessity for alleged Additional Capitalization, too, has not been established by the petitioner. The Petitioner cannot claim Additional Capitalization in a mechanical manner for no justifications in every financial year throughout the plant life and till this belated stage. The translation of said Additional Capitalization that may be reflecting in better plant-performance and reduction in tariff has also not been set out in the Petition. Hence, the said Additional Capitalization to the tune of Rs. 13.81 Crore be disallowed.

Petitioner's Reply:

In the above context it is to submit that the Commission in its MYT Order dated 19.05.2021 in MYT Petition No. 53 of 2020, at para 38 (on page 25) in regard to projected Additional Capitalization, had directed MPPGCL to approach the Commission at the time of truing up. Para 38 of the MPERC Order dated 19.5.2021 in Petition No. 53 of 2020 is reproduced below for kind reference please: -

. “ 38. In view of the above, the projected additional capitalization filed by the petitioner during the control period is required to be examined on several counts provided under Regulations 2020. Based on the actual details and documents in light of aforesaid Regulations to be made available by the petitioner, this exercise shall be carried out while undertaking true-up exercise for the respective year based on Annual Audited Accounts and other requisite details in this regard. The petitioner shall be at liberty to approach the Commission for approval of additional capitalization at the appropriate stage based on the actual expenditure incurred duly reconciled with the figures recorded in Annual Audited Accounts of respective year.”

Accordingly, MPPGCL has approached the Commission for True up of power station wise actual Additional Capitalization carried out based on the Annual Audited Accounts for FY 2023-24.

In regard to SSTPP PH-1, actual Additional Capitalization of the works carried out during FY-24, in accordance with Regulations, 2020, amounts to Rs 13.81 Crore, which is captured in the Annual Audited Accounts of MPPGCL.

The above Additional Capitalization works have been done for different reasons such as to enhance the efficiency of Plant, on account of need based R&M, to follow the compliance or directives of statutory bodies & Acts, to abide by the existing laws, to ensure safety & security of Plant, etc., in accordance with MPERC Regulations, 2020. MPPGCL wishes to submit that the Power House wise detailed working towards additional capitalization, have already been submitted by MPPGCL before Commission, as additional information vide MPPGCL Letter No. 07-12/CS-MPPGCL/MPERC/ TU FY 2023-24/ Pt. 76 of 2024/ 128 dated 15.02.2025.

In view of the above, MPPGCL submits that the statements made by the Respondent No.1 (MPPMCL) in the instant Para may not be considered, as all the details have already been submitted before the Commission.

Observation:

Additional Capitalization of petitioner's SSTPP PH-1 under subject petition has been examined for the assets within original scope of works and beyond the original scope of works, separately in accordance with the Regulation 27 and 28, respectively of the Regulations, 2020 and based on the additional details and documents filed by the

petitioner. In this Order additional capitalization of assets, which were covered under the aforesaid Regulations, has been allowed.

(x) MPPMCL's Comment:

That, the Petitioner has vaguely claimed Additional Capitalization to the tune of Rs.4.09 Crores in respect of SSTPP PH-2 Units 1 & 2 which were commissioned way back on different dates – 18/11/2018 and 27/03/2019 respectively. The Petitioner has not disclosed the previously approved projections, if any. The necessity for alleged Additional Capitalization, too, has not been established by the Petitioner. The Petitioner cannot claim Additional Capitalization in a mechanical manner for no justifications in every financial years throughout the plant life and till this belated stage. The translation of said Additional Capitalization that may be reflecting in better plant-performance and reduction in tariff has also not been set out in the Petition. Hence, the said Additional Capitalization to the tune of Rs. 4.09 Crores be disallowed.

Petitioner's Reply:

In the above context it is to submit that the Commission in its MYT Order dated 19.05.2021 in MYT Petition No. 53 of 2020, at para 38 (on page 25) in regard to projected Additional Capitalization, had directed MPPGCL to approach the Hon'ble Commission at the time of truing up. Para 38 of the Hon'ble MPERC Order dated 19.5.2021 in Petition No. 53 of 2020 is reproduced below for kind reference please: -

. “ 38. In view of the above, the projected additional capitalization filed by the petitioner during the control period is required to be examined on several counts provided under Regulations 2020. Based on the actual details and documents in light of aforesaid Regulations to be made available by the petitioner, this exercise shall be carried out while undertaking true-up exercise for the respective year based on Annual Audited Accounts and other requisite details in this regard. The petitioner shall be at liberty to approach the Commission for approval of additional capitalization at the appropriate stage based on the actual expenditure incurred duly reconciled with the figures recorded in Annual Audited Accounts of respective year.”

Accordingly, MPPGCL has approached the Commission for True up of power station wise actual Additional Capitalization carried out based on the Annual Audited Accounts for FY 2023-24.

In regard to SSTPP PH-2, actual Additional Capitalization of the works carried out during FY 2023-24, in accordance with Regulations, 2020, amounts to Rs 4.09 Crores, which is captured in the Annual Audited Accounts of MPPGCL.

The above Additional Capitalization works have been done for different reasons such as to enhance the efficiency of Plant, on account of need based R&M, to follow the compliance or directives of statutory bodies & Acts, to abide by the existing laws, to ensure safety & security of Plant, etc., in accordance with MPERC Regulations, 2020.

MPPGCL wishes to submit that the Power House wise detailed working towards additional capitalization, have already been submitted by MPPGCL before Commission, as additional information vide MPPGCL Letter No. 07-12/CS-MPPGCL/MPERC/ TU FY 2023-24/ Pt. 76 of 2024/ 128 dated 15.02.2025.

In view of the above, MPPGCL humbly submits that the statements made by the Respondent No.1 (MPPMCL) in the instant Para may not be considered, as all the details have already been submitted before the Commission.

Observation:

Additional Capitalization of petitioner's SSTPP PH-II under subject petition has been examined for the assets within original scope of works and assets beyond original scope of works, separately, in accordance with the Regulation 27 and 28, respectively of the Regulations, 2020 and based on the additional details and documents filed by the petitioner. In this Order additional capitalization of assets, which were covered under the aforesaid Regulations, has been allowed.

(xi) MPPMCL's Comment:

That, the Petitioner has vaguely claimed Additional Capitalizations to the tune of Rs. 0.21 Crores in respect of Gandhi Sagar HPS, Rs. 5.87 Crores in respect of Pench HPS, Rs. 1.51 Crores in respect of Rajghat HPS, Rs. 1.54 Crores in respect of Bargi HPS, Rs. 35.53 Crore in respect of Bansagar Phase 1 &2, Rs. 0.71 Crores in respect of Bansagar Phase 4 and Rs. 0.02 in respect of Madhikheda HPS. The Petitioner has not disclosed the previously approved projections, if any. The necessity for alleged Additional Capitalization, too, has not been established by the Petitioner. The Petitioner cannot claim Additional Capitalization in a mechanical manner for no justifications in every financial years throughout the plant life and till this belated stage. The translation of said Additional Capitalization that may be reflecting in better plant-performance and reduction in tariff has also not been set out in the Petition. Even otherwise, the said expenses are in the nature of Repairs & Maintenance expenses and nevertheless are Capital items. Hence, the said Additional Capitalization to the tune of Rs. 4.09 Crores be disallowed.

Petitioner's Reply:

In the above context it is to submit that the Commission in its MYT Order dated 19.05.2021 in MYT Petition No. 53 of 2020, at para 38 (on page 25) in regard to projected Additional Capitalization, had directed MPPGCL to approach the Commission at the time of truing up. Para 38 of the MPERC Order dated 19.5.2021 in Petition No. 53 of 2020 is reproduced below for kind reference please: -

. " 38. In view of the above, the projected additional capitalization filed by the petitioner during the control period is required to be examined on several

counts provided under Regulations 2020. Based on the actual details and documents in light of aforesaid Regulations to be made available by the petitioner, this exercise shall be carried out while undertaking true-up exercise for the respective year based on Annual Audited Accounts and other requisite details in this regard. The petitioner shall be at liberty to approach the Commission for approval of additional capitalization at the appropriate stage based on the actual expenditure incurred duly reconciled with the figures recorded in Annual Audited Accounts of respective year.

Accordingly, MPPGCL has approached the Commission for True up of power station wise actual Additional Capitalization carried out based on the Annual Audited Accounts for FY 2023-24.

In regard to above, actual Additional Capitalization of the works carried out during FY-24 in accordance with Regulations, 2020 at Gandhi Sagar HPS amounts to Rs. 0.21 Crores, that for Pench HPS amounts to Rs 5.87 Crores, that for Rajghat HPS amounts to Rs 1.51 Crores, that for Bargi HPS amounts to Rs 1.54 Crores, that for Bansagar HPS PH-1,2 & 3 amounts to Rs 35.53 Crores, that for Bansagar HPS PH-4 amounts to Rs 0.71 Crores, that for Madhikheda HPS amounts to Rs. 0.02 Crores, which are captured in the Annual Audited Accounts of MPPGCL.

The above Additional Capitalization works have been done for different reasons such as to enhance the efficiency of Plant, on account of need based R&M, to follow the compliance or directives of statutory bodies & Acts, to abide by the existing laws, to ensure safety & security of Plant, etc., in accordance with MPERC Regulations, 2020. MPPGCL wishes to submit that the Power House wise detailed working towards additional capitalization, have already been submitted by MPPGCL before Hon'ble Commission, as additional information vide MPPGCL Letter No. 07-12/CS-MPPGCL/MPERC/ TU FY 2023-24/ Pt. 76 of 2024/ 128 dated 15.02.2025.

In view of the above, MPPGCL humbly submits that the statements made by the Respondent No.1 (MPPMCL) in the instant Para may not be considered, as all the details have already been submitted before the Commission

Observation:

Additional Capitalization of petitioner's Hydel Power Stations for FY 2023-24 under subject petition has been examined for assets within original scope of work and beyond original scope of work, separately, in accordance with the Regulation 27 and 28, respectively, of the Regulations, 2020 and based on the additional details and documents filed by the petitioner. In this Order additional capitalization of assets of respective hydel power stations, which were covered under the aforesaid Regulations, has been allowed.

Annexure-II**Petitioner's Response on the comments offered by the Stakeholder along with the observations:****Stakeholder Comment:**

1. From the perusal of the petition, it is known that M.P. Power Generating Company has constructed two units of ultra-modern, super critical Japanese technology, Singaji Thermal Power Station Phase-2 capacity of 660 MW each, total capacity 1320 MW, under EPC contract with the country's renowned private engineering enterprise L. & T., whose cost is approximately Rs. 8000 crore and COD is 18 November 2018 and 27 March, 2019 respectively, whose performance has been very poor in the financial year 2023-24 and has not been able to achieve any of the normative parameters set by the Commission, which is mentioned in the verification petition as follows:-
 - (i) As per clause 2.1.2, the Normative Annual Plant Availability Factor (NAPAF) of the plant was only 72.67 per cent as against 85 per cent prescribed by the Commission, resulting in loss of fixed charges of Rs 160.05 Crore.
 - (ii) As per clause 2.1.5, instead of the Specific Coal Consumption (SHR) of 2186 Kcal per unit determined by the Commission for power generation, coal consumption is mentioned as 8327 Kcal per unit. This means that instead of the prescribed 625 grams per unit, 40 grams more coal, i.e. 665 grams per unit has been consumed in power generation. As a result, about 3.2 LMT of coal has been burnt in the total power generation of 7857 MUs. The cost of which has resulted in a loss of about Rs. 145 Crore, considering the standard specific heat of 3500 Kcal/Kg and the price as Rs. 4500 per MT.
 - (iii) According to clause 2.1.6, the specific fuel oil consumption prescribed by the Commission is mentioned 1.5 times more, i.e. 52025. Due to which fuel oil worth about Rs. 15 crores has been burnt more.

Thus, in brief, a total loss of Rs. 320 Crore has been incurred by MPPGCL due to the prevailing mismanagement in the company, incompetent and inexperienced Managing Director posted in company, as well as misuse of the natural resources of the nation MPPMCL is purchasing expensive electricity from NTPC or other private sectors due to which Consumers have received expensive electricity.

Madhya Pradesh Power Generating Company has not mentioned any reason for the poor performance of the plant in the subject petition. It is not justified under Electricity

Act 2003 for the Commission to dispose of the subject petition merely by doing only mathematical calculation for trueing up of AFC.

Petitioner's Reply:

The Norms for Operation are set by the Commission in the respective Multi Year Tariff Regulations. The norms for operation for the control period FY 2019-20 to FY 2023-24 are applicable in the instant petition. MPPGCL has already submitted its Power Station wise actual Performance parameters vis-à-vis the respective Norms in Chapter -2 of True up tariff Petition FY 2023-24.

The Commission as a Regulator keeps an eye on all the Power Stations in regard to their performance and in respect of compliance of the existing laws, directive or guidelines provided by statutory Authorities & Acts. In this respect MPPGCL submits that Power Station wise detailed quarterly reports in the form of MIS & RIMS are being regularly submitted before the Commission. Periodic Review Meetings are also conducted by the Commission covering all aspects & functioning of MPPGCL.

The quarterly MIS Reports for FY-24 in respect of the Power Stations of MPPGCL, were submitted vide MPPGCL's Letters No. 1605 dated 24.08.2023, No.2074 dated 22.11.2023, No. 379 dated 23.02.2024 and No. 884 dated 28.05.2024, wherein all the details in respect of the performance of all the Power Stations of MPPGCL, including SSTPP Stage-2, Khandwa, have already been submitted.

MPPGCL has determined and claimed the monthly Energy Charges Rate (ECR) of its Thermal Power Stations on normative Auxiliary consumption, normative Gross Station Heat Rate, normative sp. Oil consumption, Wt. Average Landed price of Coal, Wt. Average GCV of coal as received, Wt. Avg. landed price of secondary fuel, in accordance with the formula specified for determination of ECR as per Regulation 43.2 of Regulations, 2020. Further, the Energy Charges have been determined on the certified Scheduled energy as per monthly State Energy Accounts of SLDC. The actual SHR, actual Sp. Coal consumption & actual Sp. Secondary fuel Oil has no role in calculation / determination of Energy Charges Rate (ECR).

In view of the above, MPPGCL submits that the statements made by the Shri Rajendra Agrawal in the instant para are misleading, therefore, may not be considered.

Observation:

The Commission has already taken up the issues of poor performance of the Units of SSTPP PH-2, separately while analyzing the Quarterly MIS Reports for FY 2023-24 of MPPGCL's Power Stations. The Commission is closely monitoring the performance of petitioner's thermal power stations specially SSTPP PH-2 through review meetings being conducted regularly and issued directives to take measures to improve the

performance. The subject petition is for true-up of Annual Capacity Charges in respect of additional capitalization during FY 2023-24 in accordance to Regulation 9.4 of the Regulations, 2020. The Annual Capacity Charges for SSTPP PH-2 has been allowed in this Order in accordance to the provisions under the Regulations, 2020.

2. Stakeholder's Comment:

It is also noteworthy that the EPC contract signed with M/s L&T has a condition that the company will conduct a successful Performance Guarantee Test of each unit within 3 months of setting up the entire plant and starting of the power plant, i.e., Commissioning of the power plant, which is still pending despite the completion of a long period of 5 years, Since CoD.

Therefore it is requested to the commission that :-

- (i) Direct the petitioner to provide information regarding the reasons for poor performance of Singaji Thermal Power Station Stage-2 for the FY 2023-24, permanent/temporary deficiencies in the plant, efforts being made for improvement, if any, etc. and also inform the Commission.
- (ii) Direct the petitioner to conduct the performance guarantee test as per the contract by running all the main equipment of each unit such as boiler/turbine/generator and rest of the plant equipment (BTG & BOP) etc. together at the capacity of 660 MW, at prescribed technical parameters and prescribed coal consumption continuously for 72 hours and, if successful, send the report to the Commission and upload it on the website so that public can access to the information. It is noteworthy that without the performance guarantee test, the 660 MW capacity of the unit would be doubtful.

Petitioner's Reply:

In this context, MPPGCL submits that the Volume-I: Commercial, Section-7 Special Conditions of Contract (SCC) of EPC Tender Specification – Commercial, at Para 7.4.2.10, provides that:-

"Upon the completion of trial/reliability operation, as soon as practicable, or at such time as may be otherwise agreed to by the parties concerned, the Contractor shall notify in writing to the Owner that the plant is ready for performance tests, only after liquidating all the major defects".

Accordingly, M/s L&T has successfully completed major Performance Guarantee (PG) tests in Unit No. 3 and 4 (except the PG test of turbine of Unit No. 3) in 2x660MW Units of SSTPP PH-2 and their test reports have also been approved. The list of tests conducted along with their status is annexed.

At present, continuous generation from both these units is being achieved as per the schedule, based on system demand.

The Unit No. 3 of 2x660 MW Shri Singaji Thermal Power Station Stage-2 was under capital overhaul from 30.07.2024 to 04.11.2024. The LP Turbine was closely inspected and detailed testing, maintenance and alignment was carried out by M/s L&T in its Hazira Plant (Gujarat). Subsequently, the Turbine Driven Boiler Feed Pump was put under maintenance in Dec.'24 and corrective action was taken, accordingly. Thereafter, since 25.01.2025, the Unit No. 3 is running at near to 660 MW full load. The overall performance data file (CSV file) has been collected by M/s L&T on 27.01.2025 for conducting PG Test of Unit No. 3. M/s L&T has forwarded this full load data to M/s LMTG, Japan for analysis and necessary course correction to meet the PG test requirements. Once cleared by M/s LMTG, M/s L&T will provide the date for conducting PG Tests & its team will be deputed to MPPGCL site. Copy of letters dated 29.01.2025, 11.02.2025, 13.02.2025 and 18.02.2025 in this regard are attached.

Further, it is submitted that, since 10.11.2024 the Unit No. 3 of SSTPP PH-2 is in continuous operation for more than 100 days.

In view of the above, MPPGCL requests the Commission to please not to consider the comments of Shri Rajendra Agrawal.

Observation:

The Commission has already taken up the issue of poor performance of SSTPP PH-2 and delay in execution of performance guarantee tests separately through review meetings conducted regularly and sought Report in this regard. The Annual Capacity Charges for SSTPP PH-2 has been allowed in this Order in accordance with the provisions under the Regulations, 2020.

3. Stakeholder's Comment:

It is mentioned in clause 4.6.5 of the petition that the outstanding amount of loan taken from M/s PFC for Singaji Thermal Power Plant Phase-2 is Rs. 4125 Crore, interest rate is 10.03% and total interest is Rs. 413.70 Crore. Stakeholder has also referred to one of the IPP in MP whose have restructure/ refinanced its loan with lower rate of interest loan.

In view of the current competitive financial market, clarification is required regarding whether the petitioner has made any efforts to reduce the rate of the above loan and other loans with high interest rates or to re-finance the loan from any other financial institution or whether there is any plan to do so in the future. It is worth mentioning that there is a provision in clause 57.1 of the Regulations, 2020 in this regard. Appropriate instructions are requested from the Commission.

Petitioner's Reply:

*In regards to restructuring of loan of SSTPP Phase-2, it is submitted that MPPGCL was initially sanctioned the loan by M/s PFC at the rate of **12.75%** per annum for construction of Shri Singaji Thermal Power Project (SSTPP), Khandwa, Phase-2, through loan number 20701004 dated 29.09.2011.*

*Regarding the above interest rate, correspondence was done with M/s Power Finance Corporation (PFC) to reduce the same. In response, M/s PFC vide letter dated 13.07.2021 has offered special interest rate of **9.10%** on monthly basis linked to 30 days average rate for AAA Corporate 10-year bond for outstanding debt and further disbursement under existing sanctioned loans of MPPGCL. A formula has been mentioned in the PFC's aforesaid letter towards calculation of applicable interest rates. For comparison with the above, the current Interest Rate of M/s PFC (w.e.f 20.03.2024) for Generation Projects in India is also enclosed for kind information please. The effective annualized rates are also shown on page 3 of Annexure-5. MPPGCL falls under the Category A⁺. As such, the Monthly rate applicable for Generation Projects is 10.90%, and corresponding Effective Annualized Rate is 11.46%. Therefore the Wt. average rate of interest claimed by MPPGCL in the instant true up petition is much less than 11.46%.*

Observation:

Weighted average rate of interest has been considered in this order in accordance to the Regulations, 2020. Further, the Petitioner has already been directed to make efforts to reduce the weighted average rate of interest through restructuring/ re-financing of loan with reduced rate of interest in accordance with the Regulations, 2020..